# Power Mech Projects (POWERMECH)

*Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.*

# Call: Jun 2023

6ilJ~\'SP\~Phnnp. .040-~n444444
Fox :040-30444400
E-mail: info@powermech.net
Website:www.powermechprojects.inRegd_&(;prporaff!Office:
PlotNo. 77,Jubilee Enclave,Opp.Hitex,
Modhopur,Hyderobod-50008 1
Telongono,India
CIN:U74140AP199 9PLC032156POWER MECH PROJECTS LIMITED
AN ISO 9001 ,ISO 14001 &OHSAS 18001 CERTIFIEDCOMPANY
M4570910INJAS-ANZ
[6-----+----1
--! _'_'_ ,,, ,,,, ,, ,, ,L-----i-----J•GrowthUnlimited{dPOWERMECH®

Date: 05.06.2023

To To
The Corporate Relations Department National Stock Exchange of India Ltd
BSE Limited, Exchange Plaza,
Dalal Street,P.J,Towers, Bandra Kurla Complex, Bandra (E),
MUMBAI - 400001 MUMBAI - 400051

Dear Sir/Madam,

Sub: Transcript of the earnings call for Q4 and Year Ended 31.03.2023

Ref: BSE Scrip Code: 539302, NSE Symbol: POWERMECH

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call for Q4 and year ended 31.03.2023 held on Wednesday, 31.05.2023 at 3.30 PM IST.

The transcript is uploaded on the Company’s website at
https://drive.google.com/file/d/1g8SIULCbngAhZM0OnRmOSu -TMwX84kbQ/view?usp=sharing

This is for your information and necessary records.

Regards,
For Power Mech Projects Limited

Mohith Kumar Khandelwal
Company Secretary

Encl:A/a



“Power Mech Projects Limited
Q4 FY’23 Earnings Conference Call”
May 31, 2023

Disclaimer: E&OE: This transcript is edited for factual errors. I n c a s e o f
discrepancy, the audio recordin g uploaded on the Stock Exchange (s) on 31st May,
2023 will prevail.

MANAGEMENT : M R. S.K. RAMAIAH – DIRECTOR , BUSINESS

DEVELOPMENT – POWER MECH PROJECT LIMITED
M R. JAMI SATISH – CHIEF FINANCIAL OFFICER –
POWER MECH PROJECTS LIMITED

MODERATOR : M R. PRASHEEL GANDHI – NIRMAL BANG
INSTITUTIONAL EQUITIES



Moderator: Ladies and gentlemen, good day, and welcome to the Power Mech Projects Limited Q4 FY '23 Earnings Conference Call hosted by Nirmal Bang Institutional Eq uities. As a reminder, all participant lines will be in the listen only mode. And there wi ll be an opportunity for you to ask questions after the presentation concludes. Should you need ass istance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prasheel Gandhi from Nirm al Bang Institutional Equities. Thank you, and over to you, sir.
Prasheel Gandhi: Thanks, Vikram, and good afternoon to all participants. And Nir mal Bang Institutional Equities welcomes you all to 4Q FY '23 Earnings Conference Call for Powe r Mech Projects. From the management team, we have S.K. Ramaiah, Director, Business Devel opment; and Mr. Jami Satish, CFO.
I now hand over to the management for the opening remarks, post which we can take questions from the participants. Thank you, and over to sir.
Jami Satish: Dear friends, good afternoon. This is Satish. Also with me Mr. S.K. Ramaiah, Director, Business Development. Once again, welcome you all to the earnings call, quarter 4 and 12 months FY '22-'23. We are happy to share various developments of Power Me ch during the recent period. Overall, the performance of Pow er Mech is well within set plan and is in line with our internal targets. Performance for the company continues to be robust and healthy.
Let me first start with quarterly and yearly performance with n umbers. The reported total income for quarter 4 FY '23 is around INR1,183 crores. This is once ag ain all-time performance in the history of 24 years journey of Power Mech in a single quarter. And the reported EBITDA is close to INR140 crores and the reported PAT for quarter 4 is ar ound INR75 crores.
During quarter 4 of last financial year, the total income was I NR905 crores and EBITDA was INR97 crores and PAT was around INR48 crores. The total income has gone by almost like 32%, whereas EBITDA has gone by almost like 43% and PAT has gr owth of almost like 58%, which is quite robust.
The revenue for quarter 4 FY23 is as follows. Erection business has contributed INR148 crores, whereas last year it was INR521 crores. Civil business includin g railway, water and distribution, specialized construction, power related civil work it has contr ibuted close to INR760 crores, whereas last year it was almost like INR516 crores. Operation a nd maintenance has contributed INR247 crores, and last year it was around INR217 crores. Elect rical business it has contributed close to INR18 crores and last year it was INR17 crores.
The domestic business has contributed close to INR1,070 crores, which is close to 91% and the rest has come from international business, which is close to 9% . Whereas during quarter 4 of last year, the domestic business has contributed close to 85% a nd international business has contributed almost like 16%.



Similarly, the power sector including operation and maintenance , power related work, during quarter 4 it has contributed 43% and non-power is almost like 5 7%. Similarly, during last quarter -- last year, it was almost like 56% and 44%. Similarly, the to tal reported income for 12 months, the entire year FY23, is close to INR3,618 crores, whereas last year it was almost like INR2,728 crores. There is a growth of almost like 33% and the EBITDA for this year is close to INR421 crores, whereas last year it was INR303 crores. There is a grow th of almost like 39% with increase in the margin and PAT for this year is close to INR209 crores, whereas it was almost like INR139 crores during last year. There is a healthy growth of almost like 50% plus.
And

in terms of revenue mix, erection business has contributed almost INR606 crores, whereas last year it was INR521 crores. There is a growth of 16% in ere ction business on a 12-month

basis. Civil business has contributed almost like INR1,995 cror es, whereas last year it was INR1,290 crores. There is a growth of 55% and O&M business has contributed close to INR930 crores, whereas last year it was INR804 crores. There is a grow th of almost 16% and electrical business has contributed INR69 crores, whereas last year it was INR93 crores. There is a fall of almost like INR24 crores, which is 25%.
And on a 12-month basis, domestic business has contributed almo st like 88% and international business has contributed 12%, whereas last year domestic busine ss contributed close to 84% and international again 16%. And the revenue mix between power and non-power on a 12-month basis, power has contributed close to 54% and non-power 46%, wh ereas last year the mix was power 62% and rest has come from non-power which is almost like 38%.
The growth in business is significant. The above growth is on a ccount of strong order book base, increased in-house execution bandwidth. Improvement is also see n in overall margin profile and the same is further expected to improve gradually. Depreciation cost as a percentage to revenue remained lower side due to planned capex spending. And finance cost, again as a percentage to the revenue, remained lower side and continued to be controlled on account of improved working capital cycle and cash flow management.
With better deployment of capital and improvement in margins, w e have also seen improvement in return on capital employed and return on equity, which is qu ite healthy and we see this improving going forward too.
The overall execution bandwidth is seen increasing quarter on q uarter on account of various initiatives and strong increased in-house resources. Company is well set to execute projects now in the range of INR900 crores to INR1,500 crores per quarter.
Other recent developments and updates include, for the project executed and completed at Andhra Pradesh; Andhra Pradesh Medical Tech Park, We have recei ved during last week the entire amount of INR42 crores plus from AP government. This was held with AP government for a long time in spite of we being completing the project on a record time. The realization is a major development for Power Mech and will help in a big way to improve the cash flow and also the overall liquidity for our growth.


Also the retention and money of around INR20 crores which is d ue now is expected to be realized next 30 to 40 days. All final leg works already been d one and we are quite confident of getting the INR20 crores next 30 to 40 crores. With that the am ount of AMTZ will be completely recovered.
Generated positive operating cash flow during the year is aroun d INR180 crores plus and the free cash flow is around INR120 crores plus which is quite heal thy. And we are also working on the same to improve further. The average monthly collection of the company is seen improving month on month basis with the growth in the business. Collectio n ranging per month now it is in the range of INR320 crores to INR400 crores which is signifi cant.
More importantly the net current days excluding cash and cash e quivalent is substantially -- on account of improved working capital cycle, change in business m ix and change in customer concentration. The net current days has come down to 130 days as on 31st March 2023 and the same used to be 150 days as on 31st March 2022 and 205 days as on 31st March 2021. There is significant improvement in the o verall working capital cycle.
Now the gross debt and the net debt remain controlled, despite growth in the business and order book. FY23 if we see the gross debt is around INR470 crores and the net debt is INR

241 crores
whereas it was INR527 crores and INR320 crores during FY22. The debt to equity as on 31st March 2023 is around 0.37 as against 0.51 as on 31st March 2022 . Similarly, the net debt to equity has come down from 0.35 to 0.19 as on 31st March 2023 an d there is reduction in debt equity ratio which is quite healthy.
The company is continuing taking various steps to strengthen it s resources including strengthening ERP IT base leadership training programs, focus o n safety and quality, strengthening supply management system because of increase in m aterial component in our business model and also the risk management.
There has been continuous induction of the senior management fr om different experts from different industry to strengthen our execution capability and also to strengthen the senior management level, so that we can sustain our growth and cope up with the changes. Recently we have inducted Mr. Surendra Babu Akkala and he has joined as Head of MDO business. He has vast experience of more than 30 years in the field of devel opment and augmentation of several coal and iron ore mine blocks in India.
He was earlier associated with Western Coalfield, Central Coalf ield, Southern Coalfield Limited in various positions and also with Adani Enterprises Limited as a Senior Vice President in natural

resources and mining business.
Apart from that Mr. Ratnadeep who has joined as Senior Vice Pr esident Business Development and Operation Head, especially he is in charge of the business development and operations in Saudi and Bahrain. Following a meticulous academic phase in el ectrical engineering and global business management, as well as a tremendous vast experience of 18 years in international business development, strategy, business turnaround and global operations.



He gained solid knowledge in process optimization and strategic partnership building, growth etc. Earlier he was associated with reputed organizations like ABB, Seimens, Smith Interconnect etc. So, his experience will help in a bigger way in developing the business operation, especially in the Saudi market.
Along with him Mr. Srinivas who is the CEO of International Mar ket will be concentrating on Nigerian market and Ratnadeep will continue to Head the Saudi m arket. It will help in a big way to improve the international operations business.
Now coming to the order book, the order backlog as on 31st Marc h 2023 stands at INR23,000 crores plus. For the entire year of FY23 and '24, the current f inancial year, the company has set a target for achieving new orders of INR10,000 crores. This is including the spillover orders of around INR1,200 crores plus the projects which are on L1 status close to INR1,400 crores and the projects already added during quarter one of the current fi nancial year including around INR720 crores and they are quite confident that these INR10,000 crores numbers can be achieved.
We have identified different projects, domestic, international in different segments close to INR40,000 crores plus and the conversion of INR10,000 crores is quite achievable. We are also expecting good amount of order booking and execution cycle at I nternational Market too. Now the team has been strengthened because of COVID there was a lag of two years, but now the momentum is picking up.
We had a major breakthrough at Nigeria, Dangote in O&M and ther e are multiple follow up discussions happening. So, we are expecting close to INR500 cro res of order booking in international market too this year.
The existence of strong in house risk management policy, team to review each project progress, identify the associated risks, h elping us to proactively mitiga te at early stage all the associated risks in various ongoing, as well as new projects. Various init iatives taken a few years back helping us now for a sustainable growth acros

s all the vertical s in a large way.
Now the targeted business segments broadly include internationa l operations, both the O&M and the traditional mechanical business, we are targeting close to INR400 to INR500 crores.
Operation and maintenance, domestic including the projects whic h are getting renewed during this year, we are expecting close to INR1,000 crores plus.
Power business, the traditional because lot of projects are com ing up, especially the projects which are getting revived. Civil, Power and the FGD put togethe r we are targeting close to INR2,200 crores. Of this, already the projects which are L1 inc ludes close to INR1,200 crores.
On top of that railway, metro, we are working aggressively, th e depot, ETC, we are expecting close to INR1200 crores.
Material handling, we are targeting close to INR500 crores. Wat er distribution, we are targeting close to INR2,600 crores, mostly Madhya Pradesh, Maharashtra. A nd specialised construction, around INR450 crores and electrical business, INR450 to INR500 crores. The company has built



strong expertise in execution and business development. Now for the Power Mech, the opportunities are many to choose.
Standalone and pre-qualification to bid for, any new project f or Power Mech, increases significantly in projects like railway, road, water, IO, O&M, m aterial handling, EPC and specialized construction. Execution for FY24, FY25 and FY26, ne xt three years is going to be robust and healthy on account of improved order book, large tar geted projects in pipeline and increased execution run rate for month.
Also the margin profile, we have seen improving and expected to improve further gradually. We are working to build business model to have recurring long-term service model income to the tune of INR3,000 crores plus, that is including operation and m aintenance and the MDO operation from FY26 onwards.

In addition to the business grow th, this will help in improving margins. This INR3,000 crores pie is expected to improve at least 18% CAGR from FY26 onwards. So, this will help in a big way. Moreover to a large extent, it will also help improving ov erall working capital and cash flow.

Now I request Mr. S. K. Ramaiah to update on various other deve lopments before we get into Q&A session. Thank you.

S. K. Ramaiah: Yes, thanks Satish and good afternoon to all our participants. Satish has given the overall numbers of the revenue, the order book position and the number s on the financial side. What is important to understand is that basically, I would like to e mphasize that , the market has opened fully for us. We are seeing much of penetration is the re ,and thanks to this National Infrastructure Pipeline, which is under implementation for the last three to four years. This is visible in terms of the value of the orders what we have booked in the preceding year, almost, it is 100% more than the previous year, what we have booked about INR4,231 crores in 21-22, and this, preceding year it is I NR8,479 crores, almost 100% in crease.

Some of the major orders what we have taken are in FGD retrof its, infrastructure jobs, railway jobs, significantly railway and metro jobs, then, some of the maintenance jobs, and also on the traditional jobs on the power plant works, which has happened i n Godda 2x600mw in Jharkhand, , etcetera, BMRCL, metro maintenance job, what we are doing is a very interesting job, about INR427 crores. For that, opens t he path for the entire metro of opportunities, of about 27 cities getting covered , with about 14 -15 cities are coming up with n ew Metro net works. and this is the type of opportunity which we have seen.

If you look at the overall figure, for the year excluding th e MDO development, the backlog of the order, which was INR8,855 crores as in last year, March '22, it has gone up to INR13,733 cror

es, almost 55% increase ,and the significant contribution h as come up in the FGD business, on the mechanical side, almost 4 times the backlog has gone up from INR1,650 crores to INR6,879 crores. Civil works, there is a modest increase from INR5,842 crores to INR6,136 crores, and O&M, yes, last year there had been some of the oppo rtunities got postponed,as there is a dip in the overall backlog, and electrical is more or less the same. Overall increase in the



order backlog is 55%,and on the domestic, side continues to pl ay a leading role because of the opportunities which are available in energy sector, infrastruct ure sector, railway, and various other non-power sectors. Domestic sector almost contributes to the backlog of 97%, and international, as Satish has said, of the post-COVID, there had not been a direct investment coming up in the Middle East, Gulf region, and now perhaps it w ill open up .

Then the power sector business is significantly geared up at 66 %, INR9,131 crores to the backlog. Non-power sector is INR4,602 crores of 34% of the back log. This also is a good product mix which is there. Therefore, overall, if you look at some of the major jobs what we are executing as on today, we are executing Udangudi job, one- third of the job we have completed,that is in Tamil Nadu. Buxar, also 2x660 megawatt boi lers for L&T in Bihar, about 32% completed.

Bhusawal is under advanced stage of completion, 85% for INR285 crores. For the bigger jobs, the , INR813 crores,of Yadadri we are at 70%. Maitree, Bangla desh, INR855 crores, we are at 80%,and a very interesting thing, what is happening in the is drinking water, of INR2,927 crores, as the original order value, it will significantly go b y 30%-40%. That we have done almost 15% in the last year, and this year it will further impr ove a lot..

Then some of the road projects in Telangana and also in Karnata ka and Mizoram, we have done about 40%-45% of the work,and Adani work we have already taken up in Telengana. BMRCL is an interesting job, the Metro Maintenance Depot construction job , that we have already started the work .

In terms of the manpower deployment. based on optimization, , redeployment, and proper utilization of the skills availab le in different segments, infr astructure, installation, O&M, exports, contract management, business development. I think, w e have done a significant exercise on improving and better utilization of the manpower . It has almost come down by 10% in spite of the increase in the order backlog and the turn over . That is where it is also to some extent contributing for the better margins. At the end of last year it was 32,000, now it has come down to 28,500.

Now, I would like to bring out certain developments from the major segments of the work. Railway jobs, today we are doing eight major jobs, about INR1,3 00 to INR1,400 crores. And most of the jobs are doing pretty well, railways and metro jobs . On drinking water, which is happening in the UP for three areas, Bulandshahr, Etawah, and P ratapgarh,/ Fatepur. The order booking is expected go up based on estimated work to be done, the original order which was

awarded around INR2,720 crores is expected to go up to INR4,347 crores, based on the project approvals of the individual villages and blocks.
And therefore, about 2,903 villages will come for implementatio n, the good thing is that we have provided 100% drinking wa ter for about 102 villages. There fore, that the company having diversified into this segment it is a good beginning, in workin g in different villages, and we are having a distributed mechanism for managing the various village s with key managers posted district-wise and area-wise, that is yielding results for us. We have completed last year about nearly 571 crores of work.


These projects are well structured in terms of payment terms without any retention, and there is an advance of 10%. We are focusing a lot on this, because t here is so much focus on investment from the government side also, because of its need i n providing drinking water for the villagers.
Now, coming to the outlook for the current year on what are t he opportunities which will come up down the line, I think, a broad figure, what Satish shared w as INR10,000 crores order booking. It should be possible based on the track record and th e market availability of the opportunities. There are a couple of developments which helps us to understand this. One is that there is a revival of some of the stalled power projects about 5,270 megawatts. Monnet Ispat 2x525mw,then Atherna Power, Meenakshi2x350mw, Amarkantak 2x660, then Ind Bharat 2x350mw etcetera. And already we have entered in Monnet Ispat for Boiler left over work.
We have taken this job from JSPL, who are the new developers On Athena we are aggressively following with Vedanta Group for the 2x600 megawatt and about I NR400 crores of offer has been given and we are well placed to get the entire job of that . That is the leftover job related to Boilers,TG, Civil, Electrical etc.
Now the company has developed expertise in undertaking left over finishing jobs that we have demonstrated in Godda of 2x660mw for Adani Power,and also Monn et Ispat already we have mobilized there. So this is the revival of many projects. The re is also of information on the new green and brownfield projects expected, particularly NTPC i s planning 13 sets, and overall about 28 sets are expected of 660 megawatts to 800 megawatts unit capacity
We hope these developments will take shape to balance the energ y mix between power and renewable. If that happens, another 21,000 megawatts of new Gre enfield and brownfield projects should come up. Already there is 210GW of coal project installe d base is available. 3x800 megawatts NLC is planning at Talabira in Orissa that has to t ake shape. And there are many projects from NTPC also in the pipeline. Therefore, these oppor tunities we are pursuing based on our expertise.
The recent diversification we have done in the mining side and the material handling and coal handling, we are executing at Kurmitar & Khurja . That shoul d give us a lot of expertise in handling the EPC jobs. There are about 70 coal mining project s identified with Coal India itself, and Coal India is investing about INR50,000 crores. Ap art from that, there is a huge emphasis on the capacity expansion of the steel plants from pre sent 150 plus million tons to go up to say, 230 million tons by 2025/26.
And the immediate expansion, what is expected is all steel pla nts, for example, JSW, ArcelorMittal, Monnet Ispat and JSPL. They are planning to inve st roughly about INR3 lakh crores to ramp-up the capacity by 60 million tons. Of course, the overall government target to enhance the steel capacity to 3 000 million tons by end of this decade that is already there with the investment of $156 billion.
Now, the expertise what we are gaining implementing the steel projects in JSW Angul, JSW Dolvi and then JSW Ballari, there are significant opportunities in this for the project work, mainly structural, mechanical, equipment, piping .and we will c ertainly take a call on this as this


is a good opportunity to pursue. In the case of drinking water, there is a significant progress and out of 19.5 crores of households, the balance of drinking water to be provided is for 7.34 crores households. Government has allotted funds of INR70,000 crores for this.,and opportunities we are tracking in UP,Maharashtra, in Madhya Pradesh, then Odisha, Karnataka. Where we are looking for a couple of projects..
Then, the electrical side

, the ongoing investment, these are go ing to be there in the DISCOMs.
Only issue the competition is pretty steep there, particularly DISCOMs investments and then transmission investments, INR2 lakh crores and INR2.5 lakh cror es are coming up, and then most important opportunity is the railways. I think, we have s een the current budget, on roads and railways have been given bulk of the budget out of INR10 la kh crores. We are doing pretty well in both the sectors, railways and roads ,and we have now a significant organization set up is in place to implement all these opportunities .
So far as the O&M is concerned, some of the projects which wer e not taken up last year , it will be taken up in this year, both in the domestic market and international market. In domestic market, we are pursuing opportunities of more than INR2,000 cro res, and we should be able to make around INR1,000 crores, about INR200 crores of renewables are there, and then we are already L1 in Raichur, about INR170 crores.
In Vedanta, we have taken some INR40 crores jobs. So that shou ld give us a reasonable visibility for the O&M, so the O&M backlog should be improving . The other important area is metro projects, for example, what we have taken up, metro and r ail projects, eight numbers which are under execution. The total government plan for expans ion of metro network from 700 plus kms to 1700kms s to reach 27 Cities.
We are working on many Railway wor ks and also entered the Metr o Maintenance Depot work and with this foray we will be l ooking at whether the main me tro works also we can take up with some tie-ups that we are looking forward. And these are al l very good investments coming up with a good implementation plan.,and with our expertise, wha t we have gained in civil work in the last , 10 years, perhaps it is doable .
Then balance FGD, around 60,000 megawatts are to be ordered. Th at we will be pursuing it. And drinking water, I told you, railway and metro. Then roads a re also there. Many roads are going on an aggressive basis. And about four or five projects w e are looking at it in Telangana, , Jharkhand,Karnataka. And we will see how to take it forward. Therefore, on an overall basis, we have identified about INR40,000 crores of opportunities in t he domestic market and also international market. Nigeria, we have got a big set up there w ith the O&M work under implementation..
Nigeria is a growing country, 12,000 megawatts installed base. Then Ghana is there. Then the untapped Africa, things should open up in a big way. IN the Mi ddle East, their plan is that plus 400 gigawatts of power, because of the COVID, there was a lull in the investment, both on the power sector as well as in the oil and gas sector. That should take shape now, because the plan in the MENA region is to ramp-up the capacity to 650 gigawatts. And we have got a strong presence in, we have got an office in Dubai. And we have worked in dozens of plants and


completed about 6,792 megawatts of plants which we have commiss ioned,and that experience and background probably should help us.
That is what I would like to say. Thanks for your time.
Jami Satish: Yes. Can we move to Q&A?
Moderator: Thank you very much, sir. Ladies and gentlemen, we will now beg in the question-and-answer session. We'll take our first question from the line of Dixit D oshi from Whitestone Financial Advisors. Please go ahead.
Dixit Doshi: Yes, thanks for the opportunity. My first question is, obviousl y, you mentioned, see, last year, our order inflow was INR8,500 crores, approx, of which only one order was almost INR6,000 crores. So other than that, the order inflow was slightly lower . So what gives you confidence in terms of competitive intensity also is quite high. So what give s you confidence of almost INR10,000 crores order win for the

next year?
SK Ramaiah: I think that comes, obviously, by the improved investment and t he infrastructure and also the private investment which is catching up now. Because earlier, a lot of investments were in the government sector. Now the private investment also is catching up. And if you really look at the investments which are coming in various sectors, whether it is the infrastructure sector, roads, railways, the roads and railways visibility is very clear. Then energy sector also, some of the projects are getting revived in the thermal coal plants. And new coal-based plants are also expected, about 21,000 megawatts. Then on the industrial side, and then oil and gas sector, a lot of investments are being planned.
And the other area , what I said about the drinking water, stil l, you know, a lot of opportunities are ther,. qnd then FGD balance opportunities are there. Last y ear also, we had a significant breakthrough , but some of the th ings didn't take shapes fully. We would have got more also. But now in this current year, the opportunities, what is availa ble, and with the experience gained, and qualification also gained, the INR40,000 crores to INR50,00 0 crores of opportunities is a good base for us to target this INR10,000 crores order booking target.

Jami Satish: See, more importantly, we set a target of close to INR10,000 cr ores last year, okay. So that's taking various projects, including the FGD part, okay. So we di d close to INR8,500 crores, around INR1,200 crores got spillover to this year. So we got IN R720 crores and L1 status INR1,400 crores. Maybe next few days we'll add that. So excludi ng the INR1,500 crores, the additional is INR8,500 crores. Of that, the orders like O&M, th e project which are going to be renewed, okay, that itself close to a larger number, close to I NR550 crores, INR600 crores.
And international they've kept, because we didn't add much, we this time we're targeting almost close to INR500 crores. And apart from that, the large pie of F GD yet to be awarded. So we are already in advanced stage of discussions to find this. So on th at, plus the traditional O&M, sorry, power, civil and the mechanical put together is close to INR2,5 00 crores that's adding up.
And water, we didn't add much last year because our kitty was full. Now, multiple opportunities are coming up, Maharashtra and MP, there itself we're targetin g INR2,500 crores-plus, because


2021, almost 14 months back, we added close to INR3,000 crores of order book. We wanted to first focus on the execution. So 2022, we didn't add much seei ng the backlog. Now the kitty was full. Now we intended to add, the execution cycle is going wel l on an average monthly, we're doing close to INR100 crores to INR150 crores run rate. So now there is an opportunity to add further. So we're trying to add INR2,500 crores there itself.
And the material handling, it's a quite large pie, okay. Sligh tly we have kept a target of INR500 crores to INR700 crores. So taking all these things, the number s looks to be quite achievable.
Dixit Doshi: Okay. Second question on the Jal Jeevan mission side. So we hav e an order from UP. I think recently in last four, five months, many orders were given in t he Madhya Pradesh as well. So are we bidding in the MP and any other states?
SK Ramaiah: Yes, we are aggressively focusing two, three projects in Madhya Pradesh, and then UP also. UP also, we are pursuing it because we already established a base, and perhaps Karnataka also, Karnataka about 50% Jal Jeevan mission projects have to be impl emented. There is a lot of backlog there. And a new government has come, perhaps that will g e t t h e i n i t i a t i v e , a n d Karnataka, we have got a good base now.
As we are doing Bangalore Metro w ork and then we are doing one in Raichur and other places. Therefore, that should he

lp us to, as Satish, said, this is a f ocus area for us based on the experience what has been gained. And it is a good project to be implemented with strong investment because government is keen to invest the money in th at. It has got benefits to the rural households. That is why we are focused on that.
Dixit Doshi: And just last question on this Jal Jeevan mission. So how is th e competitive intensity over there? And margins in these projects wi ll be similar to what our compa ny level margins are?
SK Ramaiah: I think, we are comfortable with 15% EBITDA margins. And the P AT will be , reasonable.
Jami Satish: The size is quite large, actually. It gives the opportunity to, okay, of course, there is stress because the quantum is too large. And the rate at which it is w orking is quite good. Because if you see the PVC or the price escalation, not much, okay, increa se in prices. And it is a short term contract, hardly 24 months. So we can easily work out 14% to 16 %-plus, okay. But conservatively, it should at least beat our existing margins, t hat's what we're working on.
Moderator: We take our next question from the line of Deepak Poddar -- Mr. Poddar, please go ahead and ask your questions.
Deepak Poddar: Sir, I just missed the point you mentioned about the execution cycle. So what's the capability we have right now? And what's the r ate -- and what is the rate tha t we are doing right now?
Jami Satish: See, now the execution, the bandwidth is well set in terms of the resources at manpower, the equipment base, okay, the infrastructure the manpower base in t erms of skill, unskilled and everything put together. Now it's almost like around INR900 cro res to INR1,500 crores per quarter we can execute. Because you see like we have demonstrat ed almost like INR1,200 crores in a single quarter.


Now ramping up INR250 crores to INR1,500 crores is well set now , okay? Gradually, we have to see over a period to 24 months, okay. Then the MDO stabilize s, okay, where to increase and all, maybe after, 2026, '27, will consolidate, which are digest to grow and let to restrict.
Deepak Poddar: So INR1,200 crores to INR1,500 crores per quarter is our execut ion capability, right?
Jami Satish: Capability, it's well set now.
Deepak Poddar: And what's the rate we are doing right now? You mentioned somet hing about that?

Jami Satish: It's ranging between INR900 crores to INR1,200 crores because t o quarter 4 itself, we have demonstrated for close to INR1200 crores. Now the resources in terms of the asset base and all, okay, the range is INR900 crores to INR1,500 crores per quarter , we can execute.
Deepak Poddar: Okay. Understood. Understood. An d in terms of revenue, I think earlier we were of the view of INR5,500 crores kind of a reve nue visibility this year, right? So that includes the FGD that the order that the execution to transfer from fourth quarter to fir st quarter or it excludes that?
Jami Satish: See, FY '23, we are on track. We did what we planned. FY '24, t he order book is quite healthy, we should be able to convert 37% to 40% plus okay. So we see th is quarterly progress improving each quarter the way what we did FY '23. So the order book is quite healthy. So there is high possibility and scope to impro ve quarter-on-quarter.
Deepak Poddar: I mean quarter-on-quarter, we should see improvement. That's wh at we are saying, right?
Jami Satish: Yes.
Deepak Poddar: Yes. Because I mean 37% to 40% of order book we are looking to execute. So that excludes the MDO order, right, excluding the MDO order?
Jami Satish: MDO orders, we are not including yes, you are right because FY '24, maybe a small amount to INR40 crores plus we should convert. And it should reflect in a bigger way from FY '25, '26 onwards.
Deepak Poddar: FY '25 is INR40 crores, INR50 crores, right? That...
Jami Satish: No, '24, if all goes well, FY '24 qu

arter 4, we are expecting c lose to INR40 crores plus.
Deepak Poddar: Okay. Understood. Fair enough, I understood. And a 37% to 40% i s in the range of maybe about INR5,000 crores to INR5,500 crores, I mean that may be the rang e when may be working for FY '24? Yes, yes. Sir, I missed your point.
Jami Satish: No, yes, you're right. This is taking the backlog order book, e xcluding the MD order.
Deepak Poddar: So sir, that amount about INR5,000 crores to INR5,500 crores, r ight? I mean, in terms of 37 to 40.


Jami Satish: The number comes because that's the range because I can't be ve ry specific, but there's a range is, what we should be able to achieve.
Deepak Poddar: Understood. Fair enough. And in two years, we were targeting ab out 13% EBITDA margin, right? So, are we kind of targeting the same thing as we speak now?
Jami Satish: See, in terms of margin profile, you would have seen like, last four quarters, there has been improvement in FY ‘23. And FY ‘24, of course, there will be som e improvement on account of various reasons like, the project order mix, where we had the J V qualification borrowing and the royalty, we used to pay back. That pie is coming down. Number one.
Number two is like, the new mix, okay, the new orders, we are not targeting anything 12.5 to 13%. So, this will also help in terms of improving the margin. Having said that, once this MDO stabilizes, which we are expecting FY ‘25, ‘26, okay, then you' ll see that, that margin contribution will be in a larger extent from MDO. So, that will help to push the blended margins.
Deepak Poddar: Fair enough.
Jami Satish: Gradually, we'll see the number improving.
Deepak Poddar: I understood. So, once the MDO operation stabilizes, what's the steady state margin, we can see in MDO operation?
Jami Satish: See, MDO, we are expecting anything in the range of 18% plus
Deepak Poddar: 18% plus
Jami Satish: So, Yes, so that definitely shoul d help us to improve the blend ed margins.
Deepak Poddar: Understood. Fair enough. Yes, that's quite helpful, sir. That's it from my side. All the very best. Thank you so much.
Moderator: Thank you. I'll take the next question from the line of Pratiks h a D a t k a r e f r o m A e q u i t a s Investments. Please go ahead.
Pratiksha Daftaree: Thanks for the opportunity. Just wanted to know, what would be the top orders that will be executed during FY ‘24?
Jami Satish: Yes, so the top orders will include, of course, the FGD, the Wa ter UP, then Yadadri in Telangana, Bhusawal, Maharashtra, then BMRCL, that's the Bangalore Metro, then Kazipet, that's again railway, Khurja, Udangudi, these are the top orders, which will contribute substantial amounts.
Of course, Maitree, Bangladesh.
Pratiksha Daftare: Yes. Okay. And so, how do we look at margin profile for FY ‘24? Do we expect to see any improvement?
Jami Satish: There will be some marginal improvement, yes. We are seeing the pie increasing quarter upon quarter, on account of various reasons. Now we can expect some improvement in FY ‘24 too.

Pratiksha Daftare: Okay. And how about the working capital requirement? Since we a re talking about execution of about INR5,000 crores, how can we look at the working capital a nd short-term borrowing for FY '24?
Jami Satish: If you see FY '23, in spite of large order book and improvement in execution plus 32% growth, we have kept the debt controlled, the reason being the net curr ent days, mainly the retention money, receivable, other line assets, we have kept controlled, payables almost 75 days plus, and keeping the cash flow inflow to outflow, on a project level. So , we could able to bring down the net current days to 130 days, which is a great achievement. So we kept the target of 135, honestly. So we brought this down to 130, which is a great achieve

ment. I t used to be 200 days plus in FY '21 and 154 days for FY '22.
So that helped us to improve the operating cash flow and the fr ee cash flow. So, we were able to control the finance cost and we were able to retain the debt level more or less intact. Of course, it has come down to INR30 crores to INR40 crores. So the though t process is now, the amount what we have got from AMTZ, Andhra Pradesh INR42 crores, plus w e are going to get another INR20 crores. So it will throw INR60 crores of additional sur plus cash flow to the system.
So that should help us to support the working capital going for ward for 12 months. So, I don't see much, I don't see any increase in the debt, maybe the finan ce cost may remain more or less flat, or maybe a small increase of INR5 crores to INR6 crores. So, as an absolute number, it may be in the range of INR90 crores to INR95 crores. But as a perce ntage, you'll see a drastic percentage coming down the finance cost as a percentage, really it will come down significantly.
Pratiksha Daftare: Okay. And one last question, this year, contribution of O&M, th e overall revenue was upwards of 25%. Do we think we can sustain this number going ahead as w ell?
Jami Satish: Madam, like see, the O&M now, it's the education range is close to INR930 crores to INR940 crores. This may go up to INR1,100 crores. So, there will be im provement in terms of absolute number. But, as a percentage of revenue, it may slightly come d own because the mechanical pie will contribute this year significantly. And civil pie will als o contribute in a significant way because water, railway is going up. If you see like, the water business used to be 4% or 5%, this year is 8% to 9%. But you'll see a FY '24, it will contribute i n a significant way , it's almost like 25% plus. And railway will contribute close to 8% plus. So with the mix, undergoing changes, I see O&M as a percentage, there m ight be a slight fall, but in terms of absolute number, it will go up, madam.
Pratiksha Daftare: Okay. And just one last question, what I have understood was th at, our total water orders from UP were about INR4,000 crores. Is that amount correct?
SK Ramaiah: Yes, it was originally, it was around INR2720 crores. What happ ened, after we gave the project reports, we have finalized it based on the actual scope of the work. That was the indicative tender value on which, it has been finalized. Then the further order w ill be agreed to be signed based on the detailed scope of the work and that has gone up to more than INR4,000 crores now.
Pratiksha Daftare: Okay. Now, how much of this is already executed?


SK Ramaiah: No, I told you about INR571 crores were executed.
Pratiksha Daftare: Out of INR4,000 crores, how much have we executed?
SKRamaiah: INR571 crores.
Jami Satish: Close to INR600 crores, madam.
Pratiksha Daftare: Okay, close to INR600 crores, I NR572 crores. Okay. All right.
Jami Satish: Yes, you are right.
Pratiksha Daftare: All right. Thank you.
Moderator: Thank you. We take next question from the line of Prasheel Gand hi from Nirmal Bang. Please go ahead.
Prasheel Gandhi: Sir, there is a question from my end. So, for FY '25, what type of ordering, are we targeting. Given that, we are targeting a INR100 billion for FY '24?
Jami Satish: FY '25, we kept the target of close to INR11,000 crores. The in cremental amount, what we are targeting, the pie of international market slightly will go up because the team is got strengthened and there is a huge scope to increase the quantum. We could see that, some significant amount coming from the international ma rket in FY '25. That is number one. And the FGD ordering will continue to be even FY '25 too, that will be following orders.
The complete award will take 2.5 years. So, there will be some opportunity coming in FY '24-'25 too. On top of that, the materia

l handling and the railway, metro, we see huge amount of
opportunity. So, we have kept an incremental target of another INR1,000 crores plus. So, put
together, this is INR11,000 crores that is the target.
Prasheel Gandhi: And what is the execution rate for FY '25?
Jami Satish: Sir, that range is 37% to 40% plus. That is the thumb rule, we can take to the opening order
book. Of course, this percentage may not work FY '25-'26 becaus e the MDO will kick start
there. So, this is excluding the MDO pie plus the MDO maybe an other INR180 crores to INR200
crores and it will be ramped up slowly. In overall period of th ree years to four years, that amount
of MDO will go up to INR650 crore s to INR700 crores, per annum.
Prasheel Gandhi: Okay. Thank you, sir. That was very helpful.
Moderator: Thank you, sir. Ladies and gentlemen, we have reached the end o f the question and answer
session. And I would like to hand the conference over to the ma nagement for closing comments.
Over to you, sir.
Jami Satish: Good, sir. We have some more developments to come. I could not share the reason being like
there are some restrictions from the customer side. So, maybe n ext month, we will come with
some more developments and updates. So, in terms of the order b ook and the target, what we


have kept is on track. The deve lopments will update you in next month. Probably before the end
of our first quarter call. Let u s catch up once again. Thank yo u all.
Moderator: Thank you very much, members of the management. Ladies and gent lemen, on behalf of Nirmal
Bang Institutional Equities, that concludes this conference. Th ank you for joining with us. You
may now disconnect your lines.

## Call: Aug 2023

-+-M4570910lN-,POWER MECH PROJECTS LIMITED
AN ISO 1400 1:2015,150 9001 :2015&ISO 45001 :2018 CERT IFIED COMPANY JAS-ANZEncl:A/a
-~~ WElYfIRSTPhone:040-30444444
Fax:040-30444400
E-mail:info@powermech.net
Website:www.powermechprojeds.comRegd.&CorporateOffice:
Plot No.77,Jubilee Enclave,Opp.Hitex,
Madhapur ,Hyderabad-500081
Telangana ,India
CIN:l74140TG1999P lC032156:&-Mohith Kum ar Khandelw al
Company SecretaryRegards,
For PowerMech Projects Limite dThisisforyour informationandnecessaryrecords.The transcriptisalso uploadedontheCompany 'swebsite at www .powermechprojects.comPursuant toRegulation 30 o fthe SEB I(LODR) Regulations,2015,pleasefindenclosed the
transcript of th eEarnings CallforQlResultsof FY2023-24 heldonThursday, the10thdayof August,2023at 2.30PM(1ST).Ref:BSEScrip Cod e:539302,NSESymbo l:POWERMECHSub:Transcript of the earn ingscall for Q1 FY2023 -24Dear Sir/Madam,To
National Stock Exchangeof IndiaLtd
Exchange Plaza,
Bandra Kurla Complex,Bandra{E},
MUMBAI- 400051To
The CorporateRelationsDepartment
BSELimited,
P.J,Towers,DalalStreet,
MUMBAI -400001Date:18.08.2023GrOMhU....rnnedINPOWERMECH®



“Power Mech Projects Limited
Q1 FY ’24 Earnings Conference Call”
August 10, 2023

Disclaimer: E&OE: This transcript is edited for factual error(s ). In case of discrepancy, the audio recordi ng uploaded on the Stock Exchange (s) on 10.08.2023 will prevail.

MANAGEMENT : M R. S.K. RAMAIAH – DIRECTOR BUSINESS DEVELOPMENT – POWER MECH PROJECTS LIMITED
MR. JAMI SATISH – CHIEF FINANCIAL OFFICER – POWER MECH PROJECTS LIMITED

MODERATOR : M R. PRASHEEL GANDHI –NIRMAL BANG EQUITIES



Moderator: Ladies and gentlemen, good day and welcome to the Power Mech Pr ojects Limited Q1 FY ‘24 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there wil l be no opportunity for you to ask questions after the presentation concludes. Should you need ass istance during the conference call, please signal an operator by pressing star then zero on y our touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prasheel Gandhi from Nirm al Bang Equities. Thank you and over to you, sir.
Prasheel Gandhi: Thanks, Lizann, and good afternoon to all participants. Nirmal Bang Equities welcomes you all to 1Q FY ‘24 Earnings Conference Call for Power Mech Projects. From the management team, today we have S.K. Ramaiah sir, Director Business Development, and Mr. Jami Satish sir, CFO. And I hand over the call to management for opening remarks, pos t which we can take questions from participants. Thank you and over to you, sir.

Jami Satish: Yes, thanks, Prasheel. Good afternoon, all. This is Satish. I have with me Mr. S.K. Ramaiah, Director, Business Development. O nce again, welcome you all to the Earnings Call Quarter 1, FY ‘24. We had one more great quarter as we are seeing positive developments across vertical including execution, business development, new talent induction , risk management, continuous leadership training, working cap ital cycle improvement and cash flow.

The overall performance for Power Mech is well within the set plan both in short term as well as long term. Performance for th e company continued to be robus t. Coming to the numbers, the reported total income for Q1 FY 24 is INR 871 crores and EBITDA for this quarter is close to INR 105 crores and PAT is close to INR 51 crores. Whereas durin g quarter 1 of last financial year, the reported total income was INR 749 crores and the repo rted EBITDA was INR 86 crores and PAT was INR 39 crores.

Quarter-to-quarter there is a growth of almost 16% and with the growth of the top line the EBITDA has gone up almost 22% and whereas PAT has gone up to 29 % which is significant.

The revenue mix for quarter 1 is as follows. Erection business has contributed INR 139 crores. Civil including railway, metro, water distribution, STP it is a round INR 493 crores. Operation and maintenance, both domestic and international, put together is INR 224 crores. And electrical business has contributed INR 8.9 crores.

Whereas last year, Q1, FY ‘23, electrical business has contribu ted close to INR 152 crores. Civil, INR 376 crores, operation and maintenance it was around INR 196 crores and electrical business it was INR 22 crores.

During quarter one of this year, domestic business has contribu ted almost like 90% and rest has come from the international market which is close to 10%. And p ower sector, power and non-power, the distribution is 51% and 49%. Quarter one of last yea r, the contribution from international used to be 17% whereas this year it is 10%. And d omestic was around 83%. And



similarly the mixed power and non-power last year it was 60-40 and this year it is almost like 51-49.

We have seen growth both in O&M and civil business on a year-on -year quarterly basis. Erection business continued to be flat, expected to grow post quarter 2. Electrical business has shown negative growth because of conscious reduction in the order boo king plan. We are not expecting much to concentrate on electri cal business because of its large working capital intensity.

Going forward, water distributi on related works, railway, metro , Power Projects related works, Material Handling and Contract Mining will play a major role in our business model. Of course, operation

and maintenance both power and non-power domestic as well as international will continue to be the backbone of the company.

Improvement is also seen in overall margin profile and same is further expected to improve gradually. Coming to the depreciation cost as a percentage it i s more or less flat, remain lower side due to planned capex spending, not much capex is happening . We have kept close to INR 40 crores to INR 50 crores that is the level.

And finance cost as a percentage remained controlled and contin ued to be controlled on account of improved working capital and cash flow. With improvement in margins, we have also seen improvement in ROC and ROE. And on commencement of the revenue from MDO business, significant improvement further expected both in ROC and ROE.

Coming to the other developments, during last quarter we got cl ose to INR 42 crores which was held for a long time with Andhra Pradesh Medical Tech Park, INR 42 crores we realized and close to INR 20 crores of retention money which is the final am ount. All set now, we are expecting this to be realized in the next 30 days. And the aver age monthly collection continued to be at INR R350 crores plus and we are seeing gradual increas e in the collection with the growth of the business and this is expected to grow significant ly.

Coming to the net current days, excluding cash and cash equival ent, it continues to be in the range of 128 to 135 days, which used to be significant two year s back. A lot of effort has gone to bring down this number and our immediate target is to see th is number to 150 to 110 days.

And coming to the debt, the gross debt and net debt remain at c ontrol level. As on quarter one, the gross debt is close to INR 490 crores which is flat in spit e of increase in the order book and business, this number remains controlled because of improvement in the working capital cash flow and the net debt is close to INR 284 crores.

And debt equity is also more or less remained at control. 31st March this year we had close to 0.37 and where as it was 31st March(last year) it was 0.5. So i t has come down significantly. So more or less it's ra nging 0.3 to 0.4.

Coming to the order book target, we had opening order book of a lmost INR 23,000 crores plus and we have set a target of close to INR10,000 crores for this year, including the spill over order book of INR1,200 crores of last year. So we are more or less co nfident of achieving this number.

So this target remains the same.


As of today we have got L1 status of projects around close to I NR 2,000 crores and projects which we have already got INR 720 crores. So the target of INR1 0,000 crores is quite achievable. We have identified projects of around INR 40,000 cores plus. So INR 10,000 cores for this year's target we are quite confident, excluding the MDO part.
Major target segments include international operations because post-COVID, during COVID, we could not take much of the orders because of travel restrict ions. But now the team is quite active. A lot of enquiries are coming. So we have kept close to 400 plus of international order book and could be another INR 150 crores to INR 180 crores of o peration and maintenance orders from in ternational.
Apart from that, domestic itself we are targeting close to INR 1,500 crores of O&M orders and we are seeing lot of momentum happening in the power, especiall y the old plants getting revived. So we have kept a target of almost like INR 2,000 crores plus. On top of that, water distribution, it's almost like INR 2500 crores. Material handling, a lot of e nquiries are happening. So there we have kept a target of INR 500 crores to INR 800 crores. And specialised construction could be in the range of INR 450 crores to INR 900 crores.
So the order book is widely spread, so the opportunities are pl enty. Now each SBU in house it’s quite compet

itive to bid for decent-sized projects. Now each SB U has built their PQs and credentials. Now it is enabling the Power Mech to bid for large r projects at competitive price. And we thought JV, so that is also helping in a big way to impr ove the margin profile.
As you all know, recently we have got a large MDO contract from S A I L . T h i s i s a m a j o r breakthrough for Power Mech. We have been working for two-three years to see that Power Mech will build INR 3,000 crores t o INR 4,000 crores of stable income for a long term which is mainly sustainable and which will help in a big way to improve the margin profile because normally we used to work at 13%-14% margin three-four years bac k because of so many reasons, losing for the JV credentials and all and booking cost for the PQs and all.
So we ended up working with 11%, 11.5%, 12% but now there is a high probability that the margin profile will improve with the new project. So this MDO w e have got from Steel Authority of India, SAIL. The contract size is close to INR 30,438 crores , which has to be executed over a period of 28 years. That includes two years of development peri od. The broad scope includes development of all the infrastructure including a washery, coal handling plant, all related infrastructure which is necessary to excavate the coking coal.
So we have to excavate close to 4 million tons of coking coal. The total reserves are expected to be almost like 97 million tons . And the overburden we have t o remove almost like 535 cubic meters in million. So this is a large contract and this will ch ange the profile of Power Mech and this will help along with the existing MDO KBP project plus the operation and maintenance which we are generating close to INR 1000 crores of top line. S o this will help us to push INR 3500 crores plus from 2026 onward in a big way.
So the consistent stable income, INR 3000 crores, INR3,500 cror es is now assured for Power Mech from ‘26 onwards. Plus now we have built the credentials i n railway, metro, water. Of


course, we have our own pie of power. So combined together, we can see a large quantum jump going forward. So this MDO project we went with a JV partner ca lled PC Patel. The structure is 74% Power Mech will hold and 26% to the JV partner. And the str ucture we have gone because of PQs, but the 100% will be executed by us.
So next two years, we have to set up the washery and coal handl ing plant and related infrastructure. So this needs close to INR 800 crores of invest ment. And on peak, we are expecting a top line of almost like INR 1200 crores plus. And t he margins from this project expected to be the largest contributor as compared to our all e xisting businesses. So this will help in a large way for our blended margins. The investment of INR 800 crores, this will be a combination of lease, some of project specific debt and interna l accruals plus th e equity part. We are working on multiple structures to optimize the cost and the capital structure. And one more good development is the KBP MDO, we have got the forest cl earance and recently the EC committee has approved the environmental clearance. So this is expected to receive by end of this month. So most likely October onwards, both the projects, the ground work can be started. So for this year FY’24, Q4, we may expect come only INR 100 cro res, INR 100 crores plus of top line.
The new project of Tasra, which we have got from SAIL, this is a project where all the approvals

are in place. So it wouldn't take the process what we have take n for the old mine. So this is a ready to start project. Approval s are in place. So we are expec ting the contract to be executed next 30 days. Post that we can commence the work at the ground. We'll mobilize the project and we are expecting to book some revenue during this year. So the combined two projects may b

e

INR 100 crores plus. Maybe next year we can target close to INR 350 crores to I NR 450 crores and gradually it can go up to INR 2000 crores plus escalation. That is the target.

And in terms of execution cycle, it's Q1, Q2, historically it w orks 35% to 40% of the total year. So this year is going to be 35% the revenue coming from Q1 and Q2. 60%, 65% will come in the second half. That is how the industry works for us. So we k ept a target of 37% to 40% conversion to our opening order book and we are positive and co nfident of achieving that number. And FY'25, FY' 26, we are seeing a good quantum jump be cause of the projects in pipeline, order book is very strong.

Apart from that, this MDO, both are going to stabilize during t his year itself. So this will help in a big way. So both the projects put together plus the existing order book and the projects that we have kept in target, so probably 35% plus CAGR we are expecting next two years. So by FY'26 is going to be a major quantum both in terms of our top line an d in terms of margin profile also we are doing. We are expecting that we should come back at leas t plus to our normal margins what we used to report th ree, four years back.

Now I request Mr. SK Ramaiah to share a few more developments b efore we get into the Q&A. Thank you.

S.K. Ramaiah: Thanks, Satish for your various points you brought out about th e business. And thanks for the participants. As Satish has said, the entire business outlook l ooks positive and bullish. And we



have seen the order backlog of INR 8855 crores by end of the ye ar in 22, grew to 13732 cr by 31.3.23(excluding MDO). And with additional INR720 crores in fi rst quarter, we are maintaining more or less the sam e backlog of orders, with mecha nical contributed INR6845 crores, civil INR6005 crores, O& M nearly about INR500 crores, e lectrical INR270 crores. The power to non-power is 65% to 35%.

The Power segment backlog is INR 8,781 crores. The non-power IN R 4806 crores and the domestic segment is highly bullish. And this is obviously the i nput, what we are getting in terms of the National Infrastructure pipeline investments, which is g oing on for the last three years which is a total investment of INR111 lakh crores, and that h as been reflected in the near doubling of the orders from 2021 to '23 from INR4,238 crores t o INR8,479 crores or with that the establishment base line of INR8,500 crores of order booking last year, what Satish said about the projections for the current year of INR10,000 crores is rea sonably possible.

That is mostly driven by the opportunities of what we can have and a lot of the investments are coming in the private sector also. The major aspects of the bus iness is that around INR2,000 crores of jobs are in the L1 position. In terms of O&M, water systems and installation jobs and also non-power jobs. And moreov er, the opportunities, what is b eing tracked, the individual projects in various segments comes to around INR 25,000 crores, with installation of about INR 5,000 crores, non-power about INR 500 crores, Railways nearly I NR 3,000 crores, Electrical INR1,500 crores. O&M INR2,500 crores, drinking water about INR 2,000 crores and other water systems another INR2,000 crores, FGD nearly INR3,500 crores and road projects about INR4,500 crores.

Therefore, there is a visibility of the investments, both in the government sector and the private sector. In all areas of the investment is going up, and railway s experience, drinking water experience and even road construction experience is pretty good for the organization because we are doing quite well in terms of conversion and the project s execution.

The major projects on hand, Yadadri, what we are doing into 5 x 800-megawatt in Telangana about INR813 crores, 76% work has been completed. Maitree 2x660 megawatts in Banglad

esh

INR855 crores- work completed 77%. Udangudi 2x660 megawatts in Tamil Nadu 78% of INR362 crores and the Khammam Ko dad road, the progress is very good. 64% were completed. Then the other road projects, we have done about 56%. Then Bhus awal project for the BHEL we are done about 89% of INR256 crores. Drinking water progress is picking a lot of traction, and almost 30% of the work has been completed.

Then the new job, what we have taken from BMRCL, is the mainten ance shop work in Bangalore is about INR427 crores work has started in full swing now, and revenue should come up more in the current year. Then Monnet Ispat' power project, which is a revival project of 2x525-megawatt INR106 crores, we've already taken up the work, and ra ilway electrification job, almost 92% is completed.

The opportunity wise, if you look at it, in the installation bu siness in the power sector itself, there is going to be a revival of the investments in the coal-f ired plants, owing to a variety of factors mostly driven by revival of projects stuck under insolv ency . One is to bring the stability


in the grid operation and the o ther is to balance the baseload operations. There is a plan to add capacity by many Utilities, & already many of the projects have been approved. NTPC is bringing new projects in Lara, D aripalli, Sipat, Singrauli, Me ja, Ramagundam, Patratu, 13 sets of 660 to 800 megawatts. Damodar Valley Power Corporation is br inging up a project in Raghunathpur. Many of these proj ects are brown field projects.

Haryana power Generation Company at Yamunanagar, 800 megawatt, NLC Talabira is almost on the pipeline, about 3x800-megawatt, NLC Neyveli expansion 2x 660 megawatt. Then Rajasthan Vidyut Nigam Limited, Chabbra and Kalisingh, they're bringing up two major projects of 2x660 megawatt & 2x800mw respectively. Then Gujara t electricity Board also is bringing 2x800 megawatts project.

Apart from that, there is a revival of thermal plants of about 12 sets of various capacities, which were on liquidation process in Monnet Ispat in Orissa, Athena in Chattisgarh, Meenakshi in AP Amarkantak in MP, Ind Bharat Ori ssa , Sirpur in Maharastra, thi s is about 12 sets of 5270 megawatts. And in this already, we have made an entry in Monnet Ispat with JSPL and Athena. with Vedanta, we are discussing and already we have given the offer for about INR 500 crores and we are hopeful in getting works in many packages.

Apart from the above, Coal India Limited is planning, they are trying to become energy intensive company of not only coal production, they want to enter into en ergy generation. And that they are planning to invest in projects of 2,400 megawatts in Odisha and Madhya Pradesh.

Then the O&M opportunity as Satish was saying, that many opport unities are there.

We have identified about 9,250 m egawatts spread across various upcoming projects in Khurja 2x660-megawatt, Ghatampur 3x660 megawatt, North Chennai 800-meg awatt, Vedanta Captive power plant in Hindustan Zinc Limited 182 megawatts, Raichur KP CL, 2x800 megawatt.

Then Jindal power plant in Angul 2x600-megawatt and IL&FS proje ct 2x660 megawatt. In the domestic segment itself, there are around INR2,000 crores of o pportunities . Internationally, recently, we have seen that the Captive power plant, which we h ave done for the Dangote oil refinery in Nigeria, we've already taken a job of INR100 crores of long term AMC contract.

And there's opportunities in Middle East, particularly in the G ulf area, where we are well established. Last year, we booked orders of nearly INR150 crore s in various maintenance jobs, especially in manpower services j obs, repair and overhaul jobs. and there is a scope to map out opportunities of more than INR500 crores.

And therefore, in terms of the overall growth, perhaps INR10,00 0 crores is achievable and the continue

d investment by government in drinking water of the bal ance of INR 70,000 crores investment planned this year. Out of INR19.25 crores village h ouse holds, drinking water is provided for 12.86 cr house holds & yet to be made available with drinking water linkage is, 6.38crores .

And there are many oth er water-related projects in harnessing s urface water & in urban development and urban renewal programs. Those initiatives shou ld come in, and railways offers


an excellent opportunity and the M etro rail investments also e xcellent opportunities to expand present installed base of 800 kilometers -- route kilometer can more than double up with an annual investment of INR20,000 crores.

And with our entry and railway maintenance shops, particularly metro maintenance shops in Bangalore. Every city with metro network provides opportunity, there are about 27 cities are, planned from the present 18 cities for Metro rail connectivity. It will double up with that, it will go to Tier 2 or Tier 3 cities. Every city wherever the metro ra il comes, there will be 1 or 2 maintenance shops between INR 3 00 crores to INR 500 crores.

And more with the railways is coming with various schemes to improve the logistics and also maintenance shops and more than that, the road sector, they are going to not only the road development will continue to grow, but they are going to put up a lot of logistics facilities , to reduce the logistics cost. Government is going to invest heavil y into way side facilities, Logistic parks nearly about INR 70,000 crores to INR 80,000 crores, and power sector, I told you about the development. Non-power, particularly the investments will c ome up in the steel sector. The present installed base of 158 million tons will develop by anot her five to, seven years.

And all the major players, bot h in the public sector, Steel Aut hority of India Limited, & Private sector JSW, JSPL, Arcelor Mittal, all of them are going to inc rease their capacities and they have lined up the investments . And it is expected in the refin ery segment also, this investment should come up by increasing the refining capacity, and then th e gas and oil sector also. Therefore, this outlook should sustain for the next couple of y ears. And then the basic feature of the revenue generation will shift to the mine development opera tions as Satish has told and coupled with the increased sustained business in the O&M, both in the domestic sector, international power sector and non-power sector also.

T h a t i s h o w , t h e s t a b i l i t y w i l l c o m e i n r e v e n u e g r o w t h , a n d t h e n apart from the new opportunities, what we'll get in all sectors of the business, w hich we are pursuing as on today.

Thank you. Yes. Prasheel, you can go -- move forward to Q&A.

Moderator: Thank you. The first question is from the line of Pritesh Chhed a from Lucky Investments. Please go ahead.

Pritesh Chheda: Yes. Thank you for the opportunity, sir. Sir, what kind of exec ution do you see for FY '24 on the revenue side?

Jami Satish: See FY '24, we have kept a target of 37% to 40% conversion to o ur opening order book. So we are on as per that plan. First half, we are expecting close to 35% to 38% conversion, thereafter 60% in the second half. That is a plan we have kept.

Pritesh Chheda: Okay. And what is the backlog number that you're referring to f or that 37%?

Jami Satish: See, the opening order book is almost close to INR 13,600. That is the b ase for the conversion. And we have kept a target of INR 10,000 crores for this year. S o already L1 is INR 2,000 plus INR 720 crores, we've already taken. So this -- some conversion will happen, okay? That's going



to be an offset. But as a thumb rule, 37% to 40%, that is a con version we're ex

pecting for the year, for the opening order book.

Pritesh Chheda: And you received INR 2,000 crores orders, right, so far, in the INR10,000 crores target that we have, right?

Jami Satish: INR720 crores, we have already got LOI and it started -- the wo rk started. The rest INR 2,000 crores in L1 status, probably next 30 days or 35 days or max of 45 days, the contract award process should complete.

Pritesh Chheda: Okay. Then on the power erection side, what kind of projects ar e you seeing in the system?

S.K. Ramaiah: Yes. As I told you, that the revival of the thermal plant servi ces were stuck up under liquidation. That is changing. Monnet Ispat has started. Now it is expected that Athena Power in Chhattisgarh 2x600 megawatt already, we are in dialogue with customer for ar ound INR500 crores of offers also we have given, and we are well placed there. And Amarkanta k 2x660mw contract is getting revived. That's a major project.

Then apart from this, it is expected the present revival of the coal-based plants I told you 22,320 megawatt that has come up for implementation in a sense, some p rojects should happen. Like NLC Talabira 3x800 megawatt, NLC Neyveli 2x660 megawatt. Then N TPC is already implementing 2x660 megawatt in Talcher. Then Lara is coming up. It is expected, it should be awarded shortly. Maybe there are certain aspects they are discu ssing with the L&T.

And there are other projects also. Therefore, these are the op portunities we are looking at it. And in non-power also, there is going to be opportunities in the ir on ore, then coal handling plants and also, yes, drinking water and then water systems, etcetera. Therefore, wherever the installation-related jobs are the re, both in non-power and powe r, things would happen.

Pritesh Chheda: Okay. And sir, my last question is this MDO revenue, will FY '2 6 will start seeing the revenue booking on the two projects, which is KDH and the SAIL or FY ' 27, the real the operator-related revenue. So that will be in '26 or '27?

Jami Satish: We're expecting some revenue to come by quarter 4 of this year itself.

Pritesh Chheda: That's mine development revenue, right?

Jami Satish: It's both the MDOs because the second MDO which we got recently , we have all the approvals in place. We need to have the contract signed that will take 30 days, 35 days. Thereafter, we need to mobilize the project.

Pritesh Chheda: Sorry, I wrote that, you said INR 100 crores in '24 and INR 300 crores in FY '25, right? These would be site development revenues, right, which you're…

Jami Satish: No. Both things will happen para llel. Site development will be its like our capex, and the excavation of coal per ton, what the customer has to pay, that will be billing will start so it's actual revenue.



Pritesh Chheda: So and you said that INR 2,000 crores in FY '26, right?

Jami Satish: Yes. So put together, we are targeting close to INR 1,200 crore s-plus, okay. And plus our MDO is the existing O&M, put together that O&M plus MDO 1 and MDO 2 . So we are targeting that, that should cross at least INR 2,500 crores to INR 3,000 crores -plus, escalation is already in built.
Pritesh Chheda: So what is this O&M?
Jami Satish: The existing operation and maintenance, which we are doing clos e to INR 1,000 crores now, okay? That is actually long-term contracts, which is sustainabl e. So that plus the MDO, which are almost like 25 years, plus 28 years. These three put togeth er, I'm targeting close to INR3,000 crores-plus.
Pritesh Chheda: Okay. But the MDO number is INR 2,000, right? Your O&M number i s already there as a part of your INR 4,000 crores revenue, right?
Jami Satish: Yes, the INR 2,000 crores with t wo MDO by '27, I think it shoul d be close to INR2,000 crores.
Pritesh Chheda: And in '26?
Jami Satish: '26 could be around INR1,250 crores to INR1,300 crores.

Pritesh Chheda: And in terms of the output that, that mines have to produce, th ere will be a peak in FY '27?
Jami Satish: '27, yes, it will peak at FY '27.
Pritesh Chheda: And what margin should one assum e on this INR 1,200 crores and INR 2,000 crores?
Jami Satish: See this MDO, there is a lot of scope to improve the margins, a nd this is going to be the highest s e g m e n t i n o u r b u s i n e s s , n o r m a l l y , l i k e O & M , w h i c h n o r m a l w o r k s 16% to 17%-plus at EBITDA level and we're expecting this business to contribute mo re than the O&M business.
Pritesh Chheda: You have a fixed price, which has been -- you have quoted a fix ed price, right?
Jami Satish: That's per ton, plus escalation, which works close to 4.5% to 5 %.
Pritesh Chheda: Okay. Thank you very much, sir. I 'll come back if I have more q uestions.
Moderator: Thank you. We'll move on to the next question. That is from the line of Mayur Bapodara, an Individual Investor. Please go ahead.
Mayur Bapodara: Congratulations for the good set of numbers. Actually, my ques tion was around we now have 2 big MDO orders in our hands. So are we open to take any more MD O orders if it come belongs our way?
Jami Satish: No, sir. Now the stomach is full now, okay? So we have to strea mline these two projects, and we have got our own other operati ons. So at least not for next five years.


Mayur Bapodara: Okay. And sir, my second question was regarding, so you said th at we require close to INR 800 crores investment for this MDO 2, MDO, second order of MDO. So how much we are going to fund it through debt?
Jami Satish: We are working multiple combinations. One is the project-specif ic debt. Second is some equipment we can go for an outsourcing model. It's like a lease model and some in the form of equity. So it is going to be a combination of various structure s. At least 70%, 75%, it has to come from the debt side. That's what we are planning. So probably ne xt one week, to 10 days will have more clarity in terms of the capital structure.
Mayur Bapodara: Okay. And sir, on the order side, so we are targeting INR 10,00 0 crores of new orders in that we have close to INR 2,700 crores, we already received as L1 or le vel like that. So from FY '25 and FY '26 onwards for the bigger ord ers like INR 15,000 crores ord er inflows, how we are preparing our team execution team?
Jami Satish: Yes. So sir, '25, '26, we have kept around INR11,000 crores to INR12,000 crores. That's the target because we don't want to increase because the bandwidth now set is close to INR 900 crores to INR1,500 crores, okay. the execution level. So gradua lly it is improving. Now we have got almost like 13,000 employees working with us on roll apart from that, we have got 12,000 employees. So in terms of infrastructure is well set, and we ha ve kept a capex plan of close to INR 50 crores to INR 60 crores, which is a recurring every year we spend so that we have in-house equipment in-house.
And more importantly is the tale nt, one is like inducting the t alent from the big companies, okay, that we are seeing a lot of people getting attracted to join Po wer Mech makes a lot of -- like even the MDO, we have created a separate vertical and almost like mo re than 200 people who have been recruited and the top level more than 20 people coming fro m Coal India, CCL, Singareni. And that will function as a sepa rate SBU. And apart from that, the continuous tra ining programs, okay, to groom the middle level and young leadership apart from the senior leadership, it's a continuous process. Now the process in terms of the in-house in frastructure is well set now to execute the projects.
So to target for INR 10,000 crores to INR 11,000 crores of orde r book and the execution is well set, this two MDO the team is set now. We have quite strong pla ns for next thre

e years. Probably
FY '27, '28, we need to consolidat e where to move. That is the plan for now.
Mayur Bapodara: Okay. And sir, my next question, last question is regarding, so we are targeting from FY '26 to FY '27, close to INR 3,000 crores-plus revenue, which will be r ecurring. So on that, we are targeting so in operation and maintenance, we have close to 17% EBITDA margin. And you are mentioning that MDO EBITDA margi ns will be better than that. So close to INR 3,500 crores of our revenue will be 17%-plus EBITDA margin. So overall, does n't our EBITDA margin will move upward of 15% close to 14% to 15%?
Jami Satish: See, FY '26 onwards, so there's a high probability that the mar gin profile, yes, it should improve Okay. We used to work 13%, 14% four years back. So at least tha t number plus we should move



forward. There's high potential because there is a lot of scope to improve the margins in these two MDO. So there's high probability we should improve that at least three year's back margins.
Mayur Bapodara: Okay, sir. Thank you and congratulations for the future.
Moderator: Thank you. The next question is from the line of Riya from Aequ itas Investments. Please go ahead.
Riya: My first question is in regard O&M order book. So since a coup le of quarters, you've seen the tapering down so now when June quarter, I can see is only INR45 8 crores, while earlier it used to be around INR1,100 crores, INR1,200 crores-odd. So what woul d be the reason for the same?
Jami Satish: Yes. See, Madam, the order book, what you're seeing is the resi dual normal what happens is a contract is for five years, okay, and we bill it something whic h is subject to renewal. So, we take only the residual order book. If you see the gross order book i s INR 2,500 crores plus.
Riya: Okay.
Jami Satish: Yes, so this year itself we are expecting close to INR 1,200 t o INR 1,500 crores of orders that includes also the projects which are going to be renewed. So O& M it works on a gross level, but we take net because that's the billing whatever we do we deduct from the actual contract value. So, therefore the residual looks to be smaller.
Riya: But I think the earlier numbers are also the residual number l ike if I see March 22 numbers, the entire all the quarters were around..
Jami Satish: You are right because if the contract renewal to the additions , if there is a mismatch, the residual number will come down. But you will see that again it will pick up. But the gross order book is INR 2,500 crores. So, today it's INR 950 crores to INR 1,000 cr ores. This is expected to grow at least 15% to 18%.
S.K. Ramaiah: Kodandaramaiah here what I would like to say is that, as right ly said, these are all long-term contracts, say, two years to five years and all. The advantage in this is once we are established there, there is every chance o f 90% of renewability of the same thing in many of the contracts and every year 25% to 30% of the contracts get revived. That is a recurring order happening on yearly basis.
Apart from that, the new opportunities, what we are making it i n the existing profile of the projects, where we can also enter because of our background and experience, that will add up to the overall improvement in the O&M. And now international marke t is taking shape. For example, we have taken a long-term O&M contract in Nigeria wher e we have done the installation work of a 400-megawatt captive power plant with O& M worth more than INR100 crores.
And in Middle East last year we have booked maintenance jobs an d specialized service jobs about INR150 crores. So that gives us the base that we'll be ab le to improve the international O&M business also. And then domestic, now there is going to be a lot of emphasis by the public



sector

utilities also to enter into the long-term O&M outsourci ng as a model because the private sector is driving the benefits that our presence of 68,000-mega watts, is helping us establish with the public sectors like bring up under long term O&M of 3x660-m egawatt Ghatampur than many other projects also in pipe line for long term O&M .
As I told about the O&M, these o pportunities are opening in the government sector also and private sector also renewals will come. That is one of the reas ons the present backlog will certainly grow. One information is that -- in the last one mont h we have received another INR200 crores of O&M orders in the domestic market itself from Adani g roup & Reliance Infra from Sasan power plant etc.. And the opportunities what we are track ing in many of the plants this one as we told you to improve the O&M position.
Riya: And actually, I think you mentioned in your opening remarks, bu t could you tell me the debt number not audible?

Jami Satish: Yes, see the debt is close to INR 490 crores that is the gross and net is INR 284 crores which is more or less what it was 31st March.
Riya: Yes that's it from my side. Thank you so much.
Moderator: The next question is in the line of Deepak Poddar from Sapphir e Capital. Please go ahead.
Deepak Poddar: Yes, namaskar. Many congratulations, sir, for a great set of n umbers, actually. I mean, I've been looking at the company for the last one year, two years. The wa y you have scaled up is commendable, sir.
Jami Satish: Thank you, sir.
Deepak Poddar: Yes, sir my first question is on your O&M. I mean, O&M, what s ort of margins we are currently doing in O&M?
Jami Satish: So in domestic, it's working in the range of 16.5% to 17.5%, s ome 18%. In international, it's slightly larger, but the volume is too small. Dangote, that's t he first project where we could able to go to crack a three-digit-sized contract. Now, Maitree we ha ve got. So, that is the number. So, the blended it works around 16.5% to 17.5%.
S.K. Ramaiah: Yes, one more aspect in this O&M, perhaps I should have shared that. The drinking water projects what we are implementing is for t INR 3000 crores. Now once the commissioning starts in the villages by the end of the year. There is going to be a revenue stream which will come on the O&M side of the drinking water based on the capitalized cos t, up to 3%.
That means if the present projects are fully implemented in the next one and a half years, perhaps we can get additional revenue of INR 100 crores in the O&M itse lf from the drinking water systems for the next 10 years with escalation.
Jami Satish: That will be one of our in itiatives in non-power.
S.K. Ramaiah: Yes, that is a very good initiative on the non-power.


Deepak Poddar: But I also wanted to understand, is there any scope to increas e the margin in O&M? Ideally O&M does involve a very higher margin, right? So, do you think that the 16%, 17% margin can be increased, basically?
Jami Satish : Sir, honestly, in domestic, we have to see that that number i s maintained, because we have to factor the employee cost which is almost like 64% plus of the c o s t , t h e w a y t h e e m p l o y e e escalation in terms of the employee cost and all, inflation and all. But there is a possibility in international markets because we have to see how much we can sc ale up.
At least next 2 years, 2.5 years, we are targeting INR 250 cror es to INR 300 crores of that size.
So, with the support of internat ional, yes, there is a possibil ity, but as far as the domestic is concerned, we have to see that that number is maintained.
Deepak Poddar : Okay, okay, understood, I understand, and when you mentioned this FY 24 as we are looking to convert 37% to 40% of opening order book. So, INR 5,000 crores to INR 5,500 c

rores of
execution level we are look ing at with this FY24?
Jami Satish: 37% to 40% of opening and plus there could be some conversion from the new order. So, more or less we are targeting that number. Because first of all, may be the first 6 months the 35% to 40% conversion, thereafter, the residual 60% conversion should happen that's how. So, we are targeting that number.
Deepak Poddar: 5,500, around plus minus somewhere.
Jami Satish: No, in the range of 37% to 40% , because it's quite difficult t o specify the number.
Deepak Poddar: Yes 37% to 40% of your 13,300 something.
Jami Satish: Range we are converting, Yes we are planning, that's true.
Deepak Poddar: Sir, excluding MDO order, right? I mean INR23,000 crores minus INR9,300 crores.
Jami Satish: It includes a small portion of maybe INR100 crores of additio ns. Yes, that's all because we don't see much addition happening this year. It's more of like projec t mobilization and execution will start this year. So, the big conversion will come from the next year onwards.
Deepak Poddar: Correct. And post this FY24, you did mention that FY2'5, 26, y ou are looking at 35% CAGR, 35% plus CAGR in revenue, right FY'25 and 26?
Jami Satish: Yes, sir.
Deepak Poddar: Okay, okay. That's quite good. And I also wanted to understand on your MDO, you mentioned O&M plus MDO1 plus MDO2, this put together INR 3,000 crores rev enue potential from FY'26 onward, which will be our sustainable recurring source for next maybe what 25 plus years right.
So, do we see any risk in this INR 3000 crores the revenue that we are looking at?
Jami Satish: The first two years because the O&M it's like it's tested mode l okay this INR 1,000 to INR 1,100 crores which is now itself we are converting. So, assuming that international may not grow

significantly, 15% to 18% growth also we can reach by FY'26 to close to INR 1,400 crores, INR1,500 crores plus this MDO's too, because what is important is we need to develop these two projects first two years.
It takes time only in the initia l development period. Once it's done, thereafter it's like a recurring model. So, we are working toward s that. What is important is to set up the initial infrastructure and KBP we need to set up the coal handling plant where we got that expertise to set up CHP that is not a challenge. And seco ndly, Tasra, we have to set up washery and CHP.
But having said that, parallelly the work can start, nothing st ops on that. So, how to optimize the cost and improve the margins? Yes, of course, plus or minus, ba sed upon the local risks and all, we need to see once the ground reality comes. Apart from that, we don't see any challenges because we have done a thorough analysis and we have worked in past in those localities, so we understand that locality quite we ll. And our expertise in terms of CHP construction and material handling is more importantly, and equipment management, and the n large, massive earthwork where we have built that experti se last 10 years to 12 years. S o this will help in a big way. So I don't see any surprises to happen.
S.K. Ramaiah: Yes. What I would like to add, Ramaiah here is that, see, both these MDOs are linked with a very important import substitution coking coal. One is we are p utting a coal washery in the case of Tasra and another is whatever coal we are producing in the K BP project will go for coal washery with the Central coal fields.
Therefore, that is a basic advantage and India is heavily depen dent on the import of the coking coal from Australia, Indonesia, etcetera. And that is one of th e main aims of providing these MDO contracts in a big way. And SAIL is directly doing it, Coal India is also doing it on a large scale. Therefore, there should be no risk in these two projects in the long term. And Satish as I said one difference between our M

DO operation and others is tha t we have got considerable in-
house capabilities in operation maintenance that one not many o thers have that.
Therefore, that becomes a value addition. And apart from that, we can do the project execution much better than others because we have got strong in-house exp ertise in construction also. And that should add up all the better margins in the long term.
Jami Satish: More importantly now see, the imported coking coal is ranging from Rs10,000 to 13,000 even it is plus, okay. And the rate what they have structured, the K BP is almost like 900 plus and this is 3,565. So, there will be a tremendous pressure of the custom er to implement this project because their buying cost is quite expensive.
Deepak Poddar: Coking coal is a very important resource for any steel company ?
Jami Satish: That is an added advantage and both the customers are quite hea lthy. Seeing all these things, there is a lot of comfort on these two projects.
Deepak Poddar: Correct, correct. Agreed, agreed sir. I mean even the margins that you mentioned are 13% to 14%, right potential by FY'26, I do see that there is upside ri sk. Because I think one, about 35 to 40% of your revenue will be driven by this MDOs and O&M, whi ch will have 17% margin?


Jami Satish: Yes, sir. And even drinking wat er will add up revenue recurrin g on the O&M.
Deepak Poddar: Fair enough sir, I think that's it from my side. All the very best to you. Thank you so much.
Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities. Please go ahead.
Anupam Gupta: Hi sir, just one question. So your existing order book, almost 50% comes from the FGD projects from Adani. So, if you can give clarity on what's the status on t h o s e p r o j e c t s i n t e r m s o f execution, in terms of payments?
S.K.Ramaiah: Around 800 crores we have done the ordering. The engineering i ssues and local configuration, because they're all retrofit projects, so naturally some config uration engineering and other aspects have to be lined up. Based on that, their progress will be further taken.
Jami Satish: Maybe see as of now like the engineering maybe first half we d on't see much conversion to happen probably the second half in terms of ground conversion t hat we could see in the second half only.
Anupam Gupta: So, when you say 36% to 40% execution, effectively it includes that they should pick up in terms of execution, right, in the second half?
Jami Satish: Yes. Yes.
Anupam Gupta: But you don't see any issue in terms of payments or project ge tting cancelled or any of those things?
S.K. Ramaiah: No it is a must actually, the mandate is very clear. This is a international commitment to reduce sulphur emissions and then bring down the sulphur emission with the efficiency of 95% collection. And therefore, 211 lakh-megawatts of coal based pla nts out of that 1,69,000 identified and more than 1 lakh has been ordered, and there is no going back, and it is a national commitment.

Jami Satish: More importantly, it's a large-scale project. So we meant -- s ee based on our risk analysis, we wanted this project to be a cash-neutral project. So, at any po int of time, we'll see that there is an advance clause which is interest free. So, there is surplus money with us. As part of the risk policy, we will see that the com plete risk is the ring fenced a nd the cash is neutral. That is the model we are adopting.

Anupam Gupta: Sure that's helpful. Thank you.

Moderator: As there are no further questions I now hand the conference ov er to the management for their closing comments.

S.K. Ramaiah: I thank on what Satish has told on the various numbers and the business outlook what we have brought out and the interest shown by the participants. One is that we continue to be bullish on the market in

vestments, both in the public and also private sec tor, in infrastructure, power sector,



then rural development schemes are like drinking water, and the n roads, and then steel plants, then mining, iron ore mining, apart from the coal mining.

Then the international market should improve, particularly in t he Middle East after the COVID. And that is where our O&M presence is getting well established in the international market in West Africa and also in the Middle East. And we have been looki ng for the new investments going to come up now in the Gulf area.

And then Bangladesh also is going to add up capacities. We are doing a major project and Bangladesh's plan is to gear up their capacitiy from the presen t 24,000-megawatts to nearly 40,000-megawatts, because they are power hungry. With all these aspects, perhaps we should look for a positive growth.

And then more important is that the cycle time of implementatio n and learning in all the diversifying areas, what we have done in power, non-power, apar t from the traditional that has stabilized now and the manpower is well versed with the impleme ntation cycle time, engineering management, engineering coordination, procurement and overall p roject execution, that should drive slightly better margins compared to the previous years, a nd that is why we are quite positive on this.

Moderator: Thank you members of the management team. Ladies and gentlemen , on behalf of Nirmal Bang Equities, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

# Call: Nov 2023

Date: 20.11.2023

Dear Sir/Madam,
Sub: Transcript of the earnings call for Q2 FY 2023 -24
Ref: BSE S crip Code: 539302, NSE Symbol: POWERMECH
Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call for Q 2 Results of FY 2023 -24 held on Wednesday , the 15th day of November , 2023 at 3:00 PM (1ST).
The transcript is also uploaded on the Company's website at www.powermechprojects.com
This is for your information and for di ssemination to the general public at large.

Sincerely,
For Power Mech Projects Limited

Mohith Kumar Khandelwal
Company Secretary

Encl:A/a To To
The Corporate Relations Department, National Stock Exchange of India Ltd,
BSE Limited, Exchange Plaza,
P.J.Towers, Dalal Street, Bandra Kurla Complex, Bandra (E),
MUMBAI -400001. MUMBAI -400051.
Page 1 of 18

"Power Mech Projects Limited
Q2 FY2024 Earnings Conference Call "
November 15 , 2023

Disclaimer: E& OE: This transcript is edited f or factual error(s). In case of discrepancy, the audio recording uploaded on the Stock Exchange(s) on 15.11.2023 will prevail.

ANALYST : MR. PRASHEEL GANDHI – NIRMAL BANG EQUITIES

MANAGEMENT : MR. S.K. RAMAIAH – DIRECTOR BUSINESS DEVELOPMENT – POWER MECH PROJECTS LIMITED
MR. JAMI SATIS H – CHIEF FINANCIAL OFFICER – POWER MECH PROJECTS LIMITED
MR. CH KOTAIAH – GM FINANCE - POWER MECH PROJECTS LIMITED

Power Mech Projects Limited
November 15, 2023

Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to Po wer Mech Projects Limited Q2 FY20 24 Earnings Conference Call hosted by Nirmal Bang Institutional Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being now recorded. I now hand the conference over to Mr. Prasheel Gandhi from Nirmal Bang Equities for the opening remarks.
Prasheel Gan dhi: Thank you Rohit, and good afternoon to all participants. Nirmal Bang Institutional Equities welcomes you all to 2Q FY20 24 Earnings Conference Call for Power Mech Projects Limited . From the management team, today we have S.K. Ramaiah sir, Director Busi ness Development, and Mr. Jami Satish sir, CFO. I now hand over the call to management for opening remarks, post which we can take Q&A from the participants. Thank you and over to you, sir .

Jami Satish : Thank you Prasheel . Hi all, t his is Satish. Good afte rnoon and best wishes to all. Hope you all had good Diwali. I have with me Mr. S .K. Ramaiah, Director, Business Develo pment and CH Kotaiah , GM Finance.

Power Mech had one more great quarter with good set of numbers and execution. There is no change in ove rall plan set for Power M ech. Execution and ongoing business plan is in line with our projections and internal set targets. We are happy to see more and more opportunities coming in our core sector, power projects. A combination of new and old plants getti ng revived. Moreover, we are also too excited to see plenty of opportunities coming in the operation and maintenance both in the domestic as well as international market. This year we will see a large order book addition coming from O& M space from various projects in pipeline which are in advanced stage and orders from O&M during the year going to be all time h igh in the journey of 24 years.

For Power Me ch, we are seeing quarterly execu tion bandwidth going up quarter -on-quarter. Going forward, we will see the numbers going up significantly. In any financial year o f Power Mech execution during quarter three and quarter four contributes substantially higher as compare

d to quarter one and quarter two. Therefore, we will see quarterly execution cycle improving significantly for the rest of the quarter s of financial year FY 2024.

 Coming to quarter two and H 1 numbers. The reported total income for quarter two FY 2024 is Rs.937 Crores and the EBITDA is 118 Crores and PAT is Rs.51 Crores . During quarter two of last f inancial year, the reported total income was 774 Crores and EBITDA was 89.5 Crores and PAT was 44 Crores . So on a quarter -to-quarter basis Power Mech ha s demonstrated almost like 21% growth on the top line and with the growth of top line EBITDA has gone up almost by 32% and PAT has gone by 17%.

The revenue mix for quarter two FY20 24 is as follows: Mechanical business has contributed 148 Crores , Civil business including Railway, Water distribution 496 Crores , O&M 2 72 Crores and electrical business close to 17 Crores and others close to 5 Crores . Whereas during the last year FY20 23 quarter 2, the contribution for erection business was 161 Crores , civil 367 Crores and O&M was 226 Crores and electrical 17 Crores and others e was 3 Crores . O&M and civil has s hown a growth of almost like 20% and 30% respectively. Erection more or less remain ed flat, but however, this number again will go up significantly going forward. Electrical consciously we are not bidding for new projects . Therefore it i s more or less flat . Coming to the H1 of FY 2024 the total income was close to 1808 Crores and the EBITDA is 223 Crores and PAT is almost 102 Crores . Whereas last year H1 the total income was 15 23 Crores , EBITDA was 175 Crores and PAT was 83 Crores . There is a growth of almos t like 19% for H1 as compared to last year and with the growth of the top line EBITDA has significantly gone up by almost 27% and PAT has gone up by almost 23%.

Similarly, O&M and Civil Business has gone up by 17% and 33% respectively. Mechanical there wa s a dip of 8%, but however it will continue to grow quarter three, quarter four and electrical business it is coming down because not much order booking is happening on the electrical business. This year we will see significant contribution coming from the water business because the order book is quite healthy. O&M continues to be the backbone of the company, contributing almost like 27 % to 28% and during the end it will continue more or less the same percentage.

FY2024 because of the healthy order book wa ter business will continue to contribute close to 20 %-25% of the total business a nd O&M will continue to be 25% plus , and the mechanical will continue both domestic and international will contribute both almost like 18% plus and railways again pic king up with adding up the metro. This year it is expected to be almost like 4% and we will see that FY2025 -FY2026 there will be significant change in the business mix because of healthy order book, the contribution is going to be almost like 18% -20% in ne xt one and a half years and erection business is expected to go up

 almost 25% to 26% and railways expected to go up to 7% and MDO this year will start with a small number and this is expected to go up significantly next two years, FY2025 it is expected to be almost like 8% and FY20 26 going to be almost like 16%. So there will be significant change in the business mix because of the increase in the O&M pie and the MDO business.

Improvement is also seen in overall margin profile and same is furthe r expected to improve gradually, and on reaching MDO to peak during FY 26, the margin profile will improve to a greater extent. Depreciation cost as a percentage , remained lower side on account of control

CapEx spending , and the finance cost keeping aside inter est on tax impact as a percentage to revenue remained lower side a

nd continue to be controlled on account of improve d working capital and cash flow.
As you all know with respect to search operations conducted by the Income Tax department under section 132 of the Incom e Tax Act 1961 during July 2022 , based on the deliberations with the assessing officer and as a prudent measure and to avoid any further protracted litigations, the company has made provision of 16 Crores for the assessment year 20 18 and 2019. The company has made all the required information available to the department so far. With better deployment of capital, improvement in margins, we have also seen improvement in ROC E and this is expected to again go up significantly .
As stated in our ear lier calls to o, the overall execution bandw idth is seen increasing quarter - on-quarter on account of various initiatives and strong increase in in-house resources. The company i s well set to execute projects now in the range of 1200 Crores to 1800 Crores per quarter . Other developments include the ope rating cash flow for the period is almost positive by 70 Crores and the system generated free cash flow of almost 50 Crores plus during this period, which is quite healthy. We are working on the same to improve further. Also, the average monthly collection of the company continued to be health y.
More importantly, the net current days excluding cash and cash equivalent has substantially improved on account of improved working capital cycle, change in busines s mix and change in customer concentration. Net current days h ave come down to in the range of 130 to 135 days , and on stabilization of the MDO business from FY20 25 and 2026 onwards, we can expect significant improvement in net working capital days and thi s can help the system generate larger operating and free cash flow. We can see quantum jump in free cash flow.
More importantly t he gross debt and net debt remained control led despite growth in the business and the order book. As on 30th September 2023, th e gross debt is close to 450


 Crores and the net debt stands at 2 26 Crores . But if we see as on today we can proudly say that Power M ech is a net debt free company , and the debt equity ratio as on 30th September stands at 0.3, which has significantly come d own because of the improvement in the cash flow but if you see, net debt today is nil because the net debt is almost zero.
Coming to the two MDO projects, lot of developments and ground activities are happening in both the projects. The first project, Kotre Basantpur , Stage -I Forest Clearance from the government we got in November, environmental clearance a lso we have got it. Now the project is ready to start now because EC and F C were the major m ilestones which we achieved now, and we have appli ed for the consent to establish. This is expected to be in next one month. Therefore, we can start the ground activity from this year itself . Coming to the second project , establishment of mining activities already completed by October, a nd more importantly, the hea vy equipment which are very important to start the excavation , We have started the procurement and transporting the equipment and these equipment s are expected to reach this site maybe next one week to 10 days, and the core drilling activities already sta rted during the 3rd of November, and the EP consultant M/s Vardan Enviro Net we have finalized for the washery. Apart from that the electrical connection for 1.45 MVA allotment along with the demand not e received for JV DNL during October. R&R Colony fencing works already started. Apart from that, the mining area of fencing w ork already started, so we are expecting next one week the Bhoomi Pooja. Therefore we can start the excavation work during end of this month itself therefore which would see the revenu e picking up from this financial year itself.

Coming to the order book , Order backlog as on 30th September is around 53100 Crores with both the M DO and excluding the MDOs the backlog is almost 13 400 Crores . Similarly, the order book backlog as of today i s around 53500 Crores with both the MDOs and excluding the MDO , it stands at 13 750 Crores . For the entire year, FY20 23-2024, the company has set a target of 10000 Crores and we keep the target as it is. We a re confident of reaching this number including th e orders which we have received up to date 1800 Crores plus the projects which are in pipeline, and in L1 status close to 1800 Crores. We have identifie d opportunity size of around 46 000 Crores plus. We are also expecting good amount of order booking and e ducation cycle at international market to o.
During FY 2024 large order increase expected from t he power sector both in the O&M, mechanical and civil construction. As we stated earlier, the focus will continue to be going forward consolidation and leveragi ng the growth and the focus will continue on industrial plant, operation and maintenance, railway and metro, water, to some extent roads, and

Page 6 of 18 MDO projects. The execution cycle during FY 2024-2025 and 2026 is going to be robust and healthy on account of imp roved order backlog and targeted projects in pipeline and more importantly increasing bandwidth in the execution c ycle per month and per quarter.
As projected , margin profile seems improving and expected to improve further gradually, year-on-year. Our pla n to build business model to have a r ecurring long -term service model income to the tune of 3000 to 3500 Crores plus in combination of O&M plus MDO for sustainable long -term growth from FY20 26 is possible. This model will help us in a bigger way to improve margin profile, working capital cycle and in a large ext ent improve the free cash flow.
Power Mech is well set to demonstrate execution and conversion in the range of 34% to 35% of its opening order book in a year. In addition to that revenue from MDO business also ramping up co ke coal production plant. Going forward, O&M and MDO business will drive substantial growth in a significant way, and we have some more development from the business side , I will request Mr. Ramaiah to add please.
S.K. Ramaiah : Thanks everybody. Good afternoon to everybody. Thanks Satish for the remarks and the various numbers of Q2 and H1 . As Satish has said, the outlook continues to be bright because the trigger for that is the massive investments the government sector spendi ng in all the areas, energy sector, infrastructure, and then the drinking water schemes , water systems and railways and the metros. I think that is what is going to happen & the company is going to balance with this business and of course O&M there is lot of revival as per the numbers are there what Satish has spelt out. The segment wise the numbers are there . In mechanical portion. The present backlog is about 7052 Crores compared to 68 78 Crores at the beginning of the year, the civil comp onent of the work is 6074 Crores against 6 736 Crores. The O&M is 353 Crore s versus 600 Crores . Of course we have to add certain numbers which will come up now. Then electrical it is 255 Crores against 118 Crores and then MD O is a major component of our bus iness with about 39 732 Crores the backlog with both the MDOs. That should take us to a v ery healthy backlog in the near -term two to three years and long-term, say 25 years for the MDOs of two projects .
Now when we look at the opportunities, what we can see is that there seems to be substantial revival of the power sector market. This is mainly driven by the apprehension of the load mismatch, which may happen in the couple of years between the coal side power generation and the non -coal s ide that is the renewable power, if they pre

sent renewable
capacity is about 125000 megawatts and with the total installed base of 41 6000 megawatts


Page 7 of 18 as on March 23 . There is going to be further augmentation of the renewable po wer as the years go by and that i s why government has taken some remedial a ctions in terms of fast tracking the investment s in the new projects and the present indications are that , apart from the NTP C which is planned which has already ordered Lara 2x800mw for BH EL Earlier 1320mw Talchar project was awarded to BHEL, and other projects are going to be in pipelines like Sipat, Daripalli , Singrauli, , The generation companies, along with Adani power they are having a plan of about 1 3700 megawatts which can have plans of Coal India for 2400mw . That is going to substantially come up, recently government has approved the Yamuna Nagar project also and lo oking at these projects , the expected capacity addition which will come up with the next couple of years should be about 2 0000 megawatts including the NTPC share of plans of 6100mw . These are all the new projects , and then there is a revival of the projects about the first revival of the projects of 5270 megawatts has already been in the pipe line for revival and at many of the projects and we have already taken some initiative in taking the orders there wi th Vedan ta & JSPL .
Now government has asked recently a new policy initiative from the Power Ministry saying that another 6550 megawatts of stuck projects, that also has to be revived and it has informed that the State Gov ernment undertaking also to participate in this bid so that it is revived. Therefore the revival of nearly 1 1820 plus megawatts including the earlier group of plants of 5270mw coupled with the new initiative for revival of 6550mw apart f rom the new addition of 2 2000 megawatts of NTPC and various Gencos, that should give a very good outlook for the power sector growth and in terms of our business which is quite aligned with that in terms of the installation work, erection testing, c ommissioning and O&M jobs and all. Therefore, that is one aspect on the new units and also the revival of the old units of about 1 1820 megawatts.
The O&M opportunities has triggered substantially recently we have seen that two maj or jobs we have taken at Hindustan Zinc Limited therefore comprehensive O&M about 229 Crores O&M contracts . It was a very important breakthrough in the mining and metal sector, we have taken it and then Raichur 2x600 of 16 3 Crores and then Adani at Mundra

we have taken about 100 Crores of jobs for various O&M packages. Now t he opportunities which we are tracking in terms of many projects which are coming up with Khurja 2x660 megawatts, Ghatampur 3x660 megawatt, North Chennai possibl y 1x 800-megawatt, and then Buxar 2x660mw of course as the commissioning comes near to that then there is a major project in Balco with Vedanta group that also we are having a look at it. Therefore, all these opportunities, the ballpark figure of opportunit ies in terms of the B TG, installation plus the civil and CHP, which is our core strength, because coal handling also material

 handling is one of our core strength, we establish it. It comes to about 12000 Crores of opportunities with these new projects com ing up and then the revival of the old projects also, we can add up to another 4 000 to 5000 Crores. In all it c an be anywhere reached between 17 500 to 20000 Crores of opportunities both with the addition of the new capacities and also the revival of the o ld projects where are half completed jobs are to be taken up and there can be fast track execution i n these projects and the Power Mech is preferred bidder for that you have seen in the case of Vedanta group and rece

ntly we have bagged one more major order with BHEL for the Talcher of 354 Crores the main part equipment associated work and civil works also. Therefore with that type of initiative, this will continue to play in the coming months and coming quarters also.

Now coming to t he other water related projects , we have substantially identified a huge opportunity particularly in the Madhya Pradesh, Maharastra, then in Karnataka, Tamil Nadu, then Madhya Pradesh also I said. Therefore with all these projects, the total opportunity i s about 18000 Crores and the Madhya Pradesh itself is planning about 9000 Crores in various sch emes of drinking water, u rban water scheme s, urban water requirement schemes for various towns and cities, sewage treatment plants, etc. , and with our fast track execution expertise, what we are developing in UP for the drinking water schemes perhaps we are well qualified for many of these jobs and then wherever is required we can have a tie up with the other parties also like micro irrigation , lift irrigation, and those type of schemes also are coming in a big way and that should help us.

The various segments of these water systems or the sewage treatment plant . Urban renewal schemes and the Amrit scheme , lift irrigation schemes, canal w orks and then of course the most important is Jal Je evan Mission which is a flagship initiative of the Government of India. It is heartening to know that almost 70% of the rural villages are well connected now and we are doing pretty well in what we are do ing at drinking water schemes in U P for four major areas. Nearly about 2750 Crores, and almost about 35% of the work we have completed. Of course that gives us a lot of reference based and expertise because the type of organization is what we esta blished there are distributed organizational systems that means down the line at grass root level distribution orga nization system, village level, the area level, and then the block level, the district level and the zone level. Therefore it is well structured organization , 4000 people are working and already about 100 villages we have completed the 100% water supply schemes and then water is flowing into those villages and the people are seeing the benefits and what is more important is the organizati on what we established about 4000 people with engineers , supervisors , field and all the working stuff , subcontracting st aff, & that should give us a strong base in undertaking many of the

 important water projects, drinking water projects et c., also. Then one more thing, important thing which has come recently is that as we summed up these contracts agreements with the Jal Jeevan Mission scheme with the UP government finally the numbers are out in terms of the operation and maintenance scope of t he work. Earlier it was only a gener al guideline mentioned in the LOI, but now the formula of the figures in terms of operation maintenance because as we complete the executi on of these projects, it is estimated 3% of the c apital cost wi ll come for the O& M over ten years with escalation provision and the present estimation is that the numbers have been given by the UP government for about 681 Crores a nd this is considering our order book so far and that will get cleared for implementation based on the completion of works in various villages . In another three to six months we can start opening up that O&M front as more v illages come on the front line.

Now this is on the drinking wat er and water systems and then of course in the railway & metro works , we have seen the experience what we are gaining in Bangalore Challaghatta 427 Crores maintenance shop work and then we are doing about 14 railway & Metro projects of about 1500 Cr ores, including that BMRCL job and , and recently we have taken some jobs from

the railways a t Raebareli we have taken a infra structure facility for the
Vande Bharat infrastructure facility and Mumbai also, we have taken the some foot over
bridge jobs also. Therefore, these opportunities will keep coming and the railways and then
metro together, offers huge opportunities in terms of railway infrastructure in maintenance
repairs, workshops, repair shops and then this revamping of the stations etc. The important
aspect is that now the organization is in place to execute these jobs. I think that is one of
the features of Power Mech . We have always continued to build up the organizatio n
capacity , wherever we are diversifying , and we want to sustain those type of organizations
for long -term growth . Wherever there are viable projects in the road sector also we will do
it for example the Te langana job what we have taken from Adani the EPC job we almost
completed 70% that is a very fast paced project implementation. what we can say we have
achieved and then other two projects also we have done nearly about 60% of the job in
Mizoram and then Karnataka also. This background of these road projects the railway
projects would give us good background and then the new initiative is going to come up in
export market in West Africa and Nigeria, Tanzania and other places apart from the Middle
East and there are some new projects are expected to come out of 4000 to 5000 megawatts
in the Middle East, Saudi Arabia then UAE and all and already we have got organization
there about as on today 1600 people are working in the Middle East and then West Africa .
For that organization setup also which continue to help us to see that the new jobs we can
take it and implement it also. Therefore, as Satish has rightly said, there is a substantial
opportunity in the market as part of the national infrastructu re pipeline, which is in the
 fourth year of its implementation, of 111 lakh Crores , and many of the organizations who
can catch up with this initiative , and we have been greatly benefited by these inves tments
from the government side and then private sector investments also will come up in the steel
sector , then mining sector, and then coal side and then Coal India is coming with first mile
connectivity around 50 projects with in vestment of 20000 Crores. Therefore, there are
plenty of opportunities we have to select the right technology, right partnership wherever is
required for the association where we do not have that in some of the new areas and then
the implementation mechani sm has to be stabilized with the learning what we have
achieved . One of the features I can mention is that why our margins can improve further is
the learning curve we are undergoing it and without much addition in the capacity for the
manpower and also the equipment base what we are having. If you see th e turnover is
continuously growing up year after year , and that is a good feature for our operation and
with that better margins can be driven down the line and then with more opportunities
coming perhaps will also get better margins in the market. So this is what I have to say.
Now we can go further for the questions and answers.
Jami Satish : Prasheel thanks for giving the opportunity. We can move forward to the Q&A.
Moderator : Thank you very much . We will now begin the question -and-answer session. The first
question is from the line of Pratiksha Da ftari from Aequitas Investments . Please go ahead.
Pratiksha Das ftari: Thank you for the opportunity. My first question is related to the tax provision that you
mentioned. If you could just repeat the number , what is the provision that we have taken
because of the search?
Jami Satish : We have provided for almost 16 Crores. This is including some of the interest component
on this tax. So put together is 16 Crores we have provided .
Pratiksha

Da ftari: And this is full provision right, we would not anticipate any further provision going ahead.
Jami Satish : See what they have done is they ha ve completed for some of the assessment years . So we
do not expec t some bigger amount to come. May be next two quarters will see that 100%
this issue gets resolved. Therefore , the provision may remain more or less slightly lesser
than what we have provided for. However, having said that, we have got almost like refund
of 40-45 Crores plus. So in terms of cash flow there is no impact, but however it will have
some impact in terms of the provision part.
 Pratiksha Da ftari: In terms of O&M we have almost done 50 0 Crore s of revenue in the first half. Just wanted
to know what is the target that we have for this year, what kind of growth are we
anticipating as compared to FY 2023 for O&M.
Jami Satish : O&M this year probab ly will be touching close to 1150 to 11 80 Crores that is the target
probably this will continue to remain almost like 25 % to 25.5% o f our total business this
year.
Pratiksha Da ftari: And, what would be the monthly collection run rate right now?
Jami Satish : This is picking up. It is almost like it i s ranging now 350 to 400 Crores and see normally
like quarter on e and quarter two, historically it is like 35%, 35% plus of our total business.

But however quarter three, quarter four there will be a significant quantum jump. So we are expecting this number to pick up from probably quarter three December onwards and I am seeing that this number should cross 400-450 Crores gradually.
Pratiksha Das ftari: We had about 3000 Crores plus orders from water segment. So just wanted to know what is the execution guidance in terms of FY2024 for water projects?
Jami Satish : For wa ter project, see water this will play significant pie this year because the order book is significant. Maybe if all goes well, FY 2024 we are expecting close to 900 Crores. That is the number at lower side and it may go up to 100 0-1050 at the higher side.
Pratiksha Da ftari: Our interest cost for this quarter has gone up significantly. Is this because of bank guarantees or something because our net numbers have not grown .
Jami Satish : Honestly speaking the fina nce cost remained c ontrolled as stated like ther e is some impact of interest cost on account of IT. So the provision of fixed income also includes some portion of the interest. So because of that there is an increase of almost 3 .5 to 4 Crores otherwise if you exclude that the finance cost remains flat. It is not a recurring item , almost like a one time. So water maybe will close this year, so that there is no ambiguity carried on this fund. So probably you will see that this number coming down because if you see the net debt as of today is almost like debt f ree, I do not see this number to shoot up.
Pratiksha Da ftari: Thank you so much.
 Moderator : Thank you. The next question is from the line of Arun Subramanian from Ampersand . Please go ahead.
Arun Subramanian : Sir, my question is that what kind of o rder inflow that you are targeting non -MDO in this current financial year.
Jami Satish : We have kept a target of almost like 10000 Crores. So we are not changing that target. So we did close to 1800 Crores of addition up to date. On top of tha t the project s which are L1, it is almost like 1800 Crores plus and we are expecting good amount of additions coming from the power plant both in the O&M, civil, and also the mechanical pie. This put together, we a re expecting close to 4500 Crores. Therefore, we will h ave a combination of orders coming from a power plant. Both the old and new plants and O&M this year we may cross 2500 to 3000 Crores of addition and on top of that we are also targeting clo

se to
1500 Crores of projects relating to water. Apart from that if all goes well railway and metro we may add close to 800 to 850 Crores and other civil and international put together we are planning 10000 Crores .
Arun Subramanian : What has been the reason for the first half order inflow being a little slow and wh at wi ll really change going forward?
Jami Satish : The first half like, see we were working more towards this domestic side mostly on the power sector and some of the railway apart from the road projects. Of course, s o O&M it has been almost like finalized stage, b ut however in terms of awarding it took slightly longer time. Apart from that some of the state selection code and all. Some spillover may be there during December and all. So more importantly what is important that the negotiation part, it is almo st done now , we could see that conversion happening next 3 0-35 day s. So maybe December and January next year we will see huge number coming in and apart from that road projects we have seen the tenders getting postponed a couple of times. Of course this is close to 800 to 950 Crores , that i s what we were expecting and in Chennai, there was a bit of slow in terms of discussions and negotiation. Now that part w e have already completed. Apart from this the Vedanta, it took slightly longer time, but of cours e the order conversion started happening. Apart from that, we are also talking of some of the O&M projects which Vedanta and BHEL also probably we will see that normally historically if you see like the conversion for first, historically less, but second half is more even in terms of execution of the order inflow outcome.
 S.K. Ramaiah : Now I think what Satish says is correct. See, what is happening also of course for these elections in states are in progress . Most of these centers are out that is where our confidence comes from the point that there are identified projects are there, then drinking water, power side, railways and then roads also and then international s also there . Therefore, the opportunity size is sub stantial as the enquirie s are coming. There is no drop of the enquiry. The question of select ing the right combination of these projects and its execution and our fitting there and then seeing that we select the correct projects and all for proper execution . Perhaps the first half because the rainy season and then many of the clearance has some issues they may take more time to f irm up all those new projects and in case of drinking water and water system what has happened is this is the last phase of

ordering perhaps they have to do before the last quarter and m aybe also therefore they are now trying to complete that exercise that is where there are about 18 000 to 20000 Crores of opportunities and the new power projects as Lara 1600mw has been awarded . Now it will come up . Talcher project has already BHEL have taken action in awarding the first package for the main plant erection works . Now the revival of the proje cts, what has happened in Athena, we have seen the benefits of that and more of opportunities will be there in that also and the second phase of the revival of the old projects another 5 6500 megawatt also it happens also more opportunities w ill come . Maybe a little bit of adjustment is there in time lag , but overall opportunity wise, there i s no reduction in the domestic market particularly we are very bullish on that in all these segments and all and the railways in fact if you look at the track record of 14 projects what we are doing and the metro projects what we have taken. There are also a lot of huge opportunities in the third and fourth quarters, & once it happens actually we will be able to close many new order by third and fourt h quarter .

Arun Subramanian : Sir, just want to know that of the order ba

cklog that you have, would you like to call out any slow moving projects which are like gett ing little delayed compared to what you had thought of including the one which you had received, the big one that you had received last year? Is there any slow moving project and is that going to be i mproving sometime soon?

Jami Satish : No, there are no pr ojects which are old or suspended it is all are o ngoing projects . The plan is intact, of course there is some schedule changes in terms of the ordering and all, but there is no change in the overall plan.

Arun Subramanian : Understood . Thanks a lot Sir.

Mod erator : Thank you, Sir. The next question is from the line of Prasheel Ghandi from Nirmal Bang Institutional Equities . Please go ahead.

 Prasheel G andhi: Hi Sir. Thank you for the opportunity. A couple of q uestions from my end. First w ould you update us on the status of the FGD order and the potential revenue booking that will tak e place over next few quarters?

S.K. Ramaiah: Yes, the initial firming up are regarding the layout and engineering finalization which is taking time. With the engineering orders are placed and then there is a going to be tracking on Udupi project for of 2x600 megawatt we are taking action on that, and that should be around 936 Crores that will take shape now on a priority basis and then others also should follow. For FGD if you look per se what is happening is that the major portion is that for contract implementation some constraint are there in getting the sys tem into the limited space an d the technology selection and fitting up there and as on today if you see about 10000 megawatts are in the capacity addition on the FGD has been done side out of 169000 megawatt identified but ordering has been done about 105 000 There is a general amount of of lag is there initially because of the finalization of engineering, layout issues ,and of course the another side also there can be some issues related to getting t he tariff properly fixed with DISCOMs and State Electricity entities . That is where the government is als o giving the leeway during implementation, but they are very firm on that. Now for all the projects the latest update is that government has se t the deadline of up to 2027 that is the the entire country’s requirement . Now the u sual contracts and schedule should be there barring the issues related to e ngineering fitups and then the layout issues finalize and all the access availability and all those issues are taking some time .

Jami Satish: Probably in terms of revenue like FY 2024 maybe quar ter three, quarter fou r. Quarter three we may expect a 50 to 100 Crores maybe quarter four it may go up to 250 to 300 Crores and FY 2025 it maybe in the range of 1000 to 1200 Crores or it may go up slightly by another 200 -250 Crores. This is the plan what we have got now. We will have more updates probably quarter three will take end of the quarter three or maybe beginning of quarter four we will see the scheduling part and it is something can be improved in FY2025.

Prasheel G andhi: Secondly on your margin s, you are saying your margins jump ed significantly about 19 bps on a Y -o-Y basis so can we expect this as what would be the reason for the same and second would we expect the further margin improvement. So what do you see to get a sustainable margin up, w ould we assume 13% or a 14% kind of margin.

Jami Satish : See we had the first plan is to see that the old project mix comes down therefore our cost towards the royalty which is impact ing straightly to our EBITDA margins that should come down a nd that is happening so there is a natural mix change because of PQs in house

 directly . So to some extent and to a larger extent that is helping us to push t

he margins. So
the first plan is to get back to our normal historical margins which we used to report at 13%, 13.5% and that is quite possible FY 2025 -2026 and with MDO getting stabilized by FY20 26, we could see that the number may go up to 13.5% plus by 20 26 onwards. So the first one is to bring back our normal margins to 13% -13.5% by FY20 26. So we w ill see that every quarter there will be some gradual improvement in the margin profile and on top of that we have given a clear cut instruction to our business development not to quote for any projects below threshold margin limits. Therefore we are not rushing for project s for low margin just to build the order book , so that is also helping a great extent to add the quality orders and see that margin profile is maintained.

Prasheel G andhi: Just a follow up. So what is t he current mix of your old projects , so how much of the order book will still have that old project s with higher royalty payments and when do we expect this to co mplete?

Jami Satish : This will settle down by FY20 25. So we could say an other 25% to 35% in th at range.

Prasheel G andhi: Sure, Sir. Thank you very much I have few more questions, but I will get back in the queue.

Moderator : Thank you. The next question is from the line of Amit Vora. Plea se go ahead.

Amit Vora : Good afternoon gentlemen. Thanks for taking my question. Congrats on a very good set of numbers. Excuse me if I am asking this again. The only thing is that you had mentioned that for completing the M DO project, there might be requirement for you to raise some debt as well other than the equi ty that you have raised. So is there a plan t o further raise any debt or no?

Jami Satish : Yes, the first project Kotre Basantpur KBP, which is a smaller size , we have already tied up Power Finance Corporate P FC 260 Crores, which is a project specific and the servicing will be done from the SPV. So that tie up is already done and for the second project, we need to set up the infrastructure. On top of that, we need to also build a washery plus coal handling plant which is larger in size . So that is ex pected to be almost like 790 Crores plus. So we have raised the equities, so we have sufficient equity. Having said that we have lined up some debt part from our existing banks should we use or not we will take a call because the internal system itself thr owing some surplus cash flow. Therefore, we wanted to use or not we will take a gradual call. Of course the PFC part will use, but the second part, Tasra

 Washery we will take a call gradually. We will take if at all need ed, but not at least for next 16 months. There will not be any increase of debt in the Tasra project.

Amit Vora : That i s great to know. Just one question, now we are almost one and a half months in Q3 , so what is your estimation on the Adani project, you did mention ed, but I am just saying t hat because we are already there almost one and a half month in Q3. What is the status there , is there any possibility that what kind of re venue booking can happen there?

Jami Satish : See, Adani as I stated like quarter three may be in the range 50 to 150 Crores that is the maximum we can do quarter three. We are working on that we have spent some money and out of the total packages, Udupi is quite active, so probably by FY2025 the max what I am expecting is 250 to 300, 350 Crores that is too the pa ckage of Udupi we may go probably FY2025 we will see a quantum jump.

Amit Vora : In the second -half total you are expect ing between 300 to 400 Crores is that correct estimation.

Jami Satish : No, for the entire year of FY20 24. I am expecting in the range of 250 to 350 Crores. Quarter three maybe in the range of 50 to 150 Crores.

Amit Vora : Last thing on exports. So order book that you are targeted and you have mentioned of 10000 Crores t

his includes both domestic and exports or it is only the domestic orders.

Jami Satish : No it is put together except we have not taken the larger target this year the maximum what we have intending is maybe 250 to 300 Crores of that maybe 180 to 200 Crores is O&M itself. FY2025 probably we may need to keep a larger target but fo r this year we have kept a softer target.

Amit Vora : Understood. Thank you so much. All the questions ha ve been answered. All the best.

Moderator : Thank you. The next question is from the line of Bharani Vijay Kumar from Spark Capital. Please go ahead.

Bharani Vijay Kumar : Good afternoon, Sir. When you were talking about the opportunity from the power sector from the new projects, you mentioned projects worth 5270 megawatts from revival of projects is also there. So just my question is are these projects which have already been announced, but due to vario us reasons now coming up again?

 S.K. Ramaiah: No, apart from the earlier projects new list of projects have come under CIRP . Under the earlier CIRP guidelines stressed projects have been awarded to JSW of 2x350mw in

Orissa, then Meenakshi 2x350mw has been awarded in Andhra Pradesh forVedanta and now that final rebidding has taken place for the Amarkantak of 2x660mw where in PFC consortium was L1 and now it seems Adani has given some better offer, now that w ay most of these first phase of the project as what I said about 5 270 plus megawatt more or less everything is firmed up. Now what I am trying to say that in the second phase another set of 6550mw will go for CIRP procedure to award these stressed proj ects and most of these projects maybe half done job it will have a n investment of at least substantial investment you can say easily about Rs 20000 Crores overall investment and then in that we will have a share of opportunity of Rs 4000 to 5000 Crores . For the committed second phase of these NCLT projects government has now elaborated that and s tatiing that state GENCOS stated can also participate in that, they have published the list of the projects also that is also coming to substantial about 6550mw megawatts once it happens that will add up to the more opportunit ies. I think government is very firm on this revival only because of the scare which has created that as the renewal element of the power generation percentages goes up there can be huge disturbance at grid . They want to avoid that , that situation can come anytime in the next two to three years. they want to fil l up those gaps fast so that the base load operations are well established , and also coal based power plants are available for day night operations , then the renewable power gets our bulk of the generation and all the benefits with that . I think we are ve ry clear on that and that is why we are keeping track of these projects apart from the new projects investments also .

Bharani Vijay Kumar : My second question is of course you mentioned about the NT PCs new project and this revival and NCLT projects and other 10000 . But there is no mention of any projects from state GENCOs like why is that the case are you seeing any state G ENCOs projects also in the pipeline.

S.K. Ramaiah : Yes, many state governments like Rajasthan, Haryana, Gujarat have also initiated plans for capacity addition of new coal based power projects and centr al entities like NLC , CIL and DVC also have initiated actions plans for about 13700mw. This over and above the revival of stressed power projects of 12000mw i n two phases. The net plans on the broad break up of new and revival of stressed project summary are as under:

-NTPC 6100mw

- State & other PSUs like DVC, NLC and CIL , Adani Power –
13700mw

 - Revival of stress projects 1 st phase 5270mw

- Revival of 2nd Phase 6550mw

Bharani Vijay Kumar : Okay . Maybe I will get in touch with you to get that project . Actually my question was regarding state GENCOs like say TANGEDCO or AP GENCO , these state GENCOs are not coming up with this.

S.K. Ramaiah : Yes, exactly wha t we are telling is exactly we are on top. Yes , they have been provided by the government to participate. They issued a specific circular for that.

Bharani Vijay Kumar : Okay, Sir, I will get in touch with you. Thank you s o much.

S.K. Ramaiah : I will send y ou that.

Moderator : Thank you. There are no further questions. On behalf of Nirmal Bang that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Feb 2024

Date: 23.02.2024
To To
Department of Corporate Services , National Stock Exchange of India Limited,
BSE Limited, Exchange Plaza,
PJ Towers, Dalal Street, Bandra Kurla Complex, Bandra (E),
MUMBAI - 400001 MUMBAI - 400051

Dear Sir/Madam,
Sub: Transcript of the earnings call for Q 3 FY 2023 -24
Ref: BSE Scrip Code: 539302, NSE Symbol: POWERMECH

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transc ript of the Earnings Call for Q3 Results of FY 2023 -24 held on Tuesday , the 20th day of February, 2024 at 4:00 PM (1ST).
The transcript is also uploaded on the Company's website at www.powermechprojects.com
This is for your information and for dissemination to the general public at large.
Regards ,
For Power Mech Projects Limited

Mohith Kumar Khandelwal
Company Secretary

Encl: A/a



“Power Mech Project s Limited
Q3 FY’2 4 Earnings Conference Call ”
February 20, 202 4

Disclaimer: E&OE: This transcript is edited for factual error(s). In case of discrepancy, the audio recording uploaded on the Stock Exchange(s) on 20.02.2024 will prevail.

MANAGEMENT : MR. S.K. RAMAIAH – DIRECTOR , BUSINESS DEVELOPMENT – POWER MECH PROJECT S LIMITED
MR. ROHIT SAJJA - PRESIDENT , BUSIN ESS DEVELOPMENT AND OPERATIONS – POWER MECH PROJECT S LIMITED
MR. N. ARAVIND - CHIEF FINANCIAL OFFICER – POWER MECH PROJECT S LIMITED

MODERATOR : MS. NATASHA JAIN – NIRMAL BANG EQUITIES



Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of Power Mech Projects Limited, hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assista nce during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Equities. Thank you, and over to you.
Natasha Jain : Thank you, Yashashr i, and good afternoon to all participants. Nirmal Bang Institutional Equities welcomes you all to the Third Quarter FY '24 Earnings Conference Call for Power Mech Projects Limited. From the management team toda y, we have Mr. S. K Ramaiah, Director, Business

Development; Mr. Rohit Sajja, President, Business Development and Operations; and Mr. N. Aravind, Chief Financial Officer.

I now hand over the call to the management for opening remarks, post which we can take questions from the participants. Thank you, and over to you, sir.

N Aravind: Thank you, Natasha. Good afternoon to you all. This is N. Aravind, the CFO of Power Mech. I have with me Mr. S. K. Ramaiah, Director Business Development; and Mr. S. Rohit, President Business Development and Operations. I welcome you all to the earnings call quarter 3 and 9 months of financial year '24.

The performance for quarter 3 and 9 months for the financial year continued as per our set targets for the entire year. The reported total income for quarter 3 financial year '24 is Rs.1,115 crores and the EBITDA is Rs.141 crores. PAT is Rs.61 crores. During quarter 3 of last financial year FY '23, the reported total income was Rs.912 crores and EBITDA was Rs.106 crores, and PA T was Rs.51 crores.

So on a quarter -to-quarter basis, Power Mech has demonstrated almost like a 22% growth on the top line. And with the growth of top line, EBITDA has gone up almost by 34% and PAT has gone up by 21%. Q3 financial year '24 performance was satisfactory and on expected lines, despite a little slowdown due to 5 state s elections.

The revenue mix for quarter 3 FY 24 is as follows

Mechanical business has contributed around Rs.231 crores; civil bu siness, including railways and water distribution, Rs.596 crores; O&M Rs.260 crores; and electrical business close to Rs.21 crores; and other income close to Rs.7 crores, whereas during the last year FY '23, quarter 3, the contribution for erection busines s was Rs.144 crores, civil Rs.492 crores and O&M was Rs.260 crores, and electrical business Rs.12 crores and other income was Rs.3 crores.



Mechanical and civil has shown growth of almost like 60% and 21%, respectively. Electrical has shown growth of 71% O&M more or less remained flat. But however, this number again will go up significantly going forward.

During quarter 3 of financial '24, domestic business has contributed almost like 94% and the balance, 6% has come from the international market. Similarly, power sector has contributed 47% and non -power sector is almost like 53%.

Similarly, the total reported income for 9 months of financial year '24 stands at Rs.2,923 crores, and the EBITDA is Rs.364 crores and PAT is almost Rs.164 crores, whereas during 9 months of last financial year, the reported total income was Rs.2,435 crores, EBITDA was Rs.281 cro res and PAT was Rs.134 crores.

On a year -on-year basis, for the 9 months, there is a growth of almost like 20% in revenue as compared to the last year and with the growth of top line, EBITDA has significantly gone up by almo

st 30% and PAT has gone up by almost 22%.

Revenue mix for 9 months is concerned , Mechanical business has contributed Rs.518 crores. Civil business, including railway, water distribution, around Rs.1,585 crores, O&M Rs.756 crores and electrical business close to Rs.47 crores, and other s close to Rs.17 crores, whereas during the 9 months of last financial year, the contribution for erection business was Rs.458 crores, civil business Rs.1,235 crores, and O&M was around Rs.682 crores and electrical business Rs.52 crores and other income was Rs.8 crores.

Similarly, erection, O&M and civil business has gone up by 13%, 11% and 28%, respectively. And electrical business is down by 10% because not much order booking is happening on the electrical business. And the mix between international and domestic, the do mestic business has contributed around 92% during the 9 months of FY '24, and rest has come from the overseas business, it is around 8%. And the mix between power and non -power business stands at 52% and 48% during the 9 months of this financial year.

FY '24, because of the healthy order book , water business will continue to contribute close to 23% of the total business. Other civil works in both power and non -power contributes close to 34% and O&M will continue to be around 23% plus, and the mechanical wi ll continue, both domestic and internationally contribute almost like 18% plus and transmission d istribution will contribute 2%.

we will see that FY '25, there will be a significant change in the business mix because of healthy order book. The contributio n from O&M is going to be almost like 18% and erection business is expected to go up almost by 27%, and railway s expected to go up to 1%. And MDO this year, we will start with a small number, and this is expected to go up significantly in the next 2 years. It is expected to be almost like 7%.So there will be a significant change in the business mix because of the increase in the O&M pie and the MDO business.

Improvement is also seen in overall margin profile, and same is further expected to improve gradua lly. And on reaching MDO to peak during FY '26, the margin profile will improve to a greater extent.
Depreciation cost as a percentage remain ed lower side on account of control of capex spending and the finance cost, keeping aside interest on tax impact as a percentage to revenue remained lower side and continue to be controlled on account of improved working capital and cash flow.
With reference to our income tax search during July '22, as you are aware of the search operations conducted by the Income T ax department the company received notices under Section 148 of the Income Tax Act. In response to the said notices, the company filed a return of income for the assessment year 2016 -'17 to until 2021 -'22 assessment year. And as a prudent measure to cooper ate with the department and to avoid further protracted litigation s, the company offered additional liability of Rs.26.21 crores towards the income tax and Rs.11.91 crores towards the interest on income tax and paid the entire amount during the financial y ear '24. We do not foresee any need for further provisioning in the income tax matter is concerned.
With a better deployment of capital , improvement in margins, we have also seen improvement in the return on capital employed, and this is expected to again go up significantly.
Other developments include the operating cash flow for the period is almost positive by Rs.21 crores, which is quite healthy. We are working on the same to improve further. Also , the average monthly collection of the company continue d to be healthy.
Net current days, excluding cash and cash equivalents has substantially improved on account of improved working capital cycle, change in the business mix, and change in t

he customer
concentration. Net current days have come down to 125 day s from 131 days and o n stabilization of the MDO business from financial year '25 and '26 onwards, we can expect significant improvement in net working capital days, and this can help the system generate larger operating and free cash flow, we can see quant um jump in free cash flow.
More importantly, the gross debt and net debt remained controlled despite growth in the business and the order book. As on 31st December '23, the gross debt is close to around Rs.499 crores, and the net debt stands at minus Rs.23 crores. But if we see, as on today, we can proudly say that Power Mech is a net debt -free company. And the debt -to-equity ratio as on 31st December stands at 0.28, which has significantly come down because of the improvement in the cash flow. But if you see net debt today is nil because of the net debt is almost 0.
The status of the two MDO operations. Coming to the two MDO projects, a lot of developments and ground activities are happening in both the projects. The first project Kotre Basantpur Stage 1, Forest Clearance from the government we got in November '23 and applied for Stage 2 clearance and the report is passing through various levels to the Additional Chief Secretary,



Jharkhand, and they've forwarded the file to MOEF&CC on 13th February. And a lso consent to operate application filed and awaiting the approvals from Jharkhand State Pollution Control Board to start the works. These approvals are expected to be receive d in the next 2 months; therefore, we can start the ground activity of OB removal from the month of May '24 and coal mining will start from July '24.
Coming to the second project, Kalyaneswari Tasra project , the major required equipment mobilization was completed for initial mining activities. Environment clearance for setting up 3.5 M TPA capacity of washery is under progress and expected to rec eive the approval by July '24. R&R Colony building construction of 190 units in 4 .5 acres of land is under progress.
Mining works have already started and OB removal and the coal production works are in progress. Since January '24, approximately around 80,000 ton nes of coal excavated and targeting to excavate 3 lakh ton nes by end of this year.
Coming to the order book, order backlog, as of 31st December is around Rs.55,858 crores with both the MDO. And excluding the MDO s, the backlog is almost Rs.16,125 crores. Similarly, the order book backlog as of today is around Rs.57,328 crores with both the MDOs. And excluding the MDO, it stands at Rs.17,595 crores. For the entire year 2023 -'24, the company has set a target of Rs.10,000 crores order inflow and we keep the target as it is. We have received orders worth of Rs.6,768 crores as on today, plus three projects worth Rs.1,780 crores are in L1 status and project worth of Rs.5,500 crores, which are bidded and awaiting for the results. So we are likely to see the balance order addition in Q4.

During FY '24, large order increase is expected from the power sector, both in the O&M and mechanical and civil construction. Our focus will continue to be an industrial plant, O&M, railway, water and MDO projects.
All the existing projects are on track and moving as per the schedule. This financial year, revenues will be in the range of Rs.4,500 crores to Rs.4,700 crores, depending on the traction of FGD and MDO business. EBITDA margins remained the same as Q3. FY '25, we should be able to achieve 30% to 35% year -on-year growth. Margins will be stable , may see a bit of upside depending on the mix from FGD and mining. We do not foresee any decline in the margin s.
Similarly, order book target for the current and next financial year looks to be comfortable.
Power Mech is well set to demonstrate execution and conversion in the range of 32% t

o 33% of
its opening order book in a year. In addition to that revenue from MDO business also ramping up coke coal production plant. Going forward, O&M and MDO business will drive the substantial growth in a significant way and we have some more developments from the business side. I will request Mr. Ramaiah to add, please.
S.K. Ramaiah: Yes. Thanks, Aravind. Thanks, Rohit, and our team here, and thanks for the participants. Aravind has given the overall numbers and various a spects of the busi ness, financial and other inputs also. But what is happening in the market is a substantial bullish approach in terms of the



investments coming up and opportunities opening up, and we can also see a change in the product mix for the bette r. What was a downside in the power sector is looking up substantially, that has been reflected significantly in the mechanical business, the order backlog has gone up from R s.6,878 crores close to R s.7,034 crores with a 22% increase.
Civil has gone u p by 27% to R s.7,800 crores. O&M is playing a major role because a lot of new projects are getting co mmissioned of what was the backlog available by various private players and t hen NTPC and other players , the O&M side of the order back log has gone up to 99 7 cr for Q3 from Rs 600 cr and as on date it has further augmented to Rs 1260 cr
And that is where we have made a lot of significant achievements in terms of substantial increase in the order booking there in the current year. Then, electrical, of course, it will have a subdued role based on the current situation and also the competition and other factors . And from the overall perspective, what we are seeing is that, in all these sectors, there is going to be continued investment that is what is driving th e business.
In the power sector, if we take it, there are three segm ents in which it is driving the business.
They are new unit capacity 19000mw of - projects which are already identified, with NTPC planning , additional 6,000 megawatts.
And then the other utilities across the country , with around another 13,000 megawatts. And then private also is there, Adani is coming up at Mahan. And then if we add up the stressed projects of the 5,750 megawatts in the f irst stage and 6,700 megawatts in the second stage, all these stressed projects are under resolution and many of the orders of these opportunities are getting converted and we have taken the benefit of that in JSPL Angul , and then in Vedanta, Singhitarai accounting to 1725mw of stressed projects revival programme . And then recently, in the case of Meenakshi project of 1050mw also , both the revamping and the O&M job has come up.
So that is a positive factor for the mechanical business. Installation, which traditionally, we are very strong. O&M, the order backlog has gone up by 66%. And one more development is there on the O&M side. What we can say is the -conversion, which will come up for the O&M also in the drinking water scheme, where we are doing about R s.2,725 crores of job, the conversion i s happening faster.
And now the order status also is that whatever orders are available , at least 3% of that will come as O&M contract for the next 10 years. For that, that is to be added as a part of the order and now that comes to R s.681 crores. Therefo re, if we add up the total O&M profile in terms of the power, non -power and also the drinking water, the order bookings will go up almost to R s. 2400 to 2,500 crores by end of the year and that should give a significant growth for the O&M progress and also better margins in the coming year.
Now apart from that, the new unit business also is looking up with orders grabbed from Mahan, Rs.825 crores; BHEL Talcher R s.354 crores; and then Vedanta for the stress ed project at Singhitarai is R s.379 c

rores. So that is a positive development. This will continue to happen.

Another major thrust has been the railways apart from the roads. Railways, we have taken significant strides, on that recently, we have been awarded the - Yavatmal -Nand ed job, about Rs.375 crores. W ith all these developments , what we can say is that the present opportunities together with the L1 position of the pending FGD orders with the Goenka Group. And then one micro irrigation project and the railway project, we have around Rs.1,800 crores of L1 position. If that happens, significantly improve the overall order backlog. And apart from that, around 15000 cr of order -- follow -up is under progress in various segments for the different opportunities.

Now coming back to the overall push in the power sector itself, BHEL has got orders of Rs.55,000 crore with capacity addition of about 7720mw s. If we take the previous year also, which is getting some conversion in the case of Lara, & Yamunanagar, which has been ordered recently to BHE L. Mahan, which ha s been ordered by Adani Group.,t hen Talcher, which is already ordered , and then recently, Talabira 3 x 800 megawatt. Altogether, BHEL's order book has ballooned like anything to almost R s.55,000 crores extra.

And this improved order status of BHEL we are ho ping to get the conversions happening faster in the coming year also, and the last quarter also to some extent. And after -- the total projects which have been awarded in all these cases including by NTPC, of Lara 1800mw then there is - - 7,720 megawatts of new orders to BHEL that leaves us more scope for the conversion for Power Mech as a subcontractor.

Our estimation in that is that something like R s.12,000 crores to R s.15,000 crores of opportunities will come up in the next year also. And some of the pro jects, we can see how much is happening in the current year also.

Now coming back to the overall capacity addition in the power sector. The present position is that the coal and lignite capacity stands at 214 gigawatts , it will go up to 280 gigawatts by 20 30. In that, about 27,000 gigawatts are under implementation, another 30,000 megawatts will be under ordering and execution, which has started, as I told you, about 7,720 has been al ready awarded to BHEL along , and then balance also will also come up.

That should help us , & that should throw overall supply and EPC contracts for mainly may go to BHEL, unless L&T doesn't take a major call or some of the Chinese player s, outside players will come. The estimated opportunity for the coming year in all these new projects for the overall supply is more than R s.2 lakh crores. Therefore, our ow n estimation is that at least Rs.15,000 crores to R s.20,000 crores of opportunities should come up in the overall power sector in the coming year s also.

Then there is the rai lways. We have seen the annual investment is exceeding Rs.2.5 lakh crores as part of N ational infrastructure pipeline, and that will continue to happen. And then Metro projects, the present mileage of 870 kilometres will go up to doubling of the track, the Metro stations to almost 1,700 kilometres. And then the major investments, which are very much useful



for us is coming in the railway maintenance shops, workshops and then maintenance depots for the Metros also, which we already entered there.

So that wil l add up a lot of opportunities, which will be focused because railways gives good terms of payments with the provision of advances also. And that is a major focus for our opportunities. Then roads is there. We have already completed a major part of the wo rk for Adani in KK Road in -- Kodad Road in Telangana of Rs 645 cr . That should give us reference in terms of bidding for the good projec

ts in the future for Road sector opportunities. .

Therefore, the -- our assessment is that presently, R s.50,000 crores of opportunities are closely being following. Some may also get close in the current year. We have to see how much would happen based on the election season also on when the Election Commission will give a date for the , election. Then that depends on th e ordering also to some extent. So what we can say is that next year, the way we are looking at all the opportunities in terms of power sector, O&M and then in non -power sector, particularly in the railways, then Metro projects, and then irrigation, and th en of course, the road projects, perhaps it is easy to target R s.40,000 crores to R s.50,000 crores and should see the growth potential and increase in the order backlog. That is what is I can say.

Therefore, further development on the MDO and, the international operations and many other developments of the company, Rohit will bring out the facts.

Rohit Sajja: Hello. Good afternoon, everyone. Thanks for having us on the call. This is Rohit. So as Aravind has touched upon our mining operations br iefly. I'll give you the other data in detail. So we have already started mining in the recent MDO that we have won, and we have already mined around 85,000 tons of coking coal over the last 1.5 months. And we expect this capacity to touch 2.5

lakhs to 2.8 lakhs by the end of this financial year, in the next 1.5 months. So we'll be booking significant revenues from Tasra.
And coming to the first mine, I think all of you are aware of the political situation in Jharkhand. Forest Clearance Stage 1, there were some compliance points raised by the authorities. So we had to refile it. And after refilling, the Secretary and because of the political disturbances happening in the state it got there is a slight delay, I think, a month's delay, but we expect to break ground in the month of May as Aravind had said, and by July, we'll be starting mining here as well.
So that's about both the MDOs. And coming to overseas operations, we are making significant strides in overseas operations as well, and we have added a coup le of new clients this year. We have also won a small maintenance project in Qatar. We have added Qatar as a new geography. And we are making significant strides, putting in some efforts in Saudi Arabia. There's a lot of spending happening in the power sec tor. They have plans to Saudi Arabia, in general, has plans to add more than 25 gigawatts of capacity over the next year. This is mostly combined cycle capacity.


And Power Mech is having experience of executing combined cycle power plants in the past in the region. So we are one of the frontrunners. We have been talking to EPC companies, and they've already collected quotes from us.
And the maintenance, I think this year, we have won a maintenance project in Bangladesh, and you'll see this going forward, you'll see this long -term maintenance contracts and this trend, Power Mech taking more and more long -term maintenance contracts for the years to come. And because a lot of public sector utilities, they were always giving out contracts, but they have started giving out long -term contracts. So slowly, the trend is changing. And you will see Power Mech taking more contracts in the next 1, 2 years to come in the maintenance space with different power utilities. We have already working with the likes of DEWA (Dubai Electricity and Water Authority ) SEWA (Sharjah Electricity and Water Authority ) ADNOC, (Abu Dhabi National Oil Company ) we are do ing some work for the refinery and also the power plant there. We are also executing a long -term maintenance project in Nigeria with the Dangote Group, where we have constructed the power plant and consequent O&M order was also given to us. So this is an u pdate on MDO an

d overseas business.
S.K. Ramaiah: We can proceed with the question -and-answer session.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Nirav Vasa from ASK Investme nt Managers.
Nirav Vasa: Yes. So sir, first thing I wanted to know is out of the pending order backlog that we have of almost R s.17, 596 crores. What percentage of order backlog would be from BHEL? Sir, even if you have a rough -cut number, it's fine.
S.K. Ramaiah: No,BHEL, that separately is there, but we have to compute and give that information. Separately , it is there.
Nirav Vasa: Sure. Get your point, sir. And, sir, I wanted to understand about the competitive scenario, like what we have seen is that in the thermal power for a very long period, there was practically lull. So lot of EPC contractors and the supply chain which was operating in the thermal power system are not in the best of the financial and technical shift?
So according to your assessment, as this scenario opens up in forthcoming years, how do you see competitive scenario panning out? Do you expect these smaller players to again bounce back or do you see a scenario wherein you along with some of the other small -- other peers would be the m ajor players who would be benefiting from the consolidation of it?
S.K. Ramaiah: Yes, there are two aspects in this. Let us first understand how the ordering will happen. As for the major competition for the EPC players, so BHEL stands significantly . We h ave seen they have taken almost more than 5,500 megawatts of orders in the recent times in the current year, with new order of nearly of Rs.55,000 crores in the last 1.5 years.


Now, L&T it is there, but we have seen some sort of a drift in their bidding strategy , maybe they're loaded with a lot of orders in Middle East and domestic market in other sectors of their business , and they will be having a second look at Power sector which contributes less to their overall business . Now another part from the EPC point of view, the third player, perhaps can play a role is in General Electric .

Of course, as an MNC, they've got consent in terms of bidding structure and the risk management perspective, they have to figure out for the Indian market because being MNC, they are more risk averse. But they are still pursuing to look at it, but they would need to hav e the partnership in BOP segment also .B ecause of the undergoing of the many organisational changes and also certain developments which are happening on mergers and amalgamations with the various power sector entities in the international market also. For that they need some inputs also for the main plant equipment.

Now, unless the Chinese players come as a backup in the later stage, like what Chinese players played a leading role in market or 15 years back, unless that happens in a big way , we feel that, BHEL continue to play a role and they've got a capacity of 14,000 to 15,000 megawatts of manufacturing capacity with strong engineering and manufacturing base. They can easily cater to 5,000 to 7,000 megawatts per year without any problem provided the working capital cost s are managed .

Now coming to the contracting, subcontracting, if you look at it in there are two, three segments. One is the main plant equipment and the balance of plant equipment and then the civil works. So in both the cases, we have got a significant presence as Power Mech , We're the leading player with a substantial market share in the main plant boiler, turbine packages for equipment suppliers , and also EPC segment of orders going to manor players like BHEL

And then the civ il also, the main plant with the balance of plant, except for the cooling towers, and even chimney we have done one project. Most of the civil works in a p

lant we can do.

Therefore, there are many players in the civil package, at least 7 to 8 players are t here. In the mechanical also, there are players

What has happened over the years, owing to the downward trend in the market in the power sector investment and competitor's inability to grasp the opportunities in non-power sector, there has been a downtren d in the appetite for many of Power mech competitors , and that is to be se en because recently at , Mahan, we have taken a major job without much of competition

With even BHEL, we have taken a job, at Talcher and then with Vedanta also w r t Meenakshi 1050mw stressed project getting revived. k. So that shows the trend, at least 50% to 60% of the market share of the power sector business, we shoul d continue to get it, .

That is mainly because the Power Mech has established a strong presence in execution capability, which we can proudly say, not many can match in terms of resources management,



equipment resources, construction management, or the construction suppo rt services, what our team can provide with our huge headcount, both in the installation bus iness and other se gments . The synergy of our operations , we are one of the few people, perhaps next to L&T, who can undertake the end -to-end solutions in the construction, then operation maintenance and then civil work, structural work, mechanical work. Th at type of synerg y, there are not many players.

You've got Simplex or JMC for the civil work. Or you can have Indwell and Texel for the mechanical work but they may not have a combination as a player who can do the civil, structural, mechanical, and O&M and that is where the advantage is what we have seen in Mahan recently by the Adani. And we have seen even with BHEL also and then Vedanta Group also.

Therefore, competition can be subdued there is appetite for so much as BHEL gets more orders, suppose nex t year, they get 7,000 to 8,000 megawatts, then that would add up to another Rs.60,000 crores to BHEL . Therefore, this will continue another 2 to 3 years at the rate of Rs.50,000 crores to R s.60,000 crores for BHEL. Therefore, accordingly, there is a furth er scope for us to enhance our potential in the power sector, that is what our assessment is.

Nirav Vasa: This is really helpful. So sir, if you can help me understand your scope of offering per megawatt can be how much crores? Like I wanted to compute your scope of work per megawatt in crores?

S.K. Ramaiah: I tell you, the present market rate going is R s.8 crores to R s.8.5 crores. Of course, that is a comprehensive EPC job, it's a en tire solution of a total package . That is en gineering procurement construction. In that, 55% goes to the main plant equipment,. that means almost R s.4.5 crores to Rs.5 crores per mw

And the balance of plant will be around Rs 3.5 crores to Rs. 4 crores. Normally, the construction part of the business , the mechanical equipment for the EPC contract will come to about 10% to 12%, that we can say around R s.80 lakhs to Rs.90 lakhs or R s.1 crores per megawatt.

Now if it further comes down to the base level as a subcontractor, it can be something like , 6% to 8%. Therefore, I can say roughly, suppose if it is -- customer is 80 lakhs to 90 lakhs for BHEL per megawatt for the services portion and the main plant only for the equipment, our portion can be something like 40 lakhs to 50 lakhs per megawatt. Of cours e, in the case of civil, that will add up another 10% to 15% of the EPC contract value based on the scope and how the contracting is done by the EPC player for civil scope of work with material or without material.

That means if customers gives the materia l, like cement, steel, then the overall value of the contract will go to almost 10 lakhs to 12 l akhs per megawatt, , that means, again, it is another 80 lakhs to 9

0 lakhs. I will say both together can go up to almost, equipment, erection, installation and then civil work, structural work, if we add up all these things for the services part of the work at site, out of R s.8 crores, you can take R s.1.5 crores to R s.2 crores per megawat t as overall opportunity .



Now that is as far as the new installation is concerned. Now as far as the O&M portion is concerned, once it comes operations, because all these plants, nowadays customer is outsourcing as a policy .. For that, we can take about R s.10 lakhs to R s.15 lakhs per megawatt. , in that way, opportunities are there for Power Mech in the areas of installation, civil work, structural work once it is commissioned as an O&M work also.

Nirav Vasa: Great, sir. This is really very helpful. Sir, my second question is pert aining to what is the amount of debt that you can borrow to fund your growth? End FY '23, the net worth of the company was Rs.1,277 crores. So if you can help us with the banking limits available to chase this growth?

N Aravind: As of today, we are running with debt of around Rs.499 crores. So we are running around Rs.500 crores fund limits with the working cap lenders, roughly around Rs.50 crores is our equipment loans. So more or less, we are maintaining within the existing limits only and we recently increased the fund limits from Rs.450 crores to Rs.500 crores.

So out of which we are using only a 75% to 80% only working capital utilization we are doing. So we are getting the mobilization advance from the new works, and we are managing the working capital . So, so far, we are not foreseeing any increase in the fund limits. We are maintaining with the existing mobilization advances from the customers.

Nirav Vasa: No, my question was, because the growth can be really very high and sector has seen massive consolidation, the odds of order inflows for your company can increase exponentially. So I wanted to understand what is the maximum capital employed which can come? So Rs.1,277 crores is your net worth. So what is the maximum amount of debt, which banks are cu rrently ready to lend to you, both fund and non -fund?

N Aravind: No, they are working to as long as the rating is good and if my projections are good, in line with the projections, up to 25% of my projections, they are ready to fund. And my top line of 4500 Cr if I'm doing business, they can be able to fund up to 25% of that turnover.

Nirav Vasa: 25%?

N Aravind: We can borrow another Rs.500 crores to Rs.600 crores, it depends on my top line. So we are not planning to raise any debt, and we want to go with the low debt and we are managing mobilization advance .

Nirav Vasa: Right. Sir, other point is like apart from power, what is expected is that the hydrogen -related capex can also increase expone ntially. Any update? Are we chasing that opportunity? How do we intend to get into that entire ecosystem? Any updates can you share?

S.K. Ramaiah : Yes. Actually, the government's plan is to have a capacity of 5mtpa by 2030. Now, already some - pilot projec ts or experimental projects have been started by private players like Adani. Reliance is making a massive investment, R s.75,000 crores, Adani is making R s.75,000 crores. Now, a lot of players are coming up.



Now as far as we are concerned, is a part of the service business. Suppose the total investment comes to 5 million tons need about Rs 8 lac cr then the service portion of the same can become an opportunity for site execution. ,

It can be lakhs of crores of investments . Therefore, again, what I can say i s that in terms of doing the work, civil, structural, mechanical, and piping work, there's no big deal in that. We can easily do that. It is consisting of vessels, piping systems, civil work

, structural work. And some inquiries have started coming, but we have to see it should come in a substantial way. That means pilot projects are coming up, not in a big mass scale.

I think that will take another maybe 1 year or 1.5 year. Once it comes, perhaps that will add up to the additional delta in terms of the oppo rtunity. But we have to work out the real details on that because things are not very clear in the market.

Moderator: We have a next question from the line of Mohit Bhansali from Aryan Group.

Mohit Bhansali: Yes. My question is regarding your MDO. First on e is Kalyaneswari Tasra, which you spoke about. Have you started mining? And when the billing will start? And what kind of coal you are generating, like coking -- it's a metallurgical coal or it's a normal coal? Please, sir.
Rohit Sajja: Yes. Thanks for th e question, Mr. Bhansali. So KT -- yes, Kalyaneswari Tasra is in short known as KTMPL in abbreviation. In KTMPL, we have started mining and we have already mined 80,000 metric tons of coking coal, this coking coal, which is used as raw material in steel pl ants and its washery grade coal. KBP, the second MDO, we plan to start mining in the month of May. So probably by FY -- yes.
Mohit Bhansali: Sir, I'm asking for 80,000, you have already mined and what is the future plan? So you will continue to raise it to what level, sir? I hope you -- you said that you will raise it to 3 lakhs by the end of this year, 3 lakhs tons per month.
Rohit Sajja: We'll be mining 3 lakhs in total quantity, 2.8 lakhs to 3 lakhs in total quantity by March 31, 2024. we plan to ramp up the production to slowly by next financial year, we plan to do 2 lakhs and then 3.5 lakhs because the mine peak rated capacity of the mine is 4 million metric tons per annum. And we are also awaiting the environmental clearance for the washery, for which the Terms of Reference has been minuted and submitted. So once washery is up and running, that's when we want to achieve our peak, which is 4 million metric tons per annum by end of by end of FY '26.
Mohit Bhansali: Okay. So next year we'll be mining arou nd 2 million tons, that's what you are saying?
Rohit Sajja: Yes. Next financial year we'll be mining around 1.5 million metric tons.
Mohit Bhansali: So this will be then what -- because you don't have washery right now, what will happen to that then?



Rohit Sajja: No, we are still billing. We have a different price until the washery gets commissioned. So we expect to raise our first bill in the month of February.
Mohit Bhansali: Okay. Okay. Fair enough, sir. Fair enough. Thank you. Thank you for that comment .
Moderator: Thank you. We have a next question from the line of Riya from Aequitas Investments. Please go ahead.
Riya: Thank you for giving me the opportunity. My first question is in regard to the water projects of the Jal Jeevan Mission. So where are we looking at right now? And post -election, how do we see the traction following up?
N.Aravind : Water projects?
Riya: Jal Jeevan Mission?
N.Aravind : Jal Jeevan Mission. Can you repeat your question?
Riya: So basically, I wanted to have -- yes, water project s, yes.
SK Ramaiah : Yes, madam, of course, overall scenario is like that R S.3.6 lakh crores of the planned government investments st arted in 2019. It may go up to 2025, 2026 also. And as on today, around 14 crores households have been connected . . We are doing in UP , three major projects, about Rs.2,729 crores for about 1,950 villages.
Now some more projects are at bidding stage. We are continuing to be there because we are focusing on the conversion of those orders . Apart from that, many other water proje cts in urban infrastructure, sewage treatment plants, and there is micro irrigation . We already bid, we have still L1 position for irrigation project in Madhya Pradesh for

R s.600 crores including taxes .
Therefore, we find drinking water is a very good mar ket for us. And as the tenders come in different states, for example, Maharashtra, Madhya Pradesh, then Tamil Nadu and Karnataka and other projects also, we will definitely go for that. We'll try to see what more we can do in this segment .
Riya: Got it. Bu t I was asking more in terms of post -election. So we see a slowdown in ordering?
S.K. Ramaiah: No, we are...
Sajja Rohit: Riya, can you repeat your question?
Riya: I was asking in terms of post elections; do we see any slowdown? Or are we seeing any slowdo wn right now in ordering? I'm sure the execution pace has picked up.



S.K. Ramaiah: No, I don't think any of the projects –can slow down , what we have done now 17,595 cr order backlog, what we are having, all the projects are in progress. We are not seeing stoppage of the work or slowdown of the progress or local issues. As on today, it's not there. Everywhere the customers are outsourcing the projects aggressively. That type of any major hiccup we have not

noticed. We continue to believe that all these proj ects will come up.
Riya: And currently, what does the pipeline look like ?.
S.K. Ramaiah: Yes, there is an L1 status of roughly around R s.1,900 crores. Of course, the FGD area where we stand L1 for the Go enka Group of projects about 1,9 50 megawatts , around Rs.970 crores, we continue to pursue it. They are seeking extension s. And then there is an Irrigation project of Rs.600 crores , in Madhya Pradesh. And then a railway project is also there. The only thing we hope if elections doesn't come in a way, perhaps we can get some more orders in the current year.
Apart from that, the ongoing process, we have got about R s.5,500 crores of offer s submitted out of the total immediate opportunity of R s.15,000 crores in infrastructure, in railways and then in power, etcetera. But we have to see how much we can get it converted immediately. But next year, as I told earlier, we can easily track projects -- opportunities of R s.40,000 crores to Rs.50,000 crores, , if not more.
Riya: Got it. That's very encouraging. That’s it from my end. I will join the queue for the questions.
Moderator: Thank you. We have a next question from the line of Anupam Gupta from IIFL Securities. Please go ahead.
Anupam Gupta: Good evening, sir. A couple of questions. Firstly, the guidance which you said that next year, you're looking at 30%, 35% growth, that is basically only for EPC business right? So, what you are saying is, the guidance of 30% -35% growth which you talked about for FY25 that is prior to including revenues for mining or that in clude revenues for mining?
N Aravind: That is including everything, sir. The margins depends on the mix of FGD and mining, that's what I have told you earlier. Should be between the range of 30% to 35%, including the variation between the FGD and mining. D epending on the mix from FGD and mining...
Anupam Gupta: No, I'm not talking about margin, I was talking about the revenue growth, which you said, 30%, 35%.
N Aravind: Regular business, yes -- see, this current year, so far we have almost 20% year -on-year growth. 25% we'll touch this year. And we received the more order book during the current year and additional new works also we received during the current year. So we are targeting 30% to 35% plus including FGD .


S.K. Ramaiah: Anupam, this R s.17,000 crores of backlog, 40% conversion if we can take 35% to 40% that is [Rs.6,000 crores.]
Anupam Gupta: Understood. Yes. Understand. If you -- can you just update on the status of the FGD project or the Adani, which is somewhere around R s.8,000 crores of the total R s.17,000 crores. What is the status as of now?
S.K. Ramaiah: Yes, I thin

k the order Udupi project. Now another R s.250 crores -- I think we have done almost Rs.1080 crores of ordering. Another Rs.200 crores of ordering will happen in this month, if possible. Therefore , that will up some modest conversion this current year.
N Aravind: in Q3, we have recognized around Rs.117 crores we recognized, sir. And whatever the orders we have placed on the cus tomer, we may recognize some FGD orders by before March.
Anupam Gupta: So basically, this part of the Adani order book will get executed over FY25 -FY26 fully? Or what is the timeline you're looking at?
S.K. Ramaiah: Udupi project is going strongly of 2 x 5 25 megawatt. Now out of the total 8,460 megawatts, we have t o see in other projects. And there are so many other issues, environment, and then local clearances and PPAs also. I think this is one of these things because they need to have a delta of PPA for the e xisting power purchase agreements and that should re flect some factor in that. And that is where FGD is facing some hiccups yes. And then engineering integration because it's retrofitting which has to be done in a confined space, it is taking more tim e.
Anupam Gupta: Okay. So ideally want to look at a three -year sort of execution from now? I think that should be a reasonable assumption?
S.K. Ramaiah: Yes. We can be there for Udupi, it is going strongly. We have to see how it shape s up for other projects also. Some sor t of waiting for so many aspects , in the clearances, engineering, retrofit issues, and then the PPA issues. There are so many things are there, that's why a little bit of slowdown can be there.
Anupam Gupta: Understood. And sir, coming to the mining side of it. So, Rohit highlighted the target production for Tasra mine, which is 1.5 for next year and possibly reaching 3.5 in FY26. What should one -- what are you targeting for the CCL mine in terms of product ramp -up over the next two, three years?
Sajja Rohit: Hi, Anupam. So CCL, so we plan to break ground in the month of May and perhaps the first year's contracted quantity is around 400,000 metric tons, and we will achieve 400,000 to 450,000 metric tons in FY 25. And the year next to -- in FY26, the contracted quantities are around 1.5,

and we plan to do around 1.6 to 1.7. So there is a ramp -up schedule for this -- ramp -up schedule.
And then the subsequent year is around three and the peak rated capacity is five, which we are going to do in two and half to three financial years from today, which is FY27 is when we


achieve 5 million metric tons per annum. But yes, CCL is on its way, we'll start producing the first batch of coking coal and we sell it to CCL starting July onwards .
Anupam Gupta: Understood. This is useful. And one question on the international projects which you are taking, so you have the projects that you have added, and you're looking to take big steps in Saudi as well. So those would be on the same lines as you did historically right? So basically, it is an ETC contract which you are looking to do and not material risk on your books, right?
Sajja Rohit: No, no, no. It's only ETC. We don't plan to venture out into the civil or any of the transmission and distribu tion space at the moment. All we want to focus on is ETC plus O&M, ETC plus O&M in all the sectors that we are present at. It's predominantly power and oil and gas.
Anupam Gupta: Okay. Thank you, sir. And that’s all from my side. Thank you.
Sajja Rohit: Thank you.
Moderator: Thank you. We have a next question from the line of Mohit Bhansali from Aryan Group. Please go ahead.
Mohit Bhansali: Yes. Thanks again for the opportunity. Sir, I just want to -- you told me that in KTS, you are going to mine in a big way in the next one or two years, but your washery is still -- you're going to get the approval. I came to know that BCCL has just opened one big washery very near to your mine, that is known as Madhuban Washery. So management have any plan to send their coal like outsourcing for washeries to get the coal washed and again send back to the principal?
Sajja Rohit: Yes. Mr. Bhansali, so the -- our contract says that we cannot use any outside washeries to wash the coal until we construct our washery. So there i s a Chasnalla washery. And we are aware of this Madhuban. I think it's internal to SAIL on what they do with this coal. So what we are currently doing is we are stocking it up at stockyard and now we have to deliver it at Chasnalla washery. Initially, if i t's any other washery until we construct the washery, then we'll have to decide it – SAIL has to decide internally, let us know. If it's away from Chasnalla more kilometers, it will be compensated as well.
Mohit Bhansali: Okay. And sir, once again, you sai d that next year from Tasra, you're going to mine around 1.5 million ton to 2-million -ton coal. Is that correct, sir?
Sajja Rohit: That's 1.5 to 1.6.
Mohit Bhansali: Million -ton next year. So it will be around 1 to 1.5 tons every month -- per month?
Sajja Rohit: 1 to 1.5. Yes, yes, yes -- 1.5 lakh, 150,000 metric tons per month -- million metric tons per month.
Mohit Bhansali: Okay, okay, sir. Thank you for my queries. Thank you.


Sajja Rohit: Thank you.
Moderator: Thank you. We have a next question from the line of Subrata Sarkar from Mount Intra Finance. Please go ahead.
Subrata Sarkar: Thank you. My question has been answered. So, thank you.
Moderator: Thank you. We have a question from the line of Sabyasachi Mukerji from Bajaj Finserv AMC. Please go ahead.
Sabyasachi Mukerji: Yes. Hi. Thanks for the opportunity. My first question is, you have currently about Rs.8,500 crores of order book in the civil business. And similarly, if I look at the Erection segment, almost against R s.7,500 cr ores kind of backlog. What is the expected execution timeline over here? And do we have capacity to execute at such pace?
S.K. Ramaiah: Yes, I think this is doable based on the resources. We are having -- the headcount itself is 32,000. In that, of course, 10,000 to 12 000, we can take it for the O&M side, balance 20,000 head count , they are mainly focused on civil, structural, mechanical and EPC jobs. And then the cycle time on all these projects, based on the ordering what they have done is, it varies from 30 to 42 months, 40 months, something like that, average you can take over t hree years.
Therefore, if you look at the order backlog as of today, for the civil and mechanical work together, it comes to around R s.16,000 crores. Therefore, what we have done, peak in many of the EPC business and civil work we entered somewhere in 2012 to 2015, a lot of orders came adding up and a lot of capacity -- annual ly, the capacity increase happening at that time of about 15000m w/year in the power sector . Therefore, at that time Power Mech played a major role.

In fact, today, the largest number of the ultra -critical projects we have installed about 27 units
across the country we have executed. And also, as I told earlier, we have got integrated approach
of doing civil, structure, mechanical, EPC and the post -commissioning O&M also. So we get a
lot of synergy in terms of resources, and then capital equipment , experienced manpower etc &.
and this is perfectly doable for us.
Sabyasachi Mukerji: Okay. You said close to three years, that is almost 36 months, 12 quarters. So basically, if I just
do a s imple math of what would be our quarterly run rate in 12 quarters, you have to probably
execute R s.16,000 crores to R s.17,000 crores, which boils down to somewhere around R s.1,300
crores to R s.1,400 crores quarterly. Is my math correct?
S.K. Ramaiah: Yes, you are perfectly correct because t

he last month, we achieved R s.1,100 crores. Now this
month -- this quarter for us, it will go to R s.1,400 crores to R s.1,500 crores. And now, of course,
in the last two quarters -- you get a better output and better results because of all ideal conditions.
Now taking that R s.1,200 crores to Rs.1,300 crores is doable because of the enhanced order
backlog, it will go up to 20%, 25% to each year.


And with the conversion also, it will improve. And, in fact, it will add up to our better utilization
of the assets, manpower and equipment also. That is a positive thing for us with this type of
conversion for us.
Sabyasachi Mukerji: Got it, sir. My next question is on the guidance. Just to clarify, you gave a guidance of R s.4,500
crores of revenue for FY24. And on top of that 30% to 35% growth in FY25. Did I hear it
correctly?
S.K. Ramaiah: Yes, sir.
Sabyasachi Mukerji: Yes. Okay. So the follow -up to this thing is that you have currently about R s.17,000 crores of
order book, if I exclude the MDO contract. And let's say, you end around the same number,
Rs.17,000 crores, R s.18,000 crores of order book in FY24, that becomes the opening order book
for FY25. If I do a 40% kind of a conversion, it comes to around R s.6,800 crores or so mething
around R s.7,000 crores, which is, again -- I mean the growth number then it is very big if I look
at from FY24 to FY25. Where am I missing?
S.K. Ramaiah: Yes, yes. I think there are many large orders for us, railway orders then for example, road s ector
orders. Even the capacity -- the order size of the installation business has gone up. For example,
Adani have this R s.825 crores, BHEL R s.350 crores. What we used to do, R s.100 crores, R s.150
crores orders, it has doubled up, tripled up. Therefore, that gives on the shorter cycle time, more
packages in the same period, civil, structural, mechanical. And then with the common
establishment, it is doable.
N Aravind: So with Rs.4,500 crores, a ssume that FY24 is my turnover, then 30% it will be around below
Rs.6,000 crores. So my order book as of today is around Rs.17,000 crores even if you reduce
Rs.6,000 crores of FGD. Further, I may have to add another Rs.2,000 crores to Rs.3,000 crores
of or ders expecting to receive.
Around Rs.12,000 crores, I said in my opening remarks also, we generally do on the one -third
of my order book as a turnover every year we are executing. So it's easy, we can be able to reach
this number. And again, MDO operations also will add to this number.
S.K. Ramaiah: And the next year order booking also will come. First two quarters, whatever orders booked,
that will come for conversion in the third and fourth quarter also.
Sabyasachi Mukerji: So we can hit around R s.6,000 c rores FY25 ballpark?
N Aravind: Yes. That's what we are targeting, sir. 30% of the current whatever the turnover we are going to
achieve in FY24. Even if you take Rs.4,500 crores as a minimum, then on that, Rs.5,850 crores
will be my top line number for th e next year.


Sabyasachi Mukerji: Got it. Last question from my side. What -- all these revenue numbers, what it will kind of have
an impact on the margins? Do you have -- I mean we'll see some bit of operating leverage, how
the margin should move?
N Aravin d: Sir, we are more or less maintained Q2 and Q3 margins at the same level. And compared to the
previous year, there is an upside increase of 30% margins. Depends on the mix of FGD and the
mining, probably the margin will go up. Otherwise, we do not forese e any drop in the existing
margins, it will continue at the same level.
Sabyasachi Mukerji: Okay. That's it from my side. Thank you, all the best.
Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities. Please go

ahead. Give me a mom

ent please. Mr. Gupta? Please go ahead.
Anupam Gupta: Yes. So, sir, just wanted some clarity on the capex. So what is the capex you'll do for the EPC business? And what is the capex, which will go towards the mining business in FY24, FY25 - FY26?
N Aravind: With reference to washery is concerned, approximately around Rs.690 crores, which we projected the capex -- total capex, out of which Rs.240 crores, we raised funds through QIP. And balance Rs.450 crores, we are raising a loan at Power Mech level. So by over a period of '26, the major capex requirement will be around Rs.690 crores for the washery itself.
Apart from that, SPV level, we are raising funds f or the H EMM requirement and other plant requirements. we have already procured the machinery and the mining activity is going -- it depends upon the requirement of the site, we may raise additional equipment's at SPV level.
Anupam Gupta: Okay. So let's say, if I look at the consolidated level, what will be the yearly capex, which you are budgeting broadly including SPVs and the EPC business?
N Aravind: EPC business level, Rs.690 crores is the capex requirement. And at the SPV level, then it depends upon the availability of land and other issues , we can fund through internal accruals, there is no challenge in raising the loans at SPV. At this juncture we are not incurring any major capex at SPV leve l.
Anupam Gupta: Okay. That's it from my side. Thank you.
Moderator: Thank you. We have a next question from the line of Riya from Aequitas Investment. Please go ahead.
Riya: Hello. Thank you for the follow -up. I would like to ask what is the current portion for international orders for us?
N Aravind: Rs.113 cro res.


Riya: Sorry?
S.K. Ramaiah: Rs.113 crores backlog as of today.
Riya: Rs.130 crores?
S.K. Ramaiah: Rs.113 crores, 1 -1-3.
Riya: Rs.113 crores backlog, okay. And currently, in this quarter, you see that order intake on O&M has increased significantly. So what would be the top major orders that we received during the quarter?
S.K. Ramaiah: Yes, there are man y orders received in Q3.
Riya: Any major ones?
N Aravind: Yes. We received one Ghatampur Thermal Power project around Rs .263.57 crores. Meenakshi Energy, around Rs.675 crores, And from Rajasthan , we received 2 x 91.5 megawatt Dariba, Udaipur, Rajasthan -- Hindustan Zinc, around Rs.229.2 crores.
Riya: So going forward, with the increasing contribution from O&M and with highe r share of mining and new orders coming into our numbers, what kind of margins are we seeing for the upcoming quarters and next year?
N Aravind: With reference to MDO operations are concerned because initially, there will be a low revenue and cost will be less. there's a change in the mix during next year. It depends upon the mix between the FGD and the mining. Probably we can be able to tell you detailed guidance after Q4.
Riya: Got it. Thank you so much. My questions have been answered.
Moderator: Thank y ou. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.
S.K. Ramaiah: I thank for your participation and the very interesting questions asked. I thin k we have -- continued to be bullish with the growth what Aravind has brought about and there are many developments Rohit has explained on the MDO and also international operations. I think the NIP, which is contributing immensely for the opportunities, Nat ional Infrastructure Pipeline, both in infrastructure, power sector, energy sector.
And then which is getting converted and perhaps most of the customers and even investors, they are very bullish on all these investments with projects being followed for aggressive implementation. We feel this profitability growth, EBITDA, enhancement and then the order

backlog enhancement will continue to play in our operations. And one advantage for us,

obviously, is that the more and more projects commissioned in the powe r sector, for example, 27,000 megawatts of power projects are under implementation.
And that will come with some sort of O&M opportunity to come next year also. That's why we have seen almost R s.2,000 crores of O&M orders coming as on today, which is a huge jump in our order booking in the O&M. And also the sp urt in the orders what we've got in the installation business and the civil work s also, for the power plant -- that is what we expect to continu e to be there in the coming years, at least two to three years.
Moderator: Thank you, sir. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

# Call: May 2024

-~ ,~WETYANAN ISO 14001 :2015,1509001 :2015 &ISO 45001 :2018 CERTIFIED COMPANY
Phone:040-30444444 ,eN
Fax:040-30444400
E-mail:info@powermech.net
Website:www.powermechprojects.comRegd.&Corporate Office:
Plot No.77,Jubilee Enclave,Opp Hitex,
Madhapur,Hyderobod-S00081
Telangono,India
CIN:L74140TG1999PLC0321S6 M457Q9101NJAS-ANZ"&!POWER MECH PROJECTS LIMITEDEncl:AjaMohith Kumar Khandelwal
Company SecretarySincerely,
For Power Mech Projects limitedThisisfor yourinformation and nec essaryrecords.Thetranscriptisalsouploaded on theCompany'swebsiteat www.powermechprojects.comPursuantto Regulation 30 of the SEBI(LODR)Regulations,2015,pleasefindenclosed the
transcript of theEarnings Call for Q4 Resultsof FY2023-24held on Fr iday,the 24thday of
MaY,2024 at 3.00PM(1ST).Ref:BSEScrip Code :539302,NSESymbol :POWERMECHSub:Transcript of the earnings call for Q4 FY2023 -24Dear Sir/Madam,To
NationalStock Exchange ofIndia Ltd
ExchangePlaza,
Bandra Kur laComplex,Bandra (E),
MUMBAI -400051To
The CorporateRelationsDepartment
SSELimited,
P.JTowers,DalalStreet,
MUMBAI -400001Date: 29.05.2024GrowthUnkmoted..
WJPOWERMECH.

POWER MECH
growthunlimi1edPOWER MECH
growth unlimited


“Power Mech Projects Limited
Q4 FY’24 Earnings Conference Call”
May 24, 2024



MANAGEMENT : MR. S.K. RAMAIAH – DIRECTOR, BUSINESS DEVELOPMENT – POWER MECH PROJECTS LIMITED
M R. ROHIT SAJJA - PRESIDENT , BUSINESS DEVELOPMENT AND OPERATIONS – POWER MECH PROJECTS LIMITED
M R. N. ARAVIND - CHIEF FINANCIAL OFFICER – POWER MECH PROJECTS LIMITED

MODERATOR : MS. NATASHA JAIN – NIRMAL BANG EQUITIES



Moderator: Ladies and gentlemen, good day, and welcome to Power Mech Projects Q4 FY '24 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Equities. Thank you, and over to you, ma'am.
Natasha Jain: Thank you, Steve, and good afternoon to all participants. Nirmal Bang Institutional Equities

welcomes you all to the Fourth Quarter FY '24 Earnings Conference Call for Power Mech Projects Limited.
From the management team today, we have Mr. S.K. Ramaiah, Director, Business Development; Mr. Rohit Sajja, President, Business Development and Operations; and Mr. N. Aravind, Chief Financial Officer. I now hand over the call to the management for opening remarks. Post which, we can take questions from the participants. Thank you, and over to you, sir.
Nani Aravind: Thank you, Natasha Jain. This is Nani Aravind, CFO of Power Mech Projects Limited. I have with me S.K. Ramaiah, Director of Business Development and Mr. S. Rohit, President, BD and Operations. I welcome you all to the earnings call quarter 4 and 12 months of operations of FY '24.
The reported total income for the quarter 4 financial year FY '24 is INR1,312 crores against INR1,183 crores in Q4 FY '23, an increase of 11% year-on-year. EBITDA is around INR160 crores as against INR140 crores, a growth of 14%, and PAT is INR84 crores, which has grown by 12% compared to INR75 crores in Q4 FY '23.
The revenue mix for quarter 4 FY '24 is as follows:
Mechanical business has contributed INR176 crores versus INR148 crores in Q4 FY '23, showing an increase of 19% year-on-year growth. Civil business, including railway water distribution, contributed INR766 crores versus INR761 crores, almost flat. O&M revenues of INR350 crores against INR247 crores in corresponding period last year, registering growth of 43%. And electrical business, INR6 crores versus INR18 crores, a decline of 66%. Other income, INR10 crores versus INR9 crores in Q4 FY '23.
During quarter 4 FY '24, the distribution between domestic business and international business is 90% and 10%, respectively. Contribution from power sector remained at 49% and non-power contributed 51%.
Performance for the financial year '24.


The reported total income for FY '24 stands at INR4,234 crores against INR3,618 crores reported in FY '23, showing a growth of 17%. The EBITDA is INR524 crores as against INR421 crores, grown by 25%, while the profit after tax came at INR248 crores against INR209 crores in last year, clocking a growth of 19%.
Revenues from mechanical business were around INR692 crores versus INR606 crores in FY '23, showing a growth of 14%. Civil business, INR2,352 crores, (including MDO revenue of INR41 crores) versus INR1,995 crores in FY '23, grown by 18%. O&M revenues rose by 18% to INR1,109 crores as against INR930 crores in FY '23, and electrical business, INR53 crores against INR69 crores in FY '23, a decline of 24%. And the mix between domestic and international business is 92% and 8%. And the power and non-core business contributed equally FY '24, with 51% and 49% contribution, respectively.
With a better deployment of capital improvement in margins, the operating cash flow for the period is positive by INR204 crores. Net current days have come down to 112 days in FY '24 from 131 days in FY '23 due to increase in the realization of bills.
The debt levels are in control. As on 31st March 2024, the gross debt

is around INR388 crores,
and the net debt stands at negative INR155 crores. The debt equity ratio as on 31st March 2024 stands at 0.21 times. Order book status in the financial year '23, '24, the company has secured orders worth of INR8,759 crores, as against the set target of INR10,000 crores. The order backlog as on 31st March 2024 is around INR57,053 crores. If we exclude the 2 MDOs, the unexecuted order book stands at INR17,362 crores.
Improvement is also seen in overall margin profile. EBITDA margin has gone up from 11.62% in FY '23 to 12.37% in FY '24.Expectations for FY '25. Power Mech is well set to demonstrate execution and conversion in the range of 38% to 40% of the opening order book. In addition to that, revenue from MDO business also ramping up. There is a little bit of slowdown in some areas due to prolonged election schedule. We'll keep a conservative revenue growth target of 30% for FY '25. On the margins front too, the direction is on the upside. We will witness further improvement in FY '25. We will be close to achieve our peak margin levels in this year. Once the MDO revenue peak during FY '26, the margin profile will see a market increase.
On the order book side, we have set a target of INR12,000 crores for financial year 2024-25. Our focus will continue to be in industrial plant, operation and maintenance, railways and water. Going forward, O&M and MDO business will provide stability in revenues as well as margins in a significant way.
Now I request Mr. Ramaiah to update on the developments.
S.K. Ramaiah: Yes. Thanks everybody and good afternoon. As Aravind has given us the numbers on the revenue and then the present state of these operations, so we are happy to say the market is on

bullish side and hoping the elections will take a positive turn. And in spite of the certain developments of the elections and all, we have done pretty well in the fourth quarter.


Now the order backlog has gone up from INR13,733 crores compared to last year to INR17,362 crores for 23-24. This is a growth of 26%, mainly driven by the civil side, O&M and Electrical. The backlog on Civil side increased from INR 6136 Crores to INR7,814 crores, an increase of 27%. But what is very interesting thing is the O&M side has taken a quantum jump. From a backlog of INR600 crores last year, it has gone up to INR2,197 crores, almost 266%.
And electrical also has come to life in a big way, mainly in the many jobs taken on the railway electrification jobs. The backlog has gone up from INR118 crores to INR930 crores. So that is a very positive thing in terms of the overall growth. Of course, mechanical, there is a small de growth, from INR6879 crores, to INR6421 crores . But in the case of the power and non-power, the backlog is INR11,145 crores for power. Non-power is INR6,217 crores. That ratio is continue to be in favor of the power side as on today(64% Power and 36% non-power)
Now what is important is we expect positive things in terms of investments and then a lot of projects are coming. In fact, we expect at least INR60,000 crores to INR70,000 crores of opportunities to be focused in this year on a regular basis in various sectors. And some of the positive things can be the power sector which is taking a quantum lift in terms of the gaps to be filled up in investments and installation are adding about another 60,000 megawatts from 218 kilo watts to say 280 gigawatts.
Already, BHEL have got a lot of orders in terms of new units coming up and , there were INR70,000 crores of orders with new capacity of of 10,640mw. Now the ongoing projects are about 25,000 megawatts. Now if that has to be bridged, at least another 40,000 megawatts on priority ordering has to be done, particularly by various developers, by the utility companies like NTPC, DVC and then private companies apart from State Utilities also. Therefore,

that is where
we expect a lot of order flow will happen in the power sector for new coal based power plants..
And then there is another important development that has happened. To just see how it can happen, apart from the identified projects in various power plants, NTPC plan for more than 13000 megawatts. Another utility is DVC, then , MPGC, Madhya Pradesh Generating Board, , then , Gujarat State Electricity Company and also UPVRNL for new plants . All these companies are also planning capacity expansion including Coal India.
For if these initiative mature, maybe the investments can go up to INR3 lakh crores to INR4 lakh crores additionally for the power side investment, and that should give lot of opportunities for PMPL .
We have got a lot of say in power sectors with our end-to-end solutions in civil, structural, mechanical, electrical, and even O&M also,. Now apart from that, the other infrastructure projects, what is very important is the investments in railways. In fact, railways and metro jobs , we have done extremely well. In fact, presently, we are expecting projects of INR2,500 crores. And with three new projects of INR1,280 crores in South-eastern railway and the Central railway. That has got both the civil and track laying and also electrical component to the


business. And then the new maintenance depots and infrastructure to be developed with various railway projects and then even for the metro projects also. Because now we have got experience of doing the metro project related to maintenance depot, it's going pretty well in Bangalore, INR427 crores. And type of projects, more and more projects will come up. In railways, we have seen last year the government allocation of budgets at INR2.5 lakh crores, and they will make a huge jump in the investments for the railway and the roads also. Lot more investments are happening.
For railways, roads, balance of the drinking water with nearly INR15 crores households have been penetrated as of today. We are doing a major job in UP of INR2,726 crores, and we continue to have opportunities in Madhya Pradesh, Maharashtra, Karnataka and Kerala also. Railways, then water systems, then urban renewal projects and sewage treatment plants the investments will continue
Then, apart from this, there is a major opportunity coming up in the private sector also in oil and gas sector and other sectors also. Therefore, and then there is one more area in the power sector what I would like to say, about 11,000 megawatts of plants are getting revived. We are already working on the ongoing revived projects at Angul 1050mw Atherna(1200mw),

Meenakshi(1000mw) megawatt where we have taken jobs.
Now Amarkantak that is a 1,320 megawatts and then KSK, that is Mahanadi Project, also 3,600 megawatts are expected to be revived. For all these projects revived, that also adds up to the opportunities, apart from the new capacity additions.
Now, on the O&M side, the product mix has improved for the better, in terms of O&M order backlog. Major orders we have taken in Hindustan Zinc captive power plant of 182mw for Limited, INR229 crores, and then INR674 crores in the revived project in Meenakshi, which is of 1,000 megawatts, and Vedanta group involved in these two plants .
And then, the new projects which are going to be commissioned in Ghatampur, and then right through 2x800 megawatt KPCL Raichur project ( Rs 163 cr, Ghatampur 3x660 megawatt of NLC(264 cr. Therefore, as the new projects get commissioned, the opportunity not only in the installation side and construction side, but the O&M side also will come up. And in the present, scenario unless, you know, the capacity addition goes up to 8000 to 10,000 megawatts per year, they cannot reach the 280 gigawatts by end of this decade to have a grid stabilization needed for the safety of the grid .
So, overall, what we can

say is that, last year order booking was INR8,758 crores. We are aiming at nearly INR12,000 crores in this year. And then, that should be seen in the context of the new government coming up, and the more focused investments in infrastructure and also private sector investments. And it's expected a lot of private sector investments also will come up in various sectors.



And now, Power Mech is a highly diversified group into various sectors; infrastructure, construction, EPC jobs. Another important development is taking place is in the EPC sector, because what the government is feeling is that, particularly they have to see that the power sector jobs should go in a faster development mode. With some restructuring of major Power plants bidding instead of single EPC, to go for the Main plant and the Balance of Plant packaging and should provide more opportunities for larger share of the market.
And now, we have bid recently for the -- complete balance of plant for the Singreni 1x800mw Singreni plant in Telengana state based on the qualifications BHEL has provided, and BHEL will give a complete back-to-back if it takes shape finally. And then, there are a couple of other projects also will come up on similar lines. This can be considered as a quantum jump in Powermech’s new initiative for the Balance of Plant packaging tenders expected in future also
Even NTPC is planning a change in the contract structure between BOP and the main plant work, so that they can have better control and execution through the subcontracting mode. And many other customers also, like DVC also is planning. And then, with these opportunities for us, bigger size of the power projects can come up, and that also improve the opportunities for us.
Thank you very much. I request Mr. Rohit, President BD, to give an update on the mining and other sectors.
Sajja Rohit: Thank you, Ramaiah sir. Good afternoon, everyone. I'll give a quick update on our mining activities. Coming to the two MDO projects that we're executing currently, the first MDO we have in terms of -- there were a lot of developments that took place over the last one year.
The first MDO project, which happens to be Kotre Basantpur. We have achieved forest clearance -- Stage 2 forest clearance on the 14th of March this year, and we have already obtained a clearance to take possession of lands over the next three months as well. So the request letter has been submitted to CCL for the declaration of the appointed date, which we are expecting to receive by end of this month also.
And we anticipate the mining activity starting from tree felling and overburden removal to start somewhere in the month of September. So the first revenues from this mine are going to start flowing in from Q3 of this financial year as well.
Coming to the second MDO, Tasra that we won with SAIL. We have achieved a production of around 2.88 lakh tons and dispatch of the same has started to SAIL. And the target for next year is around 1.45 million to 1.5 million metric tons, which is pretty achievable. We have also made a lot of progress with respect to the R&R Colony in the second mine.
Phase 1 of R&R Colony, we have to construct 190 units in 4.5 acres of land, and we are 70% through this process. And Phase 1 should be completed over the next three months. So this is an update with respect to both the mines. And I would also like to take this opportunity to summarize and highlight a few of our achievements over the past financial year.

So this year, we have entered into our Silver Jubilee, and our Silver Jubilee year has also coincided with PMPL achieving highest ever revenue, highest ever EBITDA and highest ever PAT. And we have also achieved the highest ever order booking this year. And the international business has shown strong growth, and it a

lso looks promising. International O&M has grown by 55% compared to FY'23 to FY'24. And we have successfully raised funds for our mining projects by way of QIP, and our credit rating has improved from A to A+.

Thank you. And we can go ahead with the Q&A.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Mohit Khanna from Purnartha Investments. Please go ahead.

Mohit Khanna: Thank you sir for taking my question and congratulation on a good execution here. I had a question regarding the O&M segment. Your O&M order book has reduced to 3.5 percentage if I consider the MDO contracts as well. So what gives you confidence that the margins improve -- should improve from here this is my first question.

And secondly, what are the margins on the MDO contracts if you could just give me a ballpark, that will be helpful.

S.K. Ramaiah: Yes. One is the renewal of the projects that is going on whenever it comes, but what is important is that the -- how the new projects, new O&M projects what we have taken, I told you. That will have subsequently better margins Hindustan Zinc Limited INR229 crores, then, Meenakshi INR674 crores, Ghatampur and then KPCL. Power Mech has got a huge expertise and experience developing over the last more than 10 years in O&M.

And that should help us in seeing that the improvement actually O&M is a good business for us and with the improved order bookings and with better orders taken the margins profiles should improve and ,Another important development is that the drinking water scheme, what we're executing, we have done out of INR2,726 crores, we have done about INR1,300 crores.

Now once these villages are getting 100% completed, there is a separate order which is the part of the original order which was not captured earier . Now we have captured it of INR681 crores that has got an installation scope for facilities and then with completion of the facilities that also will come as a revenue stream for O&M operation for the next 10 years. Perhaps annually we can expect about INR60 crores to INR70 crores with better margins on the O&M order of Rs 681 cr for the Drinking water schemes being executed in UP.

And therefore and there's new projects which will be commissioned. Perhaps 25,000mw ongoing projects in the power sector will come from commissioning. Therefore, that also we are also targeting many new projects. The other O&M jobs are related to plant overhauls and then more than that the shutdown jobs and then the international business also is looking up for the O&M. Rohit is concentrating a lot of that that will add up to substantially to the AMC jobs.



Mohit Khanna: For FY '25 what should be our target for order bookings in the O&M segment?

S.K. Ramaiah: O&M we can say around INR2, 000 crores we can keep it.

Mohit Khanna: Fair enough, sir. And what are the ballpark margins for the MDO segment?

S.K. Ramaiah: Rohit?

Sajja Rohit: MDO, so we have two mines here. The first mine, Kotre Basantpur which doesn't include a washery. We are expecting an EBITDA of 18% to 20% once we reach peak rated capacity. And the second mine, SAIL one, we are expecting to do an EBITDA of 27% to 30% once we reach peak rated capacity which is 2 years from two financial years from now.

Mohit Khanna: Fair enough, sir. But when I see the numbers for Thriveni, Sainik and other guys those margins look quite low as compared to what you just quoted. So is there anything that I'm missing over there?

Sajja Rohit: No, I'll tell you because if you looked at our pattern in taking both of these MDOs, we have only focused exclusively on coking coal. These are both coking coal MDOs. All the other MDOs that mostly is the coal MDO less stripping ratios usually have EBITDA of 15% to 20%. People play around that regi

on.

But since, one, we have a high stripping ratio here and also there are some risks with respect to R&R which automatically – innately get added to the margin profile. That's the reason to have better margin.

Mohit Khanna: And any target revenue on the feed capacity for MDO business in FY '26? What should be our revenue from the MDO business?

Sajja Rohit: FY '27 is our peak. FY '25, '26 -- yes, FY '27 is our peak, revenues will be...

Management: 4 MTPA roughly around translates into...

Sajja Rohit: Translates to INR1,800 crores to INR1,900 crores, sir. Both MDOs put together with the washery area. Price escalation it will come to INR2,000 crores.
Mohit Khanna: Thank you.
Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investment. Please go ahead.
Pritesh Chheda: A few clarifications from your comments. So the MDO revenue booking on Coal India will start from quarter 3, right?
Sajja Rohit: Yes.


Pritesh Chheda: And the sale you have given a 1.5 million ton target of production that is also for FY '25?
Sajja Rohit: FY '25, yes.
Pritesh Chheda: So both these MDOs will start generating revenue this year?
Sajja Rohit: One already started.
Pritesh Chheda: One already started. Yes, yes.
Sajja Rohit: For the last year, we booked around INR41 crores. And this year we will do this 1.45 million to 1.5 million metric tons in FY '25. And KBP, the first MDO, is also going to start generating revenues from Q3 onwards.
Pritesh Chheda: Then you mentioned 30% revenue growth for FY '25 as your company target?
Nani Aravind: Yes.
Pritesh Chheda: That includes this revenue coming from the MDOs?
Nani Aravind: Yes.
Pritesh Chheda: How much have you assumed there on the MDO?
Nani Aravind: INR300 crores, we assumed, from both the mines together.
Pritesh Chheda: Okay. Will you make any EBITDA at this INR300 crores?
Nani Aravind: yes KBP mine is newly starting operations during the FY 25, so initial overheads will be there. and the Tasra, we can generate EBITDA margin in the Tasra.
Sajja Rohit: Yes, we can expect some EBITDA sir from both of these mines. But not the PRC, not the peak rated capacity EBITDA. Definitely, I think it will be -- the EBITDA is also going to ramp up with the ramp up -- ramping up of capacity. So initially, I think the first 2 years, KBP, you cannot really -- it will be in the range of 11% to 13%. And Tasra will be in the range of 14% to 16% EBITDA.
Pritesh Chheda: So I was just wondering whether you're mentioning margins will expand this year. So there is some EBITDA margins on this MDO business. And on the mix side, you will see some improvement coming from the O&M, right, in your overall revenue mix?
S.K. Ramaiah: Yes. Because of the better backlog of order.
Pritesh Chheda: Because of the better backlog. Will that push up the margins?


Nani Aravind: There's slight improvement in EBITDA margin, sir, not a big way, because right now, in the current year also, we are having 26% mix of O&M. So we are expecting the same O&M mix in the projected turnover also. And being MDO mix will be varying from 1% to 5%, so overall, there is a slight increase in the EBITDA margin, maybe by 0.3% to 0.4% percentage ratio probably around 12.6%, we will achieve the EBITDA during the FY '25.
Pritesh Chheda: And my last question is on the Adani order progress of FGD. What is the progress there? Because that's a INR5,000 crores backlog in your INR17,000 crores?
S.K. Ramaiah: Yes, I think the Udupi project is taking shaped well. Already, revenue has started coming there. There will be substantial progress. About INR1,200 crores of ordering has been done up on the Udupi project for major portion and also for engg and some supplies of Tiroda and Kawai also. And at Udupi , the work has also started on site works. The

site has been fully mobilised for various site works. We expect at least INR300- 350 crores of revenue on that. The only thing, the other projects, there are, as usual, maybe , local issues and then and then fitting up the layout as usually needed in all retrofit jobs. There are other layout issues can be there. Apart from that, some PPA issues also can be there. These issues are taking some time for resolution. But Udupi is going to be taken up. Perhaps the end of third to fourth quarter, things would improve for the other projects also.
Pritesh Chheda: So I didn't understand, sir, out of INR5,000 crores, how much is executed? How much will get executed this year?
Nani Aravind: So the FY '25 is projected around INR305 crores from the Udupi. So far, we have recognized

INR157 crores revenue, Another INR300 crores, we are projecting from Udupi.
Pritesh Chheda: Then is this project now become a 5, 6, 7-year execution project of INR5,000 crores?
S.K. Ramaiah: It depends, FGD has got as we know -- right in the beginning, FGD had other interference issues and also –layout issues particularly the PPA is an important ingredient of the input required for execution of these projects.
And then second aspect is the layout issue because, you know, this has to be fitted into a limited layout just outside the boiler. And the old plans were not designed for FGDs, therefore they, they were decided conventionally. Now when they fit a new system which is the old layout, obviously, there can be some issues. That is where they are more cautious and taking some time.
And then perhaps once the elections are over, new government comes in, there is more push to come on that for the new investments also because 104 megawatt -- gigawatt ordering has been done, another 65 gigawatt ordering has to be done that also will get revived based on that. And that we have to see. I agree. There can be some aspects, we have to look into this.


Sajja Rohit : It won't , I'll just add to what Ramaiah sir, said. It won't be a 5-, 6-year window. If you look at Udupi, what we are executing currently. We are on track. There's only a delay of 6 months, I think, initially because of engineering approval delays from the client side. But otherwise, once we have proper clearances in place, it's just a matter of 22 to 24 months of execution cycle.
But naturally, I think there is this slowdown in terms of FGD across the country. So we can expect, we'll get better clarity, still shrouded, around Q3 this year is when we'll get to know what's going to happen to the engineering we did for these plants that we have been asked to slow down
Moderator: The next question is from the line of Rajesh Kumar from Right Shopping Private Limited.
Rajesh Kumar: Yes. My question was on your annual revenue.
S.K. Ramaiah: Yes.
Rajesh Kumar: Yes. My question was on your annual revenue. Annual revenue jump over last year over March '23 was around 18-odd percent. So what is the reason, actually, despite all the orders which are in hand, why there was lesser execution on the ground?
Nani Aravind: Can you just -- repeat?
S.K. Ramaiah: No. Can you say, yes. Can I hear the question again, sorry?
Rajesh Kumar: Yes, sure. I just -- I was comparing your annual revenue over '23 to '24, there is a jump of 18-odd percent only. Despite so much of orders in hand, what was the reason of less execution on the ground?
S.K. Ramaiah: Yes. One is the -- we have seen the -- there were some issues on the FGD front. That is a major portion of it. Second is the UP water scheme also. It is working on well, but what are the -- problems are like -- I won't say the problem, the issue is that every village is a project management , centre . And then it is village-centric development, even though the -- a lot of push is there, the capital is there and funding is there. There are some gap in this. But barring

these two in mind and the rest of the teams on the O&M and other projects we have done quite aggressively. That is a major factor.
Rajesh Kumar: Okay. Well, in current year, what are you targeting the FGD order? How much FGD conversion would be there in the current year?
Nani Aravind: Around INR300 crores, we are projecting to the FGD for current year.
Sajja Rohit: Sir, we have only considered the current Udupi project that's under execution and for which we have full clearance to execute. So we have only considered INR300 crores -- out of Udupi. But if anything -- any other clearances, we get in Q3, will be a bonus.


Rajesh Kumar; But only till now out of INR4-odd thousand crores of order, what is the total billing done already?
Nani Aravind: See, out of the FGD works we started Udupi project only, Around INR157 crores billed so far. And we are targeting INR300 crores during the current year. So we have already issued a lot of work orders to our procurement vendors and also we're expecting that billing to the extent of INR300 crores during the current year.
Sajja Rohit: And all of the projects put together, we probably did around INR10 crores only for engineering and all of the expenditure we just billed for the engineering, sir, but nothing significant.
Moderator: Thank you. The next question is from the line of Riya from Aequitas Investment. Please go ahead.

Riya: My question is will we see a resurgence in the electric works order intake. So where is this coming from?
S.K. Ramaiah: Yes, that has come mainly because we have taken INR1,250 crores of railway jobs., this is a combination of civil track working and also railway electrification. And the substantial portion of the jobs is the railway electrification, that's what I told you. There is a jump in our overall backlog of the orders for the Electrical segment, O&M, it has gone up substantially, that is the main reason.
We expect the electrical business also can have some improvements with the more of the railway jobs and then transmission and distribution projects coming into the business.
Sajja Rohit: Riya, yes, just add to what Ramaiah, sir, said, so we are still sticking to our strategy and objective of not aggressively expanding or tapering down our transmission and distribution in the electrical space. We are only focusing on these railway composite jobs that have some electrical and signalling and telecommunication components. A skill we have built over the last decade in executing various railway projects or standalone electric or S&T projects. So that's the only revenue increase that we have seen because this team -- we'll be assisting a civil team in executing the overhead electrification and the S&T part of the railway projects.
Riya: And in terms of the order intake for the quarter, are you seeing a little decline around INR3,000 crores -- on a quarter-on-quarter basis it's a little bit -- INR3,460 crores around. So is this on account of election or you're seeing a general time of declining order?
Nani Aravind: This is because of the election code of conduct. We are not getting new tender anouncements, and we were declared as L1 in a couple of the projects. we're waiting for the LOA copies to receive.
Riya: What would be the plan amount?


S.K. Ramaiah: The two L1 project status is there. One is for the Kaiga nuclear projects that is the steam turbine side building facilities, about INR570 crores, and then there is the on...
Nani Aravind: Foot over bridge, we were L1 and...
S.K. Ramaiah: Yes, that both of them will come around -- nearly INR700 crores both the orders together.
Nani Aravind: I think we can...
S.K. Ramaiah: INR700 crores nearly .
Riya Mehta: INR700 crores?
Sajja Rohit: For the current year, we are L1 in INR700 crores worth of projects, and we have bid for

close to
INR4,600 crores worth of projects that are yet to open. So that's -- we're expecting all these things in a gradual pace manner to open up after starting from first week of June.
So a couple of them have opened. We were L1, but we are waiting for the LoI copies, again, expecting in the first week of June, And the other orders are expected to open in the first week of June as well. You'll see that inflow -- the spill over of Q4, you'll see that inflow in the month of June.
Moderator: The next question is from the line of Bapodara Mayur an Individual Investor.
Bapodara Mayur: Congratulations on good set of numbers. Actually, my question was around FGD project. So the slowdown we are witnessing, it is due to any technical issue or it is from the client side or it is from our side? That I wanted to know.
S.K. Ramaiah: No, there is no delay from our side per se. I think I had told you earlier also. One is the engineering setup, which is required in an existing plant with an old design that has got challenges. The second thing is that the additional investment, any customer makes, he expects a revenue stream. For that additional PPA has to be worked out with the local regulatory commission and then the local distribution companies and all.
Therefore, they have committed already for this project and major ordering has been done for Udupi -- and as we said, the third or fourth quarter, the other projects also should come into some execution stage..
Bapodara Mayur: Okay. And are we bidding for any other FGD projects? How FGD tendering is going on in other areas -- other power plants?
S.K. Ramaiah: Yes, it has to come up because 104 out of 169 gigawatts of the planned FGD, 104 gigawatts have been ordered. And then the total commission is about 10 gigawatts as of today. Now there is a general -- little bit of slowdown of so many things are there in this because it is a new technology and then retrofitting, then so many other issues can be there.

But now as a learning process is done and more plants are getting commissioned. Perhaps it should improve. And then balance 64,000 megawatts ordering they have to push it up, now.
Bapodara Mayur: And what is the deadline from the government for this FGD?
S.K. Ramaiah: I think this is the international commitment from our country All the latest limit is for 2026, earlier it started in based on COP2015 and that continues to be there to reduce the emissions, both in the SOx and NOx. In fact, when we have a net zero commitment -- national commitment by 2070. These investments have to happen.. FGDs are key to that which has been taken up in the last few years.
Only the typical of this type of things, the investments have to be matched by the revenue stream also. That is where -- after all, the power has to be sold to the public and somebody has to pay for that. That is where the -- these things have to be sorted. And the government will definitely have to push for that.
Sajja Rohit: Yes. And the Indian deadlines are for Class A cities, it's 2026. Class B cities, it's '27. And Class C, it's '28. So we are expecting, I think, probably after elections, there may be a push up by a year more of these deadlines. So we are just -- we have to wait and watch.
Bapodara Mayur: Okay. And sir, regarding the MDO projects, two quarters like -- we are not planning for any new MDOs. So right now, are we planning for any new MDOs to participate in?
Sajja Rohit: No, sir. No, no. No new MDOs. Until we reach peak rated capacity of these MDOs, we don't plan to bid for any new MDOs.
Bapodara Mayur: Okay. So beyond 2027?
Sajja Rohit: Yes.
Bapodara Mayur: Okay, sir. That’s it from my side. Thank you.
Sajja Rohit: Thank you.
Moderator: The next question is from the line of Khadija Mantri from Capri Global. Please go ahead.
Khadija Mantri: Yes. Sir, my first question is regarding the FGD systems. I w

as wondering that if more orders are awarded in FY '25 for FGD. But when you already have an order book of INR5,000 crores for the states. So do we have enough resources to take on more orders in the FGD segment? Or we will be confined because you already have large volume and addressing the segment?
S.K. Ramaiah: I think as far as the resource is concerned -- but we have developed a HR resource base. We have got 32,000-33,000 HR base. And the widest mix of experience in the areas of Civil, structural mechanical, engineering coordination etc apart from the huge expertise we have developed in O&M. Now, as far as the plant construction and other aspects is concerned,



procurement, we are strengthening those groups also. And then in plant construction, we are perhaps, a leading player in the country.
And we have delivered projects after projects on time. And that's why we are getting repeat orders from many of our valued customers, it's only because of this. Recently, some of the orders on the power sector side has come specifically because of our standing in the market of our ability to complete the projects in time.
I think that is not a constraint at all of Power Mech. We're well equipped with all the resources and equipment and also the expertise what we have developed in diversified segments and then that is well in place.
Khadija Mantri: Also, have you received any orders from BHEL for the Singareni plant in NTPC one?
S.K. Ramaiah: Yes. BHEL recently Talcher we take INR355 crores order. That is the NTPC job 2x660. Then in Mahan we have taken INR825 crore for the site works. BHEL supply order on the -- supply order has been got from the Adani Group, whereas the site work of INR825 crores, civil and mechanical work they have given to us.
And BHEL has -- in fact, Madam, I can say BHEL is standing with a new order of INR70,000 crores for 10,640 megawatts, as I told you. All these things will come for tendering in terms of Lara, Talcher, and Talabira also they got recently INR19,422 crores. Yamuna Nagar, they got recently INR5,000 crores, then Raigarh and then Mahan. And then new orders also expected DVC, Raghunathpur and other jobs also, they can come, perhaps BHEL is in the front line, unless the tendering structure changes. Therefore, we are quite bullish on the power sector and also BHEL.
Khadija Mantri: Okay, sir. And my last question would be regarding this MDOO project for the order size that we have arrived at, does it consider all the price escalation? Any risk business for long-term projects. So how did you arrive at the let say the order size and what kind of and what kind of IRR that you are looking for in these 2 projects?
Sajja Rohit: Ma'am, this price doesn't naturally include price escalation. This price is exclusive of price escalation, whatever we have set, the INR30,000 crores of the sale projects that we won and also in the first mine. And see these tenders are usually based on a per ton of coal basis. So all the --

we have to initially -- There's going to be a development phase of 2 years. And -- Yes. Can you hear me?

Khadija Mantri: Yes.

Sajja Rohit: So there's going to be a development phase of 2 years, and we'll be progressing with some interim mining during the development phase. We have to slowly ramp up the production facility to deliver this much amount of coal on a year-on-year basis until we reach PRC, after which, we



reach the steady state operations, and we have to produce and gives that amount of coal for the rest of the life of the mine. That's how the pricing in mining work.

Moderator: Thank you. The next question is from the line of Dinesh from RDST Capital.

Dinesh: First of all, congratulation on good set of numbers. My question was related to MDO. So when we say we are going to reach peak operations in maybe th

e next like 2 years or 3 years. So what kind of revenue then margins you'd expect from these 2 MDOs?

Sajja Rohit: So both MDOs put together, Dinesh, I've already mentioned earlier, I think, in Q&A, INR2,000 crores without price escalation as of today's price and EBITDA of 17% to 20% in the first mine and EBITDA of 27% to 30% in the second mine. This is starting FY '27 onwards.

Dinesh: Just another question related to this. Do you have any consortium here or like the whole project is carried over by Power Mech Company itself?

Sajja Rohit: No. We had to form a consortium to bid for the project since we didn't have the credential -- all the credentials to participate. But execution-wise, both the projects are completely being executed by us with technical support from our partners in both the consortiums.

Dinesh: Okay. So do they also share some of the revenues there in that project? Or is it like 100%?

Sajja Rohit: 100% our revenue. They don't share.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang Institute.

Natasha Jain: Yes. Sir, most of my questions have been answered. Just these two questions. One is can you give us the breakup in terms of the order inflow for each segment for fourth quarter?

Nani Aravind: For fourth quarter. Okay. Mechanical, we received around INR525 crores. Civil around INR1,360 crores, O&M INR739 crores, electrical INR702 crores, and overseas around INR218 crores, total together, INR3,546 crores.

.

Natasha Jain: Understood. And sir, lastly, now that you've answered all about all these segments and how the order book is looking like. So at a consolidated basis, can you tell us what is now your revenue guidance stands in the medium term, maybe FY '25 and '26?

Nani Aravind: So the '25, we are projecting around 30% growth in revenue, maybe around INR5,500 crores range. FY '26 after that, we're expecting order inflow of INR12,000 for the FY'26. So most likely, we may plan again 25% growth on the FY '25 numbers, maybe around INR7,000 crores, we can target revenue by FY'26.

Natasha Jain: And sir, lastly, any capex that we are looking to do? Or just the maintenance capex?



Nani Aravind: Yes. In PMPL regular equipment and all around INR100 crores capex, and washery of around INR240 crores. So around INR340 crores we are planning in Power Mech capex during the current year.

Natasha Jain: Thank you. Sir, that's all from my end. All the best.

Moderator: Thank you. The next question is from the line of Mohit Khanna from Purnartha Investments. Please go ahead.

Mohit Khanna: Yes, sir, I had a follow-up on MDO. So when you just mentioned that these contracts don't include any price escalation. Does that mean that our EBITDA margins are -- would likely to go down as the contracts age? Because -- or how does it work?

Sajja Rohit: No, sir. I said this -- the value that we have declared doesn't include the price variation. It's unaccounted. But there is a price variation clause in the contract. So whenever there is an increase in diesel price, whenever there's an increase in the consumer price index, we naturally get a price variation based on a formula that's set out in the contract.

Mohit Khanna: And you get paid as per the quantity of coal that you mine?

Sajja Rohit: Yes. The quantity of coal that we mine and we – give at the delivery point in a prescribed size, according to the contract.

Mohit Khanna: And this pricing is dependent on the coal price?

Sajja Rohit: No, not at all. There is an off-take risk here. So irrespective of the coal price or the general

economic scenario, they'll still have to compensate because we are building our extra effort to achieve PRC. They have to take this from us. If they don't take this from us, there are other clauses that will kick in, compensation clauses.
Moderator: The next question is from the line of Sunil an individual investor. Pl

ease go ahead.
Sunil: Sir, a small question, the capex, since you have mentioned for the maintenance and all, will be funded through internal approvals or?
Nani Aravind: This INR340 crores of capex – regular INR100 crores funded through by raising around INR60 crores to INR70 crores of term loans, balances through internal accruals. And washery capex of INR 240 crores, we have earmarked funds, we raised for INR240 crores through QIP for washery investment. So we are using that funds of the washery.
Sunil: Thank you so much. Sir, that's all from my side.
Moderator: Thank you. The next question is from the line of Satyan Wadhwa from Profusion Investment Advisors. Please go ahead.


Satyan Wadhwa: Could you guide us to what the tax rate is likely to be in FY '25 and FY'26?
Nani Aravind: We are projecting around 25% to 26% will be the tax for FY 26 and 27
Satyan Wadhwa: And even in FY'25 as well?
Nani Aravind: Yes, sir.
Satyan Wadhwa: And overall margins will be similar to what they are now? Or do you expect some uptick going forward, based on the current order book and execution plan?
Nani Aravind: Rightly, there is a 0.3% improvement, sir. The PAT rate will improve compared to the last year because of the tax rates. So there will be improvement in the profit margin during FY'25.
Satyan Wadhwa: Sorry, I was asking about EBITDA margin not PAT margins.
Nani Aravind: Yes, 0.3% increase will be there in FY'25 compared to the FY'24.
Moderator: Thank you. As there are no further questions, I would like to hand the conference over to Ms. Natasha Jain for closing comments.
Natasha Jain: We would like to hand over the question to the management for closing comments.
S.K. Ramaiah: Yes. Thanks, everybody. Thanks for the participants. I think we have seen a significant improvement in the previous year in terms of overall order bookings. And with the new policies of the government and the focus on the investment coming in the private sector and infrastructure continue to push and power sector opening up and then exports also, we are looking at new opportunities.
Perhaps we should look at improved order booking and also the margin status has improved .
And we should reasonably do well in -- this year, and we have got a strong base of INR17,362 crores that should help us to achieve the revenue, what has been projected and with the margins, what has been informed by Aravind. And we look forward that the Power Mech's growth growth will continue to maintain in the coming years also.
Natasha Jain: Thank you, sir. On behalf of Nirmal Bang Institutional Equities, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.

## Call: Aug 2024

Date: 2 9.08.2024
To To
Department of Corporate Services , National Stock Exchange of India Limited,
BSE Limited, Exchange Plaza,
PJ Towers, Dalal Street, Bandra Kurla Complex, Bandra (E),
MUMBAI - 400001 MUMBAI - 400051

Dear Sir/Madam,
Sub: Transcript of the earnings call for Q 1 FY 2024 -25
Ref: BSE Scrip Code: 539302, NSE Symbol: POWERMECH

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call for Q 1 Results of FY 202 4-25 held on Tuesda y, the 20th day of August , 2024 at 3:30 PM (1ST).
The transcript is also uploaded on the Company's website at www.powermechprojects.com
This is for your information and for dissemination to the general public at large.

For Po wer Mech Projects Limited

Sajja Kishore Babu
Chairman and Managing Director

Encl: A/a



"Power Mech Project s Limited
Q1 FY'2 5 Earnings Conference Call "
August 20, 202 4

MANAGEMENT : MR. S.K. RAMAIAH – DIRECTOR , BUSINESS DEVELOPMENT – POWER MECH PROJECT S LIMITED
MR. ROHIT SAJJA – PRESIDENT , BUSIN ESS DEVELOPMENT AND OPERATIONS – POWER MECH PROJECT S LIMITED
MR. N. ARAVIND – CHIEF FINANCIAL OFFICER – POWER MECH PROJECT S LIMITED

MODERATOR : MS. NATASHA JAIN – NIRMAL BANG EQUITIES





Moderator: Ladies and gentlemen, good day, and welcome to Power Mech Projects Limited Q1 FY '25 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participants' lines will be in the listen -only mode and there will be an opport unity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Equities. Thank you, and

over to you, ma'am.
Natasha Jain : Thank you, and good afternoon to all participants. Nirmal Bang Institutional Equities welcomes all of you to the First Quarter FY '25 Earnings Conference Call for Power Mech Projects Limited.
From the management today, we have Mr. S.K. Ramaiah, Director, Business Development; Mr. Rohit Sajja, President, Business Development and Operations; and Mr. N. Aravind, Chief Financial Officer. I now hand over the call to the management for their opening remarks, post which we shall open the floor for Q&A. Thank you, and over to you, sir.
N. Aravind : Thank you, Natashaji. This is N. Aravind, CFO of Power Mech Projects Limited. I have with me Mr. S. K. Ramaiah, Director, Business Development; and Mr. Rohit, President, BD and Operations. I welcome you all to the earnings call quarter 1 FY '25.
The reported total income for quarter 1 financial year FY '25 is INR1,017 crores against INR871 crores in Q1 FY '24, an increase of 16% year -on-year. EBITDA is around INR123 crores as against INR105 crores, a growth of 17%. And PAT is INR60 crores, which has grown by 18% compared to INR51 crores in Q1 FY '24. Improvement is seen in overall margin profile.
EBITDA margin has gone up from 12% in Q1 FY '24 to 12.1% in Q1 FY '25.
Revenue mix for the quarter 1 FY '25 is as follows: Mechanical business has contributed INR102 crores against INR139 crores in Q1 FY '24, showing a decline of 36% year -on-year. Civil business, including railway, mining, water distribution contributed INR557 crores against INR493 crores in Q1 FY '24, an increase of 13% year -on-year. O&M revenue of INR341 crores agains t INR224 crores in corresponding period last year, a registered growth of 52%. And electrical business INR8 crores against the INR9 crores during last previous period. Other income INR9 crores against INR6 crores in Q4 of FY '23.
During the quarter 1 of F Y '25, the distribution between domestic business and international business is 94% and 6%, respectively. Contributions from power sector remained at 54%. Non - power contributed 46%.
Net current days excluding cash and cash equivalents have increased from 112 days in FY '24 to 142 days in Q1 FY '25, mainly due to elections and there were delays in realization of receivables and also delays in certification of the works resulted an increase in the current assets of the company.


The debt levels are in contro l. As on June 30, '24, the gross debt is around INR581 crores and the net debt stands at INR40 crores. The debt equity ratio as on June 30, '24 stands at 0.31x.
Order book status. So far, this financial year, the company has secured orders worth of INR1,746 crores. The order backlog as of 12th August '24 is around INR57,793 crores. If we exclude the 2 MDOs, the unexecuted order book stands at INR18,115 crores.
Expectations for this current year FY '25, the overall business environment seems to have improved post elections and the execution cycle is picking up. Despite a little slower in Q1, we are confident of achieving revenue growth in the range of 25% to 30% for FY '25. Margins are expected to remain stable and further improvement is expected as MDO business

ramps up.
Once the MDO revenue peak during FY '26 to '27, the margin profile will see a marked increase.
On the order book side, we have set a target of INR11,000 crores for the financial year 24- 25.
Our focus will continue to be on the industri al plant, operation and maintenance, railways and water. Going forward, O&M and MDO business will provide stability in revenues as well as margins in a significant way.
Now I request Mr. Ramaiah to update on the developments, sir.
S. K. Ramaiah : Yes. Thank you, Aravind, and thank you Rohit . And good afternoon, everybody. Aravind has given the basic numbers and also the improvements in the margins and all . As for the business outlook is concerned, first quarter, we had an order booking of INR1,059 crores and looking at the elections that happened and all, there were some of the tenders which got postponed and all and now it is taking traction.
And the basic -- the backlog of the orders at the end of the last quarter was INR17,302 crores, as the mar ginal improvement in INR17,408 crores and all. And with the mechanical backlog order going up by 2.1% from INR6,450 crores to INR6,508 crores . Civil order backlog has growing up by 2.3% from INR7,814 crores to INR7,995 crores.
O&M there is a bit above 12% from INR2,197 crores to INR1,933 crores, and electrical is more or less stable at the same period. But the positive thing is that the overall order booking is including particularly O&M is taking a lot of traction. And in the second quarter, we were able to increase the overall order booking to, say, up to INR550 crores. But a lot of new projects coming and going down in the international market, domestic market and also the new projects, which are getting commissioned and some of the contracts also gettin g excluded .
Now if you look at the overall outlook of the company's business outlook for next year, what

Aravind had given a number of INR11,000 crores with the present order booking of INR1,746 crores . We should be still trying on traction to achieve thi s growth because the opportunity size has gone up substantially.
On various opportunities in the power sector, non -power sector and the O&M, railway, road construction a nd then industrial projects, et cetera, there is continuous tracking of many of the opportunities. We are tracking about INR75,000 crores of opportunities and there are hardcore opportunities of nearly INR20,000 crores , INR25,000 crores.


And the lead is taken b y the power sector, O&M and all. And as we know, as BHEL has been flooded with lo t of orders with INR88,000 crores order booking in the last more than a year. There has been a substantial order booking. And what is important is that in the power sector, there are 3 developments which have led the uptake.
One is the order booking, whic h BHEL has taken at INR88,000 crores for about 13,840 megawatts. That is going to impress the significant role in our order booking in the current and next year. The second aspect is that Adani is developing 3 major projects, Raigarh, Raipur in U.P. also for Mahan. Therefore, about 4,000 odd megawatts and developing themselves, of course, with the supply orders based on BHEL and some of the orders we are going to take on that.
And the third development is that, as you know, the present installed capacity of full base point is 218 gigawatts and government is determined to ramp it up to 300 gigawatts by end of this decade. That is mainly to see the rig stability, which I think we have explained earlier . And now they are determined to see that the backlog in the order booking is tracked fast not only with the many of the ongoing development projects, but also some of the stations also they are planning. In that direction, NTPC is planning to add about 22,000 megawatt in that about 5,000 megawatts, they are a

l ready implementing it, balance about 17, 000 megawatts, they have to place order in 2 stages. Stage 1, they've already taken up the work about 8,600 megawatts, another 8,600 megawatts have to be upgraded and all and they have to issue the tenders and all .
For NTPC, BHEL, Adani, this is what we expect in the power sector so that will play a role in the coming years and the total opportunity size can be anywhere between INR20,000 crores to INR25,000 crores looking into the various aspects of civil structural, mechanical, ETC business and all. And whatever plants are getting commissioned , we have seen the flow of the orders in the O&M segment that is going to happen for example, what has happened in UP for the NLC project, and then there are other projects also which have come .
And recently, Hindustan Zinc has given one more order for the another plant for about INR210 crores . And in fact -- and so far, we have O&M about INR550 crores of orders have been available as on date. And there is an opportunity of INR1,500 crores to INR2,000 crores, which has been tracking hardcore opportunities also .
Now apart from that, the non -power segment is a big business, particular railways. We are having INR2,500 crores jobs excluding 15 , 14 jobs, including a major job in Bang alore, BMRCL that is railway maintenance shops and then various other railways jobs which are going pretty well. And then Adani jobs are also going up, and some traction is taking place on the FGD jobs also now Udipi and then Andhra also and that should give some additional revenue for the current year.
Now coming back to the other opportunities are there. For example, there is a huge investment in the steel sector, non -power sector, minerals and metals , NMDC. NMDC is planning INR50,000 crores of investment on many of the projects, we should call the tender shortly. And then Steel Authority of India is planning an expansion in the IISCO Burnpur plant, 4.5 million


tons with the investment of INR30,000 crores and then Dastur & Company consultant and many packages should come. We have to look for partners there .
Then JS PL is coming with a plant of 5 million tons in Dukm , Oman . It's an investment of INR27,500 crores. And we are having ongoing relationship and doing some of their jobs in JSPL, Angul and recently we have taken a job of INR160 crores there. And looking at all these things and apart from the railways, road projects, as we said, these opportunities should and now after the election sessions , there will be more so for the executi ng the orders by the main player and developers like NTPC and then railways .
And then Adani, they have to also expedite the jobs , because they have got a plan to develop

their start base from 15,500 megawatts to 31,000 megawatts in the next 7, 8 years. The first phase they have already taken up, second phase also they will take up. And one more development can be there , organization is taking some initiatives and then organizational strength has been strengthened in terms of BOP packaging. And at present , we are tracking about 4,000 plus megawatts of opportunities.
Our teams are discussing with the many players and all because there is an urgency from the developers and owners also to see how to package is better in such a way that more players come into the play for the balance of plan packages , of course, on the main plant . Because BHEL is a full player in the main plant , and that we continue to get the orders . But there is some tension going on with NTPC and many of the private developers also to see th at how the packaging can materialize and that is where we are looking at the opportunities , that opportunity set can be more than maybe INR15,000 crores to INR20,000 crores .
So, for looking at all these things , perhaps the flow of orders should improve

in the second and
the third quarter and one more development is there . Optical fiber cable, which is the part of the BharatNet connectivity to every village with the investment of INR3.6 lakh crores . That is taking full shape and then our business development group, Mr. Rohit is taking a lot of initiative on that. And then there are -- we have made up some tie -up with the parties and looking at some of the important opportunities in Madhya Pradesh, Maharashtra and other places . And then that should take some shape. That will be a real substantial opportunity. And as the development takes place, we will keep you informed on that.
Therefore, that is where the international operations, one of the key development has been that Nigeria, the O&M job of 2 years O&M jobs has been further extended one or two years. That is an important ad-hoc in the O&M for our work. This will continue. Our initiative on O&M will continue.
The ETC business will continue with the more order backlog from BHEL and the expected NTPC order flows, which should be expedited , as I told you about under 117,000 megawatts. And then ongoing the jobs of Adani and then railway jobs. And then, of course, infrastructure jobs are also we are tracking many of these projec ts. In that way, we are still very optimistic on our targets for this year. Thank you.


Then, Rohit, President BD will give an update on other developments also including the MDO and all .
Rohit Sajja : Thank you Ramaiah sir. Good evening, everyone. So , I'll conclude with a few highlights of Q1 of 2025 before leaving the floor for question and answer. And also, I would like to touch upon the both MDO projects, which I'm closely monitoring, and a few updates from the business development perspective and oversea s business as well.
So, we have some good updates in terms of the MDO. We have gotten clearance from Jharkhand Government to take position of 585 Hectors of forest land. There was a delay of a month, but we were able to get it before the state elections co uld be announced some time in the months of November or December, which is a good update. I think we expect to break ground earlier. We anticipated to break ground in July, first 2 weeks of July, but now it's getting pushed by 2 months. By end of September , beginning of October is when we expect to break ground, start the overburden activity. So that's about the first mine, KBP.
Tasra ( KTMP L), the SAIL mine is going a little slower than expected because of sales washery, washery tie -up and the washery capacity being completely utilized. But in Q2 of this year, there's going to be again a significant increase in quantity that they're going to ask from us.
We have anyway -- the mining activity is going on, but we are unable to give -- we could only give a small amount to sale in Q1, which -- through which we were only have to book around INR14 crores of revenue. But Q2, we expect to do good numbers. We already started dispatching close to 1,000 metric tons per day and this is expected to ramp up to 4,000 t o 5,000 metric tons per day.
So, this is on MDO front. And business development, as Ramaiah sir had said, I would just like to add a few points with regards to the Bharat Net mid -mile connectivity project that we have recently quoted for in a consortium wit h a reputed optical fiber cable laying company in the country, and we have participated across all the packages successfully, all the 16 packages that any company could bid for. So , the results are expected to be out anyway before the middle of next month. So that's one development.
Overseas O&M has increased compared to last year Q1 to this year's Q1, overseas O&M has increased by close to 27%. Revenue in this trend is expected to continue for the next 4 to 5 years. We are seeing a good traction this year. We are

also exploring new territories like we have bid
for a couple of projects in Jordan. We have added new clients in Qatar and in Saudi Arabia as well. And we see this trend to continue. A lot of overseas O&M business is going to come up in the next 2 to 3 years. So that's the update from my side, and we can go ahead with the Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ketan Jain from Avendus Spark.
Ketan Jain : Is it poss ible to give color on the EBITDA margin segment wise, say, in civil works, in the power segment, in the mining segment separately, railway segment separately. Is it possible to give color of where the EBITDA margins you see is relatively higher, lower?


Nani Aravind : So if you take the business -- erection business is concerned, we are getting EBITDA of around 6%. In Industrial construction erection business is concerned, the volume of turnover is very low. So , we are getting at approximately around 10% of t he EBITDA. And in civil power is concerned, we are getting around 10% average EBITDA margin. In the infrastructure side, that includes -- including the sand mining and water division are together around 9% margin we are getting.
In transmission and distribution, we are getting around 3% of EBITDA. In international operations, around 20% of the margins we are getting. Overall O&M Business, around 18%. And in Water division, we are generating around 19%, weighted average around ro ughly 10% to 11% we are getting in the infrastructure business is concerned. And mining, as of now, only Tasra is operating. So 13% we achieved EBITDA margin during Q1 in Mining . So overall weighted EBITDA margin is around 12.2 %.
Ketan Jain : That is helpfu l. So , if I look at these numbers, relatively, your water division and your civil in the power is on the higher side, while erection, industrial construction is on the lower side and even power T&Ds on the lower side. Am I right?
Nani Aravind : Yes, Because some of the projects executions were delayed and also due to additional costs incurred on mobilization of resources for new projects received during Q3 and Q4 of FY 24.
S.K. Ramaiah : O&M domestic and overseas, water, civil, both power and non -power, these are on the higher side. And as you rightly said, the other businesses. The industrial construction and non -power construction is a little on the lower side.
Ketan Jain : Understood. Coming to the -- of the second question, which is the opportunity in the p ower side. So, you mentioned about 17 gigawatts by NTPC and a lot of projects by Adani 's also. So, what NTPC filling is they have a total construction cost of around INR10 crores per megawatt. So, within that INR10 crores, what proportion would be civil op portunity?
S. K. Ramaiah: Of course, NTPC price INR10 crores with ID C. Maybe we have take about INR2 crores or INR1.5 crores of that will not be part of an opportunity that will be interested in construction. Therefore, INR8 crores to INR8.5 crores we can take as a base best price with whatever is the current prices. Therefore, normally, with full material content and engineering and supply and then the structural portion and the material content, the civil and structure portion will be around 20% since the re are INR2 crores, you can take.
Ketan Jain : 20% of INR8 crores , okay.
S. K. Ramaiah: Yes, 20%, 25% we can take. Of course, when they contract it to BHEL, BHEL we have to see the scope plant, with material, without materials. Thos e things will come separa tely.
Ketan Jain : Okay. Since you mentioned BHEL, my final question is we are hearing that right now in this thermal side, the vendor is only limited to BHEL. So do you think all this 17 gigawatt by NTPC plus another 10 to 15 by Adani Power, all these capa cit

ies will have timely delivery of equipment
by only 1 vendor? What is your opinion there? Is the government doing anything to expand...


S. K. Ramaiah: Yes. That is a very important question to ask ourselves also on this. See, BHEL, I have experience on t hat. BHEL have a basic shop capacity of 15,000 megawatts. That is for sure. And the present -- if you look at the present balance of the order book, they are adding to be done 80,000 megawatts in the next 7, 8 years. That is there. On paper, it is doable.
But BHEL has got other things, whatever is the working capital, so many issues, and we can be there because their margins have come down a little bit . There are other issues with BHEL. But any way, they deliver it. But what I can say is that government is also increasing . For example, we have received some employees from Thermax also recently for the DVC Raghunathpur 2 x 660 megawatt.
Of course, they are into the boiler package. Actually, DVC has called a tender for the boiler.

That is the boiler and turb ine, island that means it covers up the entire plant. Therefore, this idea can come up also for NTPC also, they may change the strategy. In fact, NTPC has been discussing with players also, another durable players, how can we get into the BOP business also. But as I said, it is doable for BHEL .

They can line up their financing and other issues little bit better. Otherwise, there about the shop capacity, that I can tell you . And if also , L&T also had established capacity, and they were doing pretty well and ongoing jobs are going on in Buxar and other places. But what has happened is that the new [CEO Subramanian 24:58 ] has come up, he has taken a d ecision growth for the quarter .

But now government will definitely push for them Ministry of Power will be pushing for them , like what they have done for Thermax also. Perha ps L&T will also come on line. And GE is another option. But GE has got a turbine island , which is GE, boiler also they are having. But that is a different thing. I don't want to comment on that much at this stage because they have got of takeover of the GE turbine. And that if they come into place, then they can also play a role in it one aspect of the turbine power plant.

Ketan Jain : Understood. So from what I can hear is that on paper, BH EL has the capacity, but they have to sort out some execution challenges and financial challenges, while government will definitely have to push other players like GE, L&T and all to make sure that the timing deliveries happen to achieve this target. Other wise, there will be delays definitely.

S. K. Ramaiah: Yes, Thermax can play a role because I can tell you, honestly, they had invested substantially in their plants in Pune. And we were also discussing it the early a couple of years back. But afterwards in the slow happened, they also didn't take the call. But now there have been perhaps this all prodding has come from the Ministry of Power. I think the same thing that we would do with L&T also. They will bring these new players, with Thermax can deliver al so. We have done some work with Thermax also. They have got the capacity to do that.

Moderator: The next question is from the line of Riya Mehta from Aequitas Investment Consultancy. Please go ahead.



Riya Mehta : My question is more on the macro outlook. So recently, there was a Supreme Court judgment, which states can levy mine tax retrospectively from 2005. Will this lead to any impact for our MDO existing business or future business?

Nani Aravind : Riya , can you repeat your question?

Riya Mehta : Sure. Sir, recently, there was a Supreme Court judgment which just said that mine, the state government has the power to levy tax from the miners retrospectively from 2005. So

will this
lead to any change in existing commitments for both the MDO projects?

S. K. Rama iah: MDO, we are not the owners of the MDO are only the mining excavator. So any of GST, the taxes are applicable on my revenue. So we are not the owners of MDO.

Riya Mehta : Yes. So that I understand. But will they reduce the offtake because their payment cycle or you have to pay for almost last 17 years. So have you seen any...

Rohit Sajja : This is not going to impact the offtake at all. If it's going to impact the offtake, there are clauses that protect the offtake, as per the contract agreement . So it's not going to impact the offtake.

Riya Mehta : Okay. That's good to hear. Also on the side of you were talking that for Adani Mundra project for FGD will be starting. So could you highlight more details on that?

S. K. Ramaiah: Yes. I think tendering is in pr ocess. We are working on that and perhaps it will be finalized another within 2 months, and we are quite optimistic on that.

Riya Mehta : So if that comes across for this year , we would have incremental INR100 crores, INR 150 crores?

S. K. Ramaiah: Yes, we h ave to see that. See, that is also possibilities there. But as of today, we are budgeting about -- because ordering is going on a big space for the Udupi project and also in the other 2 x 660-mega watt in Mundhra also, about INR 600 crores of orders are in t he supply chain side is tied up. Theref ore, we are confident about INR300 crores to INR 350 crores revenue should be possible in this year. And works have already started in Udupi .

Riya Mehta : So INR300 crores to INR 350 crores from entire Adani projects, right?

S. K. Ramaiah: Yes, at this stage.

Riya Mehta : Got it. I think thank you for the questions and the answers.

Moderator: Thank you. The next question is from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy : And so just wanted to confirm a couple of things. We have noticed that your sales growth has finally statured getting a little better with some 16% kind of growth this year. And your guidance is almost like 30% growth for the rest of the year, which looks pre tty high compared to what has been happening in the same period. So can you just tell us like what could be the factors that will drive this kind of better growth?

S. K. Ramaiah: Yes. Okay. On the power sector, the opportunity, I told you INR15,000 crores to INR 20,000 crores is what happened in the next 2 years. Other the ordering has to be done by BHEL for the supply chain that they also completed. Adani have to complete their or this one. Now NTPC as I told you 17,000 megawatts, they have to extend the or der in this year and something can come on that.
Therefore, on the power sector, on the O&M side, I told you almost INR 600 crores have been booked and there are many opportunities we are working with many new players also. GMDC INR240 crores, it is also e xpected. Then there is another order from Vedanta Group we a re discussing for 90 megawatts .
And then Punki , 1x660 -megawatt O&M order we are discussing. And then Bhavnagar , 2x250 megawatts the lignite -fired boiler with the GMDC that also we are discussing it. So far we are quite bullish on the O&M side in the current year also in the plan and the power sector. And so the non -power side also it is possible.
Therefore, on the rail ways is another factor with INR 5,000 crores of opportunities we are tracking it . And as you know, we are doing 12 to 14 jobs, including the metros, and then railway doubling, traction doubling on all those things . I know we are well verse with the system and the payment mechanism is good.
And our execution system also is fully estab lished in their organization involved and therefore we can be more aggressive on the railway jobs also. Then of course, the new oppo

rtunities will
come up in the industrial side and the steel products side mining and then mine side facilities, for exam ple, Coal India is planning INR 62,000 crores of investment for the mechanization of the mine site, all those things will also come up.
Therefore, the overall opportunity, what we are tracking is at INR 75,000 crores that is being continued to follow. And the g ood thing can be the second quarter end and third quarter end and fourth quarter end, should any of these things should happen the way we had planned .
Sanjaya Satapathy : I'm just -- what I'm trying to say is that you already had big back order book for las t several quarters. But still, the execution pace was kind of moderating. But now you are sounding a lot more confident. Is there anything that has changed because we're talking about execution rig ht now rather than order inflow?
S. K. Ramaiah: I think the execution phase if you see INR3,600 crores instead of INR4,200 crores and now INR5,200 crores . That is doable. I think the first quarter, whatever is the revenue of INR18,000 crores, whatever has been achieved. And record the second and the second quarter we can take because of the monsoon and other aspects, but third quarter a quarter from now. That should be still achievable .
And then the orders, which are falling the first 2 q uarters whatever the around INR 1,746 crores are there. That will come from co nversion. And then the Adanis and the INR 300 crores also in terms of conversion . And then any orders which comes in the third quarter also some more possibility of conversion is there.


But as far as the capability of the organization stands and the variou s other inputs required and all we are already having those inputs in place in terms of manpower resources, construction equipment and then the people are there. So that is not a challenge.
Sanjaya Satapathy : Understood. Sir, if I can just ask the tough on e. When do you -- I mean will your tax rate come down to 25%, 26% this year?
Nani Aravind : Yes. This year, it will come down . Because last year, due to income tax search , additional income offer ed to income tax . So the additional tax incurred. So now this year, we'll come to a normal. We are on 26% to 27% for this year .
Sanjaya Satapathy : And sir, this contribution of MDO, which you were saying that will accelerate. But you were saying that the benefit of that in sort of margin expans ion, it is not likely this year, it is likely from next year onwards only. Is that correct?
Nani Aravind : Yes. This is beginning with development phase, initial ramp -up production has to happen. It may take another 2 years minimum to get the ramp -up, and t hen our washery will also start to add in to this revenue, margin s will increase after 2 years i.e After FY 26-27, we may expect margin improvement in MDO. Until that time, it will be around 15% to 16%.
Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities Limited.
Anupam Gupta : So first question is on the MDO. So you said the CCL project is seeing 2 months of delay. So -

- and apart from this, possession of land, are there any other clearances which are left now to start the project in end September or that is now realistically certain?
Rohit Sajja : So this was the last step for us to start the mining activity. And we just have to perhaps file an online application now, which we are doing either tomorrow or day after tomorrow. And once we get a clearance, it's going to take around a week. And after which, we can officially start the tree-filling activity. Tree -felling is done before we start moving overburden.
Anupam Gupta: Okay. So one should expect third quarter to h ave certain revenues from the CCS project, right? Or is that the right assumption?
Rohit Sajja: Around yes, end of third quarter, begi

nning of fourth quarter because we'll first have to touch 45 to 50 meters of strike, where the same strike. I think that p oint we have to keep doing overburden excavation. Filling of trees is going to take 2 months. And after 2 months is all OB until 45 to 50 meters. And after OB is when we'll touch the fee.
Anupam Gupta: Okay. And secondly, on the SAIL project. So the washer y issue was there in the first -- in the fourth quarter also. And I think first quarter is actually worsened in terms of revenue delivery, which you had. So what is the status on the washery tie -up at this point of time? And is it being done in a way that until your washery comes in, the volumes remain guaranteed at least once it starts?
Rohit Sajja: No, Q4 of '24 was okay. They were able to take a decent capacity from us. But Q1 of '25 has worsened, primarily because of sales, washing capacity being full. One of their line is not



working and the other line is full. And as and when they need. So we had a discussion with them and we signed the minutes of meeting and starting first August onwards, we have started to take 1,000 metric tons per day. Already, that's 1,5 00 metric tons for this week.
This week, we already are starting to give 2,000 metric tons per day. So this is -- again, the ramp - up is going to happen slowly. We are in discussion with SAIL. So they are going to -- right now, this is what it's looking like. We'll start to take INR80,000 to INR1 lakh per month in a slowly upward fashion from INR60,000 to INR1 lakh. And after INR1 lakh, again, they give -- we are in discussions with them to increase it to INR150,000 and INR200,000 per month.
Anupam Gupta: Okay. I understand. So when you said 25% to 30% growth for this year, that included how muc h of mining revenues for this year?
N. Aravind: In fact, we projected INR250 crores from Tasra and INR50 crores from KBP. So Tasra INR250 crores may be we will do around INR100 crores to INR150 crores because of lower off take by the SAIL due to outside washery capacity is not available . So apart from MDO , we are as per our guidelines, we are able to achieve the numbers .
Rohit Sajja: So we projected around 300Cr Anupam, from both the mines together, 250 and 50. And we expect to do somewhere because KBP even if we target Q4, we can achieve INR35 crores to INR40 crores once we have production starting from end of Q3 and beginning of Q4 onwards. And KTMPL depending on this ramp -up because our washery, by the way, I just wanted to tell you that we have sta rted construction for washery. Soil testing is going on. So this is only a temporary, a momentary issue right now. But I think SAIL has given us a word that they are going to clear up some washing capacity for us. But because of predominantly Q1, we could n't do anything. We could only do INR14 crores. We expect there to be a dip in revenue in KT MPL, the SAIL mine to the extent of INR100 crores. Project ed at INR250 crores, we do around INR150 crores to INR170 crores based on this ramp -up schedule that we are talking with SAIL.
Anupam Gupta: Okay. And one last question on your order inflows. So the overall picture, obviously, is pretty clear, but let's say, BHEL, when do you see the tendering actually starting and you being able to book some orders from BHE L given that they already have such a large order book?
S. K. Ramaiah: You see, they have started the tendering for Laura’s 600 megawatts . And then P ulser already taken some jobs there. And then they have to take up work on, because all these things are practicing 42 months schedule, they have to finish this order within the first year, 1 year to 15 months .
And Yamuna Nagar also has to come up. And then Kodarma only recently that will take 5 to 6 months. Therefore, now is the time for experience our bookin g also because maybe what happens in th

is mechanical orders, first you have to focus on the similar engineering. And they may be working on the engineering aspects. When the engineering is finalized then the civil will come up and then the mechanical will come up. That is how the sequence is there. When we expect in second, third and fourth quarter things should move pretty faster. And of course, most of this order bookings, they have to complete in the next 12 to 15 months.

Anupam Gupta: Okay. Understood. Just 1 last question coming back to mining I had. So this year, obviously, there is a mess because of sale not taking the offtake. But does it impact next year a run rate which you can deliver or what they can take?
Rohit Sajja: No, no, Anupam. I don't for esee any impact of this next year. No, there's not going to be a lot of cascading effect. Because we are going to keep pushing them to take more capacity at least a contracted capacity until we keep -- until we reach the PRC related capacity. So I don't fo resee any cascading issues of this to next year.
Anupam Gupta: Okay. And just 1 last request. The order book, which you disclosed in your presentation, it would help if you do it at the end of quarter rather than mid of the quarter, because then it becomes very difficult to compare. So let's give a number, which is end of June, end of September, end of December rather than giving 12th August number because it doesn't help comparing at all.
N. Aravind: We are giving breakup of both the versions, including. A nyway, we'll follow the same.
S. K. Ramaiah: I think Q1, Q2 and Q3 that too, this one is there .
N. Aravind: June already I have given, additionally I have given 12th August date.
Mode rator : The next question is from Ketan Jain from Avendus Spark.
Ketan Jai n: I'm sorry if the question is repetitive. Sir, what is the order inflow you're guiding for FY '25 like in terms of rupees crores?
N. Aravind: It's INR11,000 crores we are projecting sir.
Ketan Jain: If I can get any segment -wise in this number, sir?
S. K. Ramaiah: Yes. Segment -wise, perhaps the substantial orders will come. I think the O&M side will, as on today another INR1,500 crores of opportunities of tracking. Then the ETC business and the fuel business, that will be the next line for this one.
And of course, the other bigger orders should be expected based on how the things happen, as Rohit has explained on the BharatNet activity because there is a lot of opportunity there. And the availability of the -- so many territories and the areas which can be been tendered in such a way that we should be able to get something there. That's something reasonably and we should make it. And then the individual non -power sector, whatever we are including that in the mining segment and then how the water system pr ojects also.
Ketan Jain: So also, you had mentioned the bidding pipeline is of around INR75,000 crores, which is mainly in power sector and O&M. So if you could break down the bidding percent in power sector, O&M and mining, what is the exact pipeline?
S. K. Ramaiah: I think those numbers are there. I think substantially, about INR40,000 crores, INR45,000 crores in the infrastructure and railway. And then the other segments will come on the ETC business about INR1,200 crores to INR1,500 crores. And then the re's non -power sector and the O&M side, and then water also is there.



Ketan Jain: Sir, in power, sir. In power, how much?
S. K. Ramaiah: Power, you can -- the opportunities have been INR12,000 crores to INR15,000 crores.
Ketan Jain: This include O&M as wel l, right?
S. K. Ramaiah: O&M is not there. I would ask about the civil and the ETC business.
Ketan Jain: Power opportunity in O&M, sir?
S. K. Ramaiah: O&M is INR1,500 crores.

Rohit Sajja: INR1,500 crores domestic. And including overseas, it will be around INR2,000 crores, INR2,000 to INR2,200 crores.
Mod erator : Ladies and question, as there are no further questions, I would now like to hand the conference over to Ms. Natasha Jain from Nirmal Bang Equities for closing comments.
Natasha Jain : Thank you. I would request the management to give any closing comments if they have.
S. K. Ramaiah: Yes. One development perhaps we are, I think we have spent all the agro and all. Only the Green Hydrogen initiative, we are also taking it. National Green Hydrogen Polic y of 5 million tons per end of this decade and I call for investment of nearly INR800,000 crores both on the hardware side and the development side of these projects and all . Already lot of centers are coming in terms of green hydrogen capacity enhancement of each plant capacity of 10,000 tons per annum to, say, 30,000, 40,000, 50,000 tons.
And in this regard, Rohit and myself, we had made a visit to Portugal and Spain to see the technology available in Europe . And we are in discussion with some of the tec hnology players, and we have seen some working plants also. And that is one of the areas perhaps the organization is also focusing now.

Yes. This will also align with our mechanical construction business and associate civil works also because the contract structure and working is similar as far as the execution is concerned. Of course, the other aspect is we work on the development projects and wherever commonly applicable , for example, this one -- this urban transport and rural transport, where we can pow er up additional buses and all of the transport corporations. And then cement plants that can be stored for getting the green hydrogen. Of course, these are all the things we are examining it. It's a early state. But the plants, which are coming on as an i nvestment basis and all for the petrochemicals, fertilizers, a lot of plants are coming up, and then we are working on that. And this is more under both the other developments, what have explained on the power, non - power and then MDO, et cetera.

Mod erator : On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

S. K. Ramaiah: Thank you.

# Call: Nov 2024

Date: November 18 , 2024

To
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Through: NEAPS
Symbol/Security ID: POWERMECH To
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Through: BSE Listing Centre
Security Code: 539302

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--o0o--

With reference to the subject cited above, p lease find enclosed the transcript of the Conference Call with Investors / Analysts held on November 13, 2024 , on the Q2FY25 performance of the Company .

Kindly take the same on record and acknowledge the receipt.

Thanking you.
Yours faithfully,
For Power Mech Projects Limited

M. Raghavendra Prasad
Company Secretary and Compliance Officer
ICSI M. no. A41798

Encl: as above



"Power Mech Project s Limited
Q2 FY'2 5 Earnings Conference Call "
November 13 , 202 4

Moderator: Ladies and gentlemen, good day, and welcome to Power Mech Projects Limited Q2 FY '25 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that th is conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Institutional Equities. Thank you, and over to you, ma'am.

Natasha Jain: Thank you, D orwin and good afternoon to all participants. Nirmal Bang Institutional Equities welcome s all of you to the Second Quarter FY '25 Earnings Conference Call for Power Mech Projects Limited. From the management today, we have Mr. N. Aravind, Chief Financial Of ficer; Mr. Rohit Sajja, President BD and Operations and Mr. S. Kodandaramaiah , Director, Business Development.

I would now like to hand over the call to the management for their opening remarks, post which we shall open the floor for Q&A. Thank you, and o ver to you, sir.

N. Aravind: Thank you, Natasha. So I have with me Mr. Ramaiah, Director, Business Development and Mr. Rohit Sajja, President BD and Operations. So I request Mr. Rohit to start the opening remarks and then I'll start the presentation.

Rohit Sajja: Good afternoon everyone, and thank you for attending the investor call. So I would like to start by giving an overview of the order book initially and also a picture of the new order inflows that we are expecting for the rest of the year and then I would like to touch upon the mining operations briefly, and I'll hand over the call to Aravind to talk about the numbers.

So this year, we are targeting an order intake of around INR12,000 crores across various sectors, namely power, non -power, civil infrastructure and water sectors and as of 30th September 2024, we have secured orders worth INR3,100 crores. And taking the total order backlog to INR58,000 crores or a little over INR58,000 crores. And excluding both MDOs, our unexecuted ord er book stands at INR18,402 crores.

And we have bids for INR8,900 crores worth of projects in the pipeline that we have picked for and the results of these projects are expected to be announced in the next 3 to 4 weeks.

And apar t from this, we are also seeing over the last 1, 1.5 years, we have been seeing a considerable amount of growth in the power sector and with close to 80 gigawatts of capacity addition planned by 2032. Of this, around 37 gigawatts has been tendered and around 43 gigawatts is yet t o be tendered. This translates to a potential opportunity of INR86,000 crores for Power Mech in the civil and mechanical workspace and that too only the construction.

This includes both the boiler turbine generator areas and also the BOP Civil and mechan ical areas. And we are also targeting the BOP EPC space would translate into an opportunity size of INR2.1 lakh crores for the next 4 to 5 years. And apart from this, we are also actively exploring a few opportunities in the green hydrogen space, especially the SECI tenders that have come up for the green h ydrogen derivatives. So this again, we have tied up with a few electrolyzer manufacturers and then we are in advanced stages of forming partnerships with them.

Looking ahead, we expect to expan d our order book in line with our growth plans over the next 5 years, focusing on our core sectors like power and infrastructure, while also diversifying into green energy.

And talking a little bit about the MDO business. We have made significant progres s over the last 1 year in both MDO projects. And this year, we have secured the Tasra mines . The first Kotre B

asantpur
Mine we have secured all the permissions, and we are about to break ground probably in the next 3 to 4 days. We have secured the forest c learance also to start with the tree cutting activity. So we expect to extract the first coal produced in the month of January or February this year.



And Kalyaneswari Tasra is also gaining momentum. We have completed equipment mobilization for initial mi ning activities and also received environmental clearance for setting up a 3.5 metric tons per annu m capacity washery. OB removal and coal production is going on, and till date, we have done around 382 tons of coal production.

Now I request Mr. Aravind to update on the Q2 and half yearly numbers.

N. Aravind: Thank you. Good afternoon to all. The performance for quarter 2 and 6 months for the financial year continued as per our set targets for the entire year. The reported total income for Q2 financial y ear 2024 -25 is INR1,035 crores against INR937 crores in Q2 FY '24, an increase of 12% year -on-year. EBITDA is INR134 crores as against INR118 crores as a growth of 13% and PAT is INR67 crores, which has grown by 31% compared to INR51 crores in Q2 FY '24.

So on quarter -to-quarter basis, Power Mech has demonstrated improvement in overall margin profile. EBITDA margin has gone up from 12.57% in Q2 FY '24 to 12.78% in Q2 FY '25. PAT margin has gone up from 5.47% to 6.43%.

The revenue mix for the quarter 2 F Y '25 -

Mechanical business has contributed INR229 crores against INR148 crores in Q2 FY '24, showing an increase of 10% growth. Civil business, including railway, water distribution contributed to INR395 crores against INR496 crores in Q2 FY '24, a decrease of 20%. O&M revenues are INR391 crores against INR272 crores in corresponding period last year, registering a growth of 44%. Electrical business, INR9 crores against INR17 crores, a decrease of 47% year -on-year. Mining business, INR12 crores again st 0 in Q 2 FY '24. Other income, INR10 crores against INR5 crores in Q2 FY '24.

During the quarter 2 FY '25, the distribution between domestic business and international business is 95% and 5%, respectively. Contribution from the power sector remained at 66% and non -power contributed 34%.

Similarly, the total reported income for 6 months of FY '25 stands at INR2,062 crores against INR1,808 crores in half year FY '24, an increase of 14% year -on-year. EBITDA is INR257 crores against INR223 crores, a growt h of 15%. PAT is INR127 crores against INR102 crores in half year 1 FY '24, a growth of 24% year -on-year.

On a half year to half year basis, Power Mech has demonstrated improvement in overall margin profile. EBITDA margin has gone up from 12.31% in FY '2 4 to 12.45% half year FY '25. PAT margin has gone up from 5.66% to 6.17%.

Revenue mix for 6 months -

Mechanical business has contributed INR331 crores against INR258 crores in half year FY '24, showing an increase of 14%. Civil business, including Railway, Water Distribution contributed INR937 crores against INR989 crores in half year FY 24, a shortfall of 5%. O&M revenues are INR732 crores against INR524 crores in corresponding to the previous period, registering growth of 40%.Electrical business, INR17 crores against INR25 crores, a decrease of 32%. Mining business, INR26 crores against 0 during the last year. Other income is INR19 crores against INR10 crores during the last year.

During half year FY '25, the distributio n between domestic business and international business is 94% and 6%, respectively. Contribution from the power sector mentioned at 60% and non -power contributed 40%.

So, as the financial parameters are concerned, net current excluding cash and cash equivalents have increased from 142 days in Q1 to 147 days in Q2 due to delays in certification of the works and delays in re

alization of receivables mainly from t he Water d ivision, resulted in increase in the current assets of the company.



The debt levels are in control as on 30th September 2024 , the gross debt is around INR611 crores and the net debt stands at INR64 crores. The debt -equity ratio as of 30 September '24 st ands at 0.34x.

Now I request Mr. Ramaiah garu to update on the developments.

S. Kodandaramaiah: Yes. Good afternoon everybody. Good afternoon Rohit and Aravind, my others colleagues here. Thanks to this call today. I think Rohit has given an overall pic ture of where the company is going in terms of the growth patterns and then the revenue side and also the opportunity side in the future. Aravind has given the financial numbers.

I think we shall continue to be bullish on market opportunity and availabil ity of opportunities and also the bidding opportunities available. The overall order backlog at the beginning of the year was INR17,362 crores, it has gone up to INR18,40 2 crores, upwards of nearly 6%. And the bulk of the booking has happened in O&M side, that's a very positive sign. With the order backlog which was on O&M, which was INR2,197 crores at the beginning of the year has gone up to INR3,326 crores, almost 51% upside .

I think O&M is one of the key areas of our strength in the operations for top line, not only topline but more important the bottom line, that's a very positive sign. Of course, in the Mechanical and Civil the the overall - backlog remained the same. And with overall order booking done about INR3,055 crores in the first 2 quarters .

The domestic order backlog is around 98.7%. The international operations of 1.3%, mainly related to lot of O&M jobs, which we are pursuing in the Middle East and also West Africa. And the power sector order backlog is about 68% and the nonpower sector is about 32%. That shows very well that the power sector is driving the growth and the opportunities are available.

Of course, non -power sector is comfortable, non -power sec tor which has many opportunities, which we have entered in a big way in the last 7, 8 years that continues to be of importance to our growth strategy.

But some of the key areas of the developments I can say, to start with on the power sector, I think we all know the market is becoming very bullish in the face of EPC/BTG orders coming out for BHEL and L&T . And obviously, this is linked with the huge demand gap, wh ich can happen between the coal-power and also non -coal power that is the renewable power, which is expected to bring the widening of ga p by 1930 -32 leading to grid dis turbance and also power outages .

As a precaution, government has taken a lot of advance actions in terms of ramping up the capacity of the coal - based plants to work as a backup on baseload operation and also for day night operation . And that is why lot of orders are coming out.

And we have seen in the last 10 months to 1 year perhaps beginning with Lara, where BHEL has taken the NTPC order and then followed with Talcher, Sin grauli, then Talabira by NLC, Neyveli Lignite Corporation, then Yamunanagar by HP GCL, then a lot of orders from Adani side, totally Adani has ordered about 10,920 megawatts in the last couple of months, mainly in BHEL for the main plant,a nd then NTPC has o rdered about 11,580 megawatts. This I am giving a background of 1 year, and then a lot of things have happened in the last couple of months . and the HP GCL, 1 unit of 800 -megawatt of Yamunanagar , DVC at Koderma, 2 units of 1,600 megawatt, then NLC 2400mw Talabira ,and the project is moving little bit slow.

Therefore, that shows the power sector the ordering status has gone up to almost of INR128,000 crores for the BHEL itself. Therefore, BHEL is flooded with orders . And recently, the development is

the
bulk orders NTPC called for Nabinagar, Gadarwara and Telengana, so totally 8 units , that L&T was L1. But as a part of the tender conditions, there was an opportunity available for BHEL to bid in one of the projects to match the L1 price that has already been confirmed now that is Telengana project, around INR1,600 0 crores going to BHEL .

Therefore, overall ordering, which has been done by all these customers, Adani, HPGCL, DVC, NLC, NTPC for about 35 sets, comprising 27,300 megawatts comes to almost INR155,000 crores with about INR27,523 crores is for L&T, and INR1,28,982 cr to BHEL.



For that indirectly translates a huge opportunity base for us in terms of the ETC business, in terms of civil works, structural work, ETC works some of the balance of plants works in terms of coal handling facilities or balance of plants civil works and then the more and more sets operated and all this commission ing, then O& M opportunities also can materialize . So from a ballpark basis and a rough calculation of what we figured out is the opp ortunity size for the future is in the power sector it can go more than INR30,000 crores in various areas of the installation, civil structural, mechanical work and then other areas also in the non -power sector .

Apart from that, there are BOP opportunities coming because NTPC has taken a principled stand for split the EPC of the entire plant in two areas, the main plant is civil structures in the area and the balance of plant and for this balance of plant opportunities also will come up, and we are in the process of looking at the opportunities and some of the projects like Singareni which is coming up in Telangana. And then in the future when the NTPC comes out, we have to drive with some of the partners, how to build upon all those opportunities . Of course, Telengana EPC tender of 800mw, we will be aggressively pursuing that opportunity that has to come with the BHEL because BHEL is bidding with SCCL side, we have to see how this takes shape.

And then there are other tenders also which have been called for this EPC and other tenders like OPGCL, Odisha then Ukai in Gujarat, then MPGCL Amarkantak, MPGCL Sarni , Singareni in Telengana that I have told you. Because NTPC has got a mandate to complete their portion of the ordering and also capacity addition to meet need of 26,000mw by '3032 . So that will be another 11,440 megawatts the tenanting process which is in progress . I expect that except for 4,800 megawatts, most of the balance tenders will be finalized by end of the year, it should be, another 6 months should be possible. That will bring up another INR20,000 crores of opportunities in the power sector segment itself for Power Mech .

Now on the plate, we have got about INR24,000 crores worth o f various opportunities being in bidding stage and also up for submi ssion in the power plant side, in the drinking water schemes and then in various other non -power segment areas , that is why going with confiden ce what is the future for more opportunities . Around INR3,500 crores of orders will fortify in the next couple of months, or 3 months maximum. And then we are still bullish on meeting that targets based on the opportunity available with so many tenders, which we are bidding around INR24,000 crore s.

So these are the major things what we have to say. Then O&M , we have s een a significant improvement. I n fact, we improved order backlog of O&M by 50% at the beginning of the year to midway and this bode s well for improving the topline and more importantly for the bottom line. And some of the key things that have happened is the major projects at Talwan di we have taken 3x660 - megawatt , that is about INR951 crores is one of the largest O&M offers we have eve r taken in the market, therefore, a 5 ye

ar contract therefore, that is why this year the overall O&M order booking
about nearly INR1,860 crores ,, and that speaks well for future in the growth for the profitability also.

And some more O&M projects are also expected in this year in the other segments also, the railways and I told you about the power sector and then other infrastructure side. And other bit of major investments, I can just briefly tell.

The steel sector, a lot of investment is going to c ome up. ISCO Burnpur with the investment of INR30,000 crores for 4.5 million tons capacity and there can be opportunities in our side of the work in civil structural and installation business. Then Bokaro also is expected to come up with investments. And t hen Rourkela is also plan for expansion investment. And there are opportunities in the Middle

East also JSPL is planning to invest INR30,000 crores in the 5 million tons capacity in Oman.

We have got a presence in the Middle East also and Rohit is rigoro usly pursuing those things. Particularly, we have got a huge HR base also in handling dozens of projects in installation, then maintenance, operation maintenance, et c. And we have got a background of work of about 7,000 megawatts of thermal sector power pl ants across the spectrum in the Middle East. That presence and expansion should help us to see if new bigger investments come, we can also try to get in there.

So this is on the overall perspective. Then the balance investments will continue to flow in t he railways, we expect another couple of years approval be there with a huge investment of INR1.5 lakhs crores to INR2 lakh crores of road sector more than INR2 lakh crores to INR2.5 lakh crores.


Then drinking water residual orders have to be completed n ow perhaps under new Amrut scheme or whatever is there it comes .. These opportunities also will be available. And now the company is quite diversified, widely spread out , and then we have got the organization also built up. In fact, the present organization strength both direct and indirect labor has gone up by about 10% to meet the new businesses, which has come not only in the power sector, but also in the O&M and other areas. That is what I would like to say in the start. Thank you very much.

Moderator: We have the first question from the line of Omkar Chitnis from Trade Brains.

Omkar Chitnis: My first question is, I want to know on MDO business. Because Geological Survey of India has identified several lithium coal sights and Indian governme nt has plans to call a tender for lithium coal sight for coming years. So are we working on developing additional expertise in mining in comparison to the traditional mining operations in India and globally?

Rohit Sajja : Yes. Thank you. Thanks for the que stion. So right now, our entire focus perhaps is to bring both of these mines to steady -state operations or peak rated capacity, which is 9 million metric tons per annum, and we expect to achieve this in 2028. And we are not looking at other mines at the m oment, other MDOs or other coal blocks or mining in any other form. And lithium, we did some work on it. And so lithium requires a different skill set, different expertise to mine and extract.

Omkar Chitnis: Okay, sir. Understood. And my second question is on expansion in global market, particularly U.S. In the case of Trump administration in the first term, he emphasized more on infrastructure development and energy. Are we expecting same infrastructure development in the second term in the U.S. so that we can get more opportunities to enter U.S. market? And any partnership are you planning in U.S. -based reforms?

Rohit Sajja: No, sir. No. Right now, we are not looking at U.S. as an expansion strategy, especially for the infra business.

Omkar Chitnis: Okay. Okay. Sir, my last question is, earlier

you guided a revenue growth of 25% to 30% for FY '25.
What specific strategies have been implemented to achieve this target, particularly based on the current market conditions and competition, sir?

N. Aravind : Sir, we have an opening order book of around INR17,362 crores without MDO business , and we have target for the current year, we are planning to order inflow of around INR12,000 crores . So we have a history of converting the opening order book of 35% to 40 % conversion into the turnover.

So with that basis, we projected the revenue of 30% growth in the current year. So in '23 also, we have achieved this 30% target from '22 to '23. So that is easily doable target. So we are confident of achieving this number during the current FY.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda: Sir, on the coal MDO side, I'm seeing continuous delay in the project in terms of execution. So , now both these project s, where exactly are we? And for your peak run rate, so how close are you now to generate those peak run rates? Or what will be your revenue and PAT around the 2 projects combined in FY '25 and '26?

Rohit Sajja: Yah, yes. The first mine with Central Coal Feeds Limited, which is a 5 million metric tons per annum one, which we named as Kotre Basan tpur, there is a slight delay. There was a delay of 4 months, because of central elections and now state elections. But right now, we are in a position. This week, we have mobilized our resources, and we are expecting to start our work any moment. We're just waiting for the last clearance to be obtained, which shall be obtained anytime soon.

And this mine, initially, we expected to do around INR50 crores of revenue this year, sir. So even if we start supplying the first batch of coal in the month of January, if we start extracting overburden in the month of December, which we expect to do by December first or second week after the tree cutting activity is done.



So we are on track to doing INR50 crores in this mine. So next year's plan is to increase the capacity to 1.5 MTPA metric tons as per the contractual agreement . And we'll do a revenue of INR300 crores to INR310 crores, depending on price variation.

And this mine is expected to reach PRC (Peak Rated Capacity ) by 2028. So we'll peak in revenues in 2028. And the second mine, which is named as Kalyaneswari Tasra Mine, which is a SAIL mine, we have already started extracting coal, and we have extracted 380,000 metric tons till date from February 2024 to October 2024 . And this trend is only going to increase going forward.

In terms of washing capacity, we are running a little short because SAIL doesn't have complete offtake of this resource t hat we are able to extract. But the situation is going to improve from January, February onwards, and we were able to achieve only INR26 crores until Q2. But the next 2 quarters, there's going to be a significant increase in revenue numbers in this mine. I t may touch INR150 crores to INR160 crores. And this mine again, is expected to achieve PRC, peak rated capacity ) by middle of 2027, 2028. That's when our washery will also be constructed and we'll start obtaining the full mining fee.

Pritesh Chheda: This INR160 crores you mentioned is full year or H2 for SAIL?

Rohit Sajja: So it is for H2, H1 it is INR28 crores.

Pritesh Chheda: So it is INR160 crores plus INR28 crores, so for full year, it will be INR188 crores ?

Rohit Sajja: Yes, sir, yes.

Pritesh Chheda: Okay. Can you tell us the PAT number for the Coal India mine next year at INR300 crores revenue?

Rohit Sajja: Sir, initially next year, because the PAT is going to be a little less until we achieve PRC, it's more so investments that we have to pu ll in from our side. So it will h ave in the range of 6% to 7

%. But once
we achieve PRC, the PAT is going to improve significantly, substantially all the way up to 12% to 13%.

Pritesh Chheda: So you will achieve the peak rated in Coal India mine in FY '28, right? And you will achieve the peak rated in SAIL mine in FY '27?

Rohit Sajja: In middle, towards the end of FY '27 or middle of FY '28.

Pritesh Chheda: Okay. And this 25% revenue guidance that you gave, you give that with the FY '25 will be without coal numbers or with the MDO numbers?

N. Aravind : This including coal MDO numbers.

Pritesh Chheda: Including.

N. Aravind: Yes, INR5,500, including coal numbers.

Pritesh Chheda: The next question is from the line of Sandeep Dixit from Arjav Partners.

Sandeep Dixit: Just a couple of questions. First, on this guidance of INR5,500 crores in the current year. So if I just note the numbers, you are looking at a 40% revenue growth in the second half. Am I right in my calculations?

N. Aravind: Yes.

Sandeep Dixit: Where is this growth coming from? I mean...

N. Aravind: The FGD, we have done around INR52 crores during the Q2 a nd the remaining are the new orders we received from Mahan and Athena new projects. O&M, we received new projects during the Q1 last year, new orders we received from the various projects.



Sandeep Dixit: So basically, what I'm taking away is that you have very high visibility on this INR5,500 crores number. Chances of disappointment are extremely low. Am I right?

N. Aravind: Yes.

Sandeep Dixit: Okay. Sir, second question was on the mining operations. You mentioned in the previous answer that the margins will be 6% to 7% until you reach peak capacity, peak rated capacity.

N. Aravind: It's a PAT margin.

Sandeep Dixit: It's a PAT margin, not an EBITDA margin.

N. Aravind: Not, EBITDA, it's PAT.

Sandeep Dixit: Okay. So, what would be the EBITDA margin in that case?

Rohit Sajja: EBITDA blended will be PRC. When we achieve PRC, it will be blended EBITDA of both the mines together wi ll be around 20% to 22%.

Sandeep Dixit: I think you had mentioned that in earlier calls.

Moderator: The next question is from the line of Anant from Mount Intra Finance.

Anant: I just have one question. There is inflow of INR3,055 crores. However, there is a revised order you have included for. Am I right in my calculation? Or...

N. Aravind: Your voice, we are unable to get you.

Anant: Yes. So your order inflows are at INR3,055 crores for up till H1 '25. However, I see there's a revised order of INR593 .99 crores from Uttarakhand Pey Jal Nigam Limited. Is that also included in this current order book?

N. Aravind: Which project you're referring, sir, which order?

Anant: A particular order, INR594 crores from Uttarakhand Pey Jal Nigam Limited. You disclosed it on 22nd July '24. So this seems to be a revised order. And as per my calculation, this is...

N. Aravind: Yes, INR230 crores revised order intake. So that is also included, yes.

Anant: So that essentially a double counting, right? This or der was received in April '23.

N. Aravind: No, my opening remarks I have taken only the difference value of INR230 crores. Change of scope value only i have considered in the present order s.

Moderator: We have the next question from the line of Pratik Shah f rom Nirmal Bang Equities.

Pratik Shah Yes. Sir, my first question was regarding to the recent slowdown in the steel sector for the last 3 to 6 months. Have we received any order booking from JSPL that you were expecting or we are expecting any delays in t he capex?

S. Kodandaramaiah: Yes we have received an order of INR76 cr from JSPL Angul . I think this I ISCO Burnpur is taking shape. Actually, they are first focusing on the supply orders. Because supply , we had some discussions with the Russian compan

y also. Of course, the re are qualification issues are there. But the construction and the construction partner contracts wil l following another 4 to 5 months. And there can be opportunities about nearly INR4,000 crores to INR5,000 crores.

Of course, we ha ve to see which the packages of importance to us there are. B ut these invest ments are on the firm footing. And their growth also will come up. expanding on material handling and other sites also and then we have to, of course, overall outlook is that SAIL wants to double up the capacity from 25 million tons to 50 million tons, something like that. .



JSPL, what I told about Oman is a firm investment committed under Vulcan Steel fully invested to be done by the JSPL. And we can take a call based on the oppo rtunity and also what is the type of work that will be available, which can be doable there. Of course, what I referenced having done the work in steel plant in Dolvi, Bellary and JSPL Angul and with those references, we can make a try.

Pratik Shah Okay. Got it, sir. My second question was for the capex for Power Mech for '25 and '26. Could you give any guidance on that?

N. Aravind: To meet our regular revenue growth targets, we are increasing the capex of normal assets of around INR100 crores capex incre ase we are expecting during the year . Apart from that, we received the washery environmental clearance approval during the month of October 24 . So, there is a requirement of INR690 crores overall capex plan for the washery setup for Tasra project , over a p eriod of next 2 years' time, we will incur this INR690 crores overall capex in Power Mech books.

Moderator: We have the next question from the line of Manthan Zaveri from Nexus Securities.

Manthan Zaveri: So my question was regarding the order inflow. So you are guiding as of now between INR11,000 crores to INR12,000 crores of order inflow. And as of now, till date, we have received order inflows of INR3,000 crores. So what gives us confidence of achieving that in H2 or remaining 7 months of this calendar year any large orders?

S. Kodandaramaiah: Yes. INR24,000 crores of opportunities are on the track. It is a combination of power plant side and then the nonpower sector, in the infrastructure side, then metro side, drinking water schemes, et c.. Around INR3,500 cr are on the firm side should happen in the next 2 to 3 months.

And then the other things also should come up. And actually, in the p ower sector also about the new order s should come up because all the ordering which has been done by Adani, they are making a lot of inquiries. They are interested in our partnership and all and we are working in Mahan and with the new projects coming up in Raipur, Raigarh, Mirjapur and also Kawai, all these projects will definitely come because they will take a fast er decision.

And then BHEL with a total order booking on the power sector itself about nearly INR128,000 crores. They also have to do a lot of fast tracking in the ordering also. Therefore, there also it's expected. Therefore, what happened in the first 2 quarters, the re was some slackness mainly because of the elections, the main elections and then the state elections and all. But the third and fourth quarter lik3 last year also similar thing happened. The order book improved in the third and fourth quarter. And lookin g at the opportunity size only, we are still confident of those numbers.

Manthan Zaveri: Fair enough, sir. And sir, on the M DO side, so what can be the expected revenues at peak capacity in FY '28 from both the mines?

Rohit Sajja: INR2,100 crores, sir.

Manthan Zaveri: And this could be achievable in FY '28 from both the mines?

Rohit Sajja: Yes.

Manthan Zaveri: Okay. And the other thing was regarding the Adani FGD orders. So are the FGD orders still slow moving? O r is there any traction reinstate?

S. Kodandaramaiah: No. As on today, it is going on. We all know , matter is sub judice. There are certain views expressed by different segments of the government also. Ultimately, the call has to be taken by the Supreme Court. But what we can say is that like N TPC has taken a firm decision to implement 58,000 megawatts of FGD implementation. Therefore, there is a background of that we are doing in Udupi project of INR963 crores. And that some INR300 crores of conversion should happen in this year. Therefore, til l anything has to come very firmly from the judicial side, we will take it that these things will stand.



And I think there is a lot of sensitivity attached to this aspect of the environmental issues. Therefore, Supreme Court also will take a very measure d decision on that. I think until then, we don't want to make any news, that we'll be proceeding with whatever is available.

It is to some extent, yes, it is slow moving because of the ambiguity attached with the Supreme Court judgment waiting and also s ome of the recommendations made by some of the government agencies.

Manthan Zaveri: Okay. And so of the Adani FGD order of INR6,000 crores, which was approximately INR6,000 crores, how much execution has been done?

N. Aravind: Right now, we are operating only Udupi project, sir. We have done roughly around INR 200 crores worth of work we have executed so far .

Manthan Zaveri: Okay. So this order book of currently INR17,000 crores, how much will be the FGD of this component ?

N. Aravind: If you keep aside the Udupi project, which is running, the balance INR4,200 crores from Kawai, Tiroda and Mundra projects.

Rohit Sajja: Out of INR18,000 crores, INR4,200 crores is all these other slow -moving projects.

N. Aravind: Without FGD, around INR14,000 crores orders a re running projects.

Manthan Zaveri: Okay. And INR14,000 crores, like if we end FY '25 at approximately INR15,000 crores or INR16,000 crores of slow moving, and we expect 30% or 40% conversion of these orders in FY '25. Is that correct?

N. Aravind: Yes, addition of the new -year target of 11,000 addition will be there for the current year. Out of INR3,000 we received. So another INR9,000 crores we are projecting current year receipt.

Moderator: The next question is from the line of Tanay Rasal from Nomura.

Tanay Rasal: Sir, my question was relating to the thermal power plant that was being tendered out by NTPC yesterday. So those 3 power plant are worth around INR80,000 crores. So what will be our scope of work? And what is the opportunit y size for our growth ?

S. Kodandaramaiah: What I have touched upon in the beginning is to be brief on that, the order flow which has come on BHEL and L&T together is about nearly INR155,000 crores in the last 1 year. And L&T to proceed with about 4,000 me gawatts for Nabinagar and Gadarwara for INR27,523 crores. And BHEL also today, the news headline has come also about the Telangana job of INR16,000 crores also because they had an opportunity to match the L1 price.

Even though in all the 3 plants , L&T was L1 , under tender conditions BHEL is getting another order of INR16,000 crores from Telangana that is boosting up for this one. For this there are segments of the opportunities on the ETC business that is the installation business of the main plant equip ment and then the civil and structural work. And then some of the balance of plant works in terms of where you can take coal handling and other areas and balance of plant civil work.

Apart from that, that itself comes on about INR30,000 crores of opportu nity. Apart from that, what BHEL and Adani have to do is that the Adani has only placed order on the main plant that is the BT G for about 10,900 megawatts. Now all these plants for facility, th

e completion of the main plant, they
have to order the balance of plant work. There a lot of other miscellaneous work like coal handling, material handling, then ash handling, then water sys tems and all. Those will also come for tendering.

And we have to see where we can fit in.

But NTPC also called tenders for 6,400 megawatts, which there now almost everything in this is in the pipeline for both BHEL and L&T, this also balance of plant, t hey have to tender it out. That they cannot delay it. That also will come as an opportunity. And mor e than that, I told you another , 11,440 megawatts tendering is in the pipeline that has to happen. Therefore, over the next 2 to 3 years, 2 years, at least, there will be a lot of flow expected on the power sector business.



Tanay Rasal: Okay. But what is about time line like when BT G is tendered out? So when is the balance of plant usually gets tendered out to you? Any time line you can...

S. Kodandaramaiah : Balance o f plant, they should be doing it because they cannot delay it in a couple of months, it should happen because already they would have done the documentation, maybe they have to call the tenders and what the packaging they want to do it a single package or a multiple package s that has to be seen by NTPC. Whereas, in the case of Adani, they have got enough capabilities to do package -wise tendering in terms of various areas like mechanical, electrical and then civil packages and structural packages. But also they will be starting it all those areas.

Moderator: The next question is from the line of Sunil Kothari from Unique PMS.

Sunil Kothari: I'm a little new to the company. So would you like to talk something more about -- it seems the opportunity is very huge, maybe in 1 or 2, it will accelerate for next 4, 5 years. So which are the area where you feel you require to strengthen your inside capability in terms of management team, equipment, capex. Where you feel you require to create more capabilit y?

Rohit Sajja: Yes. Thank you. Thanks for the question. W e are working towards increasing capability in the civil space especially, because it's a relatively compared to what our core activities in the power sector, especially mechanical works that the company was founded on. So civil works is what we think we have to and we are working on it. We have been enhancing our teams, especially at the leadership level and also at the ground level, execution teams. And we are also gearing up to add more engineer ing capability within the organization.

So to take up more engineering procurement and construction contracts, not an entire power plant, like Ramaiah said and I had touched upon earlier, parts of a power plant where we think we can build on our 25 years of experience. Like BOP is something that we thought we could do. So we are trying to build some engineering expertise for the next 5 to 10 years to be able to cater to decent amount of BOPPC jobs.

And naturally, I think O&M, we are making good strides in the O&M space, operation maintenance of power plants, but we feel there's still a lot to do in terms of skill enhancement and the kind of power plant, thermal power plants, especially that are going to come up over the next 5 years to 10 years. So we ne ed to be ready with numbers. More than quality of skills, we need to be ready with a number of people because the last 10 years have seen a lot of people not join this sector. There is a dearth of talent.

Sunil Kothari: And something you can talk about ju st covering your vast experience of the past and the industry, which made a lot of mistakes and get so much in a trouble. So what has changed? What precaution we are taking that w e do not make mistakes? Or we even if there is something wrong, w e can come o ut maybe a little with a little injury. Because ulti

mately, infrastructure and related all these things, over time, it creates a very challenging environment in terms of competition, in terms of payment, in terms of project stalling and all things. So how prepared and ready we are with our past experience that we will not make mistakes and we will take care for future?

S. Kodandaramaiah: I think as Rohit has said, we are a 25 -year-old company, a lot of learning has gone into the system. And perhaps on the O&M sector, perhaps we are in the front side. We are the leaders in doing the things. And we are not keeping quiet with that. We are trying to strengthen the organization setup on the quality and the skills of the people. That is where the valuation comes there.

But in the overall perspective, particularly in the normal installation job, there is a challenge, even though it is a routine job, but a lot of bull work is required in terms of proper resource planning equipment deployment . Our planning and pr oject management systems have to be always be on track. Of course, we have got a very robust system on that.

Perhaps it is front led by Mr. Kishore Babu himself many times. He goes to the sites and sees the problem solving approach and Rohi t also is doing the same thing a nd we have got a lot of leaders in different segments. We have got 10 SBUs, for example, which are s in the various segments and all who are specialized in various areas, and that specialization is being strengthened in terms of engin eering , procurement also with some of the staff that we have taken with a lot of experience.



But from the customer side, the major issues are the fixing the overall scope definition of the project, that is a very big task. Particularly the standard packa ges of power plant, there is nothing big a challenge. Like Adani is doing like a very routine thing because they are quite used to it. NTPC is quite used to it. BHEL the problem with BHEL, they've got a huge capacity, 15,000 megawatt capacity. They've got a lot of quality people. Everything is there. Only thing the supply chain and their working capital, that is where this type of projects can have some issues here and there.

And more or less, in most of the sites, the problem, what happens, we are seeing many of the projects are delayed due to access issues because the land is not fully available. There are other statutory clearances are not taken. Forest clearances are not there. Right of the way is not there.

And then these are the things when you int erface when the project starts with a clean slate, then the project will go faster. But when the project is taken and 50% lan d, the progress will be hampered , then the problem starts. Then the whole thing gets a little bit of an issue with delays and all t hose things.

The proper integration of engineering, supply chain, manufacturing and more importantly, the constructio n, which is our specialization that has to be integrated. Ultimately, customer has to do and everybody has to do their duty into that. Bu t we are doing things better. I don't think those days are gone where projects will take with much of delay. Power plants are being put up in 3 to 4 years now. And then even railway jobs and then road projec ts are also coming very faster. We are also exper iencing that. We have done many of the road projects and the railway jobs. They are doing 24 railway jobs. A lot of learning is there, and it is doable.

Therefore, the challenge comes when we do with engineering, supply chain side, that is where a lot of care is required, a lot of working capital management are required, a lot of pushing around the engineering and supply, procurement and execution has to be properly interfaced. And the same thing goes up also in the customer side also. They have to do ord ering in time. They have to get the access to site, the

n they have to find their engineering specifications, tender specifications in time. All these things are standard practice s, which has to be followed. But sometimes there are some delays that we have to make it up some how.

Tanay Rasal: Great, sir. Just last question. How do you see competitive scenario happening or changing now?

S. Kodandaramaiah: You mean to say our area of the business?

Tanay Rasal: Yes, sir.

S. Kodandaramaiah: No, I will tell you 2, 3 areas. Perhaps in the power sector, we are the peers now. I can boldly say that because of the strength we have established. In fact, today, the capacities what we built up in supervision, engineering people, site execution and then supply chain i n terms of the labor, piece rate workers, we can say around 15,000 to 16,000 people are deployed on the various sites for the labor itself. That shows the strength of the organization. Perhaps very few organizations have got that capabilities.

Therefore, that drives us into the front compared to the others, particularly with the private customers like Adani. Even BHEL also doesn't feel that they have got such a big competition because so much of tendering has to be done, nearly about 23,000 megawatts, the y have got on their plate and their capacity is 15,000 megawatts on paper. Of course, over the years because of the lack of interest in the power sector, the annual capacity has come down to 3,200 megawatt per year. Now they have to ramp up to 8,000 megawa tts to 10,000 megawatts, then 12,000 megawatts to 14,000 megawatts in next 3, 4 years. Then only these 80,000 megawatts can be achieved by end of the decade. Therefore, these are the areas everybody has to hope in and get across their act.

Moderator: The next question is from the line of Manthan Zaveri from Nexus Securities.

Manthan Zaveri: Sir, on this MD O order, you said that INR2,100 crores will be the peak revenues in FY '28. So from FY '28 onwards, this INR2,100 crores will be recurring revenue for e very year? Or is there some different calculations from FY '28?



Rohit Sajja: Yes, sir. It's going to be an annual recurring revenue for the next 25 years, excluding the price variation.

Manthan Zaveri: Okay. So approximately INR2,000 crores will be recu rring revenue for the 25 years from these mines. And this won't be related to offtake.

Rohit Sajja: It won't be for 25 years. I'm sorry. It's going to be for 23 years because we are in 2 years for development, yes.

Manthan Zaveri: As our order book is gaining traction in O&M side, and you also mentioned that O&M has relatively higher margins than our other segments. So is there any scope of further improvement in margins? We have been consistent around this 11% to 12% band. So is there any further scope of improvement since our O&M order book is improving?

N. Aravind: Yes, sir. There is a possibility because the moment we increase our O&M segment and MDO segment added to the portfolio, there is an expectation of 1% to 1.5% growth in EBITDA margin over a period of next 3 to 4 years.

Rohit Sajja: And overseas is also contributing quite significantly to our O&M revenues. Last year, we did overseas O&M of around INR200 crores. And this year, we anticipate to do INR235 crores to INR240 crores. So we -- you c an expect to see the same trend over the next 7 to 8 years, overseas O&M growing at a rate of 30%, 35% CAGR. And the EBITDA margins are in the range of 17% to 19% in the overseas.

Manthan Zaveri: Overseas O&M is 17% to 19%, you're saying?

Rohit Sajja: Yes.

Manthan Zaveri: So can we expect improvement in H2 of FY '25 in EBITDA margins?

N. Aravind: Yes, sir, because the turnover will be more in H2. So the O&M also new projects we added during Q2. So there is a chance of getting more margins in O&M side. So

we may get more margin improvement in the half year also.

S. Kodandaramaiah: One more thing, the new installation job, which is coming up in the boiler and turbine packages, the realization of the rate per ton is better than the previous years. That ca n also bring some better margins.

Manthan Zaveri: Okay. And sir, since we are operating these 2 large MDO orders. So in terms of capability and operational capabilities, is this somewhere hampering our bidding in other lines of business or it's not affect ed in terms of manpower and everything?

N. Aravind: No, these 2 MDOs we are operating under separate SPV, sir. So there is a separate manpower, we are handled by the separate team. So Power Mech team is only supervising as a promoter. We are monitoring th e operations of the SPVs. So there is no impact on the mining operations on the existing MDOs.

Moderator: Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Ms. Natasha Jain for closing comments. Over to you, ma'am. Ms. Natasha Jain, you are not audible.

Natasha Jain: Yah. Thank you. I would now request the management to give closing remarks, if any.

S. Kodandaramaiah: Yes. I think we have touched upon many aspects of the business growt h, the opportunity size available, the revenue growth and the EBITDA margins, it should be further st rengthened in the coming months.

What we can say is that the investment climate is pretty good in the power sector, in the nonpower sector, railways, inf rastructure and then other segments also. Therefore, the C ompany continues to be bullish on its growth path, INR4,200 crores last year, and we should touch upon INR5,000 crores around that or a little bit more in the last 2 quarters on how the revenues wil l be ramped up .



And Rohit has given a broad spectrum of the order flow expected. And I think of the opportunities available, we should try to get whatever is possible. And then the opportunities available will be more in the coming years, the governmen t is fully committed for more and more investments in energy sector, infrastructure sector and then so many other sectors and then steel sector also .
.
Therefore, we have to see the green hydrogen, which Rohit has touched upon. Therefore, there are new se gments also is coming up. And then we keep focusing on new segments. That is one of the USPs of Power Mech. We'll always look for new opportunities, and that is how our growth should be sustained. Thank you very much.

Natasha Jain: Thank you, sir. That concludes the conference. Participants can now disconnect their lines.

N. Aravind: Thank you.

Moderator: Thank you. On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

# Call: Feb 2025

Date: February 17, 2025

To
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Symbol/Security ID: POWERMECH To
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Security Code: 539302

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--o0o--

With reference to the subject cited above, p lease find enclosed the transcript of the Conference Call with Investors / Analysts held on February 12 , 202 5, on the Q 3FY25 performance of the Company .

Kindly take the same on record and acknowledge the receipt.

Thanking you.
Yours faithfully,
For Power Mech Projects Limited

M. Raghavendra Prasad
Company Secretary and Compliance Officer
ICSI M. no. A41798

Encl: as above



“Power Mech Projects Limited
Q3 FY-25 Earnings Conference Call
February 12, 2025 ”

MANAGEMENT : MR. N. NANI ARAVIND – CHIEF FINANCIAL OFFICER ,

POWER MECH PROJECTS LIMITED

MR. S.K. RAMAIAH – DIRECTOR (BUSINESS DEVELOPMENT )
(NON-BOARD ), POWER MECH PROJECTS LIMITED

MODERATOR : MS. TERESA JOHN – NIRMAL BANG INSTITUTIONAL
EQUITIES


Moderator : Ladies and gentlemen, good day, and welcome to the Power Mech Projects Limited Q3 FY '25 Earnings Conference Call.
As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Teresa John from Nirmal Bang Institutional Equities. Thank you, and over to you, ma'am.
Teresa John : On behalf of Nirmal Bang Institutional Equities, I would like to welcome you all to the 3Q FY '25 Earnings Call of Power Mech Projects Limited.
The Management today is represented by Mr. N. Nani Aravind, CFO of the Company; and Mr. S.K. Ramaiah, Director of Business Development.
I will now hand over to the Management for their opening remarks, after which we will open up the floor for Q&A. Thank you, and over to you, sir.
N. Arvind: Thank you, Teresa John. Good afternoon, everyone. I am Nani Aravind – CFO of the Company. I have with me Mr. S.K. Ramaiah – Director of Business Development. I welcome you all to Q3 FY '25 earnings call.
The performance for Q3 and 9 months for this financial year continued as per our set targets for the entire year.
The reported total income for Q3 FY '24-'25 is INR 1,347 crores against INR 1,115 crores in Q3 FY '24, an increase of 21% year -on-year. EBITDA is INR 160 crores as against INR 141 crores, a growth of 13% and PAT is INR 87 crores, which has grown 39% compared to INR 62 crores in Q3 FY '24 . EBITDA margin has decreased from 12.66% in Q3 FY '24 to 11.87% in Q3 FY '25 , due to increase d overhead costs. The PAT margin has gone up from 5.60% to 6.50% , due to lower tax and increase of other income.
The revenue mix for Q3 FY '25 is as follows :
Mechanical business has contributed INR 277 crores against INR 230 crores in Quarter 2 FY '24, showing an increase of 20% year -on-year. Civil business, including Railways and Water Distribution contributed INR 522 crores against INR 596 crores in Q3 FY '24, a decrease of 12%. O&M revenue are INR 481 crores against INR 260 crores in corresponding period last year, registering a growth of 85%. Electrical business, INR 25 crores against INR 21 crore s, increase of 19%. Mining business, INR 34 crores against 0 i n Q3 FY '24 during last year. Other income is INR 9 crores against INR 7 crores in Q3 FY '24.
During Q3 of FY '25, the distribution between Domestic business and International business is 95% and 5%, respectively. Contribution from the Power sector remained at 65%. Non -Power sector contributed 35%.
Similarly, the total reported income for 9 months of FY '25 stands at INR 3,409 crores against INR 2,922 crores in 9 months of FY '24, an increase of 17% year -on-year.EBITDA is INR 417 crores against INR 360 crores, a growth of 15%. PAT is INR 218 crores a gainst INR 164 crores in 9 months of FY '24, a growth of 33% year -on-year.
On 9 months to 9 -month basis, EBITDA margin has decreased from 12.45% in FY '24 to 12.22% in 9 months of FY '25 , due to increase of overhead costs. The PAT margin has gone up from 5.70% to 6.40% , due to lower finance cost, lower tax expenses and the increase of other income.


Revenue mix for 9 months. Mechanical business has contributed INR 608 crores against INR 517 crores in 9 months FY '24, showing an increase of 18% year -on-year growth. Civil business, including Railways and Water Distribution contributed INR 1,459 crores against INR 1,586 crores during last year, a decrease of 8% year -on-year. O&M revenues are INR 1,213 crores against INR 755 crores in the corresponding period last year, reg

istering a growth of 61%. Electrical business, INR 42 crores
against INR 47 crores, a decrease of 10% year -on-year. Mining business, INR 60 crores against 0 during last year. Other income, INR 28 crores against INR 17 crores of other income during last financial year. During 9 months of FY '25, the distribution between Domestic business and International business is 94% and 6% respectively. Contribution from the Power sector remained at 62%. Non -Power sector contributed 38%.

With reference to the other financial parameters are concerned, net current days, excluding cash and cash equivalents, have increased from 147 days in Q2 to 155 days in Q3 , due to delays in certification of the water works and delays in realization of receivables , resulted in increase in the current assets of the Company. And on stabilization of MDO business from FY '25 and '26 onwards, we can expect a significant improvement in net working capital days.

The gross debt and net debt remained controlled despite delays in certification of water bills and delays in realization of receivables. As on 31st December 2024, the gross debt is around INR 714 crores and the net debt stands at INR 141 crores. The debt equity ratio as on 31st December stands at 0.39x.

Order book status :

So, far in this financial year, the Company has secured orders worth of INR 4,242 crores till December 2025 . The order backlog as on 31st December 2025 is around INR 57,915 crores. If we exclude 2 MDO, the unexecuted order book stands at INR 18,284 crores.

We are actively pursuing upcoming tenders, targeting INR 3,000 crores in new orders by March 2025.Additionally, we have been declared as a L1 bidder for the 49 kilometers Deoghar Bypass Highway Project in Jharkhand , valued around INR 973 crores under HAM, and we are awaiting for the issuance of L OI from NHAI.

So, with reference to MDO business is concerned, we are making significant progress in our 2 MDO projects. At Kotre Basantpur, KBP mining, we have achieved a key milestone with the state forest department's release of 564 hectares of notified forest land in the month of July 2024 , following the securing of tree felling permission in October 24. Tree felling beginning December '24 , we anticipate OB removal to commence in next month, March '25, with coal supply scheduled to start from April '25.

The other MDO, Kalyaneswari Tasra project is gaining traction. We have completed equipment mobilization for initial mining and received environmental clearance for 3.5 million tons per annum washery on October 17, 20 24. OB removal and coal production ha ve been ongoing since January '24 with approximately 5.38 lakh tons of coal excavated and dispatched to SAIL as of January '25. Although SAIL's offtake is currently lower than the plan ned due to limited washery capacity outside, we are working to address this constraint and scale up production.

Now I request Mr. Ramaiah -garu to update on the development of business side.

S.K. Ramaiah: Yes. Thanks, Aravind, for your update on the overall numbers and other inputs and thank to our Investor Community .

As Aravind has given in his update, as far as the business side is there, the backlog of orders of INR 17,362 crores at the beginning of the year, has gone up to INR 18,284 crores, upside of 5.3%, with overall addition of INR 4,242 crores has added up to the 3 quarters.

And in t his case, Mechanical and ETC business has gone up by 7% from INR 6,422 crores to INR 6,857 crores. Civil backlog as from INR 7,814 crores to INR 7,310 crores, a reduction of 6%. O&M, there is a huge increase in order backlog , in terms of order booking. That is a positive indication from backlog of INR 2,197 crores to INR 3,228 crores, about 47% more. Electrical, a modest decrease from INR 930 crores to INR 887 crores, minus 4.6%.



And Domestic business continue

s to drive the business substantially, at 98%. And International
Operations recently mainly on the O&M and the maintenance jobs we are now trying to catch up. .
Power sector continues to drive the substantial business , because of the huge surge in the opportunities which have been available , both in the Installation business, Civil business, as well as the O&M business. And then Arvind has given update on MDOs about the overall position in terms of the present execution and the actions taken.

Now what we can say is that, as the opportunity side, there is a positive thing in terms of the investments, particularly in the Power sector , which is driving the business. What I can give an update on this is that BHEL has been ordered with substantial orders in both the EPC and the main plant works along with the civil works. That comes to almost 2 5,000 megawatts in the last 2 years.

In the EPC business, they have taken about INR 81,680 crores and the main plant works in the supply and installation , and then the civil works of INR 55,302 crores. And L&T is also entering now. They have taken further interest in undertaking new coal-based units . They have taken 2 major jobs of 4,000 megawatts, and that is around INR 27,523 crores.

And therefore, in that way, the overall ordering which has been done in the last 2 years is about 28,900 megawatts. In that, the major players are NTPC 11580mw.with 7 projects Adani Group has taken 6 projects, about 10,920 MW, NLC one project of 2400mw, and f rom Haryana Generation Company

Limited 800 megawatts. DVC, INR 1,600 mw. And then recently, the latest news is that DVC have taken a decision on Raghunathpur for the boiler island of the work that has come about INR 6, 200 crores .
And then MAHAGENCO , this is also the latest development, Koradi. They have taken forward the additions, they're spending on the Koradi investments of 2 x 660 megawatts, that is 1,320 megawatts , and then they have ordered on BHEL for about INR 8,000 crores in main plant works.
And then NTPC has substantially ordered on BHEL about 11,580 megawatts, totally comes to 28,900 megawatts. In that, the EPC portion, as I explained to you, BHEL EPC portion comes to INR 81,680 crores.
Now balance of plant ordering has to be done in many places. Koradi , they have to order about 1,320 megawatts. Adani , because they are doing the packaging themselves in about 10,920 megawatts, they are doing in -house. Of course, there can be opportunities that can be there in many of the civil works, mechanical works, coal handling, miscellaneous works, et c. And NTPC, the recent bulk tender which has awarded two projects to L&T and one to BHEL in Telangana, that is about 6,400 megawatts. That opportunity ca n be substantial.
Now, Raghunathpur latest update, about INR 6,200 crores which has been awarded , this is the latest, yesterday's news to BHEL on the boiler island. That means they have split the entire EPC into 2 sub EPCs, 1 is the boiler island, another is the turbine island. And the boiler island, they have taken this job with the earlier TG package awarded to BHEL .
And then the MPGCL and there are new projects which will be expected for 1320mw, Uk ai in Gujarat 800mw and OPGCL Orissa 1320mw . Therefore, from the combined opportunities in the Power sector , I would like to delve in the first instance , the main business interest for us is the Installation business, Civil and Structural business for the main plant and wherever the balance of plant is there. We have estimated out the total opportunity size about INR 27,250 crores.
New projects which have been allotted about 13,560 megawatt. And then there is a recent development where in KSK Mahanadi, the NCLT project , which had gone for liquidation, has been awarded to JSW. That is, existing 3 units are running 3 x 600 , and the 1 more unit, they are going to complete it, that is 600 megawatt. And 2

more units, they are going to change the con figuration from 600 megawatt to 660 megawatt.
These are the major development . And the other areas, yes, in the infrastructure side, government continues to be bullish in investments in railways, drinking water schemes, roads and then metro projects, et c . Therefore, what we are focusing is that the experience what we have gained in the drinking


water, we want to expand the business , because this drinking water scheme has been extended up to 2028 , and the total investment may exceed about from INR 360,000 crores and the budget allocation can go up with more time taking up the completion of balance 20% coverage of JJM mission up to 2028 .
And it is expected particularly in the southern states; Karnataka, Andhra Pradesh, Tamil Nadu, Kerala and Maharashtra, a lot of investments are expected. And now with the experience what we have gained in the U.P., where we have done substantial work out of INR 2,723 crores, about 1,969 villages, . That is the focus on that.
On O&M , what I can say is that we are very bullish on the O&M , because lot of new projects are getting commissioned. In fact, last year, the comm issioning was expected about 54 00 odd megawatts, and that will go up to 8,000 megawatts in this year. And then if they maintain this pace , because the government's plan is to ramp up the capacity of the power plant installation from the existing 218,000 megawatts to nearly 300,000 megawatts, that means adding up plus 80,000 megawatts.
And lot of ordering is there , and many players are coming with investments. JS W is planning 2 projects, 1 in Orissa , and then another in West Bengal at Salwone already yesterday the news is that they have been awarded . Then JSPL, the sister group is also planning 2 major plants in Orissa and also in Chhattisgarh.
And then there are other players also expected , many utilities are expected to make i nvestments, and many other public sector government undertakings like NLC, RRVUNL , Uttaranchal is also planning 1,320 megawatt s. Then Coal India, they are planning investments in Orissa and Rajasthan on a joint venture basis.
Therefore, we are very bullish on the Power sector investment in the next 2 to 3 years . It will throw up two major opportunities – One is the complete installation business along with the Civil works , which will be available , which will be our major thrust . Another is the follow -up O&M jobs, which will come up as part of the new commissioning, which will take place every year about 8,000 megawatts. And that is a substantial business opportunity. We are also working on Balance of Plant packages like Koradi, Singreni etc which can add up to substantial opportunity.
And that we have seen in the major orders we have taken recently in many of the O&M jobs. For

example, the major O&M jobs, what we have taken last year is the drinking water about INR 681 crores as part of the commissioning operations , which is going to take place. And then Meenakshi Rehab and O&M jobs INR 685 crores, and then INR 951 crores for Talwandi 3 x 660 megawatts, Thoothukudi INR 392 crores for 2 x 600 megawatt, Singareni 2 x 600 megawatts INR 343 crores. And there was a major job we have taken in Nigeria where we have done the commissioning of the captive power plant, INR 139 crores.

There are other jobs for the JP Group in Bara. Then Udupi Adani jobs we have taken about INR 100 crores and JSP L Angul also we have taken INR 66 crores. In all, this is how it adds up.

Now certain aspects which we have to factor in that. Mainly , the election process has happened continuously state after state. It ha d some sort of a postponement of the ordering and also a decision to call the tenders .

There is another positive development w hich compan y trying to foray into it. That is in trying to see how

much we can make use of best of our experience in terms of the complete installation, O&M and then civil, structural and then material handling jobs , and then main plant works, , particularly trying to balance of plant packages , because NTPC has got plans to do the balance of plant packages, and we are working with BHEL.

Then other customers , also Singareni , opportunit y is coming up. Koradi, I said about 2 x 660 megawatts, that also is coming up. And then there can be other opportunities. Therefore, balance of opportunities can throw up, more than INR 15,000 crores of opportunities, and that is one of the key focus areas. .

And then the other things what we are doing in the international market in the O&M side and maintenance jobs , the focus is more on the domestic market. In the areas of railways particularly metro



jobs and railways in ref erence to the maintenance depots , over INR 10,000 crores of opportunities are there. And we are already working in many such maintenance shops and railway workshops also.

This is what I would like to say. Thank you very much.

Moderator: Sir, shall we begin with the question -and-answer session?

N. Arvind: Yes, ma'am.

Moderator: Sure. We will now begin with the question -and-answer session. Anyone who wishes to ask a question, may press "*" and 1 on the ir touch -tone telephone. If you wish to remove yourself from the question queue, you may press "*" and 2. Participants are requested to use handsets while asking your question.

Ladies and gentlemen, we will wait for a moment, while the question queue assembl es. Thank you.

We take the first question from the line of Dhruv Bhatia from AUM Funds. Please go ahead.

Dhruv Bhatia : Thank you for the presentation. My question is, sir, obviously, the opportunity is very, very large what you're pursuing, your order book already reflects that. But in terms of execution, what are the challenges for you to grow much faster than the 20% sales growth that you have done, be cause you have a massive order book? So , if you can give us some guidance in terms of execution also what we can expect next year, and maybe in FY '27? Just focusing on FY '26 and '27, what is the internal target? What are the differences to grow much faster in terms of people, CAPEX , materials or working capital, if there are any constraints?

And linked to that question is what are the margins that we expect with higher and higher scale, where should the margins stabilize both across the non -MDO business and in the MDO business as well? Thank you.

N. Arvind: Yes. So, thank you, sir. With reference to the scale of operation is concerned, last year we have touched almost INR 1,500 crores per quarter execution capacity. With the addition of new O&M orders during the year , we can execute up to INR 1,800 crores to even we can scale up to INR 2,000 crores of revenue. So, the target for '26 and '27 guidance is that earlier we have target of INR 7,500 crores for '26 and for '27 , INR 9,500 crores. It is including the MDO revenues . But there is a delay in terms of starting up the projects in MDO. we expect to reach between INR 7,000 crores to INR 7,500 crores in '26 , and maybe around INR 9,000 crores in '27.

So, in terms of the profitability is concerned, the MDO business will give more EBITDA margins once we reach the peak -rated capacity, which we are expecting from FY '28 onwards. During the development phase, we may not expect significant EBITDA increase in the overall margins. In regular business, we are choosy about picking the right orders and high profitable orders and O&M orders also going to increase. So, the EBITDA margin maybe a year -on-year basis may be expected to increase around 0.5% year on year for the next 2 to 3 years, potentially reaching to 1% to 1.5% range, over a period of next 2 to 3 years .

S

.K. Ramaiah: Yes. I will add a few things to what Aravind has said. The other thing what we have built upon rightly is on the capacities and the methodologies, what we can do to ramp up the revenue and also the growth. That obviously comes from the capacities organizat ion has built up over the years.

In fact, one of the basic things is that the organization capacity, what we have seen is , which was around 30,000, 32,000, including all the direct and indirect manpower , and also engineer s, supervisors and the contracting labor. So, it has gone up to 37,000.
That itself shows that for the O&M in the last 6 months, we have ramped up the organizational strength of both execution, operation maintenance, skilled people, engineers from total figure of 12,000 to 13,000 to 17,500. Therefore, that is because of the la rge pool of the piece rate workers and the skilled people , we are having in our roles from our piece rate workers, our contractors and other agencies .
Second thing is that the organization has fairly gathered lot of expertise in t erms of site execution that we want to convert into high -end value jobs. That is mainly in conversion in the civil works, for


example, end -to-end solution, civil, structural, mechanical and then O&M. Therefore, we are perhaps next to L&T or some of the bigger companies, which are not into this type of business. We are perhaps the only player who can provide end -to-end solution in the entire construction as a construction partner upto commissioning and post commissioning long term O&M services .
That capacities we established in terms of physical capacities , mechanical was about 400,000 to 450,000 tons per year , at one time , we have demonstrated. And then in the concreting side, 250,000 to 300,000 m3, that is substantial. And when we have reached that type of capacities , when the new orders are expected , and each plant 2 x 800 megawatts, the 1600 -megawatt plant has got a capacity of 150,000, 140,000 tons.
And then doing a couple of jobs parallelly is not a challenge for us, which we have demonstrated earlier. And therefore, not only that, in the infrastructure side also, a lot of expertise has been developed in recent years.
Dhruv Bhatia : Sir, my question on the margins. So, we expect for the next 2 years at least margins to be constant in the 12% range?
S.K. Ramaiah: Sir, we...
N. Arvind: Yes.
S.K. Ramaiah: See, there is 1 basic change which has happened in the market. Why we are a little bit bullish on the market is that the O&M pie of the execution has gone up substantially in terms of the backlog increase by 47% . As we all know, O&M provides better EBITDA margins and all.
Now on the bullish trend in the main power plant ordering, it is now demonstrated that a lot of order flow is there , and then competition is a little bit subdued now , because of the historical reason , and we are well equipped to handle that. And the realization of the average value has gone up by 20% to 30% in the last couple of years, both in the mechanical work and the civil work and the O&M side.
That is the main reason why perhaps Aravind is working on these figures. In the coming years, we should be able to show better margins.
Dhruv Bhatia : So, what would be the margins you think going forward , just as an indication for the core business or the non -MDO business? And then what would be in MDO business over the next few years the margins?
N. Arvind: MDO , for our mining operations are now progressing well, and we expect this segment to contribute around INR 2,000 crores to our top line by 2028. As we reach full operational capacity, the growth will further solidify our market position and support our overall revenue targets also. And we are actually targeting to annual growth of around 25% to 30% over the next 4 to 5 years of top line. An

d the EBITDA
margin right now, we are at 12.2% average. So , O&M division with margins exceeding 15% is a key contributor for t he major increase in the EBITDA margins.
So, looking forward, we are projecting an increase of EBITDA margin with 1% to 1.5% over the next 3 to 4 years , as the mining revenues also will continue to grow and contribute to major top line. So, both mixed together maybe 1.5% at the peak rated capacity we are expecting in next 2 to 3 years, sir.
Dhruv Bhatia : That's 1.5% per annum ?
Management : More 3 years it will be 1.5% higher .
N. Arvind: No, both together , over a period of 2 to 3 years, when we reach the peak rated capacity. It will not happen immediately. Year-on-year, it will go up. And we reach the peak rated capacity, we expect overall 1.5% jump in the EBITDA margin.
S.K. Ramaiah: Yes. One more thing I would like to add up is that since we are having a single establish ment at project sites, we are doing multi -area jobs in construction, particularly the civil works, the structural works and


mechanical works, our overheads can come down reasonably, that can contribute to some better margins.
And then the O& M backlog and capacities is going up, and that will definitely add up for the margins

down the line. And the other trend is that the customer is now preferring outsourcing the O&M on a comprehensive basis. That brings a lot of value addition, not only in the private sector , but Public sector also has started this outsourcing model for O&M .
Many of the public sector companies also like KPCL, GMDC , and then other many companies are going to catch up , because they don't want to increase their establishment, and this is a better option to work on that. And some of the private customers are further expanding the O&M profile into such a way that we take the entire responsibility , because of the capacities and the performance what we have demonstrated so far.
Dhruv Bhatia: Thank you for answering my questions.
Moderator: Thank you. We take the next question from the line of Pritesh from Lucky Securities. Please go ahead.
Pritesh Chheda : Sir, any reason when you see your 9 months' number and when you also see this quarter's number, the O&M in your revenue mix have risen quite substantially. And bigger growth is coming from the O&M revenue itself. So, why isn't that your operating margins are moving up? Have you taken some orders in civil , which are a lower margin order? What is the key reason, if you could tell us?
N. Arvind: Sir, we are executing projects ...
Pritesh Chheda : See, if you are saying that your margins are going to go up , because of O&M, they should be visible now also, right?
N. Arvind: Correct. last year, because of the general elections and subsequent delays in realization of receivables impacted our performance . And there are new O&M orders we received during last year which led to significant hiring of manpower into the roles of the Company. And so , the conversion will happen slowly. Initially, we'll have more overheads in terms of the starting of the new projects. That is reason for lower operating margins
And U.P. Water division, we are executing this project under Jal Jeevan Mission. Because of the gene ral election, and expiry of the time lines for Jal Jeevan Mission, certification and realization of the bills are delayed So, this resulted more overheads, and we are using working capital limits to for running the projects , resulted overhead expenditure increase in the current year.
Going forward , once O&M operations are stabilized, automatically the initial cost, we incurred will be normalized , and we may improve EBITDA margins .
Pritesh Chheda : So, if I understand your answer correctly, you're saying costs associated with new projects have come in the P&L, but the corresp

onding revenue related to those new projects are yet to come in your P&L.
N. Arvind: No, The corresponding revenue we received. Initially, we incur start-up costs to start the new project including m ajor overheads for site establishment .
We have realized the revenues , but associated costs will be normalized in the subsequent quarters. In the initial period of starting up the operations, we incurred more cost in mobilizing the resources.
Pritesh Chheda : What is your usual margin that you bid at for in the O&M contracts?
N. Arvind: It ranges from project to project , depending on the scope of work. So, it ranges from 15% to 2 2%. On anaverage, we are achieving EBIDTA margin of around 16% to 17%.
S.K. Ramaiah: Actually, there are 2 categories in this. One is long-term O&M contracts. There is a steady margin. Then short -term shutdown jobs, repair jobs, maintenance jobs, that we can get a better margin also , because customer is in a hurry to get the job done , because of the shutdowns. There is some opportunity cost is


there. That is how the overall O&M pie, both the AMC and the short -term jobs can provide better margins.
As I told in the main plant, the installation business and civil work, because of the competition being reduced little bit and also the higher demand, the margin profile has gone up and that realization will come in coming years.
Pritesh: Okay. And sir, last, on the order or let say's, the order visibility available in the power sector, so you guys gave a lot of analysis. But if I have to shorten it and understand, how much of the orders for BTG which have been given out to BHEL by various utility companies? Out of that order, how much order is yet to be ordered out for the main plant erection and the balance of plant? If you could ..
S.K. Ramaiah: I gave the overall figures of what the BHEL order has taken in the last 1.5 -2 years.
Pritesh: That is about 29,000 Megawatt, right? What you said?
S.K. Ramaiah: 29,000 Megawatt, roughly it comes to nearly almost 140,000 crores. Okay. Then L&T has taken recently 27,523 crores. So, therefore, all these EPC orders will come for execution . Of course, a few orders have been converted, getting converted , but bulk of the orders have to be converted and this year and next year, major ordering will happen. That's what I gave a figure of the total opportunity size in the ETC civil packages for the balance ordering to be done by out of these things about 27 000to 30,000 crores will play out. This is related to the orders already placed L on BHEL and L&T. Then there will be another 13,560 Megawatts of ne w ordering has to be done by various utilities which they have to place the order because the urgency of doing it is very important to ramp up the capacity to by 80,000 Megawatts by 2030 -32 from the present 220,000 Megawatts to 300,000 Megawatts. That is also, there

will be better ma rgins which will come because of the increased demand. As you know, the demand
goes up, the margins also slightly can go up .
Pritesh: So, basically simple to understand out of whatever is ordered with BHEL plus NTPC put together, the main plant erection worth 27,000, balance of plant worth 15,000 are yet to be ordered out to various contractors like you. And over and above that, there wi ll be new tenders for BTG or new tenders for power plants.
S.K. Ramaiah: 13,560 Megawatt.
Pritesh: 13,560 Megawatt, which is yet to ordered out completely, correct?
S.K. Ramaiah: Yes.
Pritesh: Okay. Now, what you have a 50% market share in, so, you know, is there a change there in the in the BTG erection? And to the first participant's question, you never answered. Why is it that you have orders today in the non -MDO area in the non -MDO? But when it comes to revenue execution, why is it slow?
S.K. Ramaiah: No, the revenue execution,

so, that was mainly because the drinking water, there were certain fun ding issues. That is where we had some a short pause there. And then there were certain delays in in some of the projects and all because of the engineering issues and clearances and all. That is also a factor. When we are doing a lot of projects in the open area, there can be local issues on the land acquisition, clearances, approaches and these are all to be there. And that is how there are some sort of delays including supply chain delays in material supplies . But even then, as Aravind had said, with 3,38 0 crores and then our figure has to exceed the 5,000 crores revenue in this year. That we are confident of achieving it.
Pritesh: Okay, sir.
Moderator: Mr. Pritesh, does that answer your question, sir?
Pritesh: Yes, ma'am. I am done. Thank you.


Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities. Please go ahead.
Anupam Gupta: Thanks for the opportunity. So, you outlined the opportunity size pretty well, but we have seen BHEL getting orders quite some time back. So, when do you actually see BHEL tendering out and you being able to book with ETC or BOP orders? Do you expect anyt hing to come in fourth quarter or when should we start seeing the tendering happening from BHEL side given that they themselves have a large order book?
S.K. Ramaiah: For example, couple of tenders where all the bidding process is on unless it is extended, let us say it will take one to two months. particularly BOP, Koradi tender is due and that we are working with BHEL, and there is going to be Singareni tender also, 1x800 Megawatt. That is also due, but first of all, BHEL has to get the order, and that is in the final process, and they have given the offer and all and perhaps that needs approval from the state government at the Cabinet level.
Then there can be other projects also which are expected there. That is why I gave a figure of 15,000 crores in the BOP. And then as far as the installation, civil and other opportunities what the BHEL has got and even the L&T has got about 27,000 crores what I said is that major ordering should happen maximum in another 6 months to 9 months.
Because including Adani direct orders, BHEL main plant orders, and then balance of plant orders, whatever they are there, then L&T also, then all these new projects in various areas, main plant, balance of plant, coal handling, the civil works, structural works, piping works, etc. That is where, you know, but in the worst situation it can extend to 9 to 10 months. Because if they don't award all these contract by end of the year, another 8 to 10 months, perhaps projects get delayed. That is what I can say..
Anupam Gupta: Understand. So, let's say, next year when you say that your delay work was 7,000 crore of revenues, what is the minimum ordering which you are looking at for this year at least?
S.K. Ramaiah: Looking at the trends, of course, this election process is a continuous phenomenon. Many of the projects are located in these segments. And then perhaps, you know, about 10,000 crores should be reasonable.
Anupam Gupta: 10,000 crores total ordering in this year?
S.K. Ramaiah: No, next year, next year.
Anupam Gupta: Next year, okay, understand. And in this 18,000 crore order, we should assume that the same thing which you have mentioned in the last call that the Adani orders which are not sorted are not going to be executed, right, around 4,000 crore? That is the rig ht assumption?
S.K. Ramaiah: Sorry, FGD.
N. Aravind: No, Mirjapur and…
S.K. Ramaiah: Yes, Mirjapur is, we are discussing it. Those, you know, Mirjapur, Koderma.
N. Aravind: Koderma, Mahan .
S.K. Ramaiah: Then Mahan Stage -3. Stage -2 we are already executing. Stage -3, then Mirzapur new units, and then Amarkantak we hav

e taken it, and they are also planning Kawai. Of course, Kawai out of 4 units, 2 units may shift it to the projects in Madhya Pradesh. These are all not to be expected.
Anupam Gupta: So, you are saying that 4,000 crores can still be executed, or they will not be executed?
N. Aravind: Sorry, Anupam, can you repeat your question?
Anupam Gupta: Something like the FGD orders which were there from Adani of 4,000 crores on which work had not started, will that happen or will that not happen? What is the clarity on that as well?


S.K. Ramaiah: As on today, except for that 900 crores, which are in Mundra, they have taken out for the time being, we are executing , Udupi project. Then other projects as on today, yes, it stands. Because one more development I can say is that Supreme Court recently has taken a very hard call in terms of that, you know, they don't want to make compromise on the pollution. And some postponement can be there in the implementation of FGD orders because there are other related issues in terms of the tariff, a djustment and tariff compensation by the electricity boards and then DISCOMs. And that is one of the reasons which is little bit delaying all this implementation. Otherwise, in our opinion, I don't think they will compromise much on the FGD. It may take so me more time.
Anupam Gupta: Understand. And the next question is on the MDOs. So, let's say, the revenues are obviously pretty volatile given that sales, the washery capacity clarity is not there. But broadly, if you look at, let's say, FY '26, what sort of revenues would you expect for the mining MDO from SAIL and CCL projects separately?
N. Aravind: Anticipate generating revenue in the range of 300 to 400 crore , Tasra project w e are executing around 1 lakh tons in Tasra from April 25. So, th at tantamount to around 200 -220 crore we can execute for the next year. And KBP also we may execute around 50 to 80 crore of revenue, with initial capacity of 0.4 MTPA . So, together we may generate be 300 to 400 Cr revenues from the MDO business.
Anupam Gupta: Okay. And your washery for which the ground breaking had happened, what is the execution timeline for that?
N. Aravind: By September '26 we have to complete the washery. We have already acquired all the required permissions to set up 3.5MTPA capacity washery . So, major equipment designs are also completed and we have identified and finalized the vendors for some of the equipment's and we have ordered some equipment also. So, remaining are also under negotiation and discussion. Most likely ordering will happen in the next two to three months. So, the execution in ground is already started.
Anupam Gupta: Okay. Understand. That's all from my side. Thank you.
Moderator: Thank you. We take the next question from the line of Deepak Poddar from Sapphire Capital. Please go ahead.
Deepak Poddar: Yes. Well, thank you very much, sir, for the opportunity. Sir, just first I just wanted to understand the debt side, how are we looking to, I mean in terms of debt, how do we look out?
N. Aravind: Sir, as of today, we are having a fund exposure of around 700 Crore. And going forward, we are constructing the washery for TASRA MDO i n Power Mech. approximate CAPEX value of washery is Rs 750Cr So, there will be addition of term loans to the tune of 500Cr in next two years. So, roughly by '28, we will have roughly around 1200 crores debt. As we are taking up new BOP EPC projects, working capital limits also increase by another 100 -150 crores.
Deepak Poddar: So, 2,000 crores debt by FY '28, that is what we are looking at?
N. Aravind: no
Deepak Poddar: And currently…
N. Aravind: Debt will be around 500 Cr on washery we are adding to the CAPEX plus another, overall debt will be in the range of 1500 to 1,600 Cr by '28.
Deepak Poddar: And which is currently

600 crores, right? Gross debt.
N. Aravind: Yes. 740, yes.
Deepak Poddar: 740 crores debt right now and it will be about 15 00 to 1,600 crores by FY '28. And this addition, I mean, each year it will be like 200 -300 crores, I mean, if the addition will be on the phase manner or will there be a…?


N. Aravind: The capital requirement is roughly around 700 -750 crore. In that, 240 we have raised equity through QIP funds and 450 to 500 cr will be new debt added in next 2 years plus the regular CAPEX on the new orders we received. So, around 100 crore every year the regular CAPEX will be added to that.
Deepak Poddar: Okay. So, 750 crores is the CAPEX for next 2 years. So, out of that, 400, 500 crores debt will be added in the next 2 years, right?
N. Aravind: Yes.
Deepak Poddar: That's the right understanding.

N. Aravind: Yes.
Deepak Poddar: Okay. I got it. And in terms of execution, I mean, this year, FY '26, we are looking at 7,000 to 7,500 crores kind of a revenue, right? FY '26.
N. Aravind: Yes.
Deepak Poddar: Out of which, how much is coming from MDO in this year itself, FY '26?
N. Aravind: FY '26, we are projecting maybe 300 to 400 between, depends on the sales momentum, and order intake from the sales. So, we are projecting 300 to 400 Cr revenues from MDO
Deepak Poddar: 300 to 400. And you mentioned by FY '28 optimally MDO can do 2,000 crores of revenue and so at optimal levels, what sort of EBITDA margin one should look at in MDO? Is it close to 20%?
N. Aravind: Both MDO together on an average we can generate EBIDTA margin of 20 to 22% with peak rated capacity. We have higher margins in Tasra and lower margin in KBP. Weighted average of around 20 to 22% .
Deepak Poddar: And this year earlier we were targeting I think close to 5,500 crores of execution. Now given the 9 month the execution that we have done, what would be our revised target for this year FY '25?
N. Aravind: We may touch revenue of around 5,000 to 5,200 for FY 25 , and we have executed around 3,400 crores for the 9 months period .
Deepak Poddar: Correct.
N. Aravind: We are short by 1,800 crore to achieve the projected numbers and the water utility certifications are pending. Roughly around 200 crore works are there in the work in progress . and another 1,600 to 1,700 crore we can execute in Q 4.
S.K. Ramaiah: Fourth quarter actually.
N. Aravind: Fourth quarter actually for both government and private sector clients are likely to expedite the certifications and payments. So, we can able to touch at least 25% growth for the current year. So, 5,200 crores we are targeting to reach.
Deepak Poddar: How much? Last point I missed.
N. Aravind: 5,200 Approximately .
Deepak Poddar: 5,200. So, fourth quarter we are looking at 1,700 crores plus kind of execution, right?
S.K. Ramaiah: Yes.
N. Aravind: we have approximately 1 50Cr pending for certification .which was supposed to be certified in Q3, but due to delay in certification and timeline expiry of Jal Jeevan Mission.


Deepak Poddar: Okay, understood. And in terms of order book accretion, we are looking at around 10,000 crores of order inflow in next year, FY '26, right?
N. Aravind: Right.
Deepak Poddar: Okay, that clarifies. I think that would be it from my side. All the very best to you. Thank you so much.
N. Aravind: Thank you.
Moderator: Thank you. The next question is from the line of Manthan from Nexus Equities. Please go ahead.
Manthan: So, I think earlier we were targeting order inflows of around 10,000 crores to 12,000 crores for this fiscal year. So, now, till December, I think we have just received 4,200 crores of order. And what you said that we might receive another 3,000 crores of order in the remaining 3 months.
N. Aravind: So, 973 crores

we were in L1 in road project. So, we are waiting for that LOI. So, that will also be added over and above 3000Cr
Manthan: Okay. So, overall, how much order of inflows that we expect?
N. Aravind: It is between 7,000 to 8,000 Cr.
Manthan: So, because earlier we were targeting something 10,000 to 12,000. So, are there delays in order bidding or some orders will be spilled over to next fiscal year?
S.K. Ramaiah: Actually, what happened was that, you know, the election process, some of the tenders got postponed, like the major BOP tenders. The Singareni got postponed by five to six months. Then Koradi, it was the earlier project should have started long back, six months back. Now only they have started some tendering work and the main pl ant has been awarded. And then, you know, there were some ordering itself on BHEL and L&T, there was some delays by the utilities. This is a major reason for that.
Manthan: Okay. But sir, then, so, next year we are getting order inflows of 10,000 crores roughly. Now if I consider that 4,000 crores were which were actually going to receive in FY '25 will be received in FY '26. So, next year also incremental order will be just 6,000 crores.
So, the pace of order inflows is decreasing despite you being, despite BHEL having such a strong order book. You said that L&T is also having strong order book. Even Adani also. Then why we can't target much aggressive order inflows? Because our order infl ows has been stagnant since last 9 to 10 months.
S.K. Ramaiah: No, I agree with you. But basically what we have to understand there can be a time lag between taking decisions and then some of the places, you know, there are engineering issues are there. More than that, they will lay out issues and then basic approvals will be needed These are the things which generally delays it. Therefore, we have been doing well in certain big ticket items like previous years. And of

course, this year onwards, the big ticket jobs what we are hoping for the BOP, that is postponed , that is where our optimist was making 10 000 to 12,000 crores earlier.
Manthan: Okay. So, but this year, as you said to the previous participant that we are quite confident of achieving 5,000 crores to 5,200 crores of top line. Is that, so we stick to that?
S.K. Ramaiah: Because we have demonstrated last year quarter also, the capacity to execute. Fourth quarter, as I said, the bill processing and certification process will be better from the customer also because they want to dispose off his funds in making the payments.
N. Aravind: See, the UP Government is certifying the bills only when there is a fund available in the system. So, they are holding the certification. So, bills are recognizing it as a WIP. We are confident of getting the certification by March and we can able to reach our target.


Manthan: Okay. So, what you are saying is that 200 crores is just 200 crores of order revenue booking is just delayed because of certification. As soon as you receive the certificate, that 200 crores of order revenues will straight away come. Is that correct?
N. Aravind: Yes.
Manthan: Okay. And so since that we might need to borrow in the next one or two years, so, as of now we are working on a PAT margin of roughly 6%. So, we expect that our PAT margin will be 6%, net net 5.5 to 6%, or will that come down?
N. Aravind: Basically, the finance cost are under control , and that is why we are able to manage the 6.5 to 6.8 level of PAT margins. if EBITDA margin is improved, our PAT margin automatically increase .
As we secure more profitable orders, EBITDA will automatically go up and our PAT margin also will go up. And year -on-year we are well within the plan ned number s and have shown improvements over previous numbers, we have incurred less finance cost. Our O&M orders are increasing, P

AT levels are maintained at the present level.

Manthan: Okay. And the MDO order, MDO revenues were 34 crores in this quarter, so, which was like a significant jump from the previous quarter. So, can we expect such a Q -o-Q jump on the MDO revenues or is that some like again in MDO revenues also H2 is heavier than H1. How does it work for MDO orders?
N. Aravind: Tasra project actually minable plot readily available, since the previous MDO promoter ha d already executed initial works , and we were able to start billing directly. We have not received appointed date yet, SAIL is giving orders depends on the availability of outside washery capacity. So, from April onwards we may get an appointment date and then it is a binding contract between the SAIL and us for lifting the material as per the contractual terms. So, based on that we are hoping that every mon th we can raise a bill to SAIL as per the agreement conditions.
Manthan: Okay. And of this ex of MDO order book of 17, 18,000 crores, how much is slow moving or these all are like executable in the next two to three years, this current 18,000 crores of order book, ex of MDO?
N. Aravind: Except the 4,600 crore FGD orders which are non-moving. Rest of the order s worth of 14,000 crore are moving as planned.
Manthan: So, this 18,000 crores includes FGD's slow moving order of 4,200 of Adani, correct?
N. Aravind: Yes.
Manthan: Okay. So, that is 14,000 crores in what you plan to execute in next one, two years or three years means current order book?
N. Aravind: Average you can take 2 -2.5 years.
S.K. Ramaiah: 40%.
Manthan: 2-2.5.
N. Aravind: 40% is the conversion ratio.
Manthan: Yes. Okay, fair enough. That's it from my side. Thanks.
Moderator: Thank you. We take the next question from the line of Anush Mokashi from Yadnya Academy. Please go ahead.


Anush Mokashi: Yes, thank you for the opportunity. So, my question is about this recent development about nuclear energy mission. So, I just wanted to understand what benefits do Power Mech see from this? And basically, do Power Mech have the capability to develop these small modular reactors? And if not, would you consider entering into this segment?
S.K. Ramaiah: Yes, that is a government initiative. Already Jindal has started a joint venture. I think they are going to start and then, you know, NTPC and then this one Nuclear Power Corporation, they have started a joint

venture. Idea is to put 200 -250 Megawatts set s. Of course, that has to be developed ..
Of course, we have recently taken a job of 550 crores in Kaiga for the main plant works . We are looking at it, but it is going to be a challenge because the technology , then the sourcing is a challnege , and then a lot of aspects are there. But one good thing is that these plants will run for a lot of time, 30 -40 years. And it makes sense and that we are just thinking. We have not taken any calls so far.
Anush Mokashi: Okay. And this one next question was, like you said, the 200 crores of revenue booking is being delayed through Q4. So, is the cost also delayed and then the cost booking is also delayed to Q4 or is it currently booked in Q3 only?
N. Aravind: When we recognize the WIP, it automatically comes into the revenue part, sir. For certain components of the work we are working with back -to-back contractors. In these cases, , the cost has not been booked and the revenue has also not considered. In a project where we are executing work direct ly, we have already recognized the WIP. For the balance portion, wherever back -to-back contractors are there, will be accounted for both cost and revenue once we receive the bills from either the client or subcontractor.
Anush Mokashi: Okay. Thank you, sir. That's it from my side. Thank you, so much.
Moderator: Thank you. The next question is from the line of Kamlesh

Jain from Lotus Asset Managers. Please go
ahead.
Kamlesh Jain: Yes, thanks for the opportunity. Sir, just wanted your thought on the fact that recently, Ambuja has come out with the tenders to operate their cement plants.
Moderator: I am sorry to interrupt, Mr. Jain. We are not able to hear you clearly, sir. Could you please increase the volume?
Kamlesh Jain: Yes. So, sir, just wanted to have more thoughts on the development that Ambuja has come out with the tenders for some of their cement plants to operate on MDO basis or on contract basis or outsourcing.
So, as we are looking to diversify into other sectors , so would we be pursuing that particular opportunity going forward?
N. Aravind: So, is this a cap tive consumption solar power plant which you are referring by the Ambuja?
Kamlesh Jain: I am talking about the entire cement plants, sir.
N. Aravind: Okay. So, now we are pursuing with Dalmia Cement, Bihar and Andhra and Tamil Nadu also. They are planning to start the captive solar power plant and wind power plant. Dalmia want s to join as the 26% partner to set up and install the required megawatts of solar power plant and wind power plant and we have to supply solar power for 25 years at agreed price .
Kamlesh Jain: I was referring to operating the entire cement plant. So, like Adani has come out with tenders like to operate their entire cement plant, some of their cement plants on a contract basis.
N. Aravind: Right now, we are into the oil refineries and the power plant, but if that kind of work is there, probably we can also explore that opportunity and we will also look into that.
S.K. Ramaiah: No, oil refineries is an option. BPCL is committed 60,000 crore investment in Bina. Then HPCL is expanding it. We have got some experience. We have done some of the jobs in Reliance and other places also. Therefore, it is an option because the same expert ise we have to deploy it and do the work. Only thing is of more stringent quality and safety issues will be there.


Kamlesh Jain: Okay. But do we have the potential or are we looking to operate the entire cement plant like grinding, clinker making capacity, all that, all those things?
S.K. Ramaiah: I think when we can operate a power plant which is highly sophisticated and that too with a control room operation, like, you know, we have started working in some of the O&M plants in the NMDC and then JSPL for the steel plant . It is an option which we can explore it if we can get a reasonable, this one, returns on that.
And there is going to be captive power plant in any cement plant. And then the kiln operation and the other auxiliaries and all. Those things, you know, the skills which are required and all, only the operating characteristics, production characteristics, and then the various parameters of the cement plant, that we have to get used to it. And that can be achievable , it is a question of taking a correct call and then going about it.
And as on today, we are reasonably well -satisfied with the O&M initiative, whatever we have taken, and there continue to be more opportunities which will come up. because of the annual capacity addition of 8000 to 10,000 Megawatts in the next 4 to 5 years.
Kamlesh Jain: Great. And lastly, sir, I am not aware whether you have speculated about that. But on the Tasra Mine, like we have seen a very suboptimal operations from SAIL. So, how confident are we to execute those orders in the coming time?
N. Aravind: Sir, as of now we have not received appointed date in Tasra project. So, it is not a binding obligation at this moment from this SAIL also to lift the material. We expect to receive the appointed date in April , then the contract clauses will take effect . So, it is a binding on SAIL to lift the material irrespective of the washery capacity constraints . we can achiev

e our targets for the next year.

Kamlesh Jain: Thanks a lot, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

S.K. Ramaiah: Yes, thanks for your participation and many interesting questions , and it is a very interesting discussions we had. I think the power sector is highly bullish and the infrastructure we are well established now, the drinking water, railways, roads and other related projects and then metro, maintenance shops, etc. And naturally business should look up with BHEL with bulk of the orders and and L&T is also coming up. And there are many new areas which will come up certainly and we continue to be a ggressive in our approach in both marketing and execution, exceeding 5,000 crores in this year, certainly. And then, you know, coming year about 10,000 crores, as we said, you know, that is looking at some of the BOP opportunities, which are major items. And then the non -power sector jobs which are established in railways, roads, and then material handling, co al handling, and then mines and development works, etc. Therefore, let us look into that way and then as far as the capacity of the company is concerned to augment the execution capacity, that is always there and that we can do it. Thank you.

Moderator: Thank you, members of the management. On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: May 2025

Date: May 30, 2025

To
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Symbol/Security ID: POWERMECH To
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Security Code: 539302

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--o0o--

With reference to the subject cited above, p lease find enclosed the transcript of the Conference Call with Investors / Analysts held on May 26 , 202 5, on the Q4 and FY25 performance of the Company .

Kindly take the same on record and acknowledge the receipt.

Thanking you.
Yours faithfully,
For Power Mech Projects Limited

M. Raghavendra Prasad
Company Secretary and Compliance Officer
ICSI M. no. A41798

Encl: as above



"Power Mech Project s Limited
Q4 and FY25 Earnings Conference Call "
May 26, 202 5

MANAGEMENT : MR. N. NANI ARAVIND – CHIEF FINANCIAL OFFICER , POWER MECH PROJECTS LIMITED

MR. S.K. RAMAIAH – DIRECTOR (BUSINESS DEVELOPMENT ) (NON-BOARD ), POWER MECH

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY 25 Earnings Conference Call of Power Mech Projects Limited hosted by Nirmal Bang Equities P rivate Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company on the date of this call. These statements are not the guarantees of future performance and involves risk s and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Dipak Saha from Nirmal Bang Institutional Equities. Thank you and over to you, sir.

Dipak Saha: Hi everyone, good morning. On behalf of Nirmal Bang Institutional Equities, I would like to welcome you all to the 4Q FY 25 Earnings Call of Power Mech Projects L imited. The management today is represented by Mr. N. Nani Aravind, CFO of the company and Mr. S.K. Ramaiah , Director of Business Development. I will now hand over to the management for their opening remarks, after which we will open up the floor for Q&A. Thank you and hand over.

N. Nani Aravind: Thank you, Pooja and Di pak. Good morning, everyone. I am Nani Aravind, CF O of the company. I have with me Mr. S.K. Ramaiah, Director of Business Development. Unfortunately, Mr. Rohit, President of Business Development is unable to join us today due to an unexpected travel and meeting commitments. I take this opportunity to welcome you all to our Quarter 4 FY 25 Earnings Call.

The perfor mance for the fourth quarter and full financial year FY 25 continued in line with our set targets. For Q4 FY 25, we reported a total income of INR 1,870 crore s, marking a 43% increase over INR 1,312 crores in Q4 FY24. EBITDA stood at INR 233 crore s, up by 46% from INR 160 crore s last year. And PA T came in at INR 117 crore s reaching 39% growth compared to INR84 crores in Q4 FY 24. The EBITDA margin improved slightly from 12.2% to 12.5%, owing to better cost control, while PA T margin marginally decreased from 6.4% to 6.3% due to increased finance cost and higher minority interest cost.

In terms of revenue mix for quarter 4 FY 25, the mechanical business contributed INR290 crore s, a 65% increase over INR176 crores in Q4 FY 24. The civil segment including railway and water distribution projects con tributed INR 980 crore s, compared to INR725 crores in the same period last year, reflecting a 36% increase. O&M revenues rose to INR533 crore s, up by 51% from INR 354 crore s. The electrical business saw a significant increase reaching INR25 crore s versus INR6 crore s during last year, marking a 315% ju mp.

The mining business contributed INR 25 crore s, lower than INR41 crores in Q4 FY 24, showing a 40% dec rease. Other incomes stood at INR 17 crore s compared to INR 10 crore s in the previous year. The revenue split for the quarter was 97% domestic and 3% international, while the contribution from power sector remained at 53% for the quarter, with non-power sector accounting for the remaining 47%.

For the full year of FY 25, we reported a total income of INR 5,279 crore s, a 25% increase over INR 4,234 crore s in FY 24. EBITDA for the year stood at INR 649 crore s, growing 24% from INR 524 crore s and PAT was INR 327 crore s, an increase of 32% over INR 248 crore s in the previous year. On a full year basis, EBITDA margin declined slightly from 12.4% to 12.3% due to increased overhead costs, whereas PAT margins improved from 5.9% to 6.2% driven by lower tax expenses and higher other income.

So, t he revenue mix for the 12 -month period, mech anical business contributed INR 898 crore s, showing a 30% growth over INR 692 crore s in FY 24. The civil segment, including railway and waterworks contributed INR 2,439 crore s up by 6% from INR 2,308 crore s. O&M rev enues rose significantly to INR 1,746 crore s from INR 1,109 crore s, recording 36% growth. Electrica l business revenue stood at INR 67 crore s, up by 26% from INR 53 crore s.

Mining revenues were INR 84 crore s, a sharp increase from INR 44 crore s in FY 24. Other income rose to INR 45 crore s from INR 25 crore s. So, the overall business split for FY 25 was 95% domestic, 5% international with 59% of revenue coming from the power sector and 41% from the non -power sector.
The financial parameters of the company is concerned with better deployment of capital and improved operating margins. We have also witnessed an enhancement in our return on equity, which increa sed from 14.22% in FY24 to 16.26% in FY 25. However, return on capital employed saw a marginal decline from 24.16% to 23.28%, primarily due to delays in receivables realization in the water division, which necessitated higher utilization of working capital borrowings. We expect this to be a temp orary impact and with t he anticipated normalization in collection and execution, return on capital employed is likely to improve significantly in the coming quarters.
Other key developments during the period include operating cash flow, which remained neutral, primarily due to the pending realization of receivables in the water division. We are actively engaging with the clients to expedite the certification and clearance processes and are confident of realizing the outstanding dues in the coming months, which will help to restore the positive operating cash flow.
Net current assets days excluding cash and cash equivalents ha ve increased from 121 days in FY24 to 128 days in FY25, due to delays in certification of the waterworks and delays in realization of receivables. Resulted in the increase in the current assets of the company and on stabilization of the MDO business from 2027 onwards, we can expect a significant improvement in the net working capital days.
The gross debt and net debt remained controlled despite delays in certification of water bills and delays in realization of receivables. As on 31st March 2025, the gross debt is INR641 crore s and the net debt stands at INR48 crore s. The debt equity ratio as on 31st March 2025 stands at 0.33 times.
With reference to the or der book is concerned, during FY 25, the comp any secured orders worth INR 6,437 crore s. The order backlog as o f 31st March stands at around INR 58,258 crore s after excluding FGD orders of INR 4,264 crore s, the ba cklog is around INR 53,994 crore s. Further excluding the two MDO projects, the executable order book is INR 14,387 crore s.
We continue to actively pursue tenders and are targeting to secure INR 10,000 crore s of new orders by March 26. During FY 26, we anticipate a significant increase in ordering flow, particularly from the power secto r across segments such as O& M, mechanical, civil construction and BOP, EPC.
As on date, we have already secured orders worth INR 972 crore s during Q1. Our strategic focus will remain on high potential areas including industrial plant operations and maintenance, railway and water infrastructure as well as MDO projects.
All our existing projects are progressing well and are on track as per the planned schedule.
For FY 26, we have set a revenue target of INR 6,500 crore s which is subject to the pace of traction in MDO business. EBITDA margins expec ted to remain consistent with FY 25 levels. We are confident of achieving 25% year -on-year revenue growth. Margins are expected to remain stable with a potential upside depending on the contr

ibution from the
mining segment.
The order book outlook for the current financial year also appears comfortable. Supporting our growth trajectory, Power Mech is well positioned to demonstrate execution and conversion in the range of 40% of its opening order book annually. Additionally, the MDO business is ramping up st eadily and we expect both O& M and MDO segments to drive significa nt growth in the coming years.
With reference to our MDO business is concerned, our MDO business is progressing steadily. At the KBP Mining, Kotre Basantpur pr oject, we achieved a key milestone with the




release of 564.16 hectares of notified forest land by the State Forest Department in July 24. Tree cutting for the first year was completed by March 2015. Equipment mobiliz ation has been completed and mining operations begin on 15th April 25. As of now, approximately 1.7 lakh cubic met er of overburden removal has been completed and coal production is

expected to commence from Q2 FY26.
At the Kalyaneswari Tasra project, OB removal and coal dispatch operations hav e been ongoing since January 2 4 with approximately 6.4 1 lakh tons of coal disp atched to sale as on 30th April, 25. The project received environmental clearance for 3.5 million tons washery in October 2024. Design consultants have been appointed for railway slidings and washery development. Engineering and vendor finaliz ation activiti es are in progress. Site mobiliz ation is underway. The phase 1 R&R colony construction on 4.5 acres is completed and handover to project affected families is in progress. Approvals for phase 2 colony construction over 41.11 acres are currently under review.
While SAIL's current coal offtake is below the plan due to limited external washery capacity available outside, we are actively working to resolve these constraints and ramp up the mining production.
With this, I now request Mr. Ramaiah to update us on the key business development initiatives and future outlook of the company.
S.K. Ramaiah: Thank you Aravind and thank you for investor community. I think Ar avind has given key features of the company's operations for the finance and then the o rder backlog and then the revenue and all. Some of the key aspects I would like to dwell upon is that in the quarter 4 particularly, there were some key important orders we have secured. Adani Power, Mir zapur about INR424 crores for the civil and structural portion of 2 x 8 00 megawatt unit s.
Then Kod erma, another 2 x 8 00 megawatt project implemented up by DVC. BH EL is the EPC contractor, INR579 crores for the civil and structural work. Then there was a major breakthrough in NH AI for the Deoghar Bypass, a 49 kilometers of HAM project, INR972 crores. Then there was a scope expansion of the government medical college scope which we are doing in Uttarakhand, that is about INR231 crores.
Then other major jobs which we have secured Kaiga Nuclear Power Corporation, first time we have taken the 2 x 700 megawatt 5 and 6 unit stage, INR563 crores. Then South Central Railways, INR107 crores. Then Nigeria, Dangote, first time we have taken a major O&M job, a two -year long -term O&M contract for the plant which we have commissioned a captive power plant for INR109 crores.
Then Co astal Energy, Tuticorin, O&M, 1,200 megawatt, INR114 crores. Then GMD C, Akrimota, O&M, 2 x 125, INR227 crores. Then Vedanta, Talwandi, 3 x 660 megawatt a 5-year O&M. This is one of the major contracts we have secured in O&M, INR951 crores.
Now as far as the business outlook is concerned, there have been key breakthroughs in the major orders which were secured in the O&M and other areas particu larly with Vedanta, Adani NPCIL,BHEL GMDC, Dangote( Nigeria) .
The new investments are making up for the huge power sector investments, Nuclear Power Corporation which is

coming with new projects. Then significant improvement in the export orders, particularly in the O&M side and the maintenance side of the jobs which were taken in Middle East and Nig eria, that is INR324 crores. There is an improvement over the last year, whatever we have done.
Then the BH EL also comes with a lot of EPC contracts and there are obviously opportunities to come with BH EL power sector. Then roads investments at a fast pace and then steel and mineral segments will come up. Then the major features are the O&M that seems to be an uptick in our operations both in ordering and as well as in revenue.
In fact, the order backlog on the O&M has gone up significantly from INR2,197 crores to INR2,749 crores compared to la st year and this year. Then, of course, there is an adjustment on the FGD jobs which are slow moving, it is not taking shape because of various factors


involved in that, that is about INR4,263 crores from the Adani side. And then the civil side, there is a significant improvement in the order backlog from INR7,814 crores to INR8,472 crores.
And then O&M I have mentioned, electrical, of course, their business is slowly coming down for the obvious reasons we have taken a business call. And the major part of the business is continued to be driven by the domestic sector with 98% of the work international is about 2%. Then the power sector is about 60 % and non -power sector is 40%.
Then with MDO the backlog is now at INR 53,994 cr ores from INR57,053 crores after adjusting INR53,994 crores because of the FGD order adjustment. Then, of course, there are certain aspects on the market side we have to understand is that some impact on little bit order backlog growth last year was due to many elections process which was there, the general elections and the state elections that was why many of the tenders were postponed

and later on it has picked up in the second, third and fourth quarters.
But as far as the general business environment is concerned is that power sector is taking big shape with about ongoing contracts of INR2 lakh crores and new investments are expected about INR4.5 lakh crores because of the ramping up the capacity from 220 gigawatts to almost 300 gigawatts.
Then railways as usual and then roads, the investments continue to go at the same pace and there is an improved opportunity for new investment in the case of Middle East and then in the West Africa, that is where we are trying to give attention for the new investments coming in the power sector there in a big way.
We are at present looking at a total opportunity for the current year at about INR30,000 crores and that should be a combination of the power sector because in the case of power sector I would like to bring out certain key features. If you loo k at it overall for the last 1.5 years to 2 years, total ordering which has been done is about 32,420 megawatts worth a value of INR1,96,705 crores.
This is a significant order input into the system, EPC orders and then BTG supply orders and then certain other miscellaneous orders which have been placed by various customers. And then major customers which have placed orders on BH EL and also L&T are Adani about 10,920 megawatts and then NTP C is about 11,580 megawat ts and then DVC 3,200 megawatts.
Other orders from NLC 2,400 megawatts and the orders also have come to BH EL and L&T from Mahagenco, Koradi 1,600 megawatts, Singareni 800 megawatts, Ukai GSECL (Gujarat State Electric Corporation Limited ) 800 megawatts and then Chhattisgarh State Power Generation Company 1 ,320 megawatts.
Therefore, BHEL is flush with orders, that is one of the positive things obviously. On the total orders placed in the last 1.5 to 2 years BHEL has got a total ordering of something like 29,420 megawatts for INR1,69,182 crores. L&

T has secured two major orders at Nabinagar
and Ga darwara , 4,000 megawatts about INR27,523 crores. Total Adani orders on BH EL is about INR31,270 crores, mainly BTG supplies for about 10,920 megawatts and then total NTPC orders on BH EL is 7580 megawatts for INR58,090 crores.
Therefore, total NTPC and BH EL orders on BH EL is INR89,360 crores and BH EL for the last year has secured INR92,535 crores of order and with a backlog of INR1.95 lakh crores.
Therefore L&T and BH EL are the major power sector players for the main power plant equipment supply and also associated services including EPC works.
Therefore, if you look at the present and future the annual capacity addition should go up to 8,000 to 10,000 megawatts, offering significant opportunities. Then O&M opportunities will increase about INR1,200 crores to INR1,500 crores per year only for the new capacity additions which can come up, and CEA, Central Electricity Authority has planned a commissioning program of 16,760 megawatts in the current year 2025 -26.


Of course, last year there was a setback in commissioning, all those projects are going to be commissioned this year and then plants under construction is more than 33,000 megawatts.
Therefore, apart from that because of the impetus on the capacity y addit ion of thermal power to manage the grid stability, there are ongoing plans and development plans from various power developers for up to 43,000 to 44,000 megawatts that can entail a future investment of nearly INR4 lakh crores. Therefore, the power sector is really booming. It will go up for another 3 or 4 years in terms of ordering and then in terms of capacity y addition it will go to 2030 to 2032.
As part of the national infrastructure pipeline, we have seen the continued focus on the roads, railways, infrastructure, metro jobs, water systems etc. That is how we look for our growth.
The opportunities will continue to be more and more available for t he company and then the O&M segment of business is a new shining aspect in our operations. That is what I would like to say. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.
Pritesh Chheda: Yes sir. Couple of questions on the FY '25 number first. So, if you see the mix has improved in favour of O&M and civil hasn't grown less than the company growth. So, I think there should be some level of margin expansion, but we don't see it coming. If you could highlight the reason?
Second is on water projects and the receivable expansion. This is called out by a lot of companies. So, if you could tell us exactly what is the problem in the water sector and what

the due course of correction will be there? And then I have another two questions which I will take up.

N. Nani Aravind: Thank you, sir . With reference to the EBITDA margin even though revenue O&M and other operations increased, there is no positive movement in the EBITDA margin. During the year we received major orders from the power side. So, we started operations in new projects. Establishment cost will be more at the initial stage of project which will be normalized in the subsequent period.

And in water division we anticipated more turnover . We planned INR678 cores of turnover whereas we achieved only 70% of the targeted number mainly because of delays in certification of the Jal Jeevan Mission projects in UP Government. The project timelines for Jal Jeevan Mission has expired in November 2024 .

And project is funded by 50% from the Central Government and 50% from the State Government. State Government and both central and state they have not allocated any funds during the Q4.

We are hopeful that this quarter we are getting the funds so there is a

realization pending

from receivable of around INR210 cores of water division. This WIP uncertified portion of around INR215 cores. Total around INR415 cores s value is pending from the certification as well as the receivable from the UP Government is concerned.

So, we are hoping that this quarter we will expecting some allocation of funds from the Central Government and the State Government , allowing for recovery of these amounts in this quarter.

Pritesh Chheda: So, to the first question then why are you not calling out margin expansion in FY '26?

N. Nani Aravind: FY '26 also we are expecting new orders from the power sector. So EBITDA Margins more or less we are maintaining at the same level as the MDO business operations have just started and once we reach the peak rated capacity only there is a jump in the improvement in the margins are concerned.

there is a possibility of increasing the margins but initial establishment cost will be there for the new projects to start in the current year also. So, in my remarks I mentioned that margins



are expected to remain stable but there is a potential upside depending on the contribution mix from the mining segment.

Pritesh Chheda: Sir in the 29,000 -megawatt order to BHEL and 4000 to L&T so that's a 32,000, 33,000 megawatts . In these 33,000 megawatts how much of civil and balance of plant will be retained by BHEL and L&T and how much has been ordered out so that we come to know what is left to be ordered out?

S.K. Ramaiah: There are two aspects of BHEL outsourcing it. Now they have got some plans because they've got a huge order backlog and they see that limitation on capacities what is available which they are using it in a way. The old and finishing projects are also the o ld projects to be completed.

Perhaps 3 /4 projects they are planning to do the BOP as a subcontracting the key areas in the balance of plant that is coal handling, ash handling, civil works, balance of civil works and some of the water packages and all. That is going to be there on a sub-EPC basis that is expected to give a significant opportunity of about INR8,000 crores to INR10,000 crores in the market. We are also looking at that opportunity.

The second aspect as you rightly asked is the normal subcontracting outsourcing, they do for the entire execution that is the civil, structural, mechanical all those areas . Based on the available market order what BHEL& L&T have got we anticipate an opportunity of about INR30,210 crores in ETC orders, civil orders and then structural work orders and L&T also has to subcontract main plant execution works and balance of plant and then some of the balance of plant works in civil, structural and mechanical wor ks.

Therefore, from the power sector itself as far as our type of operations are concerned there are two opportunities. One is the traditional business what we are doing in civil, structural, mechanical works that around comes to INR30,000 plus crores including L&T and the new BOP concept, sub-BOP concept which BHEL is going to implement it in a couple of projects that is expected to feature an opportunity of about INR10,000 crores.

That is what we are aiming it and that is one of the reasons perhaps we will be bullish for the more ordering in the power sector this year and that will also lead to more opportunities in the O&M sector also.

Pritesh Chheda: How much is ordered out or this is yet to be ordered out?

S.K. Ramaiah: I think it is a progressive phenomenon what I can say is that at least about 70%.

Pritesh Chheda: And my last question is what is the scope of work in Kaiga 2 x 700 MW nuclear?
S.K. Ramaiah: Yes, Kaiga it is the 2 x 700 MW this one, the main work is in the plant, civil and structural works for the turbine island .
Pritesh Chheda: Okay and who has given you this o

rder?
S.K. Ramaiah: NPCL, Nuclear Power Corporation Limited , is the Developer. Nuclear Power Corporation has given to BHEL, BHEL is the main supply and execution agency has give this order.
Pritesh Chheda: Turbine island and BHEL gave you outsourced orders and this is the first time order, right?
S.K. Ramaiah: Sir, first time we are taking nuclear because the type of work what is in the non -reactor side of the work that is on the turbine side, turbine island is similar to a power sector coal fired plant, the same turbine island features are there. Therefore, we are quite familiar with doing the structural, civil and then the turbine foundations and all those associated works.
Pritesh Chheda: Thank you very much.
Moderator: Thank you. The next question is from the line of Jainam Jain from ICICI Securities. Please go ahead.


Jainam Jain: Congratulation and great set of numbers. Sir, firstly I have made a couple of data points starting with unbilled revenue, mobilization advance and advances to subcontractors agreeing to work as of March 25?
N. Nani Aravind: Okay, you want the numbers, sir, breakup?
Jainam Jain: Yes.
N. Nani Aravind: Working progress is INR890 crores as of March 25. Mobilization given to subcontractors is INR20 crores and advance to subcontractors is INR200 crores.
Jainam Jain: Advance to subcontractors, sorry?
N. Nani Aravind: INR200 crores.
Jainam Jain: INR200 crores. And unbilled revenue is INR895 crores, right?
N. Nani Aravind: INR890 crores.
Jainam Jain: INR890 crores. And mobilization advance?
N. Nani Aravind: Mobilization advance given to subcontractors from the clients you are asking?
Jainam Jain: From the clients.
N. Nani Aravind: INR240 crores.
Jainam Jain: Okay, sir. And so, in terms of capex guidance for April 26, like last quarter, we are guided for INR750 crores of capex in coming 2 years. So, how much are we looking to spend in FY '26?
N. Nani Aravind: FY '26, maybe around INR500 crores we are planning, sir, both for washery and the regular capex es together.
Jainam Jain: Okay, so we will be raising that for that purpose. You are guided for INR500 crores of that addition in the last 2 years, right? For the next 2 years?
N. Nani Aravind : We have raised the QIP of INR240 crores earmarked for the equity, for the washery . Initially, we will use this money for the capex, and the debt will be added only limited, and Majority of the debt will be added next year. INR150 crore will be added in this year.
Jainam Jain: Okay. And, sir, initially, we had an order inflow guidance of INR12,000 crores for FY '25, and right now, as far as I understand, we have an order inflow of INR6,400 crores. So, can you highlight something on that part? Like, why have we missed out on tha t process?
N. Nani Aravind: So, this year, we are targeting around INR10,000 crores order inflow . We have a opening order value of 14,387, so another INR10,000 crores we are proposing for, order inflow during the year. So, around 25% of the revenue growth we are projecting for the current year, so, which is roughly around 42% of existing order,
Jainam Jain: Okay, sir. And, is there any update on the mining business side, on the KBP mining?
N. Nani Aravind: KBP mining, the mining equipment mobilization has been completed, sir, and OB removal also started from 15th of April. So, they're likely to generate the coal production from Q2 onwards.
Jainam Jain: Okay, sir, that answers my question. Thank you so much, and all the best.
Moderator: Thank you. The next question is from the line of Vinay from Hathway Investments Please go ahead.

Vinay: Just wanted to know, the waterworks problem that you're saying, receivables, is that localized to only UP Government, or is it a much larger problem?
N. Nani

Aravind: Sir, all these UP-water projects are given under the Jal Jeevan Mission, 50% of the funds are supported by the Central Government, 50% by State Governemtn . UP Government diverted funds to Kumbh Mela works, So, State was not able to allocate any funds during Q3& Q4 . And Central Government said Jal Jeevan Mission, initially, they have given timelines for 5 years to complete these projects, and which expired in November 24. During last budget, again, they extended for till 29, these timelines. So, the allocation of fun ds supposed to happen in April, May, due to this present ongoing situations in India issues with PAK and other things.
There may be a delay in terms of allocation of Jal Jeevan Mission funds by central Govt . So, probably both central and state will allocate funds now. We are hoping that these funds will be collected during this next month.
Vinay: Yes, my question was, is this only with UP? Or do you have waterworks projects outstanding receivables from other places also?
N. Nani Aravind: we are executing UP JJM we are not operating JJM works in other states .
Vinay: So, it is the central fund that is spending, not the state fund?
N. Nani Aravind: State also, under JJM scheme, 50% fund supported by Central and 50% by State,
Vinay: So, if you can just tell us, from the unbilled revenue of INR890 crores, how much is pending due to waterworks? You said INR215 crores is for UP, for others, how many more?
N. Nani Aravind: No, we are executing waterworks only in UP…
Vinay: So, INR215 crores out of INR819 crores is for UP, for the waterworks? Secondly, your order book for the year, last year was how much? 17,000 something, right?
N. Nani Aravind: Yes, because there is a FGD non -moving order, which we removed it from the order flow and after removing that, it is 14,264, we have adjusted in the current order. And then after adjusting, 14,387 is the actual running closing order.
Vinay: That has reduced from 17,446 of last year. Or what was the figure last year? Similar figure.
S.K. Ramaiah: Yes, 17,362 to 14,387. Exactly.
Vinay: Okay. And what percentage of your total revenue comes from waterworks?
N. Nani Aravind: Waterworks approximately around 10%. Last year, it was 20%, sir. This year, we achieved around 9%.
S.K. Ramaiah: The total order value is INR2723 crores and then there is another additional order of INR699 crores on the O&M side. Now, O&M has to pick up once more connections are given out of and the INR273 crores, that is based on which yearly flow comes and we have completed around 1864 crores for the last three years.
N. Nani Aravind: So, this year, we achieved around 9% of the total turnover.
Vinay: Okay. Thanks a lot, sir. Thank you very much.
Moderator: Thank you. We will take our next question from the line of Ankur Kumar from Alpha Capital. Please go ahead.
Ankur Kumar: Congrats for a good set of numbers. Sir, I wanted to harp upon the guidance for the next year. So, earlier, our guidance was INR7000 crores. Now, you are saying INR6500 crores.


Am I right, sir? And what is the, basically, is it like the Jal Jeevan which is causing us to reduce these estimates?
N. Nani Aravind: r. Actually, we actually planned last year around INR10,000 crores order inflow. We could not able to get the order inflow as expected due to general elections and other issues. Jal Jeevan mission water division side also there is no progress in allocation of funds due to various reasons ,
And now, previous track record of the company is that we are executing 40% to 45% on the opening order value. So, based on that, we revised the value to 6500 level. And moreover, mining also, the off -tech arrangement is not happening at Tasra because of the outside washery capacities are not available.
So, we are conservatively consideri

ng this growth of 25% in line with last year growth of 25% So, the same range of growth we have projected.
Ankur Kumar: What is the order backlog right now, sir?
N. Nani Aravind: 14,387, sir, without MDO.
Ankur Kumar: Without MDO, okay.
N. Nani Aravind: Yes, plus INR972 crores value of orders we received during Q1. So, around 15,200 is right

now orders in hand as of today.
Ankur Kumar: But this total order book that we have INR53,994 crores, when will this be executed, the rest part?
N. Nani Aravind: The remaining is the MDO order, sir. This is 25 to 28 years of period is there for the execution of that entire order.
S.K. Ramaiah: Actually, there are two aspects of this backlog order. One is the traditional business, what we are doing, that backlog is about INR14,387 crores. That cycle time will be -- the pending order cycle time will be somewhere between two to more than three years, generally. That's why 40% ratio comes from the revenue. Whereas, as Aravind has rightly said on the MDO orders, the two MDO orders, that have got a long duration period as a matter of mining and then selling the mine products for the coal, coking coal to the customers. That has got a longer period.
Ankur Kumar: Sir, this year we expect INR10,000 crores order inflow?
S.K. Ramaiah: That is based on the couple of developments. One is the huge order flow which has gone into BHEL and L&T and further orders are expected on the power sector because the government is keen to ramp up the thermal capacity to avoid the grid problems. Second i s the perhaps expected this offtake which will come up in the infrastructure in railways and roads and then some of the private sector investments also is expected to come.
For example, Adani is making huge investments in power sector also and then JSW is making investments, JSPL is coming with the investment and then infrastructure, we expect the continued progress will be there. That is why because we had achieved, if you look at it, in 2023 -24, almost INR 7,850 crores. Therefore, the company has got that wherewithal to manage those types of orders.
That is why we have fixed order target of INR10,000 crores. Last year was an exception because of so many other factors.
Ankur Kumar: Sir, in terms of next year, that is FY27, what kind of execution do we expect to hear?
N. Nani Aravind: We are targeting 20% -25% of growth, sir, next year also. Roughly around INR7,800 crores - INR8,000 crores, we can expect to execute .


Ankur Kumar: Sure, sir. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Mudit Bhandari from IIFL Capital. Please go ahead.
Mudit Bhandari: Hi, sir. In terms of our MDO project, so firstly, whether our wash day which we earlier expected to complete in September '26, so whether that is on track? And secondly, for FY26, what amount of revenue for both MDO projects would we be able to get? So, I think earlier we said around INR300 -INR400 crores. So, whether we will be able to achieve that?
N. Nani Aravind: Yes, sir. We are on track and we are targeting to complete the washery by September '26. So far, we have placed an order for INR120 crores of worth of machinery which we placed an order and the balance also we are following. So, the washery, major equipmen t designing completed and LO I already issued to the vendors. We are targeting to invest INR500 crores during the current year itself so that we can complete the washery by September '26.
Mudit Bhandari: Okay, got it, sir. And secondly, in terms of our debt, so you said we will not increase any net debt or from FY26, 25 levels to FY26. So, we can expect that net debt to remain stable. Is that right, on an overall basis?
N. Nani Aravind: Yes, sir. We are focusing on the realization of receivables from the water division and we want to reduce wor

king capital utilization. This year already our utilization of debt is more than the last year and we will avail the term loan for th e washery. utilization will be in next year, we will use QIP funds for the current year washery capex.
Mudit Bhandari: Got it, sir. And last one from my side, we said about sub -BOP work, which we expected to be an opportunity of around INR10,000 crores. So, I think earlier you were talking about core BOP project, which had around 50% of the total thermal power capex opport unity. So, roughly, would you be able to give rent that what this INR10,000 crores is what percentage of total thermal power capex?
S.K. Ramaiah: No, see, I told you, as the traditional part of the business, both L&T and BHEL comes to INR30,210 crores. And then, there is going to be some sub -BOP opportunities, which I am expecting at the, as of today, the reading can be a couple of, two, three proje cts can be there, because they have called the tenders for the Singareni also. Ukai projects, they have already awarded for the 800 megawatt BOP.
And now the Korba West has come, which BHEL has taken a value of INR11,800 crores recently for 1,320 megawatt. And that is where we are expecting another INR10,000 crores

from the sub-BOP opportunities and it can go up also based on what the BHEL can be on the same .

But whatever is the balance, which has been already taken up -- and then the Adani portion of the orders, there is no construction which is done under the BHEL. It will be done by Adani directly, and we are working on that. We are, for about 4,800 megawat ts of various ordering is in the process, and we have already taken orders from Adani for the new orders for their place on BHEL as a construction part of it.

Therefore, L&T, they have to start the subcontracting work for their INR27,523 crores of ordering. That should be expected in a couple of months, it should start. Therefore, BHEL, it depends, one is on the BOP, I told you, and then on the traditional busi ness, about INR30,210 crores. That is what as on today we are keeping a track.

Mudit Bhandari: Okay, got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Krupa Desai from Electrum Capital. Please go ahead.

Krupa Desai: My questions are already answered. Yes, thank you.



Moderator: Thank you, ma'am. The next question is from the line of Maitri Shah from Sapphire Capital. Please go ahead.

Maitri Shah: Yes, congratulations on the great result. I just have one question. For the MDO project, what kind of projections are we giving for the revenue for next year? Previously, we said around INR300 crores to INR400 crores of revenue. Are we still sticking to t hat guidance?

N. Nani Aravind: This year, we are planning around INR208 crores from the Tasra mine and INR64 crores from K BP mine . Both together, INR272 crores we are projecting.

Maitri Shah: And this will be over the INR6,500 crores of guidance that you've given?

N. Nani Aravind: Yes, yes.

Maitri Shah: Okay. Thank you so much.

N. Nani Aravind: It is a part of INR6,500 crores only, ma'am.

Maitri Shah: It is a part of INR6,500 crores. Anything over this will be added to the guidance?

N. Nani Aravind: Yes.

Maitri Shah: Thank you.

Moderator: Thank you. The next follow -up question is from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

Vinay Nadkarni: Just one question on this. You are saying there's some ongoing order in Bangladesh. What is the size of this order? And is there any issue on that because of the disruptions there? And how much have we executed already?

S.K. Ramaiah: No. Bangladesh, more or less, most of the jobs we have closed. There is not much to be done. And as of today, we are taking another look and looking at the situation. It's not so much of prospects to go into Bangladesh

based on the present condition .

Vinay Nadkarni: So, no receivables outstanding there?

N. Nani Aravind: Around USD5 lakh receivables is there. The final bills are under process. So, we are expecting to receive these bills also by next couple of weeks.

Vinay Nadkarni: Okay. And these are unsecured receivables, no LC backing or anything?

N. Nani Aravind: Nothing, sir. It's a regular construction receivables

Vinay Nadkarni: And just one observation. If you can just look at your India map on your slide 11, I think you should correct it.

N. Nani Aravind: Okay.

Moderator: Thank you. The next follow -up question is from the line of Jainam Jain from ICICI Securities. Please go ahead.

Jainam Jain: Thank you for the opportunity again. Sir, on the page 27 of PPT, you have excluded FGD order value of 43 billion. Can you please help me with understanding why have you done that?

N. Nani Aravind: The implementation timelines for these FGD systems were revised by the Government of India time to time and regulatory approvals were also delayed. And the Ministry of Power issued recently also some directives that -- they extended the deadlines for FGD implementation to the year 2029. Because there is no non -movement of these FGD orders

and clients are also taking delay in terms of giving directions to us for execution of these projects.
So, we have taken a djustment of non moving FGD orders – after discussion and negotiations with the client. So, mutually we decided to remove the order book to the extent of non - moving orders are concerned. So, around INR4,264 crore s order value of this Kawai, Tiroda and Mundra projects, we excluded from the order values.
Jainam Jain: Okay, sir. I got it. Thank you very much.
S.K. Ramaiah: Yes. Basically, Supreme Court has taken a decision because so many factors were there because of the complexity of issues in implementing new FGD orders. And one is the retrofitting space issues, then power purchase agreement amendments, all these things are there, and then technology issues, outsource, then supply chain.
Therefore, they have not extended the first time, many extensions have taken place up to November 2029. And obviously, the developers were having uncertainty on the power purchase agreement amendments because DISCOMS have to pay higher tariffs.
Jainam Jain: So, the order has not been cancelled, but it has been delayed for the next few years, after next few years, right?
S.K. Ramaiah: Yes. It can be revived, but as on today it is not in our book s. And we are all trying to settle whatever work we have done. One project we are doing at Udupi, that work is going on INR93 6 crores. We have done about 40% of the work that will be done. But the rest of the projects, as Aravind said, that is not there.
Jainam Jain: Okay, sir. I got it. Thank you so much.
Moderator: Thank you. The next question is from the line of Dinesh Kulkarni from Finsight. Please go ahead.
Dinesh Kulkarni: Sir, thank you for taking my question. So, my question is, as you mentioned, we are facing some issues with the water division. Do you think this is something like, I mean, it is going to impact the industry as such in terms of receivables or there are, i n terms of like order, not enough orders that you were expecting earlier and this is going to persist for the next few years, or this is like a temporary phenomenon? What is your view on that?
N. Nani Aravind: It is a temporary phenomenon, sir, because the JJM timelines expir ed. So, the last budget has extended the timelines and but due to ongoing war issues with Pakistan there was delay in allocating funds by Central Government share of funds .
So, we are executing the projects and almost around INR425 crores worth of works already executed and pending for different stages of certification. Once the allocation of funds

happens from both Central and State government, they will release the funds. It is a temporary phenomenon.
Dinesh Kulkarni: Okay, sir, that sounds great. So, but I would like to know more about in terms of the next three, four years, what is your view like will the allocation of funds will be there to execute these projects or do you expect a decline in the funds allocation it self in terms of like, what is your -- in terms of division or in terms of industry, what is your take on that?
N. Nani Aravind: So, this is a UP project specific issue and these projects almost we completed m we completed INR1,864 crores out of INR3000 Crores . And within a year, we can complete the balance works. Once they allocate the funds, we can speed up the works and we can complete this in a year time.
S.K. Ramaiah: But overall Jal Jeevan Mission this one status is that they have reached almost 80% of the outreach of the functional house staff connections required for about INR19. 3 crores of households. Therefore, it is taken a good shape of that was UP was a specific issue, balance


20%. I think this government is determined to complete it, maybe another one or two years maximum.
Dinesh Kulkarni: Okay, but so we expect more work to come in this division or like this will be a stable, there is no growth you expect in the specific division for our company itself?
S.K. Ramaiah: As on today, there can be some opportunities because Southern states there is some backlog of house connectivity for the drinking water that we are looking at in some of the Southern states and also Maharashtra, Andhra Pradesh, Madhya Pradesh and then Tami l Nadu, that we will see to it as it as and when it comes we will take it up based on our experience.
Dinesh Kulkarni: Okay, sounds good. So, my next question is in terms of the capex, which you just mentioned that we'll be having some around INR500 crores for this year. So, but how do you expect for the next three, four years? Will it be this level or expected to come down once we have the MDO in place?

N. Nani Aravind: No, the regular capex will be around INR80 crores to INR100 crores year -on-year for regular business and for the capex for specific activity where we are planning to raise around INR450 crores term loan, The INR450 crores debt addition will happen in next couple of years.

Dinesh Kulkarni: Okay, sounds good. And my last question, maybe like I just want to know, like what in terms of management, are we expecting any succession planning in terms of increasing the bandwidth of the management? Because I know we're doing a lot of work. So, anything on those aspects?

N. Nani Aravind: The MD son Mr. Rohit, who is handling the operations of the company and also heading the business development and admin and HR functions of the company . Management wants to induct him into the board, during the current year.

S.K. Ramaiah: More than that we are also strengthening our organization, overall organization, of course, that is on the main thing what Rohit has taken the, lead role and is already doing substantial work on operations, business development, overseas operation is compl etely looking at it. And he's looking at the routine aspects also and supporting to the CMD, with the organization growth initiative also is there.

Because of the new opportunities that come in the infrastructure and power sector, we have taken some senior level people also. And there is a substantial augmentation in our manpower resources, both in our own regular manpower and the subcontracting manpo wer. What was about 34,335 headcount, including Power Mech and then the subcontracting labor has gone up to 37,295 by April 25, an increase of 8.6%.

And then O&M, there is because of the improved order backlog and all, the manpower headcount in O&M has gone from 14,069 to 18,296. Therefore,

parallelly the organization strengthening is also going, some reorganization also is going to keep up to meet the specific customer requirements.

Dinesh Kulkarni: Okay, so that sounds great, sir. Maybe last question from my end, sir. See, we are seeing a lot of, things happening on the defense front in India, with whatever we have witnessed in the last couple of weeks. So, do we expect to do anything on this, in this industry, in this segment, from the company's perspective?

S.K. Ramaiah: I think defense is a little bit of, it's a high -end technology and a lot of technology input is required. And that focus is not there. What we are now focusing is the new energy businesses like battery energy storage and solar power. Certain projects, we are looking at it.

Third, battery energy storage, the government's plan is to ramp up the capacity to 50,000 megawatts by 2030, '32. There, we want to see as a developer and certain opportunities, we are also looking. And solar power also, we are looking at as an opportunity , as an investment also. That is our present plans .



Dinesh Kulkarni: Okay, so any, yes, inorganic path we are looking at, any acquisitions and stuff like this?

N. Nani Aravind: No, right now, there are no opportunities, sir. But non -power O&M side also, we are looking at. As of now, we are more concentrating on the power O&M. Large conglomerates and PSUs are also outsourcing O&M of metros, material handling systems, process industries, and airports, creating a more high. Potential opportunities are there. We are looking at this phase also to get more O&M.

Dinesh Kulkarni: Okay, so you expect next phase of growth from O&M itself, right?

N. Nani Aravind: Yes, O&M from non-power side also, we are majorly concentrating.

S.K. Ramaiah: Non-power, we are already working in certain sector division, like NMDC, JSPL, RIL and GMDC. And then water project, for example, UB water project also has got a, it is a non - power segment. It is also has got a 10 years O&M, which is built into the system, which we have started, as and when it gets commissioned.

And then one of the areas we have entered is the township construction also. Recently, we have taken a INR972 crores from the Telangana generation company for the project in Telangana. Therefore, that is a new initiative we have taken.

N. Nani Aravind: And there are a lot of international infra opportunities also there . Middle East, particularly Middle East, Africa infra investments, they open up overseas ETC and O&M project potential, especially through local JV s, we can look at those international opportunities.

Dinesh Kulkarni: Okay, sir. That sounds great really. Thank you very much and all the best.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

S.K. Ramaiah: Yes, thanks for the investment team and also our team here. I think the key takeaways are that, Compan y is looking for expanding the business in the O&M Infrastructure and then the

new opportunities come in the Power sector, both for the new installation, BOP. And one of our new initiatives is in undertaking the Balance of Plants and doing complete job, that is because of the in -house strengths we are having in execution, substantial value to the company's operations.
And then to focus more on the Middle East, because the investments are expected to come up in Middle East for the energy sector, which was down. Now, particularly in Saudi Arabia and then UAE and other Middle East countries, a lot of opportunities are coming up.
And we are also looking at some opportunities along with Thyssen Group in the mineral and material processing, with the new investments coming from the Vedanta side and then NMDC and t

hen many other developers.
Therefore, overall, the growth momentum should be there except for the last year's, this one we had, and INR10,000 crores of order booking should be reasonably targeted in the current year, with more than INR30,000 crores of specific opportunities we are targeting as of date.
Moderator: Thank you. On behalf of Nirmal Bang Equities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Aug 2025

Date: August 19, 2025

To
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Symbol/Security ID: POWERMECH To
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Security Code: 539302

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--o0o--

With reference to the subject cited above, p lease find enclosed the transcript of the Conference Call with Investors / Analysts held on August 12 , 202 5, on the Q1 and FY2 6 performance of the Company .

Kindly take the same on record and acknowledge the receipt.

Thanking you.
Yours faithfully,
For Power Mech Projects Limited

M. Raghavendra Prasad
Company Secretary and Compliance Officer

Encl: as above



"Power Mech Project s Limited
Q1 FY '26 Earnings Conference Call "
August 12, 202 5

MANAGEMENT : MR. N. NANI ARAVIND – CHIEF FINANCIAL OFFICER –
POWER MECH PROJECT S LIMITED
MR. S. KODANDARAMAIAH – DIRECTOR BUSINESS
DEVELOPMENT (NON-BOARD ) –
POWER MECH PROJECT S LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Power Mech Projects Limited Q1 FY '26 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this call is being recorded.

With this, I now hand the conference over to Ms. Arshia Khosla for opening comments. Thank you, and over to you, ma'am.

Arshia Khosla: Thank you. I am Arshia Khosla. On behalf of Nirmal Bang Institutional Equities, welcome all of you to the First Quarter FY '26 Earnings Call of Power Mech Projects Limited. From the management team, we have Mr. S. Kodandaramaiah, Director, Non - board, Busin ess Development and Mr. N. Nani Aravind, Chief Financial Officer.

I would now request the management to give their opening remarks, post which we shall open the floor for Q&A. Thank you, and over to you, sir.

N. Nani Aravind: Thank you, Ms. Arshia Khosla. Good morning, everyone. I'm Aravind, CFO of the company. I have with me Shri Kodandaramaiah, Director of Business Development. I extend a warm welcome to all of you for our quarter 1 financial year '26 earnings call.

The performance for the first quarter of financial year '26 was in line with our set targets. We reported a total income of INR1,304 crores, marking a 28% increase over INR1,016 crores in Q1 FY '25. EBITDA stood at INR182 crores, up 48% from INR123 crores last year, while profit after tax came in at INR81 crores, registering a 31% growth compared to INR62 crores in Q1 FY '25.

The EBITDA margin improved from 12.1% to 13.95%, supported by exceptional revenues from Uttarakhand Riverbed Mineral project, while PAT margin rose marginally from 6.1% to 6.2%, moderated by higher finance and tax costs in the LLP, which we floated for Riv erbed Minerals projects.

In terms of revenue mix for quarter 1 FY '26, the mechanical segment contributed INR222 crores, a 117% increase over INR102 crores in Q1 FY '25. The Civil segment, including railways, water projects contributed INR581 crores, reflecting a 7% increase. O&M revenues rose to INR398 crores, up 17% from INR341 crores.

The Electrical segment recorded INR67 crores compared to INR8 crores, a 737% jump. And the mining business contributed INR26 crores versus INR14 crores last year, showing 8 6% increase. Other income stood at INR11 crores compared to INR9 crores in the previous year.

The revenue split for the quarter was 95% domestic, 5% international, while the contribution from the power sector remained at 53% with non -power sector accounting for 47%.

On the financial front, return on equity declined from 3.09% to 2.41% due to higher finance and tax cost, with the anticipated normalization in collection and execution. ROE is likely to improve significantly in the coming quarters. While return on capital employed improved from 4.7% to 5.69%, driven by better capital deployment and improved operating margins.



Operating cash flow remained neutral due to pending receivables in the Water division. However, we are actively engaging with clients to expedite the certifications and clearances, and we are confident of realizing the outstanding dues in the coming month s. Net current asset days, excluding cash and cash equivalents, have decreased from 128 days in Q4 FY '25 to 123 days in Q1 FY '26, driven by the realization of receivables, which resulted in a reduction in the current assets. We are actively engaging with the Uttar Pradesh government for the realization of pending Ja l Jeevan Mission re

ceivables,
which is expected to further reduce current asset days. Additionally, with the stabilization of MDO business from 2027 onwards, we anticipate a significant improveme nt in the net working capital days.

As on 30th June 2025, the gross debt and net debt remained controlled and despite delays in certification of water bills and delays in realization of receivables, as on 30th June '25, gross debt is around INR753 crores and net debt stands at INR239 crores. The debt equity ratio as on 30th June '25 stands at 0.34x.

During Q1 FY '26, the company secured fresh orders worth of INR1,270 crores. The total order backlog stood at INR53,972 crores. Excluding the two MDO projects, the executable order book is INR14,391 crores. We are targeting INR10,000 crores new orders by March '26. And as on date, we have already secured INR1,882 crores. Our strategic focus remains on the high potential areas, including industrial O&M, railway, and water infrastructure as well as MDO projects.

For FY '26, we have set a revenue target of INR6,500 crores. with an expected 25% year - on-year growth and a stable EBITDA margin in line with the FY '25 levels. Margins could see an upside depending on the contribution mix from O&M and mining segments. The order book outlook for the year remains healthy, supporting our growth trajectory with the company well positioned to execute and convert around 40% of its opening order book annually. The MDO business is ramping up steadily and along with O&M is expe cted to drive significant growth in the coming years.

So from the MDO business point of view, our MDO business is progressing steadily. At the Kotre Basantpur project, mobilization of H EMM equipment has been completed and first year of mining operations commenced on 15th April 2025. Till date, overburden removal of 5 lakh cubic meter has been completed and the work is continuing. Coal production is expected to commence from September '25, s ubject to monsoon conditions.

At the Kalyaneswari Tasra project, OB removal and coal dispatch operations have been ongoing since January '24. As of June '25, coal production has reached 7.61 lakh tons with a corresponding OB removal of 14.71 lakh cubic meter.

Mining fee against the coal produced and dispatched to SAIL have been accruing since June '24. To date, invoices have been submitted for 7.52 lakh tons of coal dispatch ed to the existing washery as per SAIL's direction with a total value of INR158 crores so far, we have recognized revenue.

In terms of washery and railway sliding development is concerned, design consultants have been appointed for both the washery and railway sliding. For the railway sliding, engineering scale plan, L -section plan, and consent to establish approval have been received, while approvals for overhead electrification and signaling interlocking system are expected by end of this month.


For the washery, major equipment designs have been completed and LOIs have been issued to the vendors for some of the equipment , with the remaining order under progress in parallel with the design activities. Mobilization and establishment works at the washery site are also in progress.

While SAIL's current coal offtake remains below the plan due to the limited external washery capacity, we are actively working to resolve these constraints and ramp up the production in the coming quarters.

With this now, I request Mr. Kodandaramaiah garu, to update on the key business development initiatives and future outlook.

S. Kodandaramaiah: Yes. Thanks, Aravind, for your introduction and also the overall business intro of the company. Thanks for our participants also. I think as Aravind has said, we are looking up into the business opening up substantially. We have seen it is there for the last 2 years. and it continues to h

appen in the coming years also.

Now coming to the basic order booking and the backlog, what we are having here. I think in the first quarter, we had a total order booking of INR1,270 crores with key orders from Telangana, where Telangana Yadadri project, we are also building into the quarters the establishment quarters, about INR1,350 flat value of INR972 crores.

We have taken the first major step into the green energy business under the KUSUM scheme of solar project in Bihar for INR159 crores, total value for about 25 years. And O&M jobs also we have taken 9 jobs of INR108 crores. These are the key orders there.

But beyond quarter 1 also currently also recently, we have booked a major O&M order in SJVN that is 2x6 is to be order Buxar INR498 crores for 5 years winding operation and NTPC Jhabua also about INR53 crores . So these are the latest two major developments apart from what we saw in the first quarter.

Now looking at the overall order backlog, taking into consideration the revenue, what has happened in the first quarter and the last year backlog, what we had in 1st of April, INR14,387 crores, more or less, the order backlog remains same, about INR14,391 crores with a major increase in the Civil segment of the business from INR8,472 crores to INR9,022 crores , 6.5%.

And in other segments because in the first quarter, we have not substantially added because of the opportunities were postponed later. And these things are expected to come and there is some marginal reduction in the overall order backlog from mechanical and installation business from INR2,303 crores to INR2,081 crores; O&M from INR2,749 crores backlog to INR2,490 crores.

And electrical, we are consciously looking at the business and stabilizing it. Therefore, we are not looking at any significant in adding new businesses at this stage. Barring its stabilization, it is now INR796 crores the backlog compared to INR863 crores.

The domestic business continued to drive the business with about 98% of the order backlog and the international business mainly focused on the O&M with a backlog of INR250 crores is about 2%.



And the power sector continues to be a lead opportunity provider for the company with about 61% of the business at the beginning of the year. It is now 57.5% in the last year, now it is 57.5% and non -power is about 42.5%. This is on the segment -wise oppor tunity.

And in the case of the key initiatives has been the market has been opening in the power sector and in the infrastructure and non -power sector also, there are a lot of opportunities. I have seen the last 8, 10 years, the trend is continuing for our participation in railways, roads and infrastructure, metro work and then significantly the O&M profile what we have increased .

Our total capacity of operation of the O&M business has gone up by 4,107 megawatts with the three major projects in the preceding years. And recently, what we have taken is also 1,320 megawatts. That will jack up the overall O&M business to nearly 75,000 megawatts and with more focus on the power sector addition of the capacity, there is going to be a lot of opportunities.

Now coming to the key opportunities and the business, where it is going. I think we all know there is going to be a renewal of the power sector business owing to a variety of requirements in another 5 to 10 years as the increase in capacity, which I have been telling in the many of my previous interactions with you, that with 500 gigawatts of the renewable power adding up by end of the decade, and then there is going to be a balance with the power requirement, 80 gigawatts of thermal power has to necessari ly be added. And there is a significant addition into the actions taken by the various companies, particularly Adani, which has got a present installed

base of about 17,550 megawatts,
they intend to double it about double the capacity to 34,000 megawatts, 35,000 megaw atts in another 5 to 6 years.

And they have taken the lead in adding around recent orders, what they have placed in the last couple of months, maybe including the previous 2, 3 quarters and about 15,720 megawatts they have ordered. And recently also, they have taken action on another 4 ,800 megawatts. Therefore, they are significantly adding up to the ordering backlog of the engineering EPC companies like BHEL and L&T.

And NTPC is another major organization, which has taken the lead about 11,580 megawatts of ordering, which has been done in the last couple of quarters. That also is adding up.

And other utility companies like DVC, Neyveli Lignite Corporation, MAHAGENCO, then Singareni, SCCL, then Gujarat State Electricity Corporation Limited, then Chhattisgarh, they also have taken the initiative and added new capacities.

Therefore, if you take about 18 months to 2 -year ordering status in the last 1.5 years and that trend is continuing, about 38,000 megawatts ordering has been done in different areas and different stages.

About 10 EPC projects have been awarded to BHEL. And then L&T has taken a major step forward, again coming back to the power sector execution about 4,000 megawatts, 2 projects they have taken at Nabinagar and Gadarwara. And these 2 players will now L&T also is going to put their feet in.

And the latest information is that Adani perhaps has taken an initiative to order some boiler packages to them, and this news has to be confirmed for the L&T also. Therefore,


perhaps they want to slightly diversify the power , the BTG orders, boiler and turbine, the main island ordering package to apart from BHEL also looking at the overall order backlog, BHEL has taken it.

Therefore, if you look at the overall scenario, there has been a substantial ordering of more than INR2 lakh crores at about 38,000 megawatts in the last 1.5, 2 years. That throws up significant opportunities for a company like Power Mech. We are into various segments of the main power plant installation, both in the main plant and the balance of plant are a and that offers an opportunity of about INR30,000 crores.

Now in these areas recently, our interest and where we have taken a lot of initiatives is in getting into the market with Adani, about 3, 4 major jobs we have taken at Mahan, then Raipur, Korba that is Amarkantak about INR1,653 crores of mechanical installation jobs and then INR800 crores of the civil works at Mahan Phase 2 and Mirzapur Phase 1, which they are putting up for the first time, 2x 800 megawatts. That comes to about INR2,453 crores. And all the schedules about 30 months firm price contracts wit h fair advance payment terms. And these projects are already under execution and going on a fast-track basis.

And the other important development is the BHE L Koderma DVC, we have taken INR579 crores in BTG civil works and the cooling tower work about INR743 crores. Therefore, if you look at the power sector itself, perhaps the company has added nearly about 7,500 megawatts of capacity addition of presence in recent times. And this will continue to happen in the coming years also.

And then on the O&M sector, what I can say is that have got a reasonable backlog to continue the conversion factors. And the opportunities are continue to be there with a new capacity addition of about 6,000 megawatts to 8,000 megawatts every year, both with particularly Adani is going to add a lot of capacities and other players are also going to add up capacities and public sector also is going to add up the capacities. With that, more opportunities will come.

As I said, the 4,000 -plus megawatts have been added to the base strength of the O&M coming to 75,000

megawatts. Perhaps with more and more capacity addition, this base capacity of Power Mech has to increase in the coming years, and we will continue to bank on the domestic O&M business.

And the international O&M business, the main focus is around the shutdown jobs, repair jobs, maintenance jobs and manpower supply actively, we are doing in the Middle East and Nigeria. Nigeria, we are executing a 400 -megawatt long -term contract that is be ing under execution. And then many maintenance jobs we have taken. And we expect about INR300 crores of order booking in this year.

Now the other important sectors are the railways, where we are significantly working in about 8 major projects of INR2,500 crores and having completed some of the significant railway jobs also. And the road sector also, we are working in many projects.

And apart from that, one of the key areas of infrastructure business is undertaking the metro works. Metro works, there is a major ongoing investment. 22 cities are being have got its penetration. Metro spread is about 950 kilometers. This is going to double up in the next 5 years to almost 2,000 kilometers with another 23 cities added.



And our interest is in all these metro shops is first works on the maintenance depots because each of the major metro cities, they need two maintenance depots. We have got experience in doing many of railway workshops with the railway jobs what we have undertaken so far .

Major railway metro maintenance job we are executing in Bangalore for the Bangalore Metro Rail Corporation INR427 crores. That gives us the references to it for many of the metro opportunities which is expected in the future.

Therefore, in the overall scenario, what I can say is that last year, our total order booking was about INR6,437 crores that is compared to previous year INR8,758 crores in '23 -'24, 24-'25, INR6,437 crores. Of course, last year, there were many aspects mainly because of the elections and monsoon and so many other interferences. Perhaps this year, we are keeping a target of about INR10,000 crores.

And an area, which is of significant importance in the power sector business in opening up the balance of plant packages, a couple of projects we are pursuing it with the opportunities of about INR10,000 crores to INR12,000 crores and some significant development should take place shortly.

And that should see how we can take up that work and that synergies with our overall business plan and our expertise also on a comprehensive basis, we have got a master in construction and an end -to-end solution in civil structural, mechanical, and afterwards post commissioning O&M also.

Therefore, that enables us to be a strong player in this. And we are discussing with a couple of players on this. And then let us see how it takes place. And that is an area, which is a lot of interest to us in this year. That's what I would like to say. T hank you all of you.

Moderator: The first question comes from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My first question is on the margin in this particular quarter. Was there any one -off in this quarter?

N. Nani Aravind: Yes Sir. This is exceptional revenue, because in the Uttarakhand Riverbed Mineral business, we received certain seized quantities from the clients where the royalty was payable and also some additional quantity, where royalty was not paid . As a result, we collected double the penalty that resulted the higher pro fit and royalty income in this quarter .

So business operates 9 months in a year . Basically, the Riverbed Minerals rainy season in Q2 probably will not have that much profit. In Q1, we got the exceptionally seized high quantity, resulted more profit in the current quarter.

Mohit Kumar: So, what is the impact of that in the current qu

arter?

N. Nani Aravind: Sir, that is roughly around 19% PAT increase .

Mohit Kumar: Sir, INR19 crores is the impact this quarter?

N. Nani Aravind: INR55 crores is the PAT. It comes into 19% PAT margin from that particular LLP.


Mohit Kumar: Understood, sir. My second question on the thermal BOP. Of course, it's a very large opportunity. But having said that, sir, why there are delays in finalization of the tender? And is this opportunity of POP, is it away from BHEL, Adani, NTPC? Or are the packages being broken up into small, small part? Is it single factor, is it small, small part, the size could be much smaller. Is that the right understanding?

S. Kodandaramaiah: Yes. I think both ways it is possible because what has happened, companies like Adani, they would like to do themselves many things. The main plant would like to order rest of the balance of plant packages, including the civil and other packages, they would like to handle themselves. That is where we have also taken some of the jobs and what I said recently, we have taken.

Now the other aspect is , apart from the main plant, that is called the balance of plant is nothing but the inputs, which goes into the main plant for its operation like water, power, and then civil works and then so many axillaries are like coal handling, ash handling, water systems and then miscellaneous things are there.

This is all nowadays combined as a part of a single package. And that is a concept because main plant is specialized with a company like BHEL or L&T, balance of plant, it is again specialized -multidiscipline specialization, not only engineering, but also in construction in different areas, civil, structural, mechanical, electrical, C&I.

So that is more of integration and needs a proper unified input source like water is required to start the power plant, then power is required to start the power plant and other utilities also. So they follow both the models.

One is to combine the entire package into something like a single package that is a balance of plant package. Another is to further segment into balance of plant to civil segment, coal handling, ash handling and individual segments. And that depends on th e customer choice and how you would like to get a competitive offer and the pricing to see that overall investment cost is moderated.

Therefore, our interest is in both the cases because , our strength , the end -to-end construction we are having. We have also strengthened our engineering base. And then with these things, perhaps BHEL also is planning to do this type of BOP in a way that it can be roped in with other agencies. And particularly contracts lik e us, we are better qualified to do that. That is how it is.

Mohit Kumar: Are there too many single BOP packages available in the market?

S. Kodandaramaiah: Yes. I think if I look at the ordering, NTPC has ordered 10 EPC jobs total NTPC ordering, which has been done is about 14,500 megawatts, about 1,13,000 . Now this NTPC ordering mostly on BHEL and to some extent on L&T.

Now the major orders, which are not ordered on the EPC, NTPC has balance of plant about 6 plants, they have to order it. That will come for packaging. And Adani, as I said, around 15,720 megawatt, that entire balance of plant will come as a packaging. Apa rt from that, BHEL they themselves have taken a lot of orders in terms of BHEL EPC ordering, as I said, about INR1,13,880 crores for 14,500 megawatts. Therefore, this will be some areas, maybe some of the projects can be thought of as a balance of plant pa ckage with BHEL also.



Moderator: The next question comes from the line of Jainam Jain from ICICI Securities.

Jainam Jain: Sir, in the first quarter, we had a low order inflow Y -o-Y of INR1,200 crores. So with the strong pipeline in thermal space and nuclear space, why are the orders not flowing in? Like is there any challenges or delays which we are seeing.

S. Kodandaramaiah: I think that is a typical of first quarter and second quarter. If you look at last year, first quarter also, it was INR1,040 crores. This year, we have taken INR1,270 crores. Now the opportunities what we are tracking in various things, various business segments are more than INR30,000 crores.

And then the power sector, there is an opportunity in size of INR30,000 crores. And then there is the infrastructure side, continuous investments are coming. We have seen the annual investments in what is happening in the railways, roads and then metro jobs are also. Generally, the trending of any customer is to start t he ordering in beyond the second quarter. That is how the order gets added into the last 2, 3 quarters generally.

Therefore, with the looking at the opportunities what we are having because at any time, we are tracking about INR30,000 crores to INR35,000 crores of opportunities. And then INR10,000 crores is a reasonable thing, which we have projected to the investor community. That should be reasonably possible because in various areas, power sector side, non -power sector side, infrastructure side, O&M side, also O&M as on today around INR1,700 crores of opportunities we are tracking.

And then the new plants as and when they are commissioned, for example, latest SJVN, I said about INR500 crores of job which we have taken that should happen. And let us see these targets, what we have about INR10,000 crores should be possible from that perspective.

Jainam Jain: Okay, sir. Sir, within the Tasra mines, what is the total production during quarter 1. Hello?

N. Nani Aravind: Yes. 1 minute. Around 1.5 lakh tons.

Jainam Jain: Sir, we have guided for INR300 crores to INR400 crores of top line in this fiscal from MDO business, whereas we have booked only INR26 crores in this quarter. Can you throw some light on that?

N. Nani Aravind: This combines both together, we plan for INR208 crores from the Tasra mine and INR64 crores from the KBP mine. KBP mine, we just started the production, and we are expecting to start flowing the revenue from the Q3 onwards. for this year we'll touch maybe around INR30 crores, INR40 crores of revenue.

And at the Tasra mine because of the washery capacity availability outside is very limited, SAIL’s offtake arrangements as per the availability of external washery, we are giving around 50,000 tons to 60,000 tons per month depending on SAIL’s direction we are executing.

We are trying to push the SAIL team to scale up take to 70,000 tons to 1,00,000 tons per month. And we are looking at the other alternative arrangement to outside any available external washery availability is there, we are also pursuing that to speed up our offtake arrangements.

Moderator: The next question comes from the line of Vinod from PhillipCapital.

Vinod : Sir, how much of these 80 gigawatts can be realistically completed by FY '32 according to you?

S. Kodandaramaiah: How many?

Vinod : Of these 80 gigawatts can be realistically completed by FY '32?

S. Kodandaramaiah: Yes. I think the ongoing jobs we are doing nearly 7,500 megawatts to 8,000 megawatts. Adani, Vedanta , then the new jobs, what we have taken from recently from Adani for the last couple of months. Therefore, this is on the execution side, both in the civil and structural side. And perhaps another perhaps another 1,500 another nearly 2,000 megawatts to 3,000 megawatts - should be added in this year also.

Vinod : Okay. Because utility companies are talking of shortage of BOP bandwidth. So what is happening in terms of BOP bandwidth? Are new vendors being developed? Or are they relaxing vendor norms now for the BOP?

S. Kodandaramaiah: Our bandwidth is a very strong organization set up for execution. Our headquarter is there, our expertise there in construction, end -to-end construction solution, civil structural, mechanical and the complete segments. And we have got also experience in doing some of the complex jobs like cooling towers and also buildings.

For what we have to interface more is the engineering aspect of it. That is an important aspect, which we have strengthened the people with very senior people we have taken from experienced groups, and they are assisting us. And now we are in the process of evaluating the projects and bidding it.

And the other aspect is the procurement. The procurement is a second important aspect of the EPC work. And that also we have strengthened with really experienced hands. And in fact, what I can say is that the EPC concept, what we are doing non-concept significantly has got a better presence in railways and roads. Therefore, already that type of experience is being gained by the organization.

It is a question of integrating the procurement additional capacities required and engineering interface, which we have to take with the engineering consultant part of the in-house strength and the existing construction strength.

Of course, the technological part of the equipment supplies in many of the key packages like coal handling, ash handling, control instrumentation and other things as the engineering supply has to come to them as to go to the various vendors, we are qualif ied as per the CA guidelines as per the main EPC contracts guidelines. And those aspects we'll follow it up. We are already in touch with many of the key vendors in many key areas for the critical areas like coal handling, ash handling, water systems, and we have established a rapport with them and to see that once it comes, we can work with them also.





Vinod : Sure. And sir, what is the status of FGD projects? Are FGD projects now happening? Or are they going to be abandoned? What about the existing projects for FGD?

N. Nani Aravind: Sir, out of the total FGD orders received , due to government guidelines, regulatory changes and extended compliance timelines, th ese FGD projects have experienced delayed prolonged inactivity. So after discussing with the clients, we have reclassified nonmoving category to the extent of INR4,264 crores worth of FGD packages, and we removed it from the order book.

And only INR936 crores worth of UDIPI project , is under execution , which we have considered in the order book value. And we are pursuing with the client. And as and when the activity approvals received from Adani , probably we'll take up these works. Till that time, we are keeping this under the nonmoving category .

Moderator: The next question comes from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri: So just regarding our mining development operations. I could not get what you're saying about the second mine, like the KBP mine, we are assuming around INR30,000 crores – INR40,000 crores, but the second Tasra mine, what do we expect this year, sir?

N. Nani Aravind: This year, we expect to achieve turnover a round INR100 to INR120 crores, quarterly around INR25 crores to INR30 crores revenue, with continued efforts, we aim to scale up INR120 crores to INR150 crores .

The Key constraint m ainly washery requirement, although a washery ha s been allotted to us, and is under c onstructi on. Our washery will be ready by December '26. So till the n SAIL have to do this washery outside. So outside capacities are not available to do the washing. So only limited 50,000 tons to 60,000 tons per month capacity is only available and off take is restricted to that level . We are pushing the client to take the more quantity. Bu

t because of the outside washery constraints, SAIL is unable to lift the materials .

Darshil Jhaveri: Okay. So is it fair to assume till our washery is not complete, we'll maintain a sort of quarterly run rate of INR20 crores, INR30 crores. Is that like a fair assumption, sir?

N. Nani Aravind: Yes, we are pushing further to increase the offtake by additional 20,000 tons to 30,000 tons per month. We are pushing client to take.

Darshil Jhaveri: Okay. Okay. Fair enough, sir. And sir, with regards to our guidance, we've given a very clear guidance of INR6,500 crores, but based on our order book, do we see any potential upside that can also happen to this order book to the revenue recognition?

N. Nani Aravind : See, generally, our company execute to convert around 40% of its opening order book annually. We have around 14,000 crores orders in hand, which translates to 40% , with which we can easily achieve the projected turnover of INR6,500 plus the current Q1 and Q2, the new orders, whatever we are getting also we can able to convert into the turnover.

So we are confident of achieving the growth because last year also, we touched around 25% growth, and we are also projecting this year also 25% growth compared to the last year. More or less, we'll try to reach that number.

Darshil Jhaveri: Okay. Okay. Fair enough, sir. And sir, just last question from my end. In the other mine, the KBP mine, is there any constraint of washery or how that ramp -up happen, sir.



N. Nani Aravind : No, the scope is only mining, sir. There is no linkage of washery to that. And it is the responsibility of the client to lift the material without linking to the washery. So we just touched the coal now, but because of the rains and all, we are not produci ng the coal now. We are shifting this to the next month. Maybe it depends on the monsoon, we'll start the coal production by next month.

Darshil Jhaveri: So sir, for the full year FY '27, what kind of revenue could we estimate approximately is also fine, sir?

N. Nani Aravind : Because this washery constraint is there for Tasra, so we can take average of INR150 crores yearly basis for next year also, INR150 crores to INR200 crores between. And for the KBP, we can touch around INR120 crores to INR140 crores revenue. Around , all together around INR300 crores, INR350 crores we'll touch next year.

Darshil Jhaveri: Okay. And sir, mining, what margins do we get usually, sir?

N. Nani Aravind : Sir, during peak rated capacity, both the plants, both the mines with peak rate capacity, weighted average of around 22% we are expecting. So because these are in the development phase now once we reach the peak rate capacity by '28 onwards, we can touch a round 22% weighted average. But till that time, maybe average of 15% to 16% level because washery is also not started in Tasra, maybe around 10% to 15%, we can touch minimum and depends on the readiness of the washery, it will go up to 22% on a n average.

Moderator: The next question comes from the line of Dinesh Kulkarni from Finsight.

Dinesh Kulkarni: Really great set of numbers and the guidance you have provided. Sir, my question is, we have seen MDO, the kind of businesses we have got is not many in the last, say, 2 years, 1.5, 2 years. So what's your specific outlook on these kind of businesses? How many are open for bidding now? And how large this could be in terms of order book, say, in the next 2, 3 years?

N. Nani Aravind: Sir, so in terms of the MDO is concerned, we are planning to continue with these 2 only right now, and we are not considering the bidding for any new further MDOs till the time we reach peak rate d capacity. And on the coking coal side we already have 2 MDO 's, and we are looking at iron ore project , we will evaluate and consider them .

Dinesh Kulkarni: Okay. So is it b

ecause of our capacity constraint? Or you think the business economics and the financial metrics are not equally lucrative? What's the reason?

N. Nani Aravind: No, This is because we are relatively new to the MDO business, and our focus right now is on stabiliz ing and ramping up production of existing MDO business, and then we want to take up further business in the MDO.

S. Kodandaramaiah: Now, I would add to what Aravind had said, Ramaiah here. See, as an opportunity, huge opportunities is there. I think this we have touched upon a couple of times. For example, Coal India, that is called the first mile connectivity is there.

First mile connectivity is nothing from the mine side to the loading area, which includes the railway siding, the balancing facilities and then the oer exploration facilities . And more important is the mechanization of the material handling.



Coal India has got an investment of INR53,000 crores. Now that is how we know. For example, our initial experience, what we have taken as an EPC contract with Thyssenkrupp at Kurmitar and Talwara , we are trying to gain certain experiences in doing an execution also. Of course, MDO is a developer in these two projects. But as an opportunity, it will be there.

As far as we are concerned, our capacity as of today 9 million tons. Perhaps down the line, we can look at o ne more MDO based on how these two things shape up and then based on the augmentation of our revenue and network then we can certainly look at it. And it is definitely a lucrative business.

And our organization synergy is better because we have got strong execution strength also. And then post completion, we can do the operation maintenance ourselves. So that way, it jells well with our objectives. But business -wise, the opportunity can be substantial, both in the iron ore handling and the coal handling.

Dinesh Kulkarni: Okay, sir. That really sounds great. And one more thing, sir. You mentioned that only 5% of revenue is from outside India right now. So around 90%, 95% is within India. So I just wanted to understand the business profiles in the foreign countries and India n entities, where do you think there is in terms of like more opportunity with better margins? Because I believe there is some working capital constraint as well, right, in terms of number of days or receivables and stuff like that. So if you could just put some light on this, please?

N. Nani Aravind: International, sir, earlier we are executing ETC jobs, and we have completed now all the ETC jobs. And in some countries, such as Bangladesh, we faced significant challenges in repatriatin g money back to India. So we stopped doing all ETC outside, and we are only focusing on the O&M and manpower supply business outside India.

All Gulf countries and Nigeria, we have completed the ETC, and we have started the O&M service and manpower supply and overhauling activity, where we are getting good margins in O&M than the ETC. So we are selectively pursuing opportunities with trusted clients There are a lot of opportunities are available internationally, but we are pursuing based on the profile and clients.

For instance, we are currently bidding for material handling project in Fujirah , along with the Thyssenkrupp.

Dinesh Kulkarni: Okay. But where are the better payment terms within India or outside like because I don't know how large our operations are there in terms of manpower handling and all that, like the payment terms I was asking, sir.

N. Nani Aravind: Sir, The payment terms, in O&M business are favourable , because this O&M service are continuing services, which requires continued manpower deployment and also clients are releasing payments within 30 to 45 days .

And these are operational plan ts and we are no t facing any problems in

terms of
realization of bills are concerned. There may be minor delay of 7 to 10 days, but overall payments are being received on time without any delay.



Dinesh Kulkarni: That sounds great, sir. And my last question is, sir, in terms of water works, like what's really happening in the industry because we are seeing some of the other players are not reporting great numbers and which is reflected in their stock price. Like it was not maybe the growth as expected as it was earlier, maybe like 2 or 3 quarters ago. So what's really happening in this? And what's your view and outlook there?

N. Nani Aravind: Sir, we are executing works in UP government, under Jal Jeevan Mission. Original project timelines had in November '24. And subsequently, during last budget, Government extended the timelines .

the scheme is funded equally 50% from central government, 50% From state side, due to Kumbh Mela, a portion of their fund was diverted . And during Q1, they released some portion of the money. However, on Central side , there has been a delay in allocation, , the certifications and release of the bills held up until funds are released . And the PMO enquiries are going on in certain states regarding the regarding the proper utilization of JJM funds .

So the central business team already visited all the UP state and they are giving report to PMO office . We expect some fund allocation to flow to UP government during Q2 & Q3.

Moderator: The next question comes from the line of Mahesh Patil from ICICI Securities.

Mahesh Patil: Yes. So the exceptional item you mentioned, sorry, I did not get it. You mentioned INR55 crores as the PAT, right, adjusted PAT?

N. Nani Aravind: Yes, PAT.

Mahesh Patil: Okay. Can you give the top line, the revenue impact of that, what was the exact number?

N. Nani Aravind: INR288.53 crores is the top line.

Mahesh Patil: INR288 crores. Okay. And this is one time , right? Next quarter onwards, this won't be the reason.

N. Nani Aravind: Yes. In the first Quarter we received a seized quantity, from the clients with unpaid royalty which is one time exceptional and collected extra royalty as a penalty that resulted in more revenue that resulted more PAT.

Mahesh Patil: Okay. So INR288 crores share is the revenue and 19% EBITDA margin, right?

N. Nani Aravind: No, 19 % is PAT margin.

Mahesh Patil: PAT margin, 19%. Okay, sir. And sir, I just want to understand in the base quarter, Q1 last year, did we ha ve any FGD orders in our inflow?

S. Kodandaramaia h: Investment is going to come down with the recent Supreme Court order. But more opportunities will come wherever power plants are installed near the cities, Tier 1, and Tier 2 cities.

Mahesh Patil: Right. And this one order that you mentioned apart from this INR4,264 crores of INR946 crores, right? So is that currently ongoing, the execution?



N. Nani Aravind: Yes. This year, we'll complete that order also.

Moderator: The next question comes from the line of Bhagwat from Prosperity Wealth Management Private Limited.

Bhagwat: My question is regarding the income tax rate. For the quarter, it seems to be comparatively higher. Could you please comment on this and provide an estimate for the full year tax rate for financial year '26?

N. Nani Aravind: The exceptional revenue generat ed from the Riverbed Minerals business was booked through L LP. Where applicable tax rate is 35%, compared to 25% at the company level . Accordingly, we have provi ded for tax @ 35% on exceptional profit . which resulted in 4% overall on the turnover.

Bhagwat: Okay. Okay. So I've not got a clarity on that. You mentioned the one -off transaction, so the INR288 crores you mentioned the revenue and INR55 crore

s is the PAT from that. Is that correct?

N. Nani Aravind: Correct.

Bhagwat: So the total PAT that is reported is INR81 crores on the consolidated level. So this is not getting reconciled actually. Could you please help me understand that?

N. Nani Aravind: On stand -alone basis we recognized PAT of INR49 crores. On a Consol basis PAT is around INR81 crores.

Bhagwat: Yes. Out of that INR81 crores, what is the one -off proportion of that?

N. Nani Aravind: INR81 crores, sorry, your question?

Bhagwat: Out of the INR81 crores total profit reported, what is the nonrecurring part of that?

N. Nani Aravind: Noncontrolling interest you are saying?

Bhagwat: No, I am asking out of that INR81 crores, what is the one -off item that is included? You mentioned INR55 crores. Is that on PAT level or EBITDA level? That is what the query is.

N. Nani Aravind: Sir, on stand -alone, we recognized around INR49 crores of PAT . We generated around

INR55 Crore from LLP And this was offset by certain losses in other projects, INR12 crore loss is there in one of the overseas projects, and INR 15Cr loss in Hydro Magus Project, so that resulted in the lower PAT. So after factoring these consolidated PAT is INR81 crores.

Bhagwat: Okay . My second question is regarding the borrowings. So could you please update what's the total borrowings as of Q1 and the blended interest rate on the same?

N. Nani Aravind: Right now, the working capital limit is INR 600 crores is our limit, against which around INR543 crores of utilization. And overall, including equipment loan and other borrowings altogether total gross debt is around INR 753 crores.



Bhagwat: Okay. And the interest rate on the same?

N. Nani Aravind: Interest rate for equipment loans is around 8% to 8.5%, but working capital, it is an average of 9.2% interest rate.

Moderator: The next question comes from the line of Vinay from Hathway Investments.

Vinay: Yes. Just a couple of questions. On this water works, what is the total outstanding as of date?

N. Nani Aravind: Out of the total outstanding, r eceivable is around INR230 crores and uncertified revenue of INR100 crores. So around INR330 crores is the total outstanding overall, pending certification plus receivables together.

Vinay: Okay. And unexecuted contracts are, how much in this?

S. Kodandaramaiah: Around 65%.

N. Nani Aravind: So around INR1,000 crores will be the unexecuted value is there, out of INR3000 crore.

Vinay: Okay. So INR1,000 crores is unexecuted. And the amount, which we have received in Q1, total amount?

N. Nani Aravind: Around INR70 crores we received during Q1.

Vinay: And did we execute anything during this quarter?

N. Nani Aravind: Yes. The balance includes pending certification from the department. Unless funds are allocat ed of fund is there, the bills are not being certif ied. It remains in the form of W IP bills.

Vinay: So you have gone slow or we are continuing with completion of our projects.

N. Nani Aravind: No, if you look at working capital utilization, the increase in gross debt is mainly because we are deploying money into the projects, and we are focusing to conclude the entire work during the current year. And we want to bring this majority of the Gram Panchayats into the O&M operations so that we can generate more revenue in the O&M operations. So we are focusing to conclude the entire activit ies of 215 panchayats to close this year.

Vinay: So INR1,000 crores will be added in this year, you mean to say?

N. Nani Aravind: Depends on the timely certification from the clients . So we are pushing client for the same, and if they come through the closures will happen this year. Otherwise, it will be spill over to next year.

Vinay: So just one last question. On th

e fresh execution this quarter, you are saying the unexecuted , I mean, the unbilled revenue plus billed revenue would be how much, roughly?

N. Nani Aravind: INR350 crores. Pending total as of today.



Moderator: Ladies and gentlemen, in the interest of time and no further questions, I will now hand the conference over to the management for closing comments.

S. Kodandaramaiah: Yes. Ramaiah, again, thanks, everybody. Thanks, Aravind for the various aspect what you have given in the finance and other aspects. I think, as I said, INR10,000 crores is the target what we kept . The ongoing MDO job will come more on stream and that will increase the revenues.

And apart from the power sector business, which is looking up with the opportunities, what have been brought out, there is a new segment which we are also looking at the battery energy storage because as we know, the government of India plans to enhance the green power both in the pumper storage and the battery storage. They are required to take care of the energy imbalance by 2030. They are planning to add at least about 40,000 megawatts.

And certain projects we are looking at as an opportunity in battery energy storage. Recently, our people had gone to China also got the tie -ups for battery supply and all. That's an important segment. Rest of the integration and then execution and putting up on the financial engineering inputs required is there, we are al so looking at it.

And as I said earlier, the green power first initiative, what we have taken is Bihar under KUSUM projects that has come. For the future focus is the battery energy storage, pumped storage and then the continued focus on the solar power and wind power. And that will be an area of business interest for us also.

And of course, the existing strength and the ongoing things, what we are doing in the power sector will continue to be there with our leadership in that, both in the installation side, civil side and the O&M side and the nonpower sector, where we have cle arly established our presence and also our experience in the railways and roads and metro projects will continue to play. Therefore, there is a wide basket of opportunities available with continued investments coming up.

I think this year, the overall investment about INR11.2 crores is the central government allocation for the infrastructure, and that should go out increased pace in the coming years also. Therefore, what is expected is about INR147 lakh crores of investment is expected to come in the next 5 to 7 years by the central government alone as part of a continuation of national infrastructure pipeline. And we are into many aspects of the infrastructure business apart from the power sector business also and that sh ould help us to see that our growth momentum is maintained. Thank you.

Moderator: On behalf of Nirmal Bang Equities Private Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

N. Nani Aravind: Thank you

# Call: Nov 2025

Date: Nove mber 20 , 2025

To
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Symbol/Security ID: POWERMECH To
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Security Code: 539302

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--o0o--

With reference to the subject cited above, p lease find enclosed the transcript of the Conference Call with Investors / Analysts held on November 13 , 202 5, on the Q2 and FY2 6 performance of the Company .

Kindly take the same on record and acknowledge the receipt.

Thanking you.
Yours faithfully,
For Power Mech Projects Limited

M. Raghavendra Prasad
Company Secretary and Compliance Officer

Encl: as above



"Power Mech Projects Limited
Q2 FY26 Earnings Conference Call "
November 13 , 202 5

MANAGEMENT : MR. ROHIT SAJJA – WHOLE -TIME DIRECTOR – POWER MECH PROJECTS LIMITED
MR. S.K. RAMAIAH – DIRECTOR (NON-BOARD)– BUSINESS DEVELOPMENT – POWER MECH PROJECTS LIMITED
MR. N. NANI ARAVIND - CHIEF FINANCIAL OFFICER – POWER PROJECTS LIMITED

MODERATOR : MS. TERESA JOHN – NIRMAL BANG INSTITUTIONAL EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to Power Mech Limited Q2 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note this call is being recorded.

I now hand the conference over to Teresa John. Thank you and over to you, ma'am.

Teresa John: Thank you, Shruti . On behalf of Nirmal Bang Institutional Equities, I would like t o welcome you all to the 2Q FY 26 Earnings Call of Power Mech Projects Limited. The management today is represented by Mr. Rohit Sajja , Whole -Time Director; Mr. S. K. Ramaiah , Director, Business Development and Mr. N. Nani Aravind, Chief Financial Officer.

I will now hand over to the management for their opening remarks, after which we will open up the floor for Q&A. Thank you and over to you, sir.

N. Nani Aravind: Good morning, everyone. I'm Aravind, CFO of the company. I have with me Mr. S.K. Ramaiah, Director, Business Development; and Mr. Rohit Sajja, Director, Business Development and Operations. I take this opportunity to welcome you all to our quarter 2 FY '26 earnings call.

The company's performance for the second quarter of financial year '25 -'26 remained in line with our set targets, reflecting consistent operational momentum. For quarter 2 financial year '26, the company reported total income of INR1,249 crores, representing 19% increase over INR1,046 crores in Q2 FY '25. EBITDA stood at INR158 crores, up 18% from INR134 crores in the corresponding period last year, while profit after tax was INR78 crores, registering a 12% growth compared to INR70 crores in quarter 2 FY 25.

The EBITDA margin remained stable at 12.7% against 12.8% last year, marginally impacted by higher operating costs. The PAT margin declined from 6.7% to 6.3%, primarily on account of increased finance and depreciation costs. For the half year FY '26, the company delivered a strong performance during the first half of FY '25, '26, maintaining growth momentum across key parameters.

For half year FY '26, the company reported a total income of INR2,554 crores, reflecting a 24% increase over INR2,062 crores in half year FY '25. EBITDA stood at INR340 crores, up 33% from INR257 crores in the corresponding period last year, while profit after tax was INR159 crores comparable to INR131 crores in half year FY '25.

The EBITDA margin improved from 12.5% to 13.3%, supported by the exceptional revenue recognized from the Riverbed Mineral project in the previous quarter. However, the PAT margin was marginally declined from 6.4% to 6.3%, primarily due to higher finance depreciation and tax costs.

Revenue mix for the quarter 2. The company's revenue mix was as follows:

Mechanical business, INR435 crores, up by 90% from INR229 crores in quarter 2 FY '25, driven by strong traction in industrial power construction projects. Civil segment, including railways and water distribution projects, INR309 crores, down by 22% from INR395 crores in quarter 2 FY '25, impacted by extended rains in key projects and delayed bill certifications in the Water division.

O&M, INR440 crores, up by 12% from INR391 crores, supported by new O&M orders received during the year. Electrical business, INR22 crores, up 138% from INR9 crores of last year quarter 2 FY '25 due to execution of railway, civil and signalling telecommunication works. Mining business, INR31 crores, up by 164% from INR12 crores of last year, supported by higher offtake arrangement from SAIL.

Other income of INR11 crores compared to INR10 crores in quarter 2 FY '25, due to increase in the margin money deposits with bank

s.

The geographical mix for the quarter was 95% domestic, 5% international, while power sector contribution remained at 79% with non -power sector accounting for the remaining 21%. Revenue mix for 6 months, for the first half of FY '26, the company's revenue mix was as follows:

Mechanical business, INR658 crores, up by 99% from INR331 crores in half year FY '25, driven by strong traction in industrial power construction projects. Civil segments, including railway and water distribution, INR890 crores, down by 5% from INR937 crores half year FY '25, impacted by extended rains across key sites and delayed bill certification in the Water division.

O&M division ended at INR837 crores, up 14% from INR732 crores in half year FY '25, supported by new order inflows during the period. Electrical business, INR89 crores, up 427% from INR17 crores in half year FY '25, reflecting a strong execution in railway civil works and signal ling and telecommunication works. Mining business, INR57 crores, up 122% from INR26 crores in half year FY '25, supported by increased offtake arrangement with SAIL.

Other income, INR22 crores compared to INR19 crores in half year FY '25, primarily due to higher margin money deposits with banks. The financial parameters are concerned, the company witnessed a marginal reduction in return on equity from 3.4% in FY '25 to 3.37% in FY '26, primarily due to higher finance and tax costs, which impacted PAT.

Similarly, return on capital employed decreased slightly from 4.73% to 4.58%, driven by lower operating margins resulting from the seasonal factors such as extended rains. With the anticipated normalization in collections with continued strong traction in industrial power construction and ramp -up of MDO revenue from the KBP mine starting quarter 3, both ROE and ROCE are expected to improve in the coming quarters.

The company's negative operating cash flow has improved, reducing from INR166 crores negative in half year FY '25 to INR63 crores negative in half year FY '26, primarily due to the realization of receivables during the period. The company is actively engaging with the clients to expedite certification and clearance processes and is confident of realizing the outstanding dues in the coming months. This is expected to further improve the operating cash flow and reduce the reliance on the working capital limits .

Net current asset days, excluding cash and cash equivalents, increased from 128 days in FY '25 to 151 days in FY '26, primarily due to delays in certification of water works and realization of receivables. These delays have resulted in higher current assets. Company is actively pursuing certification and payment clearance with the client and significant improvement in the net working capital days is expected post certification and realization of bills in the water division.

Gross and net debt levels remained well controlled despite delays in certification of water bills and realization of receivables. As on 30th September '25, the gross debt stood at INR839 crores and the net debt is around INR360 crores. The average debt equity ratio as on the same date was at 0.37x. The company is focusing on expediting certification and recovery of bills in the Water division, which is expected to further reduce the net debt and the debt equity ratio in the coming quarters.

Order book status during quarter 2 FY '26, the company secured new orders worth of INR1,042 crores. As of 30th September '25, the order backlog stood at approximately INR53,776 crores with the executable order excluding two MDO projects at INR14,226 crores. In quarter 3 FY '26 till date, the company has received new orders worth of INR2,577 crores, taking the total order backlog of INR56,353 crores with the ex ecutable order book, excluding two MDO projects increasing to INR

16,804 crores.

The company continue s to actively pursue tenders and is targeting to secure INR10,000 crores in the new orders by March '26. During FY '26, a significant increase in order inflow is anticipated, particularly from the power sector across segments, including O&M, mechanical, civil construction and BOP, EPC. As of date, the company has already secured orders worth of INR4,889 crores, achieving approximately 49% of the annual target.

The company will continue to prioritize high potential areas, including industrial plant operations and maintenance, railway and water infrastructure and MDO projects to drive substantial growth



and strengthen market leadership. All existing projects are progressing well and remain on track, except for the water division, which has experienced delays due to slower bill certification due to non-allocation of funds.

For the financial year '26, the company has set a revenue target of INR6,500 crores. Subject to the pace of traction in MDO business, EBITDA margins are expected to remain consistent with the FY '25 levels, and the company is confident of achieving approximately 25% year -on-year growth, revenue growth. Margins are anticipated to remain stable with potential upside depending on the contribution mix from O&M and mining segments.

The order book outlook for the current financial year remains robust, supporting the growth trajectory. Power Mech is well positioned to demonstrate execution and conversion of approximately 40% of its opening order book annually. Additionally, the MDO business is ramping up steadily and both O&M and MDO segments are expected to be key drivers of the growth in the coming years.

With reference to our MDO business progress is concerned, KBP mining mobilization of heavy equipment has been completed and mining operations commenced on 15th of April '25. Until October '25, the company has achieved around 6.15 lakh cubic meters of overburden removal, and the activity is continuing as planned. Coal production is expected to commence in November '25.

The mine approach road work s are in progress, and the company is targeting minimum coal dispatch of 1 million tons during the year with a plan to scale up of operations to 1.5 million tons. All land required for mining has been handed over to CCL.

And the other mine at the Kalyaneswari Tasra project, OB removal and coal dispatch operations have been ongoing since January '24 with approximately 8.7 lakh tons of coal produced and dispatched to the existing washeries as per the SAIL ’s direction.

The project received environmental clearance for the 3.5 million tons per annum washery in October '24. Design consultants have been appointed for railway sidings and washery development. And the major washery equipment design and vendor finalization have been completed. Equipment mobilization is in progress. and civil construction works have been commenced. The washery construction is targeted for completion by September '26.

The Phase 1 R&R Colony spread over 4.5 acres has been completed and handed over to the project affected families is in progress. Approvals for Phase 2 covering 41.11 acres are currently under process.

While SAIL ’s current coal offtake remains below the plan due to the limited external washery capacity, the company is actively engaging with stakeholders to resolve these constraints and ramp up the production in the coming months . With this now, I request Mr. Ramaiah garu to update on the key business development initiatives and future outlook.

S. K. Ramaiah: Yes, thanks, Aravind and Rohit garu, especially Aravind for all the numbers you have brought out. Now I think as Aravind has rightly said, the business is continuously driven on the bullish pace because of the government initiatives in Power, infrastructure, new

projects and many of the
other initiatives, which have been taken.

And now private sector also is catching up , and as a company, which has got an all -round spread in many segments, power, infra, then railways, roads and then export also, we are well positioned to catch up these opportunities. And there can be some variation based on quarter -to-quarter basis in terms of investments and the way the scheduling of the tenders .

And particularly, in the Power sector our key areas of focus will be BHEL and then L&T, which are the EPC contractors, which have taken bulk of the orders from the developers, NTPC , Adani Power and the generating companies. There is a substantial flow is expected on that in terms of the ordering in the next 6 months because the initial order pickup was a little bit slow because of the engineering phase, which is involved.



And that is where we are expecting more opportunities. And other key developers are the Adani Group, which we have substantially established the presence in many projects in about 6,000 megawatts and working in about INR2,500 crores of ongoing jobs.

And they also have to do substantial balance ordering of the new projects and all because Adani's total intake of the new projects, what they have taken is more than 22,000 megawatts. And NTPC has taken , more than 12,000 megawatts. Together, they contribute substantially out of the total 47,500 megawatts of ordering, which has been done in the last 18 to 24 months.

Therefore, there is a substantial balance ordering in the main power plant itself, which can open up the opportunity size, which can be between INR30,000 crores to INR45,000 crores in segments of ETC, then civil, structural and other miscellaneous works . Another key element of this capacity addition is that the annual capacity addition, which ha d come down drastically 3250mw/year between 2017 to 23 is going up and expected to go to 8,000 to 10,000 megawatts.

And O&M, we have got a very strong presence, and we got a substantial penetration in the market. It is expected about INR1,200 crores to INR1,500 crores of opportunities will be generated every year in the next 5 years based on these capacities added. Now this is one part of the power sector business, which is about 47,000 to 48,000 megawatts, which has been ordered by the developers.

But there is an ongoing investment, which is going to come up with the new developers that is another 40,000 to 45,000 megawatt is there. That is perhaps to be ordered in the next 2 years based on the development phase and all. Therefore, we expect a bullish phase in the power sector development, both for our traditional business of construction, then the civil works, structural works and other miscellaneous works in the Balacne of plant side .

And then once it is commissioned, the O&M in at least over a period of 7 to 8 years sustiaiend opportunity is there. That is one of the key things. Now the new business areas, what we are focusing is particularly in the infrastructure side, railways, and then about INR30,000 crores of ongoing opportunities, we are tracking it. And that should take us reasonably well to the targeted program of achieving order booking of about INR10,000 crores.

And the new investment , which is expected, is in the steel sector is opening in a big way, particularly SAIL is planning to invest more than INR1 lakh crores. And IISCO Burnpur has already started issuing the pretender inquiries, and we are participating in that many opportunities . That is mostly related to the installation jobs, service jobs and civil structural work, which is our domain strength.

And that is expected about INR8,000 crores to INR10,000 crores in the next 3 to 5 months. That is a major area of investment for us. Then there are opportunities in the other sectors a

lso. Then
for example, NMDC, they have a planned investment of INR50,000 crores to enhance the capacity of the iron ore from 50 million tons to 100 million tons.

And we are in continuous discussion with the NMDC. NMDC has also started the tendering process. three BOT tenders are already notified, 2 in NMDC Kirandul, and 1 in Donimalai. And that is one of the areas of interest because iron ore demand is going to be there, and we would like to see how we can enter that business and with the expertise what we have developed in the MDO business and EPC business in material handling.

Therefore, these are the two significant developments which can be there in the next 6 months. And as I already said, the ongoing tenders of nearly INR30,000 crores to INR35,000 crores that is on tracking. And that should take us reasonably well for meeting the INR10,000 crores of target. And export jobs also on the O&M side and the maintenance side, certain initiatives are being taken .

That is going to happen. And the O&M side also, we had some successes in this year also. And based on the commissioning program of the balance new plants and all, we are keeping a track on that, and that will be continuously focused. This is what I would like to say. Thanks to the team.

Moderator: The question is from the line of Vinay from Hathway Investments.



Vinay: Yes. Just wanted to understand how much is your outstanding receivables from the JJM projects?

N. Nani Aravind: Receivable is around INR226 crores, pending since last 1 year, there has been no fund allocation to this project by the Central Govt and additionally, work executed to the extent of INR220 crores which is under certification. So total INR446 crores is the total outstanding receivable and uncertified bills .

Vinay: Okay. And in your total book, how much is your unbilled revenues?

N. Nani Aravind: INR220 crores.

Vinay: No, that's for JJM projects, but overall?

N. Nani Aravind: Total value is INR960 crores. if you exclude INR220 crores related to water division , approximately INR700 crores pertains to regular running projects .

Vinay: Okay. Just on one thing, you're dependent on power sector, especially thermal power plants is very substantial. In the long term, post 2030 scenario, are we looking at any kind of reduction in that from the environmental point of view? And how would the company be looking at it? It's a very long term, but still ?

S. K. Ramaiah: But you're correct also. After all, ultimately, the $CO_2$ emissions have to come down in the long run whole of scenario. And this is a short -term measure of 7 to 8 years because of -the need - to maintain the grid stabilit y, I think, we have discussed this matter many times over the grid stability, and that's why government's plan is to add 80,000 megawatts to 1 lakh megawatts. But ultimately, what happens, these power plants also ha ve to run another 25, 30 years minimum.

And then somewhere up to 20 47 to 2050 perhaps they will be looking at a downward trend in the emissions and the decommissioning of the power plants. But what will be there? They will be upfront in the business in the ETC segment and civil and structural in the next 5 to 7 years. But afterwards, O&M also will be there.

As our O&M business will substantially go up. As I said, INR1,200 crores to INR1,500 crores is opportunity, and we have got a huge penetration in the market and ownership there. And that should continue to rise in a big way. Therefore, to some extent, that will definitely be made up , but what is going to be the other second view is that the non -power sector, steel sector, infrastructure side and then petroleum and thi s one, oil and gas sector also.

New plants are expected. And there, we can possibly look for diversification and this experienc

e
what we have gained from it. Like Madhya Pradesh, they are planning to put a INR60,000 crore s capacity Ethylene plant . Then steel plants are planned, too. SAIL has told about about INR1 lakh crores of investment.

ArcelorMittal is coming up with a plant in AP. JSW is coming with a huge investment in Maharashtra. Therefore, in all these areas, already company has got some sort of a penetration expertise and experience and that will be enhanced into where these gaps will happen. And therefore, we are confident we will maintain our growth.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Sir my first question is on the large BOP opportunity, especially from the likes of NTPC. So there was the Gadarwara, there was, I think, one more Nabinagar. And the third one, which will come up, I think, for the bidding is the Telangana. I don't think we have participated in those large BOP opportunities, be it Gadarwara, be it Nabinagar. I just want to understand, is it that we don't have prequalificati on for the large opportunities o r do you think is it not wise for us to bid for the large projects? What is holding us back that we're not even participating in those large tenders?

Rohit Sajja: Yes. Mohit, sir, this is Rohit. Thanks for the question. I think it's very relevant, especially considering the fact that we recently won a BOP order with BHEL for Singareni Thermal Power Plant in Telangana. So , by the time these tenders have been conceived, NTPC took a slightly



different prequalification route in which we were only qualifying as a consortium partner, along with other players who would bring in some kind of expertise.

And then later on, one more evolution has happened and then this prequalification criteria had come up. And through this, we are qualifying and going forward and NTPC has also chosen a bulk tender route, right? So our focus is mostly on unit capacities where there is 1 unit of 800 megawatt being set up or 2 units of 660 megawatts that are being set up. And going forward, you'll see us participate in a lot of these tenders. Yes, that's the update on this.

Mohit Kumar: Understood. Understood. So Nabinagar is pending. Nabinagar shall come up in next 1 year, so we should be able to participate, right? Correct? Is that fair understanding? Gadarwara and Nabinagar is done, I think? We are not one of the participants. And they also have a large opportunity from most of the states l ike most of the states, BHEL have won the tender.

So how is the BHEL pipeline looking right? We have seen a lot of tenders from BHEL side. Are you only looking for a particular kind of packages o r do we have the capability to do this CHP, AHP also?

S. K. Ramaiah: See, we have developed expertise not only in the traditional ETC business, O&M business, in the power sector. We also developed the expertise to handle the one of the key packages in the balance of plant and the supporting packages on the coal handling also. That we have done about 4, 5 contracts and we have gained that experience that should help us.

But basically, BHEL's outlook will continue to have more order outlook –and that they will continue to drive the orders . Also L&T is there for the domestic market unless the government takes a policy decision to import the equipment from outside. I don't think that will happen. And BHEL had this wherewithal capacity to 16,000 to 18,000 megawatts per year a couple of years back.

And, of course, we have seen the downward trend and all those things happened. Now it has picked up. And looking at the long -term investment, at least 7 to 8 years, BHEL should be ramping up their capacities and they should be reasonably able to bid for all these things. And they will continue to be a key player.

Because as I said, the

47,000 megawatts, what has been ordered by the developers, still some substantial ordering has to be done to the various vendors like Adani and even NTPC for the new tenders, what they are going to call. And also all the various utility companies, have got a share of more than 12,000 megawatts. And that also has to come up with ordering done on BHEL and L&T .

Then balance ordering of the development as I said, of the 46,000 megawatts new developments, which are going to happen. Therefore, these 46,000 megawatts will be a substantial chunk of the order, which will come up in the next at least 2 to 3 years, which will be reasonably shared substantially by BHEL and to some extent by L&T also. Therefore, we should be having a long - term plan for at least executing 8,000 to 10,000 megawatts in the next 6 to 10 years.

Rohit Sajja: And Mohit sir, just adding to what Ramaiah sir had said. So , the recent BOP package that we won entails us to construct a coal handling plant, ash handling plant, which is an expertise that we have developed over years. As a construction company, we are just adding engineering as an expertise. We have partnered with Tata Consultancy Engineers, TCE. And also procurement is anyway a commercial activity.

And hence, our entry into this space. And also going forward, as I had said earlier, we want to participate in the state utility projects that are either planning on separating the BTG and BOP or are awarding the entire plant to an EPC player like BHEL and then we don't mind subcontracting under BHEL or L&T to take up the BOP PC works and BTG erection works.

Moderator: The next question is from the line of Mahesh Patil from ICICI Securities.

Mahesh Patil: Sir, my first question is on the steel opportunity that you mentioned, right? So just if you can explain what exactly are we doing there? And how much is our opportunity in terms of if we



consider a cost of steel plant, say, capex for 1 MTPA, how much will be our opportunity, if you can quantify?

S. K. Ramaiah: Because the long -term investment profile of the government is to invest about INR10 lakh crores in the next 5 to 7 years. Because the present steel capacity is 200 million tons, wherein last year's production was 152 million tons. That has to go up to 300 million tons of capacity addition by 2030, '32. And as we have seen, a 5 million steel plant needs about INR35,000 crores to INR45,000 crores of investments.

And all the players, for example, SAIL has got a plan, clear plan . First, I think it is IISCO, Burnpur. Then they will have a plan for the Bokaro and then Rourkela expansions also. Then ArcelorMittal is coming with a greenfield plant in Andhra Pradesh and some expansions will be there.

JSW and then JSPL both are planning capacity additions. And then there are some new players also coming up. For example, Rashmi Group is coming with an investment of about INR10,000 crores. And there is Baldota group available on the mining side in Bellary -

They are also planning investment about INR15,000 crores to INR20,000 crores. Therefore, the total investment of more than INR3 lakh crores and will happen because of the continued growth of the economy of course, steel is part linked with growth of the economy. And as the economy grows, steel requirement also demand has to be there. In fact, many of the steel suppliers are also complaining that we are importing also material from outside.

Therefore, we have already had experience of doing steel plant construction in JSW Dolvi and JSW Vijayanagar and ongoing, we are doing some jobs in JSPL. And our construction experience and O&M experience and our project management experience, what we have developed over the years in the power sector will be rightly used for the steel sector and also in the mining sector; for example,

NMDC jobs and the mind side facilities, which they are going to create. Therefore, this is where we are quite bullish on these 2 areas.

Mahesh Patil: Okay. And sir, on the MDO side, what is the production that we are expecting in FY '26 and '27?

Rohit Sajja: First mine, which we took CCL, Central Coal Fields Limited, we anticipate to do 1 million to 1.2 million before March '26, which is going to translate to INR140 crores to INR150 crores in top line. And the other mine which we took with SAIL, the 4 million metric tons per annum one we anticipate to do 360,000 to 400,000 tons before March and we are already on track. We h ave done half of that already a nd this is going to translate to INR57 crores to INR65 crores in terms of top line.

Mahesh Patil: Okay sir. Thank you so much.

Rohit Sajja: FY27 ramp -up in both the mines, there's going to be a significant ramp -up in FY27. FY27, KTMPL, the 4 million metric tons per annum with sale, we anticipate to reach peak rated capacity. And the first mine in which we are going to do 1 million will get ramped up to 2.5 million to 3 million by FY '27, translating to a combined top line of INR550 crores to INR600 crores.

Moderator: The next question is from the line of Pritesh from Lucky Investments.

Pritesh: Just an observation, and I don't know how the company is looking at this. So if you look at the last half, basically the first half now and also the second half last year, if you see the financial deleverage is kicking in with the rising debt because of some of the receivables, which have been stuck, working capital being expanded and the investment, which is done in the coal assets, which is not yielding the necessary desired revenue.

If you see even our coal business the focus has been postponed by in excess of 1, 1.5 years easily. So how are we reviewing this situation? You may have your 15%, 20% top line growth, but nothing is flowing down to the bottom line. So how should we be viewing as a management situation? What are the guardrails? What are the steps taken?



N. Nani Aravind: The major increase in the working capital utilization is because of the Jal Jeevan Mission water receivable spending. If you look at the March, I have a receivable of around INR287 crores an d where as of September it was INR 2 26 crore .

Pritesh: So we know the figures. We know these figures. What should be done? We know the figures. We know the opportunity, incremental new inflow ?

N. Nani Aravind: We are pursuing with the client/ UP government . Recently, GOVT held a meeting with all JJM contractors, headed by UP CM, and assured all contractors that the funds will be allocated and also pursuing with Central Govt to release of the funds at the earliest. So , we are hoping by March, we'll bring all this into the control and we'll reduce our working capital utilization with that receivable, sir.

Pritesh: See, we were not active in water. We landed up taking some of these projects at the fa r end. So any review process that you implemented incrementally?

N. Nani Aravind: There were delays in commencing the MDO projects due to external factors. Coal production at KBP Mining is starting this year, and the washery works at Tasra are currently in progress. As these operations ramp up, we expect to see year -on-year growth in the bottom line from FY27 onwards.

Pritesh: Okay. And from the execution point of view, what kind of revenue execution that you see ex of mining this year in FY '26?

N. Nani Aravind: Around INR6,000 crores to INR6,200 crores we can achieve from the regular business, sir. INR250 crores we projected from the mining business.

Pritesh: And how much was mining business last year?

N. Nani Aravind: Last year, it was around INR84 crores .

Pritesh: So basically INR5,160 crores in EPC and moves to basically

INR6,200 crores.

N. Nani Aravind: Yes.

Moderator: The next question is from the line of Hetali Shah from Shriram Mutual Fund.

Hetali Shah : I wanted to ask you like what is the split of the order book and order inflow of the various segments like civil and mechanical, O&M, all of that?

N. Nani Aravind: Total INR14,226 crores as of 30th September consists of INR1,700 crores roughly from the mechanical business, power erection business; INR9,000 crores is from both power civil and infra civil; O&M of around INR2,700 crores; electrical business of around INR800 crores. So we have domestic of around INR14,000 crores and international order of around INR220 crores. So from power side, mix is INR8,300 crores is from power side and infra side is around INR5,900 crores.

Hetali Shah : Okay, sir. And for the order inflow?

N. Nani Aravind: For the order inflow this year, we are projecting INR10,000 crores. We are projecting erection business around INR2,000 crores; from the civil business, INR2,400 crores; O&M around INR2,600 crores; electrical business around INR300 crores. As a new initiative, we have been focusing on solar and other green energy projects . During the year we received around INR159 crores orders under this segment. and BOP EPC of around INR2,550 crores. So we are targeting around INR10,000 crores order inflow during the year , this is a mix of various segments.

Hetali Shah : These orders are expected, right?

N. Nani Aravind: Till date we received orders worth of INR4,900 crores and the balance we are expecting before March.

Hetali Shah: Can you give the split of the INR4,900 crores in the segment?



N. Nani Aravind: We received mechanical business of around INR49 crores, civil business of INR1,500 crores, and O&M business of INR761 crores up to September. till date, we have received around INR2,550 crores orders from the BOP EPC.

Hetali Shah: And what will be the execution time -line of these major projects that you just listed out ?

N. Nani Aravind: Generally, execution cycle will be 2 to 2.5 years and typically up to 3 years. For EPC projects, execution period is around 38 months.

Moderator: The next question is from the line of from Pharani from Avenders Spark.

Pharani : So I have a conceptual question on the power sector. One, if project cost is around INR10 crores per megawatt in the thermal side, what is the scope for power mix to say the opportunity or orders from this particular INR10 crores per megawatt?

S. K. Ramaiah: You are correct, INR10 crores per megawatt can be including the IDC cost. But the EPC cost can be INR8 crores to INR8.5 crores depending on the scope of pertains to the single unit, it can be more with 2 units or 3 units and slightly less. And now it is standing at greatest order BHEL has got is INR8.3 crores .

The main plant side, the total investment can be around 55% of this INR8 crores, INR8.5 crores. And normally, the service portion of it, we can say it will be around something like INR1,000 crores will be coming in the main plant for each plant of two units.

That is a suppose 1,600 megawatt is there, about INR1,000 crores can be the opportunity there. That is the main plant. And the balance of plant, entire same opportunity is available, whether we want to bid on the service side of the business or on the balance of plant of the business, subject to the qualification. And balance of plant will be anywhere between INR3.5 crores to INR4 crores .

And that is also in some segments, if it is called individually, we can bid also for the coal handling and material handling and then civil , structures, then for the other miscellaneous civil works like IDCT, cooling towers and various other jobs, structural jobs, et c Therefore, we can say, including the civil work, structural work, then s

ervice portion of the installation wise, we can safely take 25% to 30% is the opportunity available out of the total EPC cost .

Pharani : So 30% of INR8.5 crores?

S. K. Ramaiah: Overall, that is the maximum.

Pharani : Okay. So , 30% of INR8.5 crores. So , this will be during the project construction. And O&M comes in the operational period, right?

S. K. Ramaiah: O&M i t comes for commissioning that will come between 11 lakh to INR15 lakhs per megawatt per year. And then one more thing is that where BOP is there is a complete package, as I already told you, that will be the complete opportunity on 40%, 45% of INR8. crores as an opportunity for the BOP.

Pharani : Right. So coming to the next question, you mentioned about 46,000 megawatts yet to be awarded in the coming year, plus about 12,000 megawatts from state utilities. So I can roughly take 40% of this overall opportunity to be our long -term opportunity, right, during construction?

S. K. Ramaiah: I told you the total ordering, which has been done in the last 1.5 years, which is under execution at various stages roughly comes to about 47,500 megawatts. So , what I said was this is, you can say, mostly ordered in the EPC mode or on the main plant side. And in the case of Adani, the y have taken a different route. They are ordering the main plant on the equipment supplie s, whereas the balance of plant and the services job, they are awarding themselves. Therefore, that also, as an opportunity, is available for a contra ctor like us.

N. Nani Aravind: So sir, overall, to answer your question, in this capacity, 55% will be our opportunity.



Pharani : Understood. So basically, 46 plus 12 that is around 58 gigawatt.

N. Nani Aravind: 8.5 to 9 x 60%.

Pharani : Okay. 8.5 x 60%. Got it. So that comes to around INR3 lakh crores. Yes. Got it. So my second question is the ability to actually foresee this 46,000 megawatt and 12,000 megawatts upcoming thermal, is there a surety that this will happen in the light of, say, storage capacities ramping up or becoming more prevalent? And do you foresee any delays or this not actually happening in the next 3 to 5 years?

S. K. Ramaiah: Planning by the CEA and the Power Ministry for about another 45000mw and even the customers also have been identified like Adani, NTPC is having plans in expansion Patratu and Meja, and then Obra, Darlipali. Tata Power has got plans. Vedanta has got plans.

Then for example, SJVN Buxar got a plan to add one more unit. CIL, Coal India wants to enter the power sector also. Then JSW and JSPL both are planning it. NLC is also planning. For all these entities either in a brownfield or a greenfield segment , they are going to put up th ese pl ans and as such about 8000 to 85000 mw that is the capacity has been arrived at it.

It's a question of developing taking into account in terms of timing and execution, it is normally a development process in terms of environment clearance, land acquisition, investment tie ups to achieving the financial closure. This, we all have seen there are certain aspects in developing a projects certain things can be there in that which can take the project forward or some slowness is there. But these capacities are a must to balance the grid capacity for another 7, 8 years, it should be established. That is positively is expected to come up.

Pharani : Okay, sir. My final question, since we identified the opportunity of INR3 lakh crores for this 58 gigawatts in the, say, medium to long term, what would be roughly our market share or expectation to win over this 5 to 7 years on this INR3 lakh crores of opportunity?

S. K. Ramaiah: No, you can take, as I said, on the upper side, if you take about 30% on the service side, on the civil structural services side of installation. And if the balance of plant, we c

an take about 35% to
, 45% easily.

Pharani : You're talking about the market, right?

S. K. Ramaiah: Everything on the scope available as opportunity

Rohit Sajja: Yes, that's the total available market again. But out of this INR3 lakh crores we anticipate to bid for at least INR2 lakh crores worth of these projects, sir. And in power sector, our traditional hit ratio has been 50% to 60%.

Pharani : Okay. Got it. So essentially INR1 lakh crores. INR2 lakh crores we will bid, INR1 lakh crores potential inflow?

Rohit Sajja: Yes, idealistic scenario , a little conservative number is what I gave you.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar : Sir, just wanted to understand, first, on the MDO side, you mentioned, I think, this year, around INR225 crores to INR250 crores and next year, INR550 crores, INR600 crores of execution that we might do on the MDO side, combining both the mine. So what sort of margin profile we are looking at, at both this year and next year at MDO level?

N. Nani Aravind: KBP Mining has just started the production . Since , Tasra has not yet scaled up, we are operating only at limited capacity producing around 50,000 to 60,000 of tons per month . KBP just started this year and slowly, we'll ramp up the production. So , on average, we expect to achieve an average E BITDA margin of around 15% to 16% .

Rohit Sajja: And Deepak also, most of our margins in both the mines, they'll kick in when we achieve Peak Rating Capacity (PRC) . For the SAIL mine, we expect to achieve PRC in FY '27, March FY '27. That's when the washery will also be commissioned, commercial operation of the washery shall



be declared and we'll get our full mining fee. And the EBITDAs are expected to touch 26% to 28% around that time.

And the first mine, the CCL mine, 5 million metric tons per annum, we are expected to achieve 5 million metric tons per annum in FY '28. But there's going to be a gradual ramping up. Right now, we are doing around 14 to 16 and it's going to ramp up all the way to 20 to 22 in this mine, when we achieve the peak rated capacity.

Deepak Poddar : So at below peak capacity, I mean this year, we are still expecting 15%, 16% margin at INR250 crores kind of a scale, right, at MDO?

Rohit Sajja: Yes, yes. 14% to 16% margin at a INR250 crore s turnover scale.

Deepak Poddar : Understood. And when next year, I think at the SAIL mine, you are still expecting PRC , achievi ng PRC next year, FY '27 itself?

Rohit Sajja: Yes.

Deepak Poddar : So there, FY '27 at INR550 crores, INR600 crores, a 19%, 20% EBITDA margin is achievable ?

Rohit Sajja: PRC in March '27, which means there's going to be a ramp -up from the current 60,000 per month, which is translating to 360,000 per annum, there is going to be a ramp of 360,000 to 4 million metric tons over the last 5 months of the financial year, right? And the washery is also going to get commissioned.

We want to commission washery by July next year, and we want to declare COD by September. And we want to be ready around the time when washery gets commissioned, By the time the washery gets commissioned, we want to be ready for 2 million metric tons per annum. And when it gets commissioned, we want to ramp up to 4 million metric tons by end of March in 5 months. That's the plan.

Deepak Poddar : Okay. And peak revenue, I mean, combining both the mine can be around INR1,800 crores, INR2,000 crores per annum. Would that be a right assumption?

N. Nani Aravind: Peak revenue may cross INR2,000 crores with escalation

Deepak Poddar So at INR2,000 crores, EBITDA margin of 25% is what that we might be envisaging at peak?

Rohit Sajja: Yes, sir. 23 to 24 to be 23 to 25 also.

Deepak Poddar : And this peak MDO of INR2,000 crores, we'll ac

hieving by which year, FY '29, FY '28?

Rohit Sajja: FY '28, both the MDOs PRC, peak rated capacity we'll achieve by FY '28, but SAIL mine, we are going to achieve PRC by FY '27. And it's going to continue through '28 also. But 5 million metric tons per annum CCL mine will touch PRC in FY '28 towards the end of FY '28.

Deepak Poddar : Great. understood. I mean, basically, you're expecting a big ramp -up in your mining revenue from FY '27 to FY '28, right? I mean...

Rohit Sajja: Yes, exactly.

Deepak Poddar : Okay. Understood. And secondly, I mean, you spoke about your business mix. I mean, currently, 75% is the power sector, right? So you are coming up looking at new opportunities in the steel sector. So how do you envisage even railways, you spoke about, right? So how do we envisage your business mix changing, which is 75% power and all these new sectors, how is the margin profile?

N. Nani Aravind: So, the margin profiles are concerned, on an average, our construction segment is generating EBITDA margins of up to 10%. And the key drivers for improving overall margins will be the O&M and MDO segments once MDOs reach the peak rated capacity O&M business is delivering EBITDA margin around 15% to 16% .



So business mix is concerned, the power is expected to contribute significantly over next 2 to 3 years, with an increase in power orders. And parallelly, we are exploring opportunities in the steel sector. So more or less, the margin will be expected to be steady, we will maintain at the current level.

Deepak Poddar : Okay. So this 75% will continue?

Rohit Sajja: Yes. The 75% will continue with power thermal capacity addition and O&M capacity addition also being a major driver for the EBITDA, too. There's going to be slight EBITDA improvement because there is O&M mix getting added as we see new capacity that's being commis sioned every year a nd international O&M is also doing good. We are achieving good profitability levels there. So international O&M is growing at 25% to 30% year -on-year CAGR. So that's also a good sign. So we see this add to the EBITDA margin slightly.

Deepak Poddar : Sure, sure. Understood. And just one last small thing from my side. So , you spoke about the guidance for this year. So anything you want to talk about for FY '27 as well given the scale up and higher margin revenue mix will increase for FY '27?

N. Nani Aravind: So, this year, we are project ing around 25%. growth Year -on-year, with increasing volume s and addition of more MDO business in the next year. We expect to maintain growth in the range of 20% to 25% targeting a revenue in the range of around INR7,500 crores to INR8,000 crores.

Deepak Poddar : And what margin profile?

N. Nani Aravind: It will jump, sir, maybe around 0.25% to 0.5%. It depends on the mix of MDO and the O&M business.

Deepak Poddar : So how much jump you mentioned? Your voice was not audible.

N. Nani Aravind: 0.25% to 0.5% at the EBITDA level.

Deepak Poddar: At the EBITDA level. Fair enough. That's very helpful. All the very best to you. Thank you so much.

N Nani Aravind: Thank you, sir.

Hetali: Sir, we have seen headwinds in the electrical segment for a few quarters now. So I would like to understand what is the headwind there?

N. Nani Aravind: Last year we secured two railway packages in chattisgarh covering civil, signal ling and telecommunication and overhead electrification works . Execution and supply of material during the year resulted the increase in the revenue compared to the previous year.

Hetali: So are these expected to continue o r is there any improvement expected in this segment?

N. Nani Aravind: Yes, transmission distribution, we are gradullay completing existing projects as this area is not fully aligned with core foc us. M

oving forward, T&D team will handle all new jobs in railway &
T&D works . We are pursuing new railway works under this division.

Hetali: Okay, sir. Those segments w ill replace this one?

N. Nani Aravind: Yes.

Hetali: And I would like to understand the opportunity in the renewable energy segment like nuclear battery energy storage, pump storage and all of that, if you can share that?

Rohit Sajja: Ma'am, while we continue to focus on renewable energy projects actively, but there has also been a lot of irrational bidding. Our primary focus remains on solar and battery energy storage systems on a BOOT basis. But we see a lot of erratic bidding trends currently. We have slowed down in bidding for projects there.



But you'll see us in a few bids, and we continue to focus on solar plus battery energy storage systems. Now it's a small pivot to us what we were doing earlier than a standalone basis. We want to combine this expertise in solar and storage and bid for a few projects, again, with healthy DISCOMs and healthy utilities.

Hetali: Can you share a number of any opportunity in the solar and battery energy, potential opportunity?

Rohit Sajja: See, FY '26, we already won a Kusum Yojana project of 13.5 megawatts of AC capacity. Next year, we plan to enhance this to 100 megawatts of solar and around 200 to 250 megawatts of megawatt hour of battery energy storage system capacity. So those are the numbers we are looking at. This is FY '27 projection.

Hetali: Okay. That was really helpful. And sir, are you projecting any cost escalations in your current projects that you're handling that can affect the margin?

N. Nani Aravind: Majority of our contracts include the price escalation clauses, which are pass through. We are not incurring any losses and are receivin g the escalation amount from the clients.

Hetali: Okay. Thank you, sir.

Moderator: Thank you. The next q uestion is from the line of Pri t from Wealth Finvisor .

Prit: I'm sorry, I joined a little bit late, so I may have missed out. But did you give any guidance for the full year of, say, achieving the INR6,500 crores turnover? Is that still on track? Or are we changing the guidance?

N. Nani Aravind: Sir, INR6,500 crores estimate is linked to the MDO project revenue. And we may see 1% or 2% slippage due to delays in getting the new orders, which we had anticipated during the year. So most likely, we may touch revenue in the range of INR6,200 crores to INR6,300 crores.

Prit: And sir, would still represent an 18% growth?

Rohit Sajja: Yes, And I think 18% growth still is good enough.

Prit: The other question I had was again on the margin side. So do we see a 0.25%, 0.5% bump for FY '26 over FY '25? Is that a possibility?

N. Nani Aravind: More or less, we' expect to maintain the e same level as last year, and it depends on the mix of any new orders of O&M and growth in MDO may probably jump the margins by 0.25%. But at this stage, we estimate stability at the last year level.

Prit: Understood. And do we have any plans for raising funds?

N. Nani Aravind: At this moment, no, sir. If new opportunities or any investment opportunities arise, we may consider approaching the market.

Prit: What would be our debt level at present?

N. Nani Aravind: Net debt of the company is around INR360 crores.

Prit: And on the similar line, we should expect 18%, 20% jump in top line for FY '27 with margin increase of at least 0.5%, given MDO orders?

N. Nani Aravind: Yes. We are projecting 25% growth for the FY 27 .

Rohit Sajja: And with a margin increase of not 0.5% sir, 0.25 to 0.5.

Moderator: The next question is from the line of Vinay from Hathway Investments.



Vinay: Yes. Just one

clarification I wanted. In your previous answer, you said that the potential for you in electrical, the power sector is around INR1 lakh crores. This would be over what, 3 to 5 years? What time frame are we looking at in this INR1 lakh crores?

S. K. Ramaiah: No, it is like this. The opportunity what has been mentioned is based on the balance ordering to be done on the main EPC orders already ordered, which is some of the items like main plant services work, balance of plant work, then structural work, civil works. That is substantially it is there to be ordered by BHEL, by Adani , then NTPC also has to order.

The other thing what we said was the new investments and development will come at 46,000 megawatts new plants, that has to take shape. That will continues to be there in the next couple of years. And where the EPC orders have been placed by NTPC, Adani and utility companies in the last 6 months to 1 year.

There the ordering has to be done more because they have to ramp up the ordering. So that is where we said that initially, we can have immediately about INR40,000 crores to INR50,000 crores and balance INR40,000 crores, INR50,000 crores, we'll come in the next couple of years.

Vinay: So even if I take INR1 lakh crores over a period of 6, 7 years, we are looking at around INR14,000 crores per year, roughly. I mean, not in the same linear method, but is that the number? Am I getting it wrong?

S. K. Ramaiah: It should be reasonably okay.

Vinay: And that is only in the 75% of your...

S. K. Ramaiah: And on that we have to add overhead potential also, it shall add up every year INR1,500 crores.

Vinay: And we are currently doing around INR6,500 crores a year, so is that the jump that you're looking at?

S. K. Ramaiah: Yes.

Moderator: The next question is from the line of Amay Sharda from Purnartha Investment Advisors.

Amay Sharda : I just had one question. Why was there this huge increase in the mechanical segment revenue to INR435 crores? And do we expect it to sustain for the rest of the year as well?

N. Nani Aravind: Yes. During the year, there was a slowdown in execution of FGD orders . And sudden ly, government direction accelerated progress , and the Udupi project, which was moving slow ly received instruct ion from Adani to complete this project by March. As a result, execution picked up from Q2 onwards, driving higher order execution in the power sector.

Amay Sharda : And what is the size of the Udupi project?

N. Nani Aravind: Around INR936 crores.

Amay Sharda : And we expect it to complete in this financial year?

N. Nani Aravind: This financial year. Yes .

Amay Sharda : Okay. So we expect this momentum to continue for the rest of the year?

N. Nani Aravind: Yes. By before March, we will complete. So we can expect this level of order execution till March.

Amay Sharda: Okay. Thank you so much. Thank you.

Moderator: Thank you. D ue to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.



S. K. Ramaiah: Thanks, Madam. Thanks for tour investor community and our colleagues here. I think as projected by Aravind and also Rohit and as we discussed with the very interesting questions and all, it is reasonably assured to say that we will be on track in achieving the targets on the ordering about INR10,000 crores because we are almost near to that 50% by end of this beginning of the third quarter .

And with a lot more opportunities are coming up and new segments of the business, we are looking at it. On the revenue side, we have seen the third and fourth quarters are always there will be upswing will be there. That is where the INR2,200 crores will be reasonable and will be possible.

And with these -type of opportunities and invest

ments coming up, I think, particularly in the power sector, steel sector, infrastructure side, railways and other segments, perhaps we will continue to focus for the growth in the coming couple of years. And another area perhaps we can look at as an interest and diversification is in data centre s.

Of course, data centres development and the software part of it is different, but the hardware part of it is an interesting point because these data centres need a lot of power capacity with substations, which is our specialization. Then, it needs a lot of infrastructure works and development, civil works and then other facilities, balancing facilities etc

So th is is a segment, which we can gainfully try to work based on the expertise what we have gained a nd there are other sectors also, which come up. As I said, refineries can come up and apart from the steel plants, all those areas will be available.

Moderator: Thank you. On behalf of Nirmal Bang Equities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

N. Nani Aravind: Thank you.

## Call: Feb 2026

Date: February 18, 2026

To
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Symbol/Security ID: POWERMECH To
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Security Code: 539302

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--o0o--

With reference to the subject cited above, p lease find enclosed the transcript of the Conference Call with Investors / Analysts held on February 1 2, 202 6, on the Q3FY26 performance of the Company .

Kindly take the same on record and acknowledge the receipt.

Thanking you.
Yours faithfully,
For Power Mech Projects Limited

M. Raghavendra Prasad
Company Secretary and Compliance Officer

Encl: as above



"Power Mech Projects Limited Q3 FY '26 Earnings
Conference Call"

February 12, 2026

MANAGEMENT : MR. S. KODANDARAMAIAH – DIRECTOR (NON-BOARD ) BUSINESS DEVELOPMENT ,
POWER MECH PROJECTS LIMITED

MR. N. NANI ARAVIND – CHIEF FINANCIAL OFFICER , POWER
PROJECTS LIMITED

MODERATOR : MR. RAHUL KUNDNANI – NIRMAL BANG INSTITUTIONAL EQUITIES

Moderator : Ladies and gentlemen, good day, and welcome to Power Mech Projects Limited Q3 FY '26 Earnings Conference Call.

As a reminder, all participants' line will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Kundnani from Nirmal Bang Equities. Thank you, and over to you, sir.

Rahul Kundnani: Thank you, I qra. Good morning. On behalf of Nirmal Bang Institutional Equities, I welcome you all to the 3Q FY '26 Earnings Call of Power Mech.

The management is represented by Mr. S. Kodandaramaiah – Director, Non -Board and Mr. N. Nani Arvind – CFO.

Now, I will hand over to the management for their opening remarks, which will be followed by the Q&A.

N. Nani Aravind: Good morning, everyone. I am Ar avind, CFO of the company. I have with me Mr. S . K. Ramaiah – Director of Business Development. I would like to extend a warm welcome to all of you joining us the Quarter 3 and 9 months Financial Year ' 26 Earnings Call today. I take this opportunity to welcome you all to our Q3 FY '26 Earnings Call .

As we reflect on our performance during the 3rd Quarter of FY '26, I am pleased to report that the company has continued to execute on its growth plans with strong results across all key segments. This quarter has demonstrated the consistency and scalability of our business model, with our core segments contributing t o the positive momentum.

For Q uarter 3 Financial Year ' 26, the Company recorded total revenue of INR 1,433 crore, reflecting 6% growth compared to the INR 1,347 crore in Q3 FY '25. This increase was driven by sustained execution across power, O&M, and emerging segments such as mining and civil works. The O&M business, in particular, performed well, supported by new order inflows and strong execution of ongoing contracts.

EBITDA for the quarter was INR 173 crore, up 8% year -on-year, with EBITDA margins at 12.08%. The margin remains stable compared to the previous quarter, with a slight dip due to provisions created for compliance with the new Labor Code . The underlying operational performance, however, remains strong.

Profit after tax for the quarter was INR 100 crore, marking a 15% increase from INR 87 crore in Quarter 3 FY '25, with PAT margins improving to 7.02% from 6.47% in Quarter 3 FY '25.

For the nine months ended December '25, the Company achieved a total revenue of INR 3,987 crore, reflecting 17% increase compared to INR 3,409 crore in the same period last year. The strong nine months performance was largely driven by the ramp -up in our key verticals, particularly in O&M and industrial pow er construction projects.


EBITDA for the nine -month s period was INR 513 crore, a 23% increase over the previous year, with EBITDA margins improving to 12.88% from 12.2%.

PAT for nine months was INR 258 crore, a 19% increase over INR 218 crore in the same period last year.

The geographical mix for the quarter was 95% domestic and 5% international, while power sector contribution remained at 70%, with non -power sector accounting for the remaining 30%. And r evenue mix for nine months, the geographical mix for nine months was 95% domestic and 5% international, while power sector contribution remained at 67%, with non -

power sector accounting for the remaining 33%.

From an order inflow perspective, order wins during the year -to-date have reached about INR 6,761 crore. We are progressing towards achieving INR 10,000 crore order intake in FY '26. During the

quarter, we secured several large and strategic orders across EPC, O&M, and new energy infrastructure.

A key award includes a large BOP EPC package for the 800 megawatt Singareni thermal project from BHEL, which expands our scope from execution packages to integrated EPC delivery and BOP systems.

We also received a grid -scale battery energy storage system project under build -own -operate model from State Utility, which marks our entry into the utility scale storage assets with a long -term contracted revenue structure.

The total order backlog, including MDO projects, is about INR 56,800 crore, INR 17,300 crore, excluding MDO orders. The executable order book provides multi -year revenue visibility across power, civil, EPC, and O&M segments. The order pipeline remains active across thermal, balance of plant, civil infrastructure, railways, and energy tr ansition projects.

So, the company's operating cash flow has improved, reducing from INR (253 ) crore in nine months FY '25 to INR 113 crore in nine months FY '26, primarily due to realization of receivables during the period. This is further expected to improve operating cash flow and reduce reliance on working capital limits.

Gross and net debt levels remain well controlled despite delays in certification of order bills and realization of receivables. As on 31st December 2025, the gross debt was around INR 833 crore, and the net debt was INR 233 crore. The average debt -equity ratio, as on the same date, was 0.35 x.

In summary, we are pleased with the progress we have made during Q3 and the first nine months of FY '26. The company's diversified order book, strong execution across segments, and strategic focus on high -value projects continue to position us for sustained growth. With a solid pipeline of orders and ongoing project execution, we are confident in achieving ou r full year targets and driving long -term value for our stakeholders.

With this, I now request Mr. Ramaiah Garu to update on the key business development initiatives and future outlook.


S. Kodandaramaiah: Thanks, Ar avind, for your initial numbers and all the key aspects of the activities in the company , and I also thank our investor community here. And t o carry forward what Ar avind has said, particularly on the business side, I think we continue to drive on the bullish investment profile in the country across various sectors.

As a company which is strongly embedded in the power sector business, we continue to drive the power sector business with lot of opportunities ,and t hen having diversified to infra and non -power sector, also there is a continuous opportunity available in various sectors, and that is how the order of booking has been consistent with our expectation s.

Overall , increase in the order backlog has gone up by about 10%, from INR 14,387 crore to end of the quarter, to INR 15,764 crore. And t he key aspect of driving this increase in the order backlog is due to the key order we have received for the first time, a comprehensive EPC order , that too in a native state, in Telangana, which drives the business better for us because of the customer interaction and the reach we can have . This has helped the company to grow in many sectors, with a INR 2,550 crore , and balance was of INR 300 cror e orders are mainly in O&M in the domestic and international market.

The mechanical side of the business has grown with, the backlog has increased from INR 2,303 crore as on 01-04-2025, to INR 2,9 59 crore, increase of 28.5%. Civil has grown up from INR 8 ,472 crore to INR 9 ,103 crore, a growth of 7. 4%. And then O&M, the order backlog at the beginning of the year was INR 2 ,749 crore, now it is INR 2 ,522 crore, a small dip of 8.2%.

Electrical also has seen an upswing, mainly because of the electrical port

ion of the business
we got in the EPC. That contributes to about INR 280 crore, which has increased the electrical backlog to 18.3%. from Rs 863 cr to 1026 cr .

The domestic business continues to drive the market because of the opportunities, and in international operations , we are focusing mainly on the O&M and short -term contracts with high margins. That is in line with the company's goal of improving our margins. These are the key numbers as per the business profile is concerned.

Now, for this year's overall target of INR 10,000 crore, what we discuss ed with the team, the investor team, and what we have got opportunities around the INR 5,162 crore, mainly driven by Adani , they are investing continuously, and they are taking the decisions in ordering. And then O&M, there is a strong profile of opportunities with Vedanta Group. These two groups should enable us to reach the targets reasonably.

What has been recently a great breakthrough has been in the business of energy storage. In fact, energy storage is going to drive the business substantially, with the first breakthrough of what we received for a 250 -Megawatt Battery energy storage project in West Bengal. That gives a daily availability of 10,00 Megawatt -hour .

In fact, the energy storage, both in the form of Battery storage and Pumped storage, is going to be the future growth engines in terms of capacity addition planned by the Government as Part of Renewable drive and also to enable a stable grid management in the coming years. This also provides a new opportunity for a company like us. It brings synergy into the system based on our expertise in execution , O&M and also engineering expertise we are gaining .

The energy storage , both in the Battery storage and then the Pumped storage, is required to balance the power grid stability, and we will be contributing a little way, our contribution to this need . This project involves with a 1,000 Megawatt -hour output, and an expected revenue of nearly INR 103 crore per year, over 15 years , that will give an overall revenue of INR 1,563 crore. It involves a CAPEX of about INR 800 crore, and we have got a consortium of partners led by Power Mech, having 51% share .

This one, the short duration project, of18 months, and infrastructure is available near to a Substation , land is not a problem. There is a proper contract with West Bengal Power Development Corporation, and then the agreement is in place, and we have to now get going on this project. The Battery part is the main part of this investment, and the balance of systems is mainly the electrical systems and the balancing facilities and all , & that is a key breakthrough as part of diversification .

And then Singareni, as we said, INR 2,550 crore Balance of plant EPC contract , it has got three components of the business. Of course, engineering integration has to be done. There are a lot of outsourcing and integration with in -house expertise in construction and engineering coordination, project management, which we have to take it up. Out of INR 2,550 crore, the breakup is mechanical is INR 1,550 crore, civil is about INR 720 crore, electrical is INR 280 crore.

Therefore, that drives the business in all these segments, and the schedule is about 38 months, and there is fair payment terms available from BHEL. This has been taken from BHEL, and with a 10% advance, and then a retention of 5% only . Now we are aggressively driving th is business, and we have taken up on the Board some of the experts in the Balance of Plant business in the country, and they are leading the team , and already a lot of engineering work has been taken up. October ’2025 is the zero date , and we, in fact, out of 38 month schedule, we would like to do it at a shorter cycle time , based on fast -

track execution and the inputs, we
can factor for the same .

Already a lot of initial action s have been taken in engineering, and also some ordering has been done in the key packages in coal handling, ash handling, and cranes. Most of the major balance ordering should be completed by April /May 2026 , for key major orders. That should help us, and already site work has already taken up. Therefore, this is the main aspect of the two businesses we have recently taken.

Now , coming back to the major business segments, Power sector continues to drive the business, and as we have seen , almost 66% of the business is power sector driven. Now looking at the investments coming in the way, Adani Group is a major player in terms of the capacity addition and ordering and also NTPC .

If you look at the last two years and plus, where the continuous flow of investments are coming up, and then the key players like BHEL and L&T are getting the order s, the major customers in this segment are the, Adani, which has got a profile of 24,520 M egawatt of ordering, and substantial ordering they have done.

And then NTPC is about 12,300 Megawatt . Other key players are Damodar Valley Corporation, and then Maha genco (Koradi ), then Singareni where recently we have taken the BOP job, and

then various state electricity companies . Altogether, the capacity ordering which has been done in the last two years plus , it has gone up to 54,740 M egawatt .

These two players from BHEL and L&T are the main beneficiaries in terms of the EPC and the Main plant ordering, and both these companies are of interest to us. Only the BHEL, with a total ordering of about 37,140 M egawatt , they have got nearly INR 2 lakh crore s of orders over the last two plus years.

L&T has come back into the play, as we have brought out earlier also. Apart from the Nabinagar and Gadarwara, where they have taken main plant works, from NTPC two key main plant orders . Adani has diversified the ordering, apart from BHEL to L&T also in four projects in Assam, Korba, and then new projects which are to be identified. That is helping the L&T profile for about 12,800 Megawatt , with a order booking of INR 42,523 crore.

Therefore, these two players apart from Adani are going to play a major role in providing sub - contracting opportunities , and BHEL is a key customer for us, and our excellent relationship from the point of view of performance, consistent ordering on us, we continue to expect orders from BHEL . And then Adani has been an important part of our business growth, and substantial ordering has to be done .

The current status is that, as on today, out of this 49,940 MW of the work orders, nearly about 12,900 Megawatt ordering has been completed by BHEL for major subcontracting packages , and balance tendering is of 24,000 Megawatt . And then tendering subcontracting packages balance by Adani is about 18,400 Megawatt , and that transfers to opportunities of plus 60,000 crore in various sectors. That is on the contracts in terms of civil, structural, mechanical, and then associate auxiliaries , and that should help us to continue the growth profile in the power sector for the next two to three years.

Now, one more aspect in this capacity addition of what has been ordered is that these opportunities will also drive the O&M, which can be based on 8,000 Megawatt to 10,000 Megawatt of commissioning every year. Of course, last one or two years, there has not been much progress. This year, about plus 4,000 Megawatt have been added to the grid as on Dec'25 .

Even though the Central Electricity Authority has kept a target of 16,000 Megawatt , there can be some shortfall, but our expectation is about 8,000 Megawatt to 10,000 Megawatt on average should be added. That shoul

d help us to get a n O&M profile of roughly INR 8000 to
10,000 crore in the next 5 to 7 years. That means, apart from the existing O&M profile, these are the new orders which will happen, and that will increase our O&M presence in the market. Now, the key sectors of the business, as I told you, apart from this one, there are opportunities in the infrastructure, railways, roads , and then another aspect we are trying to look at is the mining and mineral side . NMDC is coming with an investment for a 50 million ton extra additional iron ore capacity. Then Steel Authority is having investment profile of more than INR 1 lakh crore . We have already started participating in these tenders, NMDC, for their three mining projects. They have called tenders for about 30 million tons of capacity addition in the iron ore . In that 20 million tons BOT tenders we are participating.

And then IISCO Burnpur , part of the Steel Authority of India, has got an investment of about INR 45,000 crore, and there are two jobs at present we have quoted for about INR 2,200

crore s, and there are other opportunities also expected. Therefore, mining side, steel side, and then O&M side, we continue to expect the opportunities. As I said, on the power sector itself, there will be 1,200 cr of additional O&M opportunities across every year, apart from the renewal of the existing operating plants which will take place. That should substantially increase the O&M profile.

Then the organization is also quite geared up in terms of resource management, in terms of capacity building, and then training of the people, and then handling the higher market size of the O&M business. And we have the manpower strength has gone up based on the business requirements from 40,000 in the beginning of January '25 , and December '25, it has reached almost 48,000 and O&M continues to play a key role in terms of about 18,000 skilled engineers, supervisors, technicians, and operators with very high skill -based control room operation, field operation, field management.

The important aspects of the O&M is that we are a leading player . We have reached a profile of about 75,000 Megawatt . And recently, about 4,000 plus Megawatt of new units have been added , the additional jobs we have taken from Vedanta Group, SJVN and GMDC and that will add to the O&M profile. And the key aspects in this is our consistent performance with reference to the availability guarantees, 90% to 95%, auxiliary power consumption , meeting the plant parameters, and then specific fuel consumption.

These are the most important aspects for driving the higher margins for the Owner /Developer . Better these parameters are maintained, better is the availability and also generation, and that is how the renewal of the O&M order s also come regularly in the O&M sector as part of Customer satisfaction.

Therefore, as the balance of immediate opportunities, we are targeting about INR 4,500 crore to see that how much of the same , we can meet our target of INR 10,000 crore in the current year, mainly from Adani, and possibly a few other major O&M orders.

Then, the continued investment, I think recently we have seen, Government of India is planning a capital investment of INR 12 .5 lakh crore in the infrastructure and other sectors, up from more than INR 10 lakh crore , and that should open up a lot more opportunities in the coming year also.

And w e continue to depend on these types of new investments from EPC players like BHEL, and then customers like Adani, and then all our valued customers in the power sector and also infrastructure in railways also , investment is there, but the competition seems to be pretty high, and same i n the road sector.

Therefore, that is based on what we would

like to take it, based on our capacity to handle it,
and also our interest in how much margin we should keep it up. And t hen the re is Metro urban Transportation works which are also growing up with more investments .

Therefore, company has diversified long back from the power sector to non -power sector, with about 35% in the non -power sector, that growth remains consistent , and w e continue to drive on these new capacities and also opportunities.
Thank you very much.

Moderator: Thank you. We will now begin the question -and -answer session. The first question is from the line of Pritesh from Lucky Investments. Please go ahead. Pritesh, you can go ahead.

Pritesh: Sir, just a couple of questions. One, on this INR 17,000 crore of backlog, you always have a fairly strong backlog and additional orders. How much of this INR 17,000 crore is where the execution is slow ? And what are the challenges there? And if you look at your execution for the first 9 months vis-à-vis the accretion in backlog, the execution is slightly weaker. So , maybe you want to call out some comments on these two areas, please.

N. Nani Aravind: Yes, out of the INR 17,000 crore of order, we are not facing execution c hallenges. However, some of the new orders we received during the last year, experienced delays in commencement of the project because of the extended monsoons during Q2 and Q3. And some of the projects like Kaiga and Yadadri , where extended monsoons, and Mirz apur is one project where environmental clearance issues are there . So, there are delays in starting the projects.

Apart from the above there are no long pending or stalled challenges, all the order book, of existing INR 17,000 crore is executable order book. There is no long -pending order book in this.

Pritesh: Does this still include the FGD order, or this excludes now the FGD order in the INR 17,000 crore?

N. Nani Aravind: Sir, we have removed nonmoving FGD order during last financial year itself for INR 4,260 crore. INR 17,000 order backlog is without FGD order. Only INR 936 crore of Udupi project only running in the FGD.

Pritesh: And on the new areas that you have taken, that is Balance of Plant order or a BESS order, or all the new areas now, here, what is the margin profile ? And have you compromised any margins?

N. Nani Aravind: Sir, the BOP EPC is new line where we were planning to enter into to scale up our operations to expand our scope of execution from under construction activity to the EPC delivery in BOP system.

In BESS, actually, we, Power Mech has been in the forefront for India's energy growth story, and we do not want to miss the energy transition phase as well. So , we have incorporated a 100% subsidiary as a PM Green for this, and this is a small attempt we to see where the renewable segment fits into the Power Mech's vision of sustained growth and margins. We are cautiously optimistic about this segment . So, investment of around 16% to 18% IRR we are anticipating on th ese projects on equity investments.

S. Kodandaramaiah: Ramaiah here. Regarding Singareni , I think what we have to also look into is the synergy the company brings about in the execution on a backward integration basis. As I said, we have strengthened with a very strong engineering team, and project management team with focused supply chain management.

And more than that, the in -house value addition is substantial, compared to other BOP players, where they have to outsource everything. Because of our capacity in different

segments and site execution, civil comp onent is almost 25% of the total segment, and then installation work, services job. And then some of the other, local sourcing, all this , supply chain management, we will

be able to do better .

More importantly, there is a provision of advance which helps a working capital management, and the retention is only 5%, which can translate into better cash flows , and then escalation provision also, which compensates for any variation in the prices , and then the nearness of the site for better access , customer interaction, and execution.

Therefore, the basic strength, as I said, is on in -house capability, substantially in execution and outsourcing . And that should help us to see this project is done properly and also with reasonable margins.

Pritesh: Sir, my last question is on the revenue side . So, what growth do you expect now on the full -year number? And the MDO business, what is the profit now expected next year? Don't give us for this year, but next year, what is the profit expected out of MDO? And what is the revenue growth on the contracting side expected?

N. Nani Aravind: Revenue growth this year may be at 17% to 18% . we will touch 20 %, growth sir. We are targeting 20 %, And the margins of MDO is concerned, the second mine, K BP Mines, just started the revenue generation, and we touched INR 41 crore for 1.5 month s operations in Q3. And Q4, we are projecting around INR 100 crore from this K BP alone. And, overall, we may touch around 15% -16% during the current year. And next year, the production ramp -up will happen in KBP mining . And our washery in Tasra will be ready by December, so only one quarter only we will operate with full capacity.

So, the ramp -up will happen from '28 onwards, the major ramp -up in the margins, but next year we may touch around 16% to 17% range of EBITDA margins we can expect from the MDOs.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: My first question, the revenue guidance, sir, I think we had given revenue guidance of INR 6,500 crore, if I am not wrong. Are we on track to achieve that ? Or are you guiding a lower number now?

N. Nani Aravind: Yes, out of INR 6,500 crore , we projected INR 700 crore from the UP Water Division revenue , but we revise d this guidance to INR 6,100 to 6,200. And now, based on the till nine months of growth trajectory, 17% growth, we may touch around INR 6,000 crore now Singareni BOP EPC billing will start from February 2026 . Now we are hoping that now top line may surge by another INR 100 crore from Singareni . And again, the mining also ramp up happened . So, we are targeting around INR 6,000 crore for this year.

Mohit Kumar: What was the mining revenue for the last nine months ? And how do you think it will shape up in FY27 and FY28?

N. Nani Aravind: This quarter, we touched almost INR 41 crore we recognized from K BP, and INR 29 crores from Tasra . And e xpecting maybe by next quarter, INR 100 crore from K BP and 30 crore from KTMPL . So, INR 130 crore , we may touch around INR 250 crore to INR 260 crore this year overall.


Mohit Kumar: How do you think about FY27, F Y28, given the progress?

N. Nani Aravind: FY27, we will touch around INR 600 to 700 crore between, depends on the scale up of operation, KBP, and the likely uptake of client. And FY28, we may touch around INR 1,800 to 1,900 crore with escalation value.

Mohit Kumar: And i f I remember correctly, I think there was some washery or something was, I think, pending for Tasra , right?

N. Nani Aravind: Yes. As per the timeline, we have to complete this by this December 2026 . So, we are on the track now. All the activities at the washeries are undergoing as planned and under process, and so we are hoping that by September, we are targeted to complete the washery, and by December, we will be ready with our washery.

Mohit Kumar: My last question is on the prospect list, especially for

the coal EPC. Of course, there are a number of coal projects which, I think, construction has started. Do you think that, of course, compared to the fiscal when it started in April '25, are you seeing the prospect list getting bigger? And are you getting more confident for F Y27 order inflow from this coal EPC/BOP?

S. Kodandaramaiah: Yes, I think, BOP is going to be an opportunity. Three more projects are expected, because practically BHEL has got lot of in -house capacities filled up. And they are also trying to see that outsourcing is a better option, and with the capable parties like Power Mech and being strong on execution .

We are expecting two to three more opportunities, maybe another nearly INR 7,500 crore to INR 10,000 crore of opportunities, but it is a question of call, we have to take it on th ese BOP s. But what is expected is that in other sectors also, similar opportunities are expected to come in EPC, in mining and mineral sector also.

As I said, about NMDC on a broad basis, and then, the steel business also it is there, and then, infrastructure. Therefore, this company has a broad -based approach and augmenting its organization strength and also capacity building , and , we are quite confident couple of projects we can handle it because of the in -house synergy available.

Mohit Kumar: Sir, t he private thermal EPC, do you think, do we have a chance to take those opportunity?

S. Kodandaramaiah: Yes, again, it is a competition . That depends on how do we position ourselves based on our interest and also the margins we have to keep it. And more than that, the number of players can also be less in this segment apart from BHEL , with only Adani being a major player . Our interest can be in BOP wherever the opportunity can be there at present and not complete EPC including main plant .

Of course, recently, Thyssenkrupp has entered in a big way. They have taken a couple of jobs in Koradi, Raghunathpur, etc. Because of every organization, they approach BOP , based on their inbuilt strength like Thyssenkrupp on the coal handling. That is how they have entered , and that is a qualification for them also. And for us, our execution capabilities, that is how it can be. But it can be maybe three or four players maximum.



Mohit Kumar: So, my question s are more o n the likes of Adani, Torrent Power, JSW. Adani, of course, the pipeline has only ballooned, and I think we are working with Adani in number of projects . So, does that part of piece, do you think that is a very large prospect, and you can get some meaningful order inflow in the next 12 to 18 months?

S. Kodandaramaiah: Yes, Adani's basic philosophy of outsourcing the supply chain management is that they try to in-house manage their engineering and supply chain orders. Now, unless, like BHEL, which has come to the stage of ordering more on the Balance of Plant and on a turnkey basis, Adani still keeps those engineering in -house, and they have got a strong support system from consultants.

And then key supply orders, they have got a very strong supply chain in major equipment like in the coal handling, ash handling, water systems, electrical and sanitary systems. And they would like to outsource it to the extent possible on the execution sid e only and that is where we are the preferred vendor for them. And w e have got a strong relationship with them, mainly based on our performance only.

In fact, our presence in Adani is substantial. As I said, coming to Adani, it is more than INR 2,500 crores , about 7,500 Megawatt we are working. And in the case of BHEL also, it is a similar wherein we are working in about 6500mw of Rs 4400 cr . Therefore, as I explained earlier, Adani's ordering balance backlog is there. We continue to work with them. And recently also, we have made some more

quotes for some of the jobs in Mahan Stage 3 , and then Amarkantak, etc .. We are also in touch with JSW for their n ew projects.

Moderator: The next question is from the line of Rishab from Nexa Securities . Please go ahead.

Rishab: Actually, I just wanted to ask about the revenue guidance for FY27, and why you revised the guidance for FY26 from INR 6,500 crores to INR 6,000 crores ?

N. Nani Aravind: So, FY27 guidance, revenues and we will come with the guidance after the full year. But based on the order book, so far, we are on the course to achieve at least 20% to 25% growth. And also improvement in the margin profile depends on the mix of O&M and increase in the MDO order . So, we are confident of achieving the FY 26 revenue of INR 6000 , on that 20% -25% growth we can project for FY27 .

And FY26 guidance, we projected INR 6,500 crore . Earlier I explained to Mohit also. INR 700 crore of revenue we projected from the UP Water division, under Jal Jeevan Mission, where the central government funds were not allocated and bills were uncertifie d during the year because of that, we have not recognized any turnover during the current year. That impacted the guidance of FY26, which we are mitigating with the increase in the revenue s from new orders and other alternatives . So, even though there is INR 700 crore shortfall, but we are managing INR 200 crore, I NR 300 crore extra by accelerated execution from the new orders.

S. Kodandaramaiah: Now, coming back to what Ar avind said, with the present backlog of INR 17,326 crore, if we take the normal conversion margin of about 40%, it should reach reasonably INR 6,000 crore s to INR 7,000 crore s. That is a fair game, plus what we expect to get in the first two quarters of the next year. That is how the revenue gets fixed up. That is why there can be growth also, like, this year we had a growth expectation is from 5, 200 to nearly 6,000 plus. The same growth is also expected in the coming year also.



Moderator: The next question is from the line of Amar Ahir from Raedan Capital . Please go ahead.

Amar Ahir: Can you help me with the geographical mix of the order book?

S. Kodandaramaiah: Yes, coming to domestic and international, it is 95% domestic and 5% international. Let us look at the investments where they are taking place. They are taking place in North and East , and to some extent, South and West also. Therefore, I don't have the exact figures for the breakup, but our substantial power plant works are mostly going in the eastern side and northern side, and to some extent, on the western side also , where as the infrastructure is spread all over the country .

It is a question of where we are going to take the call. Railways and then roads, we are working in, for example, in Chhattisgarh, we are working . In Andhra Pradesh, we are working . In Tamil Nadu, we are working . Then Maharashtra also, we are working. And then, UP, for example, Jal Jeevan Mission, we are working in the UP. That is an opportunity wherever it is available, based on the selection of the projects and our interest in that, we are taking it.

As far as geography is concerned, Power Mech has got one unique strength. We are capable of executing the job even in the eastern sector also. That is how we have seen a strong presence in eastern sector recently. Now we are trying to look at the opportuni ty in Assam also. We have got an experience working in Assam also. It is not a challenge for us to say West Bengal is there , or Orissa is there, or Bihar is there , and all these places, we have got a substantial experience in working.

Amar Ahir: And could you help with the power breakup for the INR 17,000 -odd crore s across erection works, O&M field works, electrical?

N. Nani Aravind: Roughly around INR 3,000 crore for the mechan

ical power , ETC business. Civil is around INR 9,100 crore . That includes all water, sand mines and mining. O&M business of around INR 2,500 crore, electrical, INR 1,000 crore, and solar, INR 159 crore, and BESS, INR 1,56 0 crore.

Amar Ahir: That's all from m y side , sir.

Moderator: The next question is from the line of Devang Shah from Allvest Investment Managers . Please go ahead.

Devang Shah: You know, I just want to know the way you are anticipating next year, what kind of your order inflow we can expect, in general, and also on, MDO business also, if there is anything, for the FY27.

S. Kodandaramaiah: No, looking at the opportunity side, as on today, we have mapped opportunities of about INR 1,30,000 cr to INR 1 ,40,000 crore s. Of course, the balance opportunities strongly looking about INR 3,500 to INR 4, 500 crore in these two months, and we are vigorously following that. That is spread across different sectors.

And therefore, power sector will continue to play a major role, and then railways and roads. And then O&M also, there should be more opportunities coming up with more plants getting commissioned. And then also in the ETC business, we have seen, as I told you, the total opportunity size in the contracts on power sector itself is plus INR 60,000 crore.



We hope substantial portion will be ordered, based on how much is the push comes from the

BHEL side. BHEL has to do a lot of ordering, and then Adani is doing timely ordering. And then, we are waiting for the actions of L&T also, with about INR 42,000 crore orders with them . Of course, our interest is in the site construction , execution, BOP EPC and O&M . That we have identified INR 60,000 crore in item rate contracts, and around, INR 9,000 crores to INR 10,000 crore s in various BOP contracts.

N. Nani Aravind: So, maybe around 10,000+ only we will look at for the next year as a guidance on the order inflow is concerned. Regarding MDO is concerned, this year we will touch around INR 250 crore turnover. Further, Tasra mine and also washery will be ready by Q4 of FY27. So, we are projecting around INR 600 crore to INR 700 crore of combined revenue from the MDO .

Devang Shah: So, it is fair to assume INR 10,000 crore in normal in your business, we may expect this kind of opportunity as an order inflow for the FY27. That is bare minimum level. Am I right, sir? Am I understood correctly?

N. Nani Aravind: Right.

Devang Shah: Second, sir, as far as the CAPEX is concerned, what would be your current month, current year, FY26, the CAPEX , that is, trajectory is going on ? And looking forward in FY27, what kind of CAPEX you are looking for?

N. Nani Aravind: Right now, the regular CAPEX in the Power Mech is only INR 100 - INR 120, depends on the order inflow, regular CAPEX . And washery for TASRA constructed by PMPL , so around INR 280 crore this year will c ome . Approximately INR 280 crore we will incur this year, and the next year, maybe around INR 400 crore. Total INR 680 to INR 690 crore of CAPEX we will incur on the washery itself. So, together capex of INR 380 crore, we will incur for the current year and INR 520 crore next year.

Devang Shah: Next year, you are saying INR 480 crore, right?

N. Nani Aravind: This FY26 by March, you can take roughly INR 300 crore out, cash outflow will be INR 380 crore in advance form, but that will be booked as a CAPEX post receipt of the material . So, overall, this year and next year together, around INR 690 crore to INR 700 crore as a washery cost in our books , and , INR 100 crore to INR 120 crore, on an average on the regular CAPEX , the cranes and the vehicles.

Devang Shah: And sir, the way you are saying, now the MDO business has also started to contributed in the revenue, and FY2 8 onwards, it is goin

g to have a significant contribution. So, currently we are having some kind of operating margin, somewhere close to 12%, and you are saying there is some kind of improvisation we are going to see in FY27 . So, what kind of number we can expect as far as range is concerned about 12%?

N. Nani Aravind: So, we are starting with 0.25% marginal EBITDA jump, and after that, year -on-year will be 0.5% jump till we reach the peak rate capacity. By FY29 onwards, you will get peak of 13.5% -14% EBITDA margins.

Devang Shah: So somewhere close to 12.5% we can expect from initial level?


N. Nani Aravind: Yes. So, last year it was around 12.3 % level, and we will maintain maybe 0.25% extra. Maybe this year we will maintain at 12.5 %. Hoping that this will increase of 0.25% year -on-year, and once we are ready with our washery by FY28 onwards, maybe 0.5% jump will be there in the EBIT DA margin.

Moderator: The next question is from the line of Rajesh Kumar Rathi from Right Shopping Private Limited. Please go ahead.

Rajesh Kumar Rathi: I am not sure if somebody has asked question before . I was late to join. I have questions regarding the new labor laws. Industry sources are telling me that post -implementation of the law, especially for the contract labors, the cost can go up by 8% to 12% because of the PF and ESI matters, etc. Do you concur with that view?

S. Kodandaramaiah: Yes. , it is an important point what you have raised. You see, minimum wages is a government prerogative and a policy review, but most of our contracts are also tied up with the minimum wages as part of the price variation. And that should reasonably offset the , in terms of covering up any increase of cost and all. An d an y such type of statutory variation, the government notification, if the provision is not there, it becomes a matter of variation issue.

Previously, it happened in 2018 -19 also . Similar problem came up. Finally, government settled it, and most of the contractors, public sector companies, and the private companies also started implementing it. That means the variation was allowed, and finally, we got compensation .

Therefore, we don't expect any impact on that because it is fairly covered in the contract provision itself, because we put a very specific thing. Our prices are quoted based on the existing minimum wages and any variation , that means, except for the normal variation in terms of the PVC or the price indices, the ad hoc revisions made by the government, it is subject to a variation clause. For that matter , we are confident it can be covered.

N. Nani Aravind: So, change in law clauses will kick in, sir. We can claim with the client on the difference of cost on a ll the existing contracts, we can claim, but for the new contracts, we can load the additional cost, and we can submit our tenders.

Rajesh Kumar Rathi: Yes, of course, for the new contracts, you can do that. But what about the MDO and non - government contracts? I don't think they generally accept that labor cost increase clause, etc.

N. Nani Aravind: Both MDO contracts are EPC contracts and PVC clauses are protecting the increase in costs. So the Steel Authority and Central Coal Fields will compensate as per the PVC clauses i n the agreement .

S. Kodandaramaiah: They will still be covered in the MDO contracts or BOP contracts. Because the prices at which it was quoted and taken based on the conditions existing or whatever the levels of pricing were available for the minimum wages , if there is a substantial variation as a government directive, that is subject to contract variation.

N. Nani Aravind: Part of this pricing, sir, in the MDO contract, labor indices are also part of that escalation clause, so they accordingly they will b e covering the increased costs .


Rajesh Kumar Rathi: Oh, I see. So, you don't expect any dent on the EBITDA margin?

N. Nani Aravind: So, majority of our projects are construction projects, So, majority covers all the escalation clauses.

S. Kodandaramaiah: Almost 75% to 80% of our contracts, except the private is covered by this. And t hen there is a statutory variation or an ad hoc revision is also a matter of contract variation at the time of offer.

Rajesh Kumar Rathi: So, you don't expect any dent on the EBITDA margin?

N. Nani Aravind: It will not have any dent, sir, but for the company employees, where you will have marginally, we have to shift .

Rajesh Kumar Rathi: Yes. That's one time.

N. Nani Aravind: That's a one -time, we have created INR 4.4 Cr provision during the Quarter.

Rajesh Kumar Rathi: What about production slowdown or some disruption? Because I am told that this contract labor thing, a lot of paperwork has to be done, etc . So, will it slow down the process a little bit for a couple of months or so?

N. Nani Aravind: No, I think some of the labor contractors are demanding some other additional benefits and all in, so for that purpose, they are fighting , and if any changes are there, it will have no impact on our financials. It will impact the employer's financials.

S. Kodandaramaiah: Every three to four years, it is always a case for the contractors and labor particularly to demand for a rise in the minimum wage .

Rajesh Kumar Rathi: Yes, because I am told there is a ban dh today, due to all this, by this contract labor group, etc.

S. Kodandaramaiah: That is by the farmers against Indo -U.S. trade agreement.

Rajesh Kumar Rathi: That's all from my side.

Moderator: The next question is from the line of Hetali Shah from Shriram Mutual Fund. Please go ahead.

Hetali Shah: I wanted to know the breakup of the order inflow, the INR 6,700 crore s in the various segments of mechanical, civil, O&M and all?

N. Nani Aravind: Mechanical is around INR 1,600 crore, ma'am. INR 2,063 crore from civil, O&M INR 1,097 crore, electrical INR 280 crore, solar INR 159 crore, and BESS INR 1,560 crore. This comes around INR 6,761 crore.

Moderator: The next question is from the line of Mudit Bhandari from IIFL Capital. Please go ahead.

Mudit Bhandari: Out of total order book of around INR 17,000 crore, what is our pending order book for JJM, UP? And have you done any execution within this 3Q or 9 -month FY26?



N. Nani Aravind: The pending order book is approximately INR 1,000 crore, sir. We are not executing because of the fund issue, certification issue. Execution of these projects has been slowed due to funding constraints and certificate. We are executing only the O&M projects where 100% completed projects we are bringing these projects into the O&M phase . So, 250 schemes, which we have converted so far, and we were going to start building this from Q4 onwards. The existing pending works, we will continue execution at moderate pace un till the clarity from the government on the allocation of fund , and bill certification .

At present we are deploying funds only to bring the projects into the O&M phase only . And during the year, we have received INR 140 cror e from the state government. Another INR 100 crore currently under approval for release by before March.

Mudit Bhandari: And regarding our EPC of BHEL, Singareni, so you said around 1 to 2 months you will do procuring, so it will start execution in start F Y27, right?

N. Nani Aravind: Singareni, we have already commenced execution of this project . We expect INR 100 crore revenue in Q4 .

Mudit Bhandari: And regarding BESS, so when do we expect to achieve financial closure?

N. Nani Aravind: This actually as pe

r the agreement, we have time of 9 months' from the date of signing of the agreement . So, we are in the process of signing the agreement during this month.

Moderator: The next question is from the line of Bhagwat from Prosperity Wealth Management. Please go ahead.

Bhagwat: Most of my questions have been answered. Just two more points I wanted to understand. Number one, what is the expected peak borrowing and the corresponding interest rate, considering the MDO segment also peaks by FY28 or FY29?

N. Nani Aravind: Our major borrowing is only the working capital limit so far, and we have equipment loan of INR 98 crore, and INR 700 crore is working capital limits Weighted average cost of the working capital is 8.5%, and our equipment loans, we are borrowing at 7.8%. S o, blending cost of around 8.2% - 8.3% . With reference to MDO segment, the KBP Mine, we are raising term loan of INR 256 crore. We have not drawn down the loan. , we are raising at 9.5% interest rate n. And washery also we are raising loan of INR 350 Cr at 9.5%.

Bhagwat: On total basis, what we can expect the total number of borrowings?

N. Nani Aravind: It is INR 833 crore gross debt as of December. This will go up another INR 400 crore by next year.

Bhagwat: The corporate tax rate on consolidated book ?

N. Nani Aravind: the effective income tax rate is 25% for the main company, and the increase in the consolidated corporate tax is mainly due to sand mines are executing under LLP entities, where the income tax rate is 35%, when we are consolidat e the financials , average cost is increasin g.



Bhagwat: Can you please comment, like, can we expect around 28 % or 29 %? That is what we can expect on consolidated number?

N. Nani Aravind: yes, average cost is 28% to 29% at consol level .

Moderator: The next question is from the line of Amar Ahir from Raedan Capital . Please go ahead.

Amar Ahir: Just one last question , I was asking that, from which vertical of yours do you see a strong demand going ahead?

N. Nani Aravind: Power sector is the major vertical where we are going to get new orders in next 4 to 5 years . O&M also. O&M , power. And now we are venturing into the O&M of non -power also. Recently, we won the monorail project of Bombay. We are yet to receive the order . So, we are majorly expecting orders from the power side.

Amar Ahir: That's it.

Moderator: We will take the next question from the line of Vedant Kabra from AVN Capital. Please go ahead.

Vedant Kabra: I just have a follow -up question on the labor laws. Just to estimate for the worst -case scenario, assuming the labor laws go into full implementation, do we have a quantifiable EBITDA margin impact?

S. Kodandaramaiah: Our labor component of the total cost can be about, say, in the service jobs, it is 50% to 60%. for , service installation, O&M , etc. Whereas in the material -based contracts, it will be less. But absolute figures cannot be there, because we pay to the contractors based on the item rates or the fixed rate, and the actual values on which the labor payments are made, we don't have the figures on it, but on a broad basis, we know the labour costs incurred.

N. Nani Aravind: So, w e have a limited impact on these rate variations because of the PVC clauses and minimum wages already have implement ed. So, there is no much impact to us .

Vedant Kabra: So, just to assume, let's say, the cost goes up by somewhere between 8% to 10%, in that case, what will be our EBITDA impact?

N. Nani Aravind: There will not have any impact, already INR of 4.5Cr one time impact we provided in the books. We can claim PVC from the client . So, our revenue also will go up. The compensation will come from the client . So, we will pass that compensation to the subcontractor.

Veda

nt Kabra: This is true for even the locked -in contracts?

N. Nani Aravind: Yes.

Vedant Kabra: And sir, just last question: What is your current understanding on this implementation timeline of the labor law codes, especially across the states in which you are operating?

N. Nani Aravind: There are differing interpretations regarding the applicability timelines of theAct. Some believe it is applicable from 1st April onwards. But the labour code is already announced by

Central Government in the month of November. We are creating provisions in the Q3 itself for the existing liabilities in the books, and actual implementation will be from 1st April . Given the varying interpretations , we are seeking formal clarification on tha t.

Vedant Kabra: That's all from my side.

N. Nani Aravind: There are rules to be framed from the government side, so there is a delay in implementation .

Vedant Kabra: Noted .

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing remarks.

S. Kodandaramaiah: Thanks for the participation, and thanks to Aravind and his team, what we can say is that a reiteration of the profile of investments, Government is bullish on investments, so private sector is coming in a big way, mostly in the power sector also. Power sector capacity expansion will go up from, say, it will go up to 300 to 320 G igawatt .

Maybe earlier, they were planning 80 Gigawatt addition . From 220 Gigawatt , they may go to 320 Gigawatt . That will add, as on today, I told you about 55,000 Gigawatt to 60,000 Gigawatt ordering have been added. And then some more ordering will come up because the projects which are in the pipeline development is almost 35,000 Megawatt to 40,000 Megawatt . Therefore, this will happen in the next two years.

And then, of course, nuclear power, we have to see the catch there, present capacity of 9 Gigawatt , it will go up to 20 Gigawatt . And battery storage, where we entered recently, Government is very bullish on that. Battery storage, pump ed storage, they want to increase the capacity to battery storage to 47 Gigawatts by FY31-FY32, and pump ed storage from 4.75 Gigawatts to 18.8 Gigawatts .

In fact, we are looking at some of these opportunities of pump ed storage and Battery storage . It brings on the synergy in our working system on the civil and the electromechanical packages . And we are discussing with some of the players also on that.

Therefore, then O&M , as I said, the increased capacity addition of 8 ,000 Megawatt to 10,000 Megawatt . The add -on opportunity of about INR 1,200 crores to INR 1,500 crores , & that will be, every year it will be added. It depends on how much we can capture that and who are the customers who will be taking to take that O&M in-house or outsourcing completely. But that is how we are there looking at it, and we hope that next year also we will have a growth of 20 %-25%.

Moderator: Thank you very much. On behalf of Nirmal Bang Equities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: May 2026

Date: May 29, 2026

To
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Symbol/Security ID: POWERMECH To
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Security Code: 539302

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--o0o—

With reference to the subject cited above, please find enclosed the transcript of the Conference Call with Investors / Analysts held on May 22, 2026, on the Q 4FY26 performance of the Company.

Kindly take the same on record and acknowledge the receipt.

Yours faithfully,
For Power Mech Projects Limited

M. Raghavendra Prasad
Company Secretary and Compliance officer

Encl: as a bove


"Power Mech Project Limited
Q4 FY26 Earnings Conference Call "

May 22, 202 6

MANAGEMENT : MR. S.K. RAMAIAH – DIRECTOR , BUSINESS DEVELOPMENT ,
POWE R MECH PROJECTS LIMITED

MR. N. NANI ARAVIND – CHIEF FINANCIAL OFFICER ,
POWER MECH PROJECTS LIMITED

MODERATOR : MS. KRISHNA DOSHI – ASHIKA INSTITUTIONAL EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to Power Mech Projects Limited Q4 FY26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded .

I now hand the conference over to M s. Krishna Doshi from Ashika Institutional Equities. Thank you, and over to you, Ms . Doshi.

Krishna Doshi: Thank you. Good morning, and very warm welcome to everyone. On behalf of Ashika Institutional Equities, I welcome you all to Power Mech Projects Limited Q4 FY26 earnings conference call . Today, we have with us the management represented by Mr. S.K. Ramaiah, Director, Business Development; Mr. N. Nani Aravind , Chief Financial Officer.

We thank the Power Mech Projects for giving us the opportunity to host the call, and we will now like to hand over the floor to the management for their opening remarks, post which we will open the floor for Q&A. Thanks, and over to you, sir.

N. Nani Aravind : Thank you. Good morning, everyone. I am Aravind, CFO of the company. I would like to extend a warm welcome to all of you joining us today for our quarter 4 and financial year '26 earnings call. Thank you for taking the time to participate in this discussio n.

As we conclude the fourth quarter of financial year '26, I'm pleased to share that the company has continued its growth trajectory delivering improved performance across all our core business verticals. Our results reflect the strength of our diversified b usiness model, disciplined execution capabilities and sustained focus on operational excellence.

For Q4 FY26, the company recorded total revenue of INR 2,121 crores, reflecting a growth of 13% over Q4 FY25. The growth was driven by sustained execution across our core verticals and ramp -up of operations newly secured EPC order and MDO projects, partially offset by delays in certification of bills under the Water division.

EBITDA for the quarter was INR 237 crores, reaching a growth of 2% YoY with EBITDA margin at 11.17%. Margins were comparatively lower than the Q4 FY25, primarily due to increase in the operating cost and the lower other income during the quarter. Profit after tax for the quarter was INR 153 crores, reflecting an 18% increase over Q4 FY25. PAT margins improved to 7.27% as against 7% in Q4 FY25.

For the FY26, the company achieved a total revenue of INR 6,107 crores, representing a growth of 16% YoY . The strong annual performance was driven by ramp -up across our key verticals, particularly industrial power construction, civil infrastructure projects, O&M services and increasing contribution from EPC and MDO businesses. EBITDA for FY26 was INR 750 crores, up 16% YoY , while EBITDA margins remained stable at 12.3%. Profit after tax for FY26 was INR 412 crores, reflecting a growth of 18% over FY25.

So now coming to revenue mix for Q4 FY26, the geographical revenue mix comprised 94% domestic and 6% international revenue. Sector -wise, the Power segment contributed 57% of revenue, while non -power segment contributed remaining 43%. For FY26, the geographical mix was 95% domestic and 5% international. The power sector contributed 64% of revenues, while non -power sector accounted for 36%,

reflected a continued diversification of our business portfolio.

From an order inflow perspective, the company secured orders worth of approximately INR 7,210 crores during FY26, against our target of Rs 10,000 Cr , achieving around 72% of the annual target. The shortfall was primarily attributable to the cancellation of battery energy storage system order worth of INR 1,563 crores by West Bengal State Electricity department.

During the year, we secured several larger strategic orders across EPC, O&M, Civil and ETC business. The key highlight was the award of a large BOP EPC package for the 800 -megawatt Singareni Thermal project from BHEL. This project marks an important milestone in expanding our capabilities from the execution packages to integrated EPC delivery in BOP systems. The company also entered a new business vertical through Mumbai Monorail O&M contract, marking our presence in the metro rail operations and maintenance space.

Looking ahead to FY27, the company is targeting order inflow of around INR 12,000 crores with a strategic focus on expanding our BOP EPC portfolio and securing new O&M contracts. The total order backlog, including MDO contracts, stands at approximately INR 55,151 crores. Excluding MDO order, the executable book stands at around INR 15,899 crores. This provides a strong multiyear revenue visibility across Power, Civil, EPC and O&M business. We continue to see a strong order pipeline across thermal power bal ance of plant systems, civil infrastructure, railways and energy transition -related projects.

The company's operating cash flow improved significantly during FY26, increasing from INR 74 lakhs in FY25 to INR 430 crores in FY26, primarily driven by the improved realization of receivables during the year. This is expected to further strengthen our operating cash flow and reduce the dependence on working capital borrowings going forward. Gross and net debt remains well controlle d despite delays in certification of water division bills. As on 31st March 2026, gross debt was INR 622 crores while net debt was INR 163 crores. The debt equity ratio as on the same date remained comfortable at 0.32x.

In summary, we are pleased with the progress achieved during Q4 and FY26. Our diversified order book, strong execution capabilities and strategic focus on high - value projects continue to position the company for sustained long -term growth. There's a clear visibility of growth til l FY'30. Our focus remains on increasing the share of high -margin, recurring business to ensure to stable growth in both top line and profitability.

At the same time, the global macroeconomic environment continues to remain volatile with potential disruptions arising from supply shortages, inflationary pressures, interest rate movements and other external shocks. So accordingly, we are strengthening ou r operational and financial preparedness to remain resilient and agile to navigating such uncertainties. With a strong order pipeline and execution momentum across businesses, we remain confident of delivering on our growth objectives and creating a long -term value for all stakeholders.

With this, I now request Mr. Ramaiah to share key business developments and the outlook for the coming periods.


S.K. Ramaiah: Thanks, Aravind , for all the important numbers and the growth story. Thanks for your participation. I think we should still be very bullish and positive on the total outlook for the company, looking at the growth which is happening. Of course, there can be a lot of new i nitiatives like what we have taken on the BESS and then there was an issue with the West Bengal Electricity Board and then it had to be cancel led. Otherwise, our numbers would have been much better in order backlog.

But overall, if you look at the total order backlog has gon

e up by 10.5% for the
current year from INR 14,387 crores last year to INR 15,898 crores. The three growth areas have been in the power sector. And that is mainly because of the bullish investments, which is happening in a substantial way in all the segments of the power sector, particularly in the new thermal business, both with the public sector utilities and also the private sector like Adani. And recently, JSW also joined and other players also are expected to kick in new investments. That is the basis on which we have continued to focus on that.

And the mechanical business had a slight dip. Of course, if you take the EPC portion, the installation, it is still okay , and then the civil side also, but the major growth came out in the O&M sector, about 8%. And solar is the new entity we have entered, in Solar Power development where in to put up a 16 -MW plant in Bihar. These are the new entities. But what is the key aspect is the foray we have made into the engineering , procurement and project construction, that being for the balance of plant, that is synergizing our expertise in the service side.

That means we got a strong background in doing the civil works, structural work, mechanical works, and also commissioning support work. That has helped us to take up the 40% of the value addition in -house working with 60% to be managed by engineering and procurement from the key parties. But overall, the company is quite confident of executing this important job. And this allows us also to enter similar type of jobs in future with a better value addition in similar projects which are expected to be based on the present tendering practice by BHEL.

And then the domestic scene continues to be positive, more of the orders coming in the domestic sector. And then power sector, the backlog of the order is about 70% and non -power is about 30%. That is on the overall number. The key aspect of the business continues to be in the case of power sector, if we look at it, I think we continue to remain positive on that. Actually, government's initial plan of 80 GW , 80 GW can go up to nearly 100 GW in the coal -based power plants.

We have seen recently certain trends about the increase in solar power, which has gone up 150 GW , and it will slowly go up to more than 300 GW . That can bring in a lot of grid imbalance, and that's why the necessity of managing the grid needs more thermal power in the night operation and day -night operation practices.

And now the new players are also coming. JSW is coming with new plants coming up in Salboni and then Odisha. Adani has taken a substantial initiative. And then perhaps their overall plan is to triple their capacity from 17,000 MW to - 50,000 MW .

They have done substantial ordering about 16,000 MW as on today. NTPC has done the other major ordering of about 11 380 MW apart from the other players like Damodar Valley Corporation, Neyveli Lignite, Singareni , Gujarat State Electric Company Limited, Chhattisgarh and MP Genco also.

Therefore, the expectation is that the present opportunities what has been ordered, comes to substantially INR 2.8 lakh crores in terms of the direct ordering done on BHEL, and L&T, on the major packages. That will translate into a reasonable


opportunity for us about INR 60,000 crores in various segments like installation business, civil business, structural works and the balance of plants on packages and all. And that is what we are banking upon. That is how we have seen recently the major orders also happening .

Similarly, from Adani side, we are working in about 4 major projects in Adani in

Mahan, Phase 2 and Phase 3, Mirzapur Phase 1 and Raipur, totally 6,400 MW and ongoing projects valued about INR 3,166 crores. Then BHEL is there. And then apart from the nuclear project where we have taken up quite c

ivil works for INR 563
crores, 2x 700 MW at Kaiga.

Rest of the thermal projects about 7,000 MW . If we add the recent addition of the Singareni, about INR 2,550 crores, the total BHEL, various packages and orders will be about INR 4,700 crores. Therefore, these are the two major players in which we are continuing to focus it.

And only thing, how much additional order will flow from the balance ordering to be done and then the packaging to be done by Adani, then presently JSW, Salboni in West Bengal , they are putting up a plant in Assam also 4x800 MW . That we are discussing with them. And O&M continues to be an interesting opportunity for us, and that is a margin driven. New opportunities are being followed up in BALCO.

And also, in Butibori 2x300mw which is now with Adani Power and other plants . Recently, we have taken a job in Hindustan Zinc Limited also and continuation with earlier order for the Hindustan Zinc captive power plant at 91 MW . Therefore, about 4,100 MW of ordering has been taken up in the O&M in the year 2025 -26.

Looking at the commissioning program and the aspects which will happen in terms of the commissioning in the coming years, if we take the average 8,000 MW , perhaps, the two areas that is installation business and the civil works, and the third area which is important is the long -term O&M, should bring us lot of results in terms of balance ordering ,which the company is very much focused. Recently, a major breakthrough has been in entering into O&M business in the Metro sector, INR 279 crores.

We have taken up light railway in Bombay, that is 15 stations work. That is a major technological breakthrough for us in terms of the operation maintenance practices. Today, we have seen about 1095 operational kms of metro routes are there, and it's going to develop it to 2,000 km. This initiative should help in terms of the outsourcing of the O&M and operation of the Metro works. That should be a new opportunity, which we should follow up in the future also, apart from the traditional power sector and some of the areas in the non -power sector also.

Then coming to the major opportunities, what we are planning this in the current year, there is a reasonable opportunity basket available. We have identified about INR 70,000 crores of opportunities in terms of what is visible in the various sectors, in the power sector, non -power sector, infra works, then O&M services, metro maintenance and EPC works, etcetera. That we are keeping a track of it.

Of course, the order booking plan based on the opportunity available, we hope to get, about INR 12,000 crores in the current year. We continue to follow all these opportunities, and clear tracking has been done about the INR 70,000 crores of opportunities in all the sectors. Another important development, NMDC is coming with a lot of investments. Perhaps their plan is to jack up their existing capacity of 60 million tons to nearly 110 million tons, by 50 million tons. That nee ds an investment of about INR 70,000 crores.



We had recently done one bidding for the BOT projects, for a 5 million tons capacity mine site handling facilities. That has to be seen, what they are going through and all, based on the price levels at which the same can be ordered . New EPC tenders have come. We are tying up with Thyssen Group , Pune. They are one of the strongest technology partners in terms of the iron ore material handling and then process management for this one. We will be their construction partner, and we'll take the lead. Couple of projects are there in NMDC worth about INR 8,000 crores to INR 10,000 crores.

The other aspects is that the non -power, roads, investment continues to be there, railways is there. Non -power NMDC, I told. The new visibility perhaps is the steel plant. Recen

tly, we had done some bidding work in the IISCO Burnpur, but our prices were higher than the other players, about INR 3,000 crores of opportunities. There will be new investments coming up in Bokaro Steel Plant and then Rourkela Steel Plant.

Apart from that, ArcelorMittal is planning to put up a 10 million ton capacity plant near Anakapalli in Andhra Pradesh. JSW is planning a new plant up in Paradip, 10 million tons. Of course, after some time, they are planning to invest 25 million ton capa city in Gadchiroli near Nagpur.

We have taken up the steel plant works also. Earlier, we have done in Dolvi, Ballari, JSPL Angul, and we want to see how to leverage our existing experience, what we have achieved there, also the similar works, what we have done in the civil infrastructure and the installation works, whether we can take up in the case of steel plants construction works also.

Therefore, the investments will continue to be there in terms of the railways, highways, metro expansion, power sector, 100 GW nearly, and other sectors also. And then O&M, some opportunities, we're following it up in the Middle East also. Now over 1,500 headcount is deployed in the Middle East to do about nearly INR 300 to INR 350 crores of jobs. We have taken a major O&M job for the captive power plant in Nigeria also. Now there are some inquiries coming from Senegal, and then Liberia, then Nigeria, and also some of the African countries.

Therefore, we have to see how to expand these opportunities in all these sectors. Therefore, from that point perspective, the overall opportunity available is reasonably can wor k out for the current year ordering of about INR 12,000 crores, what we have kept as our, current year target and we will try to do as much as possible on that. Thank you.

Moderator: Thank you. The first question comes from the line of Mohit Kumar with ICICI Securities. Please go ahead.

Mohit Kumar: My first question is on the order inflow. I think last year, we guided for INR 10,000 crores order inflow. And I think there is a substantial miss, right? Can you please explain, is it that you saw a lot of orders, due to which the finalization got postponed in Q4? Is that the reason of the miss, and you expect those orders to get finalized, tenders to get finalized in FY27. So FY27 should be a better year in terms of order inflow. And also, a color on the order inflow opportunity for the therm al BOP for fiscal '27?

S.K. Ramaiah: I think as far as our interest was there, Adani , we had been reasonably successful in getting many orders of their Mirzapur, Mahan, and then Raipur. Of course, the new investments, whatever we are bidding with them also. Now, even though BHEL has got a lot of orders on the existing orders they go , but there's some packaging


philosophy they have changed it, and that we are watching it whether the same can fit into our plans.

Of course, on the BOP side, we are going to bid for two - three projects, that's worth INR 15000 crores. Our aim is to get one more BOP in the current year. A strong team has been established with some experienced people from BHEL also. And with the present experience what we are gaining in Singareni, and then our enormous expertise in the execution, that should help us to be competitive, and we are getting qualified also in these BOP projects.

But on the main installation side, we are quite positive on Adani and JSW. , BHEL is a question of how much is the competitive level we can work on the pricing because of the packaging philosophy they may follow because they also want to see how much competitive they can get the pricing for the market to fit their budgets . But we are having a long association with BHEL, and they value our association and also our execution capability. Therefore, that should still come into our help wh

en
we focus on that.

Therefore, I will again come back to the opportunity levels available, about INR 70,000 crores, which have been identified opportunities, and that should be the basis on which we can look at it. And O&M, we are discussing a major job in BALCO, around INR 1,500 crores. Another INR 700 crores of opportunity, Butibori, 2x300 MW , that also we are discussing on the O&M side. With the new plants coming up in the O&M side, that is operation commissioning completion, perhaps it should continue to progress there on the O&M side also to get more orders.

And then the new initiative we have taken in terms of the mine site facilities because there is lot of focus on mine side investments and then as a policy by the government, both in the iron ore side and the coal side that they want to avoid this transpor tation by road, and they want to mechanize the entire system, right from the mine site to the delivery site. We have developed some expertise based on the work we have recently getting completed in Kurmitar.

That was in association with Adani job. That was a small job, about INR 200 crores on the association with thyssenkrupp. And that expertise should help us to bid for all these projects. The qualification, we have fully qualified for a couple of tenders there in NMDC, and that is an area we have to see how we can be successful as a new initiative. Therefore, from that point of view, I can only say that, let us expect that the opportunities what we are tracking should fructify.

Mohit Kumar: Understood, sir. My second question is on the mine side. What kind of volumes one can expect in both the mines separately for FY27 and FY28, given that both the mines are now operational?

N. Nani Aravind : The KBP mine just started production in November , and ramping up happened in last March, we did around INR 248 crores revenue during the last 5 months . In SAIL project, we did around INR 106 crores revenue during the FY26. This will scale up by FY 28 . The KBP mine, client is lifting the material beyond the contract capacity. INR 350 crores we are projecting for the FY27 and INR 500 crores for FY28 from KBP.

Tasra, our washery construction is undergoing, and maybe by December we'll complete the construction of washery. Maybe by mid of Q4 FY 27, we'll start our production from the Tasra mine. We are projecting INR 150 crores revenue in FY27, and it will increas e to INR 750 crores by FY28. MDO mix will be 7% in overall revenue for FY 27. And the same will jump to 13% in FY 28 revenue.

Mohit Kumar: I understood , sir. Thank you and all the best , sir. Thank you.


Moderator: Next question comes from the line of Tushar Khandelwal with Nexus Equity. Please go ahead.

Tushar Khandelwal: Thank you. So, my question is I understand we missed order inflow guidances and revenue guidances, but we are able to meet the revised revenue guidances this year. I see a lot of challenges in the MDO segment of the business. Management is seeming quite confident for achieving the FY27 guidance and FY28. So, is there any underlying change in micro level or business level or initiatives from the company from which we are seeming this confident on achieving the FY27 and FY28 numbers?

N. Nani Aravind : See FY26, we projected around INR 6,500 crores, we achieved Rs 6,062 Cr and there is a shortfall of Rs 700Cr on account of the water division delays in certification of bills off set by the increase in revenue beyond the planned. our actual shortfall was only INR 438 crores. And for the FY27, we are projecting around 21% growth.

We are confident of achieving that, and even the MDO business ramp -up of production is happening, and we are more focused on the high -margin O&M business. This year, we are expecting high -value orders in O&M division also. And EP

C business, we just starte d last year, and we are expecting more revenue from the EPC business. So we are confident of achieving the projected number of 21% growth.

Tushar Khandelwal: Okay. Thank you. And for second question, are we facing any labor side shortages or labor problems?

N. Nani Aravind : No, labor shortage is always there, and we are always recruiting the people and training on our side, and we are managing the sites without impacting the progress of the works . We are the largest service provider in terms of erection business and O&M side. Major opportunities are there with us, so attrition is there, but we are maintaining with the new people and we are managing requirements.

Tushar Khandelwal: Thank you, sir that answers my question.

Moderator: Thank you. Next question comes from the line of Vignesh Iyer with Sequent Investments. Please go ahead.

Vignesh Iyer: Sir, my question is more on the raw material inflation that the industry is witnessing as a whole due to the West Asia ongoing war. And I wanted to understand from our current order book, what percentage of the order book is insulated partially or fully, with any escalation clause in place? And for the part that is not in flated , what is our strategy going forward?

N. Nani Aravind : Sir, international order book, we are only doing O&M services, which consist of 1.2% -1.5% overall order. There is no much impact on the war on our O&M business. In fact, if you compare my FY25 to FY26, my revenue has gone up from INR 292 to INR 327 crores during the current year. As such, there is no impact. In fact, we may get more opportunity in terms of construction side. There are a lot of plants were under dismantle. We may get good opportunities in O&M and in erection business.

S.K. Ramaiah: Moreover, I think most of our major works we are doing in Nigeria, O&M, nearly INR 100 crores job. That is a long -term contract. Some inquiries are also coming in the West Africa. Let us say, because our erection jobs, which we had a substantial presence, that has practically come down. We are only doing the need -based O&M jobs, manpower supply, and that is okay with better margins. I hope war also should not last.



N. Nani Aravind : We are doing majorly O&M businesses. We are not into the erection, so there is no impact of price increase in international operations. Domestically, there is increase in the pricing, and at the same time, we are covered with the escalation clauses. Every contract we are protected by escalation clauses. We will get the reimbursement from the clients.

Vignesh Iyer: Sir, my question more was on the civil work side of it, on the power projects, if any, on the domestic side because there are other EPC players who are facing it as of now. The question was more on that line.

N. Nani Aravind : EPC, there were impacts, sir. Steel and cement prices have increased. Diesel price has increased. So to the extent, PVC is covered through our contract arrangements, so we'll get the reimbursement from the client to the extent of that increase on PVC.

Vignesh Iyer: Sir, how should we look at our margins then for the upcoming year on the stand - alone side of the business, if you could?

N. Nani Aravind : Standalone -level, there's a marginal pressure because the water division certification delays are there. Whereas this year, we are expecting the central government will release their funds. Because of the fixed overhead, the margins constraint is there in the water division. We are hoping the funds release will rectify this problem, and the certification will generate more margins.

For FY27, overall margins will improve because of our O&M revenue mix is increasing, and EPC division revenue is increasing, so the margin profile will improve. MDO business is also increasi

ng in the total top line and bottom line. We are hoping that this year we are expecting to touch EBITDA of 12.5%, including other income. There may be a increase of 0.25% to 0.3% in the EBITDA .

Vignesh Iyer: How should we look at the margins for the two MDO contracts that we have got?

N. Nani Aravind : KBP mine just started with production . We will reach the peak rate capacity in FY 30, Tasra mine ramp up of production start from FY 28 and peak rate capacity achieve in FY 29, we are estimating blended EBITDA together around 20% at peak rate capacity , At present, on an average EBITDA of 15% margin we have got.

Vignesh Iyer: Okay sir. That is all from my side thank you.

Moderator: Thank you. Next question comes from the line of Deepak Poddar with Sapphire Capital. Please go ahead.

Deepak Poddar: Thank you very much sir for this opportunity. Sir, just wanted to understand, we are targeting from MDO FY27 INR 500 crores kind of a revenue, and in FY28 INR 1,250 crores. Is that right understanding?

N. Nani Aravind : Yes.

Deepak Poddar: Okay. And how should one look at then margin trajectory in MDO in FY27, FY28?

S.K. Ramaiah : Year on year 1% jump in the EBITDA margin can be expected till it reaches PRC in both the projects, we'll reach the PRC by FY29 in one project and FY30 in another project. So , by the time, we'll touch 20% from present 15% .

Deepak Poddar: 15% to 20%, sir, I did not follow?

S.K. Ramaiah : Every year, 1% jump will be there, depends on the production volume.



Deepak Poddar: Okay, every year. And then how much was the margins in FY26?

N. Nani Aravind : It's at 15%. in the month of March alone we touched revenue of INR 117 crores. Every month we used to do revenue of INR 40 crores, The initial OB removal will be very less. EBITDA margins are high. When we go deep into the pit, you will get more OB removal. Your cost will also increase. Average, we can take 15% to 16% EBITDA when we reach PRC.

Deepak Poddar: Okay. And this 15% EBITDA margin, 15% to 16%, was it INR 354 crore s kind of a revenue, we did in FY26?

N. Nani Aravind : Going forward, INR 500 crores also, you can take 16%.

Deepak Poddar: In FY27 also 16% is more.

N. Nani Aravind : So, YoY , because of the ramping of production happens in both MDOs and at the same time, we have to get a production overhead adjustment. So , 1% jump you can take from 15% to 16%, 16% to 17%. And by peak rate capacity , by 2030, we can touch 20%, 21%.

Deepak Poddar: Okay. Understood. And FY27, the order inflow outlook we have, what sort of order inflow we might be targeting?

N. Nani Aravind : Yes, we are targeting INR 12,000 crores . This year, we are majorly targeting BOP, one or two projects of BOP EPC , O&M projects.

Deepak Poddar: Okay. And then what's your capex plan for this year, FY27?

N. Nani Aravind : Capex, we are constructing washery as of now, and we'll complete the washery activity. So Around INR 400 crores capex will be addition by FY27. And in TASRA SPV, INR 400 crores of Capex Tasra Coal Handling Plant and railway siding is added. At the Power Me ch level, only INR 400 crores will be the addition to the capex, without any debt.

Deepak Poddar: Okay. Understood. What's our export mix right now?

N. Nani Aravind : This is 4% of the revenue.

Deepak Poddar: And because of this global macro scenario, I mean, are we facing any issue in terms of business?

N. Nani Aravind : We are only doing O&M services majorly. So there is no disruption so far, and all the plants are running without any issues , we are supplying the manpower. As such, there are no issue as of now. All are running, sir.

Deepak Poddar: Okay. Because of commodity, I mean, commodity prices have been quite volatile, right? Is that also an issue?

N. Nani Aravind : Yes, quite volat

ile, and it has more impact on the domestic business than international because international we are supplying only O&M manpower. Construction activity is there only in domestic. There is increase in the price of material and contract execution expenses have increased. To the extent, we have a PVC factor is already factored in the agreement, we'll get the reimbursement from the client on increased prices .

Deepak Poddar: Okay. So , we are able to perform cost increase, right to the client ?



N. Nani Aravind : Yes, sir.

Deepak Poddar: That is very helpful sir. That’s it from my side. All the very best thank you.

Moderator: Thank you. Next question comes from the line of Venay Kumar, an Individual Investor. Please go ahead.

Venay Kumar: My question was, is the government going for the coal gasification? Do we have a scope there? Because GAIL and Adani Group is also there in coal gasification. Do we see business opportunity, and what will be the amount, sir?

S.K. Ramaiah: This recent information, we are also tracking it. Government has planned initial investment of INR 37,500 crore s because looking at the import dependency of the fossil fuels, particularly the petrol, LNG, and other things, coal gasification is an alternative. Of course, the pilot projects have been launched with a group of companies, like BHEL as a technology provid er, and then along with Coal India. Of course , this is very much in the initial stages, and the investment size, what we are looking at INR 37,500 government has planned, I think that should happen with initiative from the Public and Private sector

We are also trying to start tracking these investments, and first we have to look for the technology partners, because a similar job, what we can take it up. But as a developer and owner, that can be a second option. First option is to enter the work in ter ms of traditional work, what we can do in installation, service business, and then undertaking the complete plant construction. That should be a possibility with our qualification. This is already in our thinking.

Let the investment happen, it should take some time. First of all, it is a thinking and allocation. Then, there should be developers and owners who has to invest it. And then the engineering and supply chain aspect has to be firmed up, and the investment has to follow . And then it will happen. , with strong Government initiative and support. Maybe we will expect down the line six months or one year it will start.

Moderator: There's no reply from the line of Mr. Patil. We'll move to the next participant. That is from the line of Riya Mehta with Aequitas Investments. Please go ahead.

Riya Mehta: Thank you for giving me the opportunity. So my first question is in terms of the demand from private capex. So are we seeing demand from thermal capex? Apart from thermal, where are we seeing major demand, from which sectors?

S.K. Ramaiah: Yes, madam, I agree. I told you, mining side, a lot of investments are coming. Particularly from Coal India. Of course, on the mine side, we have taken up two jobs which is in progress. But another development I brought out was on the NMDC investment of INR 70,000 crore s for their mining capacity expansion by 50 million tonnes for all their mines in Karnataka and then in Chhattisgarh. Therefore, presently an opportunity of INR 10,000 crores has come. We are trying to work with Thyssenkrupp to jointly bid with us in those tenders. And that is a major initiative .

And then there can be other opportunities in the case of steel also, I told you. Steel sector, the total capital investment planned in the next 5, 6 years is about INR 10 lakh crores. Of course, they're all big projects. JSW is planning, ArcelorMittal is planning, Steel Authority is planning it.

We have started initial biddi

ng, but in the case of IISCO Burnpur, we were not successful there. But we keep our efforts there. In the future, opportunities can come up. ArcelorMittal is going to put up the plant near Vizag., we are in touch with them beca use we have done the work for JSW in Dolvi and Ballari for their



expansion coming up in Orissa. Therefore, these are the areas we can certainly look at it.

N. Nani Aravind : Apart from what Ramaiah sir said, another area is the railways, where we are looking at the new broad -gauge lines work. Even the construction of new lines we are looking at. And road projects are also there, but of course, there's unhealthy competition is there in roadside. But if any good opportunity is there, roadside also we'll look at.

S.K. Ramaiah: But the new thing, what I would like to say. What we got the breakthrough in the Metro O&M, we have taken the job, INR 279 crores in Bombay. That is a beginning. And I already told you about that. It can be a huge opportunity which can be there for the changeover from the present system, operation maintenance to outsourcing by the metro companies.

Riya Mehta: Got it. In terms of client concentration, how much would BHEL and Adani form for our total order book?

S.K. Ramaiah: As I told you, Adani, we are doing 6,400 MW , the total order about INR 3,200 crores for Adani, and then BHEL, we are doing about 7,000 MW on thermal and 1,400 MW in nuclear. That comes to, and then BOP project, that comes up to INR 4,700 crores.

Riya Mehta: Got it. Are we facing any working capital issues considering price, cost price has increased? Do we have escalation clauses in place for these orders?

N. Nani Aravind : Yes, ma'am all the clauses, we are having PVC clauses in contract, which we are claiming in every bill. And we are availing interest free mobilization advances. So there is no much of working capital issues in running projects .

Riya Mehta: Okay. And in terms of the water project issue, which you were mentioning, just wanted to know how much of the order size that contract?

N. Nani Aravind : Balance is around INR 900 crores of order we have to execute, ma'am. So last one year, we have stopped execution of the work, and have instead focused on nearer -to-completion projects, particularly those where 75%, 80% of the work had already been complete d. and we brought these major projects into the O&M phase. So for O&M, we are getting monthly fixed revenue from State Govt funds.

500 schemes, which we are targeting to complete by June 2026, and to bring these schemes into the O&M. Out of that, so far, we completed around 300 plus of schemes. And based on the central government allocation of funds, then probably we'll restart thi s balance work of INR 900 crore. FY 26, the state government released the fund and we have received almost INR 231 Cr . And as on March 26, we need to get the certification for INR 128 crores of work in progress and INR 90 crores of receivable, to be received from the client.

Riya Mehta: Could you help me with the total amount, which, for the work we have done and the amount not received yet?

N. Nani Aravind : INR 90 crore receivable amount. Against the INR 2,700 crores of order value, INR 1,800 crores worth of work we have executed so far. We have received entire money except INR 90 crores of receivable and 128 bills are yet to be certified, work done and pendi ng for certification.

Riya Mehta: Got it. And this was included in our order book numbers?



N. Nani Aravind : Yes, it is there in the overall closing order value, INR 55,000 crores is included INR 900 crore s value.

Riya Mehta: So we can remove INR 900 crores.

N. Nani Aravind : INR 900 crore s on that INR 200 crores already WIP is there. The remaining I

NR 700
crores we have to execute.

Riya Mehta: Got it. Now, are we taking any further water projects or something?

N. Nani Aravind : As of now, we are not showing interest, ma'am, because the power orders, we are getting more power orders. We are concentrating more on the power and O&M business. Until FY30, there will be huge demand for power business. So , we are concentrating more on Core business

Riya Mehta: Got it. In terms of railway, I think last couple of years, there has been incrementally very high competition, and margins were compromised. So what part of railway are we excited about?

N. Nani Aravind : We are actually not doing the regular civil kind of works. We are taking the combination of overhead electrification with the signalling, telecommunication and civil together as a package. So that the competition is very less with this kind of, because the technical eligibility may not be there for the regular civil experiences Companies . We are targeting only those mix of both civil and technical qualification requirement projects only we are targeting.

Riya Mehta: How much is this in our order book, railway? How much have we done?

N. Nani Aravind : INR 700 crores is there.

Riya Mehta: INR 700 crores. Just for a broader guidance perspective, since we saw INR 7,200 crores of order inflow this year, are we on place to see INR 10,000 crores for the next year? The West Bengal order, which we did not get, is it a re -tender, or somebody else received it?

N. Nani Aravind : Yes, they will again be recalling the tender, ma'am. So , this year, we may look at that order. And moreover, some of the projects were L1, in Bangalore Metro, we received L1, and Monorail also, L1 we received in April. So , our guidance at, INR 10,000 crores, almost is nearer to that INR 10,000 crore . But unfortunately, because of this cancellation of BESS order, shortfall happened.

Riya Mehta: So we are on track to have INR 10,000 -odd crores of order intake for this year, right?

N. Nani Aravind : Yes.

Riya Mehta: And the current order book which we have excluding MDO, what would be the average tenure of the order intake?

N. Nani Aravind : All our orders, 2 to 3 years period of execution. you can take average order execution time of 2.5 years. For every year, we are doing 40% execution on opening order value. The 2.5 years, execution time you can assume the average order size .

Riya Mehta: Right. Now on the MDO side, when is the coal washery getting commissioned?

N. Nani Aravind : Almost all materials reached the site, and erection works are already started. By December 2026 , we'll be ready with our washe r. We'll do the testing, and we'll be



ready with our washery. And our target is from Q4 onwards, we will do the washed coal. We'll supply washed coal to the client .

Riya Mehta: Just to revisit. This for FY27, you said INR 450 -odd crores, INR 300 crores plus INR 150 crores and next FY28 will be INR 500 crores plus INR 750 crores, right?

N. Nani Aravind : No. FY27, INR 350 crores plus INR 150 crores, ma'am. Total INR 500 crores for FY27. KBP mine, INR 350 crores and SAIL mine, INR 150 crores.

Riya Mehta: Could you repeat, your voice is getting muffled.

N. Nani Aravind : Yes. The KBP mine, we will do INR 350 crores and plus SAIL mine, we will do INR 150 crores this FY 27.

Riya Mehta: Okay, got it. Total INR 450 crores, right?

N. Nani Aravind : INR 500 crores, ma'am.

Moderator: Next question comes from the line of Mahesh Patil with ICICI Securities.

Mahesh Patil Sir, first question is that you have highlighted some Labor Code provision in Q4 that has impacted the margin. Can you give details about the exact amount?

N. Nani Aravind : Around INR 4.5 crores, we created a provision for the increase in that 40 % basic, now it's i

ncreased to the 50% level. So, there is incremental gratuity increase. We have created a provision for the entire year impact.

Mahesh Patil Okay, sir. And sir, on the nuclear side, we have already received one project. Are we seeing any further opportunities there? How are the discussions going with some of the clients?

S. K. Ramaiah: Yes, we have already taken up to INR 563 crores civil work that is in progress. That is 2x700 MW . But, as we know, the policymaking by government is bullish on the nuclear side. We have got 8,800 MW of installation in the country. Their plan is to make it 1 lakh MW . And that is a very tall task, but it needs lot of supply chain management, engineering and technology, then operation and maintenance.

And we are looking at it. And now the small modular reactors, SMRs, coming at 200 MW , 250 MW , that is to be there. Then we have seen recently, the American team is there in India to discuss their association with nuclear supply chain business. And we will watch that because in the nuclear side, there are two aspects briefly. One is a offsite faci lities, another is a reactor site facility.

The reactor site facilities is very different in terms of quality. But offsite facilities are similar like what we do in a power plant, like turbine package, turbine island, and then cooling water system and lot of piping works . But we will watch carefully and see because nuclear power installation has got its own issues in terms of challenges, and that we have to slowly master it and ultimately, we have to enter there.

Moderator: Next question comes from the line of Nikhil Kanodia with Sunidhi Securities.

Nikhil Kanodia: Firstly, congratulations on the decent set of numbers. Sir, my question revolves around what we have seen is lot of infra capabilities have been kind of vanished due to the war. So, are we seeing any erection or maybe EPC kind of opportunity in that sense? And what could be the opportunity size from that market?



S. K. Ramaiah: Middle East, as we explained, about INR 300 crores ongoing jobs, mainly in the maintenance, manpower supply, and then some jobs we are doing in West Africa. At present, our focus is on providing purely manpower supplies for the operation, maintenance and then shutdown jobs, etcetera.

Now as far as the installation jobs and then major jobs in construction, that we have got a strong reference there in international combined cycle gas -based plants, about nearly 9262 MW .

But let us wait for the war to end, and then the fresh investment should come up, and there can be lot of opportunities there. Already we have got an office set up in Dubai and then in West Africa, and we'll be there to see how to take it.

Nikhil Kanodia: Okay, sir. The second question is that you mentioned that the market size for your power business is around INR 60,000 crores to INR 70,000 crores. So, how much are we trying to bid over there, and what is our bid -win ratio over there?

S. K. Ramaiah: We have to se e what is the hit ratio there? When the competition is there, we have to see the fact that there is competition and then the customer's interest in the contractors, like Adani, they would prefer to work with us , it is a different matter. JSW, perhaps they can have a choice being a private sector.

But all the government jobs, we have to see how the competition will be there. Therefore, the general size is that, our previous record is we have been bidding INR 40,000 crores to INR 50,000 crores of opportunities for bidding. The hit ratio can be somewhere about 15 %. That is what it is.

That's why, this year because of the new opportunities and new areas of the business, and then mining side, metal side, and then power sector, more investments coming up, and also in some of the infrastructure side, the ongoing jobs in rai

lways and roads, we have kept a target of INR 12,000 crores. With that, we have kept the opportunities identified about INR 70,000 crores.

Nikhil Kanodia: Okay, sir, if I've heard it correctly, you said that INR 70,000 crores is the opportunity size for which you will bid for around INR 40,000 crores, INR 50,000 crores, and the hit ratio could be around 15%, right?

S. K. Ramaiah: Yes, that should be correct.

Nikhil Kanodia: Okay. Sir, the third part is on the labor. So, like what we have seen is that the kind of labor availability is kind of a challenge right now. What are we seeing? What is the ground reality when it comes to labor?

What is the kind of price increase that has been there in the labor cost? And when do we see the availability of labor coming back to on the fields?

S. K. Ramaiah: No, ultimately, I think, the developments in West Bengal, that's where a lot of labor comes, particular civil labor.

The civil part of the labor mostly comes from West Bengal, Orissa, and then some considerable labor is there from Jharkhand and Uttar Pradesh also. Therefore, as on today, if you look at it, our total headcount has gone up more than 40,000. Of that, 70% to 75% is on the labor side. And then O&M, in that O&M is about 18,000. In the case of O&M, we don't face any problem because they're all skill -based and then semi -skill based, and there is a secured job for five years, three years like that, and the people are trained for that. Once they are there in that, we continue to emp loy them, and then when the jobs get renewed, it will be continued. The


challenge will be in the construction side and the civil side, and then the installation side.

So far, we have been managing it and that is how we are able to meet our physical targets also. And certainly, some more increase is required. And what we can say, based on the record of Power Mech, we have reasonably jacked up the manpower requirements, me eting the schedules and contractual requirements. And so far, there was no major shortfall of labor in executing the jobs.

Nikhil Kanodia: Okay, sir . One last question that you mentioned for the order inflow target for FY27 is around INR12,000 -odd crores. For FY28, what will the target look like?

S. K. Ramaiah: Maybe in the same range, the INR 12,000 crores to INR 15,000 crores range, it depends on the opportunities available.

Moderator: Next question comes from the line of Ravi with Sundaram Family Investments.

Ravi: Sir, congrats on the excellent set of numbers and for the good guidance on the order book. I just wanted to reconfirm one understanding. I think in one of the comments, you said we are expecting 21%. Is that number for revenue growth, or is that for order book growth?

N. Nani Aravind : It is revenue growth, sir .

Ravi: Okay. Thank you, sir. That was the only clarification. All the very best.

Moderator: Next question comes from the line of Vinay Nadkarni with Hathway Investments Private Limited.

Vinay Nadkarni: Yes. somewhere you had said that your growth in MDO operation, there would be a 7% jump in FY27 and a 13% jump in FY28 after the washery is put up. This is only for the.

N. Nani Aravind : Yes.

Vinay Nadkarni: The numbers that you gave, you have done INR 106 crores in FY26, and you're projecting INR 150 crores. That's almost a 50% jump.

N. Nani Aravind : The jump is in the percentage of revenue, I'm saying percentage of revenue, sir, the 7% of the total revenue.

Vinay Nadkarni: Okay.

N. Nani Aravind : 7% and another 12% on the revenue component.

Vinay Nadkarni: Secondly, in terms of growth, you've said around 21% growth would be for the coming year.

N. Nani Aravind : Yes.
Vinay Nadkarni: In EBITDA, you had mentioned around 17%?

N. Nani Aravind : 12.5%.

Vinay Nadkarni: 12.5% ?

N. Nani Aravind : Yes. A 0.2% to 0.3% jump will be there.



Vinay Nadkarni: Okay. And can you share the EBITDA numbers because you have given the mining EBITDA numbers to be around 15% to 16%. For your mechanical and civil, what would be a general EBITDA margins and O&M?

N. Nani Aravind : O&M is always around 15% to 16%, and the remaining construction will always be less than 10%. So blended together as of now, with other income, we are announcing at 12.3%.

Going forward, we will generate around 12.5% for the coming year. And every year, it may jump 0.5% YOY till we reach the PRC, which is in FY30, we'll touch 14%. FY31 we'll touch around 14.25%.

Vinay Nadkarni: Okay. Just last question. you had said for civil, it is less than 10%. For mechanical also, it will be around the same?

N. Nani Aravind : Yes. All erection, civil, everything you can take less than 8% to 10% level of margins.
Vinay Nadkarni: Okay. Just one small bookkeeping question, which, until last presentation you had mentioned Electricals as one of the business segments. This time, you are mentioning EPC. Is it the same or is it different?

N. Nani Aravind : No, it is a different business because, actually, earlier the Transmission division used to do the transmission erection of the lines and other things. That business is over now. So in between, we have taken a railway work, and the team is doing that railw ay activity. So, now we shifted that entire portfolio to the civil business, and we added a new line of activity of BOP EPC business.

Vinay Nadkarni: Okay, so the electrical part is now covered in the civil work?

N. Nani Aravind : Civil, yes.

Moderator: Next question comes from the line of Rohan Advant with Prad Capital.

Rohan Advant: Sir, my first question is that in Q4 of FY26, our MDO revenues were INR 226 crores. Is that right?

N. Nani Aravind : Correct.

Rohan Advant: Sir, for the full year FY27, we are guiding INR 500 crores, when in this quarter, we've done INR 226 crores. Is there a lot of seasonality through the year? That's why that Q4 is so heavy?

N. Nani Aravind : No, actually, the KBP mine, as per the contractual capacity, is 0.4 million is the first year of operation we have to supply. But the client accepted higher off take because there is a delay of project, so they have taken a higher capacity. During FY 26, 1.6 million tonnes we supplied from November, average of INR 40 crores of revenue we have executed.

And March month we scaled up the production and we did around INR 117 crores revenue as exceptional. on an average we can do INR 40 crores to INR 50 crores of revenue per month going forward. But in between, rainy season will be there, so , by factoring all these conditions. we are conservatively factoring this at a INR 350 crores level .

Rohan Advant: Okay. While you started late in the year, a lot of it was compensated in the month of March, which was higher volumes, but that's not the sustainable monthly run rate, and for full year it will be lower, right?



N. Nani Aravind : Yes.

Rohan Advant: Got it. Sir, in the last call, which was in February '26, we'd said that by FY28, we can touch INR 1,800 crores, INR 1,900 crores in the MDO space. But now we are saying it's INR 1,250 crores. So, where's the gap now, sir?

N. Nani Aravind : Now the KBP mine, their washery, is not ready from the CCL side. But even though it is not in our scope, but as per the contractual terms, our intention was to push the client to take the major material. So, this year 1.5 million tons, next year is 3 milli on tons. But our intention was to push the client to take the major higher side, higher offtake. We are pushing him.

If that happens, we can do the major business. But conservatively, we are pro

jecting INR 350 crores level. And the SAIL project, we projected FY28 we will reach the PRC. But again, ramping up of the production from zero to again 4 million tons in a single year is again a tough challenge. So conservatively, we've projected INR 750 crores, and FY29, we are projecting the full capacity in the SAIL project.

Rohan Advant: Okay. At full capacity, it will be?

N. Nani Aravind : 4 million tons in the SAIL and 5 million tonnes is in the KBP. So, the KBP will touch full capacity by '30, and full capacity '29 by the SAIL because the washery is just newly constructed, and there will be the first year of operation, we have to see the conditions of this washery and everything. Then conservatively we are factoring this at a conservative, at a lower value. But we can exceed that number.

Rohan Advant: Okay. Sir, in revenue terms, how will it be, 4 million and 5 million tons? How much does that translate in revenue crores in '29 and 2030?

N. Nani Aravind : Around INR 2,100 crores to INR 2,200 crores, depends on the escalation value, sir.

Rohan Advant: Okay sir. Thank you and all the best.

N. Nani Aravind : Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question -and -answer session. I now hand the conference over to Mr. S. K. Ramaiah for closing comments.

S. K. Ramaiah: Thanks for your participation and very interesting questions. And of course, we continue to be bullish on our business opportunities. The power sector investments growing, maybe another 5 years, we've got a fair outlook of the growth in the power sector. And then O&M is a business in which we'll sustain the profitability and then growth also.

And we are tracking a lot of new investments , new pl ants coming up for the O&M, and advanced stages of working and closing some of the contracts there. Therefore, O&M is a positive thing because of the annual commissioning can go up MW to 8,000 MW in a year , and that should throw up a lot of opportunities.

Then power sector, we said overall opportunity size is about INR 60,000 crores, and considerable orders have been taken on that side, BHEL and then Adani, particularly, and then JSW is coming up. Then new investments which will come in power sector, we'll continue to track it.

Then in the non -power sector, I said mining site facilities, we are taking an interest, and we have done the bid for 1 BOT type of projects, but the outcome is not known,


even though we are in a position because of the pricing issues. And then the EPC type of jobs are also coming up, about 3 tenders, about INR 10,000 crores in NMDC and then steel plants, non -power sector.

O&M on the metro side, we have discussed that we have made a beginning in Bombay Light Metro, and that should open up a lot more opportunities for increasing the O&M profile of the company. Then in the export side, we look for how the opportunity takes up , and the particular situation improves in terms of the Middle East war.

And then in the West Africa, we are trying to look at new territories in terms of Liberia, Senegal, apart from Nigeria. And we are having some discussions in the Africa side also for the new investments coming in many of the countries. But overall, I can s ay power sector will continue to drive the business with order backlog of 70%, and that will be there in the next couple of years.

Our interest is to divert more into similar jobs in steel sector, mining sector, and then preferably in other sectors which will come up, oil and gas, etcetera. Let us see. And that is how we have kept a target for INR 12,000 crores this year, and that should be reasonably possible with an opportunity size of nearly INR 70,000 crores for the current year. Thank you very much.

Moderator: Thank you. On behalf

of Ashika Institutional Equities, that concludes this
conference. Thank you for joining us. You may now disconnect your lines.